Black Bo (BBOX)

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Sub: Transcript of Earnings Call hosted on June 02 , 2023 on Audited Financial Results (Consolidated and Standa lone) for the quarter/ year ended March 31, 2023 .

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,

This is further to our letter dated May 31 , 2023 with reference number BBOX/SD/SE/2023/31 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call hosted on June 02, 2023 on Audited Financial Results (Consolidated and Standa lone) for the quarter/ year ended March 31, 2023 , is attached hereunder.

This is for your information, record and necessary dissemination to all the stakeholders.

For Black Box Limited
(Formerly Known as AGC Networks Limited)

Aditya Goswami
Company Secretary & Compliance Officer

“Black Box Limited
Q4FY23 Earnings Conference Call ”

June 0 2, 202 3

MANAGEMENT : MR. SANJEEV VERMA – WHOLE TIME DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR &
GLOBAL CHIEF FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to the Black Box Limited Q4 FY23 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all particip ant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference ov er to Mr. Sanjeev Ve rma – Whole Time Director and CEO of Black Box Limited. Thank you and over to you, s ir.

Sanjeev Ve rma: Thank you. Hello and good morning everyone. I hope all of you are keeping safe and healthy. On behalf of Black Box Limited, I welcome everyone to our Q4 and FY23 ear nings call. On the call, I'm joined by Deepak Bansal – Executive Director and Global CFO and SGA – our Investor Relation A dvisors. We have uploaded our results presentation on the exchanges and I hope everybody had an opportunity to go through the same . We are happy to meet again.

I'll start with a brief overview on the quarter gone by followed by business and financial performance for Q4 and FY 23. Black Box is a leading global IC T Solution Provider focused on designing, deploying and managing digital infra structure for our global enterprise customers and Fortune customers, including C loud providers . We are present in 35 countries and supported by 4000 plus highly skilled resources. With our expertise, businesses can create and offer relevant technological s olutions and services that support their core business objectives. Our strategy of glocal that is "Think global and act local" helps us keep our relationships glocal and at the same time be relevant providing the flexibility to our customers , to cost effect ively deliver in 35 countries, including from our Center of E xcellence in India.

We've reported a robust performance in Q4 FY23 and won new project deals worth upward of $95 million during t his quarter. The performance was received across our business areas , of which significant performance was seen in data centers , 5G infrastructure , connected building and digital workplace solutions . On a full year basis , we had new deal project wins in excess of $250 million with a large order backlog for North Americ a of over $209 million as of March 23, compared to $148 million in March 22 and $87 million in March 21. This consistent growth in order book despite the difficult economic environment is the testimony of the strength of our business model and we're optimist ic that we will continue to see the same m omentum in the coming quarters.

This has been a challenging year for the corporates in terms of overall operating environment. The margins were impacted by interest and the cost pressures and supply chain challenge s. However, we did take some important decisions , which Deepak will talk about shortly , that has allowed us to deliver improvement in margin on sequential basis ov er the last couple of quarters.

On the revenue front, strong inflow of orders and strong execu tion has allowed us to deliver a sustained uptrend in our revenues. Our focus and investment in the data center space has been highly equipped . The market for data center especially with the hyperscalers and cloud providers is expected to grow significantl y over the next few years. And we are well poised to address the possibility that lies ahead of us. We currently account 3 out of the 5 hyperscale rs/

cloud / social
media company as our customers and are happy to state that we are well on our way to add a second $100 million customer account in this space with significant project wins from largest social media giant in fiscal 23 .

We are always looking out for good acquisition opportunities. Our key thought process behind any acquisition is a) to identify busin esses that provide expansion through sale and revenues currently operating with suboptimal margin profile ; b) it has to be complementary to our existing business in terms that it allows us to acquire newer customers , scale up existing business , help to diversify to new er geographic locati ons and build new capabilities. Lastly, we transform the acquired businesses quickly an d bring out short term synergy.

Recently , we signed the definitive agreement to acquire Global S peech Networks Pty in Australia for a total consideration of AUD 2.5 million, which is subject to working capital adjustments at the closing . The company is engaged in the business of providing design , configuration , implementation , integration and ongoing ser vice and support service s for the GSN Genesys Engage and Genesys Cloud contact c enter solutions. For FY22, it had total revenues of ~AUD $9.87 million. The acquisition will help Black B ox to strengthen its presence in Australia and also add G enesys' capability t o its services ANZ region . This will also give rise to an opportunity to cross sell to the current customer s.

For the last couple of years , we have spent time towards creating the right platform for growth of the company and we believe the company has arrived a t an inflection point which will help us to deliver a much stronger profitability numbers from here on. Keeping this in mind, for FY24 we expect our revenues to grow in the range of INR 7 ,000 to 7 ,500 crore with EBITDA of INR 400 to 4 50 crores and PAT of INR 140 to 175 crores . This growth will be led by increasing our existing customer base , market penetration with adjacent o f new clients. In addition to these inorganic opportunities and better optimizing our operational cost and efficiencies will help u s meet our target s. That's it from my side.

I now hand over the call to Deepak to run through the financial highlight s.

Deepak Bansal: Thank you, Sanjeev for the detailed overview. Good morning everybody. I will now discuss our financial performance for Quarter 4 and Financial Year 2023 . We are happy to report revenue growth of 17% year -on-year for FY23 and closed the year with total revenues of INR 6,288 crores. For the quarter gone by that is Q4 of FY23, the revenue increased to INR 1 ,682 crores, which is a growth of 17% as compared to Q4 of FY22. The growth in revenue is on account of strong order book reflected in new order wins each quarter and larger share of wallet from our existing customers. Quarter -over-quarter, we are seeing good growth a nd given our sales pipeline, we are confident of continuing the same growth m omentum in the coming quarters.

EBITDA for FY23 stood at INR 269 crores versus INR 260 crores in F Y22. On a year -on-year basis, the growth remained stagnant and saw some pressure due to inflationary environment, supply chain challenges and project delays. However, sequentially we have seen a good uptrend in EBIT DA which increased to INR 95 crores in Q4 FY23, as compared to INR 73 crores in Q3 of FY23 and INR 80 crores in Q4 of FY22. Please note that the EBIT DA for FY23 and the Q4 of FY23 excludes gain on cash flow hedges to the tune of around INR 20 crores .

We are happy to see that our focus on cost rationalization initiatives and improved productivity has started yielding positive results. EBITDA margins for Quarter 4 of FY23 increased to 5.6% as compared to 4.3% in Q3 of FY23 and 3.2% in Q2 of FY23. We expect this improvement trend in EBITDA margins to c

ontinue throughout FY2 4.

Profit after tax for Q4 of FY23 saw significant improvement on a sequential basis. We reported a robust growth with a PAT of INR 23 crores for Q4 of FY23, which is a growth of 47% year - on-year and 197 % on a quarter -on-quarter basis. Howeve r, PAT for FY23 stood at INR 29 crores versus 86 crores in FY22. PAT was impacted by higher interest costs and severance p ayouts to improve our onshore -offshore ratio . We foresee the severance cost to normalize and deliver a much stronger PAT in FY24 . Sanjeev has already mentioned that we are targeting a profit after tax in the range of 140 to 175 crores for FY24.

Going ahead, we remain committed towards improving our operating profitability and some of the key drivers to drive the operating profitability w ould be :

a. Customer operations and shared services utilizing our Center of E xcellence in Bangalore
b. Better rookie mix
c. Better procurement and subcontractor management
d. Right shore to ensure cost optimization
e. Facility optimization and ERP consolidation and repricing contracts to get better yields

That's all from my side. I will now leave the floor open for Q&A.

Moderator: Thank you. We will now begin the question and answer session. Our first question comes from Hiral Nandu with Kalp vruksh Capital. Please go ahead.
Hiral Nandu: I have a couple of questions to understand. I'm new to the company. And just to understand on the number perspective and what I have heard correct to just kind of clarify, we said that we are looking at profit after tax of financial year 24 at around 1 40 to 175 versus wha t currently we are looking at like 25 -30 crore is t hat means what I heard correct?
Sanjeev Verma: Yes.
Hiral Nandu: Great. So just correlation with that, what order book we have and what revenue visibility we have for the year 24?

Sanjeev Ve rma: I think on an earlier call as you heard, I think we have a revenue visibility of 7 ,000 crores. I think we're guiding at 7 ,000-7,500 crores. Our order book, if I heard earlier, our new project order book stands about $209 million just for the US. There's been the highest ever. It is a bout three times more than what used to have in fiscal 2 1. So therefore I think our revenue guidance, we are confident of the range of 7 ,000-7,500 crores.
Hiral Nandu: And the margin improvement will be with the increase in the revenue and the other costs remaining more or less stable or any other factor that we will be having some saving on the revenue, maybe some interest reduction cost and som e other reductions in the co st? So on the margin improvement and the PAT margin and the EBITDA margin improvement side, just to understand that how it will improve from the current level and what could be the approximate range with 140 or 175 crore odd or what would be the approximat e PAT margin percentage?
Sanjeev Ve rma: Yes. So we are taking a queue , the baseline exiting of Q4 if you heard Deepak call out about 95 crores of EBITDA and at about 29 crores ballpark of PAT . I think we're baselining that exiting. We expect to impro ve from there. So therefore we are looking at more positive about the higher end of the guidance and not the lower end of the guidance. More towards 450 of EBITDA and more about 175 of PAT . And if you look at the baseline for Q4, we are at or about the lower end of the guidance already , we expect that to improve. The improvement will come from one of course partly from growth with some of our costs are fixed. So therefore, when you go from 6,300 to 7 ,000, the costs will not grow in a linear fas hion. So there's more drop of those gross margin at the operating income level, so that's one . Second of course, you h eard Deepak call out of certain more effi ciencies of using right onshore -offshore mix. So we'll do that. So I think a mix of that and wher e we stand

today exiting Q4, we feel confident about the guidance on all three parameters ; from a revenue standpoint, from an EBITDA standpoint and from our PAT standpoint. And although we had been little conservative, I think we are positive toward s the higher end of the guidance and not the lower end of the guidance.
Hiral Nandu: Some light on key customer base and the revenue from say top 5 customer kind of just guidance. So who are our top 5 customer s and what would be the revenue approximately c ontribution from them?
Sanjeev Ve rma: Deepak, you want to take that?
Deepak Bansal: Yes. So our top 5 customers include almost like Fortune 50 type of customers in fact top 10 customers, top 10 customers contributes close to around 42% of our revenues in FY 23. If you can look at slide # 11 on our investor presentation, we have lot of details in terms of the client concentration of the revenue also. But the most important thing is that among the top 5 customers now, I think the top 2 customers will be crossing close to around $100 million each. So that they are part of the top 10, which is almost like 42 % of our revenues.
Moderator: Thank you. Our next question comes from A shay Jain with Jain Capital. Please go ahead.

Ashay Jain: So couple of questions from my side. Firstly, can you talk a bit more about the recent acquisi tion announcement that we made 'Global Speech N etworks ', like what business do they do and can be a meaningful contributor to our sales going forward ?
Sanjeev Verma: Thanks, Ashay . Yes, I think we have made a small acquisition largely in our customer experience contact center space . Earlier as you know, mos t of the contact center was on prem. It's moving towards cloud. One of our initiatives in certain segments of our business is to what I call cloudify so as we can go from the cloud , so GSN brings in that expertise more specifically in the customer experience, customer service space brings in a stronger partnership of the Gene sys platform among the top 3 technology platforms in that sp ace and we expect that to be accretive for us. We will gain a certain set of customers in a very advanced market like Australia and it will also enhance our capabilities on the contact center, customer experience space, which is one of our business pillars to help u s take it to other markets as well . So to answer your question, yes, we

believe it to be accretive. We believe it to be a future facing going in the right direction of serving a customer to the subscription cloud model and GSN allows us to do that.
Ashay Jain: Just to add on to this question, can you also throw some light on some other inorganic growth opportunities that we are looking at.
Sanjeev Ve rma: So I think we continue to look at other opportunities. There are no specific comments or details I have for you on this call. But having said that, as I mentioned before, we are focused on the economics of the transaction. We will not focus on the emotions or the ego of the transactions. Therefore, if it's accretive to us, by adding capability or a practic e line that we got from GSN or opens up a new geography for us that we believe would be accretive or gives us some scale in that space , we would do that. So we'll continue to be prudent, but opportunistic to see that we are able to have an inorganic opport unity, we'll do that. But our focus of course for the management of the business and our sales are largely to drive organic growth in the areas that we operate and we are seeing very good pipeline if you heard earlier on . Our pipeline from newer projects ov er the last year 's grew now. So we'll continue to focus on organic growth and continue to look at opportunity based inorganic acquisition if you may .
Ashay Jain: So secondly, on the margin front, the margins have been on the up trend sequentially ov er the quarters. S

o do we see this trend continuing going forward and what additional steps are we planning to improve on this further?
Sanjeev Ve rma: Yes, we do expect that we will continue to sharply focus on our margins and cost going forward both at th e gross margin level, which is for managing our cost of delivery and quoting at the right sales price to our customers. And I think that's ongoing journey that we continue to focus on. For improving our operating margins from here on, we'll continue to foc us on the Deepak called earlier efficiencies and productivity. And last but not the least, there's certain margin flows down on scale because once we grow , another 10 %-15%, which we are confident of guiding at 7,000-7,500 crores. Some of the costs are fixed and they would not be adding up. So therefore , we'll have a n accretive to our margin . So to answer your question, yes, we'll continue to focus

on selling better, delivering better and managing better costs to improve our EBITDA and PAT margin .
Modera tor: Thank you. Our next question comes from Anjana Shah with Shah Investments. Please go ahead.
Anjana Shah: Sir, couple of questions from my end. So for FY23, we had a total exceptional item of around 52 crores and we see that approximately 26 crores is towards provision of severances which have been paid. So can you help me understand what exactly is the foreclosure of leases and what the loss on derecognition of financial assets?
Deepak Bansal: Yes, so you know, the severance is primarily on account of the people what we have removed in US and Europe because we have continued our strategy in terms of identifying the areas where we can do some of the remote delivery work from India. So we have hired people in India, but we have removed the people. So for that there is a severance which has happened . So that is the severance side of it. On the lease foreclosure , basically it's more like an overall relook at our real estate portfolio. So we have lot of real estate on lease in United States as well as outside United States in Europe, in APA C and everywhere, wherever w e have the offices in 34 countries . So we continue to restructure that whole lease. So when we restructure the lease and any lease which is going out , but when you do early release of the lease an d all those things , we renegotiate the liability for the remaining lease period and all those things , so that goes into the foreclosure of this type of amount and that's why that amount is there. On the derecognition of some of the assets, so we have look ed at our non -current assets and all those things portfolio and we have derecognized almost like 10 crores of the asset on the present value of those assets. And that's why that became exceptional item because that's more like a one time type of cost which has come in which we are not expecting to come in the future.
Anjana Shah: Sir another one which from my end . In our past calls we mentioned that to improve our onshore - offshore ratios, we took a hit of employee severances . So what has been the extent of this impact in Q4 FY23?
Deepak Bansal: So in FY23, so most of these, let's say, severances has happened between Q3 and Q4, which is November of 2022 to March of 23 and as a result of that, that is a part the benefit or part of the gross margin improvement what is happening on the overall basis. So if you see the Q3 of FY23 , our gross margin was 25.5% and in Q4, our gross margin improved to 27.8 %. So this improvement of 2.3% primarily has come in the form of this manpower reduction we have done in US and Europe, which is replaced in India. And as we all know that India, we can replace the manpower at a low cost as compared to the cost in US and Europe .
Moderator: Thank you. Our next question comes from Jiya Shah with Wealth Securities. Please go ahead.
Jiya Shah: So can you share your out

look on the Indian IT industry? How do you see the demand from this
geography and what are the opportunities that you're currently focusing on?

Sanjeev Ve rma: Overall , the Indian story is st rong. So therefore e ven IT industry locally of course we'll see how to go up. I think we're seeing a lot of infrastructure, r oads, ports , airports, data centers , they're getting built. Having said that, I think from our perspective, I think India remains a fairly small market from a customer acquisition standpoint, largely at the back of the cash flow challenges we see in India that is as muc h as we expect to be growing , but in India we will be wanting to grow only at a very disciplined manner , although there's hyper growth and it is in line with how larger global IT companies operate . We see larger opportunities in the similar space in advanc ed markets like America and Europe and Australia and New Zealand, where we have the ability to get better margin and better cash flows. So to answer your question, India will definitely see hyper growth in the technology sector, which you would be reading and seeing investment in data center or networks or 5G that is coming through. But I think from our perspective we would be expecting growth in the Indian market as well, but we are not addressing a large segment of the market largely purchased by the gove rnment. We do not participate in those and we do not intend to participate in those, at least for the near term. So although India will see growth, it is between 5 % and 7% of our business is expected from India and that ratio will continue. We don't expect that ratio to change.
Jiya Shah: And can you throw some light on the biggest challenges that you are currently facing?
Sanjeev Ve rma: Well, I think few of the biggest challenges that we were facing , we are coming out of supply chain, cost of l abor. I think those things are easing out for sure at this time, right. And I think the other challenges that of course we might be facing and therefore we are conservative at this time is the higher interest costs throughout the world, I think that impacts ou r customers. And if it impacts our customers, possib le impacts their ability to make a quick decision, although we are not seeing any softness in our business or our pipeline largely at the back of our business being non-discretionary. But having said t hat, their cost is with what's going around in the US with respect to buzz around recession , interest costs. So these are certain things that affect our customers and if it affects our customers , of course then it affects us. So therefore we are watching that closely. Having said that, we believe a very large part of business is no n-discretionary. We are into building business infrastructure. You have to build that. And so therefore we don't see an immediate challenge, but we are cautious about it .
Moderat or: Thank you. Our next question comes from Suhas Naik with Krid ha Capital. Please go ahead.
Suhas Naik: I have a couple of questions. One is about whether we have cleaned up the large part of the balance sheet , all the provisions have been made or we are yet to make additional provisions going forward. That's the first question. Second question is on the margin front. We sound quite optimistic and we are doing pretty well in terms of growth and outlook is good. Then why are we just maintaining the fourth q uarter margins for the next full year? Ideally, the margins should have been much higher with clean up , the operatin g leverage you talked about and cost saving because of offshoring . So all this put together, we should have had a much higher margin than what we are guiding for. What could be the reason and the last question is on the interest cost. On the interest costs as to how do you see interest cost moving going forward? Thank you.

Sanjee v Ve rma: So Deepak, if you can tak e the 1st and the 3rd question.
Deepak Bansal: I will take that. Yes, you first go ahead wi th margin and then I will take.
Sanjeev Verma: So I think it's a very good question. I think if you look at our exit margin rate , we are about sub 400 type in Q4. So if you heard me earlier, I thi nk although I expect our margin to be more on the higher end of our guidance than on the lower end of the guidance in all the three parameters with revenue , EBITDA margin and o ur PAT right so more towards that and so two ways to look at it. One of course , as you've heard earlier on, we are b eing a little conservative. S ome of our customers might get impacted with respect to the o verall recessionary trend, inflationary trend and therefore you know might have an impact on our aspirations. Therefore it is conservative if you may. We are confident of delivering , I think the under committing and over delivering environment , we do not want to overcommit and under deliver. As I said, we expect to achieve more on the higher band of our guidance than the lowe r band of guidance .
Suhas Naik: What are the sustainable margins of this business? Like, can we work with say, 3% -4% net margins kind of business?
Sanjeev Ve rma: No, I think so the margin element is a part of scale, growth and the sustainable EBITDA margin for this business is in the range of 7%-8%-9%. The sustainable PAT margin, of course, is the element of again growth. How much can we grow from here . So it will be disproportionate . If

you see our Q numbers for last year and this year, and even the number s for PAT for last year, this year , the forecasted is disproportionate . If you'll end up doing 7,500 and move to billion or build more, which are planned for going forward is dis proportionately accretive, right. So I think we have to reach certain scale to do that. W e have been working focused quarter after quarter after quarter sequentially one step at a time. We have had some challenges, some controllable, some uncontrollable cost and COVID . We are coming out of it and we believe now that we have reached t he inflection point from where we can only be more predictable and have a better gradient for growth , revenue wise , operating margin. And therefore we believe the higher end of our guid ance of what we quoted was 7 ,000-7,500 crores of revenue , 400-450 crores of EBITDA or 1 40 to 175 of PAT is fairly reasonable and conservative and we're focused on relieving that. We have not guided beyond that, but I believe our future is much brighter. So we'll talk about it when we get there . Deepak .

Deepak Ban sal: So on the balance sheet, you asked that question, so we have I think the balance sheet which is much stronger than before with our current assets and current liabilities ratio. So after a long time, our current assets are higher than the current liabi lity. So that ratio is now above one on the current a sset to current liabilities. So from that perspective, we don't see, let's say, much challenge on the balance sheet side of it. But we continue to monitor strongly now on a regular basis our balance shee t and we continue to see that there should be no pressure on the balance sheet and we continue to do business on a let's say normal basis and all those things. So that is on the balance sheet side of it. On the interest cost, we are not expecting as such the reduction in the interest rate, which has gone up in US in last let's say 6 to 9 months period where the interest cost has gone up by close to around 5% here. So with whatever right now the discussions

in the US markets including the debt ceiling and in cluding the new paper of the t reasury which is being discussed to issue between $500 billion to a $1 trillion , the whole discussion is towards that, that the i

nterest rate is not coming down very nearly . In fact now in the June meeting , there is a discussi on happening that whether 25 bps increase Fed will do or Fed will do a put . If they put on not raising the interest rate at least for 6 months, there is no reduction . If at best the reduction happens by next year, March or next year, June, the reduction i s expected between 25 and 50 bps. So at present we are not looking at any reduction on the interest cost, as such, we will maybe in the second half of the year based on our EBITDA and based on our cash flow, we may repay some of the debt. So that some of t he reduction will come, but otherwise I think right now we are expecting it to continue at the same run rate of the Quarter 4 .

Moderator: Thank you. Our next question comes from Akash Mehta with Capaz Investments. Please go ahead.

Akash Mehta: I had a couple of broader questions . In the presentation , we have maintained that to achieve our guidance for FY24, we'll be expanding our customer base plus penetrate in new er geographies. So just want to understand which new geographies are we intending to expand to and which are the business segments that we look to start with?

Sanjeev Ve rma: So I think some of the business segments that we expect to be highly accretive for us is our data center connectivity business, networking business and our cyber security business. And all three are connected. And I think our growth , we expect massive investment in those areas . We are seeing it worldwide both by the large cloud providers or even third party data center build outs, including in India. So me of the ti e-ups for the data center is mammoth. Of course, we are largely focused in North American market s. So we'll continue to go deeper in those businesses . I think we have reached a scale a t an inflection point where our ability to participate in the bids or getting invited for larger bids, both local and global has increased. So therefore, we expect to see more deal pipelines and deal closures going forward in the specific spaces of building 5G networks , a data center and connected and smart buildings with of co urse every other infrastructure is now smart and connect right. So we expect that to happen and our deal pipelines are very strong. The investment coming in that space is very strong. With respect to coming to newer geographies, I think we have a reasonable presence of geographies, you know in 34 markets we expect again to be able to build the relevant scale going forward. We want to build scale in Asia Pacific market and we want to build scale in our European geography, right and by addressing some of the larger economies in that market, if you look at Europe, we expect the possibility more in Germany because we are not, we are doing more in UK to see that we are able to gain a certain growth or scale in this market . Scale is important because certain co sts are fixed. So therefore you have to get into scale. Similarly for Asia Pacific, with the acquisition of Global Speech Networks in Australia, we got both, we got certain scale of this small asset and of course we got newer areas of cloud. So both from going deeper and wider with our existing clients specifically, in hyper growth areas of infrastructure, data center , networks, 5G, wired or wireless, as you can see, everything around us has to be rewired because we are so hungry for data that the exi sting networks throughout the world wouldn't sustain. And therefore, you're seeing massive investments. And Black B ox is the forefront of doing that in these markets we

operate and some of the markets that we already present if you go to see the geographie s but we want to scale up. And Europe, Asia Pacific is what we are focused to scale up now.

Akash Mehta: Alright, that elaborate d answer actually helps . And another question I had was on th

e customers ,
basically w ith the top customers and with M eta, we have started with a small base which is a substantial revenue contribution for us. So can you just throw some light on the strategy of how have we grown this account and what services do we give to M eta and what are the oppor tunities do we have for a cross -sell or an upsell here?

Sanjeev Ve rma: That was a good question. Yes. So we started very sm all, just post the Black B ox getting acquired , we acquired Black Box in 2019 -2020. And of course I think the opportunity was participating in their massive data c enter buildouts. As you know, Meta / Facebook, WhatsApp, Instagram are part of the same group, right and they're consuming more data centers, you know, than they can build and we saw that the possibility. And I personally mentor that account because was a sponsor from B lack Box, visiting their leaders very often and sitting in quarterly reviews. So currently we are providing phys ical network infrastructure to M eta data centers, both passive infrastructure , structure d cabling and active infrastructure with respect to building up their wireless and that network inside their campuses, we expect we had only one site. Over the period of the last 2 -3 years ' time, we are managing multiple sites in North America. We're managi ng sites in Europe. We are currently engaged in managing many more sites worldwide. So that's on the going deeper on what we do . Going wider, we expect to sell or to participate in other areas of M eta's technology purchases and it could be their command cen ters, their audio video requirements , their b uilding management networks, so there are opportunities there as well. It's a large account. It cannot happen overnight, but we have a very focu sed team engaged with likes of M eta locally and globally and we hav e grown the pipeline from few million dollars 3 years back . We expect it to add up to close to $100 million as we speak. And similarly from our top customer perspective, we're also working with other cloud providers in that space. The top five, we currently have small with them with few million dollar worth of projects locally, but we are focused on building the third customer in that space , we are getting i nto $100 million, right. So that's and we have created our teams. And practices around building those f ocused approaches with our large customers . We serve many of the top banks. We serve large cloud providers, we serve very large pharma companies. So we have a good spread of accounts that has the requirement for what we provide as solutions and we are seei ng how do we increase that share of wallet , increase that heat map in every account by a very sharp, focused account management , good executive sponsorship , bringing capability and I think those are the areas , those are the strategies that we are deploying to see that we are able to gain scale and more share of wallets from some of our top customers both in North America and other parts.

Akash Mehta: Alright, so I think that helps a lot. It answers my follow up question as well that I wanted to know if there were any more customers that we are targeting for a US $100 million account. So thanks a lot.

Moderator: Thank you. Our next question comes from Suhas Naik with Krid ha Capital. Please go ahead.

Suhas Naik : Could you comment on, one on the pipeline, h ow strong the pipeline is? And secondly, in terms of overall business environment, how are things looking actually in terms of say next 6 to 9 months?

Sanjeev Ve rma: So from a pipeline perspective and I alluded a few times before, our pipeline has been str onger than ever before. I think we exited last year fiscal 23 or you can say we entered this year with the strongest project pipeline in the history of the company , the new project pipeline . Of course we have 3 -4 lines of busi

ness . We have new projects , we have maintenance contracts, we have
annuity, but we have projects that drive growth I think is there and our pipelines are very strong at this time, well covered and we expect that to further grow at the back of our current talent management . Some of the new leadership hires that we have done more specifically in the focused areas of data center build outs; networking with wired , wireless and 5G and of course cyber security that we incubated 2 -3 years back is coming up to scale and we're winning some very g ood deals combined deals with the network with the infrastructure and cyber security. So I think overall the pipeline is very healthy . Both in North America and in rest of the world, we

expect that to grow with more announcements of that there is the capac ity. So that to give you an example, in the United States, is currently consumed 97% , so there's no capacity, right . So and they can't build faster enough, right and of Course with more and more people talking about connected cars, connected building s, connected homes , this all requires digital highway because if you have so much connected, you have to go from point A to point B. Black Box is in the business of building that digital highway. So we expect more pipelines to come and more we scale, we are able to participate bigger . So I think we are very strongly focused on pipeline, very good pipeline and therefore we expect to be able to harness that as we move forward.

Suhas Naik : We have already built good reference with the names like M eta. Ho w easy is it for us to now take this whole business to a new level where large mar quee account s like M eta join us?

Sanjeev Ve rma: Good question. So yes, of course, I think you get a seat on the table. You're part of a club that you can serve those customer s, so we are currently focused on. We already have businesses with other similar cloud providers, largest e -commerce company in the world , you know the largest tech company in the world, so we are doing business and the current focus is to how do we grow that $5 -$10 million a nnual business into $20, $30, $40, $50, $60, $100 million business we heard earlier. So earlier on I think if you heard Deepak call out, we had $100 million club customers , we are at the verge of the second one or with the third one, it is a journey , right? So I think you do not get into, you have to g row with that customer. You just can't g row and just build that. So we feel very confident with the reference that we have , with the work that we have done , with what we have learned over t he last 2 -3 years, there are very few companies in the world that have the global scale to work with such companies , Black Box happens to be one of them . So I feel confident . Over the next 6 -9 months as you asked for what we see , I think I see beyond that as well, right? But I think we are pretty well covered and confident of the de al pipelines growing even more over the next 6 -9 months .

Moderator: Thank you. O ur next question comes from Rajvi Shah with Shah Financial Advisory. Ple ase go ahead.

Rajvi Shah: I had a couple of questions. The first one is what are your key growth levels in the medium to long run?

Sanjeev Ve rma: I talked about my key growth levers , if you look at in two aspects, we are looking at from a busine ss line perspective, our infrastructure, data center, networking and cyber, we expect that. And from a geographical presence, I think we are subscale in some markets. W e want to grow in those markets , Asia Pacific and Europe . Focusing on these three key ar eas, which is seeing hyper growth ; networking, data center and cyber security.

Rajvi Shah: At the moment, what are the top strategic objectives for us?

Sanjeev Ve rma: Yes, I think of course the top strategic objective of course from our perspective is to be a dominant global digital infrastructure player. The second objective is to continue to grow over market 15%-20% organically . And the third of course is to provide a deep shareholder value by providing a stronger operating income and deep shareholder value and it will come through our objectives of consistent , predictable growth as a company . We are strong provider of digital network infrastructure and I think we see hyper growth in this space and I think that's our objective .

Moderator: We move on to our next question which is from the line of Ash ay Jain with Jain Capital, please go ahead .

Ashay Jain : Thanks for allowing me again, a few questions. So firstly, like in FY23, we see in layoffs happening across the IT sector. So how is the demand environment now and how do you see it in FY 24?

Sanjeev Ve rma: I think we are focused on, as I said, building digital infrastructure for tomorrow and in a space I see our line o f business largely non discretionary. If you landed up in a situation where you ran out of milk and ran out of the i nternet at your house , most li kely you will start to fix the i nternet first and the milk can come later, right? So therefore, we believe that we build that. So we're not seeing this time not to say that things can ’t change, but I think our pipeline or requirements, the capacit ies in the space of what we operate overall suggest that we have very strong headroom over the next few years ’ time in buildin g the business infrastructure , network , data center, securing that infrastructure for our customers . So we do not expect that. Having said that, I think we are also cautious therefore that is reflective in our guidance. And I talked earlier being a little conservative, although we are more focused towards higher end of the band, we are being conservative at this time. We also want to invest right and in the business into newer capabilities, newer technologies , something that will keep us relevant and keep us future proof and accelerate our customers business. So therefore those are also baked in, in our plans of investing in our new capabilities and move forward. 5G being one o f them, P rivate L TE being the second one. We are very strong in that space in the US and that is going to explode as we must be at the back of IoT deployment that we're seeing. Everything is connected. Our cars have cameras, our roads have cameras . Very so on every other place will have cameras. So therefore those need to be carried and processed somewhere. And that will require a different kind of network. So we feel

strongly about our opportunity over the next 3-5-7 years ' time; very strong pipeline orde r book in the short term that we have said, but I think we constantly keep our ears to the ground. We ought to invest in some newer areas to see that we remain relevant so that we can harness the relationship that we have and therefore drive the results th at our customers and our partners expect from us.

Ashay Jain : Secondly, like on this sequentially, we have seen good deal wins and I believe in that the data center segment contributed the most. So do you see this trend to continue in the coming quarters? And a lso apart from data centers, which other business verticals is expected to see same growth going forward ?

Sanjeev Ve rma: So to answer your first question, the answer is yes. We expect our deal pipeline from the data center business or the data center led customers to continue. We have increase d our focus. We have doubled down in that space. We have hired talent, hired management in that space. From local we're getting global and so that will continue in that space. The other few areas that I said before that we expect hyper growth are connected to data center. When you build a data center , you require the network . The network could be a wired or a wireless network. Now it

could be
a 5G or a P rivate L TE network right. Once you build the network , then y ou have to secure the network, right? Because as we all know, there is a lot of cyber going on and our company is focused on doing that as well. So the areas of connected and smart buildings, which is a very generic term for intelligent buildings, which as we all know, even our private homes are getting intelligent. So these are all connected, so data center networking, wired or wireless, including now 5G and Private LTE for the enterprise side , security and anything that drives IoT in our connected buildin g space. So I think all these are digital infrastructures all enabled to build highway on which the future of tomorrow will run right. You need to have a robust network at your house to be able to watch a Netflix. That's the content line somewhere. If you roll back 5 years back and if you had that Netflix, you won't be able to watch in your house because there's no internet to support that . Now y ou can, because people are bringing 1 gig at the houses. So just to give that reference , similarly all corporates, all enterprise , countries, if you may need to be rewired for the new generation of AI and ChatGPT and ML coming in because they have to travel over that digital highway and that is what Black B ox is focused on building those intelligent networks infrastructure and we believe that the next 3 -4, 5-7 years will see massive growth and explosion in rebuilding the network for tomorrow.

Ashay Jain : Sure, that's quite elaborative. So lastly, can you help me with the segment wise revenue mix? Like how do you expect it to evolve and shape up over next 2-3 years?

Sanjeev Ve rma: So I think are you talking about the business segment or are you talking abou t geographies or?

Ashay Jain: Business segment s.

Sanjeev Ve rma: So I think I'll look it in two parts, right. And I think if you want, of course, we look from a business industry segment, we are largely agnostic to a industry vertical. But having said that , not all verticals are the same, right? So although we have presence across manufacturing,

banking and finance and healthcare, we expect 2 -3 business verticals to be very strong for us. Banking and finance being one of them, technology pretty much catching up and it's called technology that the likes of Meta and Amazon and Google and LinkedIn and Microsoft or any other IT companies that the company serves. We also serve with many large technology companies. We use our skills in building their own infrastructur e, very strong for us. So I expect that either to be within the top 3-4 for us . Healthcare, Black Box is very strong in the healthcare space to primarily in North America, we're expanding it to Europe at this time, which includes life sciences , the pharma companies . We have very strong pharma companies as well who has large manufacturing R&D facilities. We support that with the lines that I said. So these are a few of the verticals that we are going to double down with respect to our business segment or lin es of business , I called out earlier ; data center , networking, cyber security and connected intelligent buildings, which encompasses all these three at the back of providing very strong services. So, right, we just don't deploy, we manage this for a long p eriod of time. I talked about deal wins these ar e projects that will turn into the design, deploy and then start to manage . The new wins are for deployment and once you complete, you're going to management of that. So I think we see this business lines to see hyper growth . We have other lines which are more smaller but very highly accretive with respect to our collaborative workplace. CX we talked about customer experience, which you roll back again the y required infrastructure to support, right? I mea n we are speaking today now over th

e phone, hundreds of people have joined, you could be on a video that requires an infrastructure , right. So I think those are the focused segments, both from industry side and our business side.

Moderator: Thank you . As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjeev Ve rma: Thanks. W ith this , I would like to thank everyone for joining on the call. I hope we have been able to address all your quer ies. For any further information , kindly get in touch with me or Deepak or Strategic Growth A dvisors , our Investor Relations Advisors , thank you so much.

Moderator: Thank you. On behalf of Black Box Limited, that concludes this conference. Thank you fo r joining us and now you may disconnect your lines.

Call: Aug 2023

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BBOX/SD/SE/2023/67

August 22, 2023

Corporate Relationship Department
Bombay Stock Exchange Limited P.J. Towers, Dalal Street, Fort, Mumbai 400001 Corporate Relationship Department
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Sub: Transcript of Earnings Call hosted on August 17, 2023 on Unaudi ted Financial Result s (Consolidated and Standalone) for the qua rter ended June 30, 2023 .
Ref.: Scrip code: BSE: 500463/NSE: BBOX
Dear Sir/Madam,
This is further to our letter da ted August 11, 2023 with refere nce number BBOX/SD/SE/2023/59 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on August 17, 2023 on Unaudited Financ ial Results (Consolidated and Standalone) for the quarter ended June 30, 2023, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited
(Formerly Known as AGC Networks Limited)

Aditya Goswami
Company Secretary & Compliance Officer

“Black Box Limited
Q1FY24 Earnings Conference Call”

August 17, 2023

MANAGEMENT : MR. SANJ EEV VERMA – WHOLE -TIME DIRECTOR & CEO
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR & GLOBAL CFO

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 17th August 2023 will prevail

Moderator : Ladies and gentlemen good day and welcome to Black Box Limited Q1FY24 Earnings Conference Call .

This conference call may contain forward -looking statements about the company which are based on the beliefs , opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict . As a reminder all participant lines will be in the liste n-only mode and there will be an opportunity for you to ask questions after the presentation conclud es. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Verma – Whole -Time Director and CEO of Black Box Limited . Thank you and over to you sir.

Sanjeev Verma : Thank you. Hello and good morning , everyone. I hope all are keeping safe and healthy. On behalf of Black Box Limited , I welcome everyone to our Q1FY24 Earnings Call .

On the call I'm joined by Deepak B ansal – our Executive Director & Global CFO and SGA , our Investor Relations Advisor s. We have updated our "Results Presentation " on the exchanges, and I hope everybody had an opportunity to go through the same. We are happy to meet again.

Black Box is the leading global ICT solution provider , a pioneer in building the pathway of digital in frastructure for its customers with strong presence in 35 countries , served by +4000 highly skilled resources. For more than four decades we have emerged as a reli ed upon and strategic ally in I T solutions and services , accelerating business transformation and strengthening digital infrastructure foundation - network , customer experience , connectivity and more. We have our expertise in consulting , designing , deploying , managing and securing customer IT and communications infrastructure. With the aid of this expertise , businesses can build and provide pertinent technological solutions and services that support their core business objectives. Our endeavors actively steer the evolution of digital infrastru cture , reaching across continents and embracing diverse culture , all underpinned by our astute "Glocal" approach , 'Think Global , Act Local .' Our global strategy enables us to maintain relationships on a global scale. This approach ensures not only r elevance but also offers our customers the flexibility to achieve cost effective deliveries across 35 countries from our center of Excellence in India.

This quarter , we continued to report a robust performance . For the quarter gone by if we look at the deal wins above $1 million value , we have reported deal wins of +$45 million , last year same quarter the deal wins was in excess of $35 million. So , we have started the year on a positive note with strong performance across our business areas. We have seen significant performance in in-building 5G solutions , connected building on demand and digital work solutions , data centers and cybersecurity. Our cybersecurity business is gaining good traction and we are increasing headcount in th is vertical to grab opportunities that lie ahead. Our dedicated focus and investment in the data center space has been highly equipped. The data center market particularly with the influence of hyperscale and cloud providers is projected to experience

substantial growth in the coming years. We stand ready and well prepared to embrace the opportunities that lie ahead. Presently we proudly serve three out of the five major hyperscaler s, Cloud, social media enterprise as our esteemed clients and we are thrilled to announce that we have recently advanced another customer in this space to a total annualized contract value of

$100 million making significant milestones for our company. This robust performance can be attribu ted to our robust order book which is evident in our new order wins and efficient execution capabilities. The consistent expansion of order book even in the face of challenging economic environment serves as a testament to the resilience of our business model.

Last quarter we announced that we signed a definitive agreement to acquire Global Speech Network in Australia. We have completed this transaction and further continued to look after good acquisition opportunities which is in line with our stated strategy of looking out for businesses that offer growth potential by generating sale and revenue with suboptimal margin profile . The business must align synergistically with our current operations enabling us to onboard new customers , amplify existing business endeavors , facilitate expansion into unexplored geographic region and build new capabilities. This acquire and scale methodology has wo rked out well for us , helping us to turn around the business quickly and bring short term synergy.

We are further optimistic on our growth plans and are well on track to achieve our guidance for fiscal '24. That is it from my side . I now hand over the cal l to Deepak to run through the financial highlights.

Deepak Bansal: Thank you Sanjeev for the detailed overview. Good morning , everybody and I will now discuss our financial performance for Q1FY24. So , revenues for Q1FY24 witnessed a growth of 15% year-on-year to INR 1 ,571 crores from INR 1 ,372 crores in Q1FY23 and this growth in revenue is on account of strong order book reflected in new order wins each quarter and larger share of wallet from existing customers . Quarter -on-quarter revenue was impacted little bit due to a dip in TPS segment revenue s. However , we are optimistic that this segment will recover and return to growth trajectory from Q2FY24 onwards . EBITDA for the quarter increased by a remark able 67% year-on-year to INR 89 crores from INR 54 crores in Q1FY23. Please note the EBITDA for Q1FY24 excludes the gain on cash flow hedges to the tune of INR 2 crore s.

Our dedicated focus on cost rationalization and improved productivity have started to yield positive results , increasing our EBITDA margins by 180 basis points year-on-year to 5.7% in Q1FY24 from 3.9% in Q1FY23. Profit after tax for the quarter grew by robust 56% year-on-year from INR 15 cror es in Q1FY23 to INR 24 crores in Q1FY24. This substantial growth was partially offset by escalation in finance costs primarily attributed to the upward trend in the interest rates .

Earning per share , we reported an EPS of Rs. 1. 43 paisa per share in Q1FY24 versus 93 p aisa per share in Q1FY23. With a substantial performance across our business parameters coupled with good traction in cybersecurity , data centers and all our business areas , we expect the margin

enhancement trend to continue boosting our confidence in achieving stronger profitability in fiscal year 2024. That's all from my side. I will now request Sanjeev to join me for Q &A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Palak Shah from Billion Securities.

Palak Shah: My first question is on like last quarter we mentioned that we have a large order backlog from North America , so how did the 1st Quarter went by? How is the demand scenario panning out and are we seeing any new geographies showing the same demand trends like North America?

Sanjeev Verma: So, our demand trends continue d to be strong. Considering that we are largely in the non-discretionary spend and with the hyperactivity specifically in the data center infrastructure , we continue to see our pipelines grow. I think our expectation for order book continues to be strong. We don't

expect any significant impact of anything around our order book in any geography.

Palak Shah: My next question is on our CAPEX . To achieve revenue of roughly about 7 ,000 crores what is the CAPEX that we need to do , what all areas are we looking at for the CAPEX ?

Sanjeev Verma: We are not a CAPEX centric organization Palak. I think we are a CAPEX light organization. We do not have any significant CAPEX , except for providing technology infrastructure to our employees be it laptop or desktop and cert ain office infrastructure , we do not have any CAPEX specifically. I think Deepak can give you an idea of overall number.

Deepak Bansal: So, our CAPEX like Sanjeev told is that mostly related to the servers or I T equipments and technology and whatever we ar e doing like the integration of the technology and all those things from the software side. Our CAPEX normally we are expecting is in the range of $3 to $4 million in a year , not exceeding that.

Moderator: Our next question is from the line of Ash ay Jain from J ain Capital.

Ashay Jain: So, I have three questions from my side , firstly let me just congratulate the team on advancing the second customer to $100 million. I think it's a great achievement. Congratulations once again. My question is , have we reac hed to the peak level with both of these customers in terms of new order wins from them or there is still some headroom for growth there? And just t he follow up on this that do we even foresee more customers advancing at the same growth and getting close to $100 million? What are our plans to advance other customers at the same rate?

Sanjeev Verma: I'll answer the first one. The answer is no we haven't reached a peak state with respect either of the two customers who join our $100 million club . One of the customers one of the top banks in the world has been our customers for over 15 years and we continue to have a very long-term contract with the bank. Other customer social media company has joined th at club and each of the customers have an IT spend of bil lions of dollars. We are currently working to see we gather more site; we currently are working to see we get more share of wallet. So , there's a lot of headroom left with respect to what we can be achieving with these two customers over the next few years . It is a progress ; you have to grow with the customer. You just cannot go forward, and

I think we have gained the trust with the new customer joining the $100 million club in the last 24 months. That took us about 10 years with the first customer , the sec ond customer just taken us close to 3 to 4 years' time . So, the pace is faster.

Now coming to your second question with respect to what we are doing ; with respect to having more customers join and increase our share of wallets for the $100 million club. So , we have a focused group focusing on a specific set of customers that we believe have the possibility to serve both locally in America and globally , specifically in line with our core strength of data center infrastructure , building up Cloud infrastructure . We have a strategic team focus on that. We already have a couple of customers that we are working closely which we expect to progress . A $100 million customer doesn't happen overnight, but I t hink we are confident that we should be able to add as we move forward over the next few quarters to bring more customers to the $100 million . Yes , there's enough room with the existing customers to grow and also there is enough focus for us with the capit al expenditure , I call it the digital infrastructure era. Over the next 5-7 years' time , we are seeing some of that happening in India as well with investments coming in the data center space , in the network space, in the airports that are getting built. Similarly , it's happening in other parts of the world , more specificall

y in America is very large.
We feel enthused and excited about the opportunity to participate in building the digital highway on which the next generation applications will run.
Ashay Jain: Second question , so just going through the presentation . You have highlighted that the cybersecurity business is gaining good traction. So, just if you can elaborate on some significant developments in this specific vertical during the quarter gone b y and how should we look at this segment contributing to our top line growth in the current financial year ? So, just balanced quarters.
Sanjeev Verma: So, we invested or focused if you may with cybersecurity bringing in a specialized team and a specialize d leadership over the last 12 to 18 months' time . We were focused on first building our capability. Cybersecurity is a capability centric business in building our S OC operations in America , our S OC operations in Mumbai and Bangalore and that has taken som e time. At the same time , we have been working over the last few quarters and I think as we speak , we have been now able to fructify our cybersecurity business winning deals from large managing security for large airports. We have a couple of airports now. We have large manufacturing companies that we are supporting both locally and globally. Its largely services led. I think although our growth parameters overall is very large , in fact c ybersecurity came much later. So , we are seeing significant traction. We expect over this fiscal year and the next fiscal year that our growth momentum in cybersecurity would be very high. We expect our revenues of cybersecurity in the region of 5% to 10% over the next 12 -24 months.
Ashay Jain: So, lastly on our TPS busines s, that got impacted during the quarter . I believe due to that we had some degrowth when we compare our top line on a sequential basis. Can you provide some inputs on what exactly led to such performance and what is the plan now on making this business to return on its growth phase?

Sanjeev Verma: So, we had decline d in the TPS business in the current quarter largely in Americas with respect to our go to market str ategy and I think that led us to have some decline with respect to our purchases in that space. So , we are reorganizing and refocusing back with our specific IP Led products , focusing on end customers and larger projects that is in motion very quickly and we expect that we should be able to recover reasonably well in Quarter 2 at the fact of certain supply chain challenges we were also behind in meeting some federal contract supplies that happens in a specific time and we couldn't do that and therefore we l ost a couple of million there as well which we expect to recover. So , with our change in go to market strategy focusing on end customers , with rebalancing our supply chain portfolio to address some of the large projects for the federal customers we exp ect a large recovery in that in Quarter 2 itself and we expect that we should be able to catch up and not impact our overall plan for TPS for the fiscal '24.
Moderator: Our next question is from the line of Suhas Naik from Kri dha Capital.
Suhas Naik: I have a couple of questions. First question is on the overall you sound quite optimistic about the outlook for your business. So, how are we investing in your front end to actually tap this opportunity , a huge opportunity that is there in the marketplace ? Could you just explain about the strategy of go to market as well as expanding the reach by investing in the front end?
Sanjeev Verma: I think we have been investing continuously in the front end with respect to our sales go to motion , be it respect to our architecting and solution engineering over the last couple of years' time. I think it takes time to ramp up whether you could invest in the front with that sales motion or our solu

tions or delivery capability. So, that's one side of w hat we have done. But more importantly we have the reasonable scale and the reasonable use case now as we start to grow. We grew last year itself by about 15% odd and when we get to scale , we're able to garner more share of wallets from our customers. Al so, with what's happening around the overall I T ecosystem , networking , data center , cyber is the bedrock on which many applications run that

serve both businesses and citizens. As we speak over the next few years' time the network infrastructure , the cons umption of information requiring from a data center is seeing tremendous growth. We are seeing it in India, we're seeing it in America as you all have seen. And Black Box from that perspective is very well positioned across continents and cultures. We're s elling in 35 countries . To address our customers, we have a very good set of customers. So, with the customers requirement to revamp network infrastructure , to digitize the company and to be able to prepare themselves for the next decade Black Box is servi ng that very well. That allows us to address the customer needs in a very proactive manner now.
Suhas Naik: So, can we assume that this 15% kind of a growth rate is sustainable, or do we see an (inaudible) in that also?
Sanjeev Verma: What the visibility we have expect the 15% organic run for us , we're confident to continue.
Suhas Naik: I am talking about the medium -term perspective at least 3-4 years kind of .
Sanjeev Verma: Yes.

Suhas Naik: Second question is on the margin side , now as you said are the efforts towards cost rationalization and cost optimization has it reflected entirely in the margins at this point of time or what is th at you left out there from cost rationalization as well as optimization?
Sanjeev Verma: I think Deepak cov ered some of that in his earlier statement. Having said that I think the answer is no we have not gotten all of that juiced up in our current results . We expect more improvement to happen over the next few quarters as well. We had lot of reorganizing using our capability in Bangalore that started to yield results , as we speak there are more to happen , as we continue to add more revenues, we are creating more models to serve globally through our Excellence Center. Those revenues will yield better margins bec ause we are now more mature to support from our Center of Excellence in Bangalore. Of course , we are more mature to support locally as well. So , as we grow from here our yield of margin is expected to get better progressively quarter after quarter. So, now the answer is we have more ju ice left. We would expect to go to 7%-8%-9%-10% operating margin progressively and there is enough to be done here.
Suhas Naik: So, the double -digit margins are possible over a medium -term.
Sanjeev Verma: The answer is yes.
Suhas Naik: And lastly on the debt reduction as the rate cost has gone up because interest rates are moving up, is there any plan to reduce the debt as we are also generating cash now?
Deepak Bansal: So, the interest rates are not in our control bec ause they are the Fed control type of thing. So , all the debt is linked with SOFR and the SOFR has gone up to around 5.3% now. So, SOFR plus margin that's how the interest rate went up. Now the plan for reduction of debt yes , by this year-end while we are generating the cash flow , the idea is that most of the cash flow what we are generating is going into the growth of the revenues because like you know that most of the revenues is services led revenues and, in the services, led revenues the w orking capital requirement is there upfront. So, whatever cash we are generating is going to fund that working capital. But still by year -end we are expecting some level of debt will go down, but I am not expecting like a very huge decreas

e in the debt by the year -end activity. But yes , in FY25 our debt will go down for sure because by that time we will have substantial cash to have the working capital as well as the debt going down.
Suhas Naik: Last question if I can squeeze in , it's regarding the ino rganic strategy because that is also one of the important pillars of our g rowth strategy . So, are you seeing any opportunities in the inorganic space and if yes what size we are talking here?
Sanjeev Verma: So, I think we have stated that and consistently that we remain opportunistic with respect to our inorganic strategy. We remain interested in the inorganic strategy. Having said that I've also stated in earlier parts that we are not emotional about economics. So , we wouldn't just want to add acquisition because we want to add revenues , we want to see whether we can add value whether it can be accretive to us and we are value buyer so that we can see , we can return to our shareholders in terms of bringing out value. So, that's our thesis . Our thesis also is that we want

to see whether it can give us an expansion of geography or adept in a certain solution that we provide to our customers. To that extent we remain focused to see what opportunities we get at what value to do that, and we co ntinue to do that in each market s we operate. Having said that our sweet spot in general of course we have done some duck -in as range of $50-100 million is kind of our sweet spot to see that we are able to acquire.
Suhas Naik: Is there anything on the active consideration at this point of time?
Deepak Bansal: We continue to look at it and the M &A's the activity where we can't say active , we are active in

the market, but we continue to look at that whether it fits in our philosophy in terms of the value where we can add value. So, right now , whatever the discussions are they are into let's say the preliminary stages or whatever it is not like something which is in very advanced stage there is nothing in that state.
Moderator: Our next question is from the line of Jeevan Patwa from Sa hasrar Capital.
Jeevan Patwa: I have one question on the financials ; in the financial in the P &L we have shown the difference between in the depreciation and the finance cost for Ind -AS and the book value. I just want to understand that.
Deepak Bansal: From the P&L perspective you know that in India we h ave the AS-116. So , under the AS-116 accounting , our depreciation is —so let's say real business depreciation what we track as our business performance is let's say 11 crore s for the quarter and that's how the finance cost is like 28 crores for the quarter . But because of the AS-116 accounting we have to do our depreciation goes up to 28 crores and our finance cost also goes up to like 33 crores which is like a difference of…so between interest and depreciation both the level goes up by around let's say 19 to 20 crores every quarter because of that. But internally for our performance perspective , we track like depreciation , business depreciation and also the finance cost which is as per the business . The Ind -AS116' s accounting depends on the fair value of th e long-term leases and all those things what we have. So , basis that we do that accounting. We disclose both the numbers. But from the P &L perspective if you run the P &L from the EBITDA you have to reduce the depreciation as per Ind-AS116 and the finance cost as per Ind-AS116 to arrive at the PBT.
Jeevan Patwa: And so , in the future at some point this will reverse , right? So, in the future sometime at some time at some p oint we will have a …
Deepak Bansal: It will revert.
Jeevan Patwa: It will be actually lo wer than our book.
Deepak Bansal: No, it will not. It will be lower only if we are winding up the business. Because what will happen is that you w

ill continue to ren ew your leases. You will continue to renew. So, right now, if I have a 5 year lease and that 5-year lease I will again renew it for 5 years. Unless otherwise I am winding up the business then only it will come down. Otherwise , it will not come down. It wi ll

go almost at the same levels. 1 crore here and there because of the timing of the lease or because of the value of the lease it can. But otherwise as per the accounting thing it can't go down much.
Moderator: Our next question is from the line of Yash Mehta from AP Capital.
Yash Mehta: I would like to ask a couple of questions . Eearlier what we have seen is many IT companies were laying off employees. How is the situation now? If you can throw some light here.
Sanjeev Verma: No, I think we are on hiring mode. We are on a mode of growth. We do have rebalancing of our employees with respect to reorganizing our C entral of Excellence in Bangalore. So, of course, we're hiring more. We expect to hire more in our cen ter in Bangalore and Mumbai to support our customers that will be margin accretive for us. So, overall, our net employee count is going up and continue to go up.
Yash Mehta: My next question would be , data centers continue to be on the top of your deal wi ns this quarter assuming this win is from our recent customer which was advanced to $100 million. Also given in your disclosure cybersecurity is gaining a good traction. Can we assume that we can see the same performance , i.e. good deals in cybersec urity the way we are seeing in data centers ?
Sanjeev Verma: Yes, I think data center remains at the top of our pack because it's a hypergrowth area. To be correct I think it's not an Asian customer , it's a global customer largely in North America. And we expect that hyperactivity , hypergrowth in data center from the la rge data center operators including the hyperscalers and Cloud providers and enterprise customers to continue in the midterm , so in the 3 to 5 years times therefore we remain bullish on our growth plans for the data center. We expect the growth momentum fo r cybersecurity. As I said earlier to catch momentum, we need to reach a certain scale. We are getting there but we expect that momentum to grow with larger deals. We have the ability to serve both locally and globally. Its margin accreti ve for us and it's very critical part of any infrastructure. So , the answer is yes , we expect the cybersecurity growth momentum to start to increase pace as we move forward from here.
Moderator: Our next question is from the line of Akash Mehta from Capaz Investments.
Akash Mehta: I just ha ve one question building from last quarter , so we acquired a company in Australia where our intent was to ideally expand in that geography and to grab any cross -sell opportunities that there may be. So , I know it's a little too early to comment on it but if you can just provide some color on the developments there. Have we had any cross -sell opportunities as such?
Sanjeev Verma: I think it's too early. I think the acquisition happened last quarter in the middle of the quarter , so we not even have the 1st Quarter . Having said that as I said earlier , we have assessed the opportunity. It's largely in our CX Cloud space. We have a similar business , so there are some overlaps out there. We expect margin improvement. We e xpect to cross sell to each other's

customer. I think our combined revenue s in the market has reasonably gone up in ANZ so the effects of that will be seen over the next few quarters. It's too early. It's not even the first full quarter that we'll apply.

Moderator: We have a follow up question from the line of Suhas Naik from Kridha Capital.

Suhas Naik: Regarding your operating margins , when we say we are planning to move from 6% , aroun

d 6%
to 9% to 10% what would be the contributors to that? What are the key contributors? Is it that the incremental business that we are getting are at a higher margin? So , can you just probably spend some time on this?

Sanjeev Verma: So, there are 3-4 factors. Number one of course growth itself is a factor. We expect to grow reasonably in mid double digits. So , when we grow , we expect certain of our fixed costs to get amortized in a better manner. Fixed costs are not linear in nature so therefore it wo uldn't go. So, that's one. The second of course we're expecting our global delivery model to mature better as we move forward. And that comes at a slightly lower cost for us , so therefore better margin . As we scale up from here , we expect some efficiency w ith respect to our procurement strategy as well which will allow us to get some traction on that. And as we build scale from there , we are still in the process of working through , implementing and focusing on our service now and ERP systems , allowing us to serve our back office in a more robust manner from offshore. So, a mix of growth , a mix of ability to deliver from a global delivery model , our ability to procure better on scale and more productivity or more offshoring initiative that we have left to do over the next couple of quarters. A combination of these four gives us a good chance to start to move that 6 more towards 9 and double digit figure progressively over the next several quarters.

Moderator: Our next question is from the line of Saurabh Sadhwani from Sa hasrar Capital.

Saurabh Sadhwani: I just wanted to understand how frequently do the systems and infrastructure that we set up needs an upgrade? How frequently does the client come back for an upgrade?

Sanjeev Verma: I think if you look at the network infrastructure is a refresh between 3 and 5 years' time . Some of them are 3 years' time , some of them are 5 years' time . It also depends on the economic situation and the financial situation of the customer and where they put the money. But in general , a refresh for infrastructure be it network , server storage , wireless , wired infrastructure is between 3 and 5 years' time . Some investments with respect to cybersecurity are more frequent because there's a massive change in threats going forward. So, that doesn't follow the cycle. It can be as quick as a year or 2 years depending upon what a customer wants to do. But in general, our cyclical refresh of our businesses from a new deployment perspective would happen between 3 and 5 years' time . So, therefore , if you have a bunch of 500 customers, you're always in a mode of trying to discover that , design that , deploy that , manag e that and then refresh that. And then again do discovery , design because design can change. Customers are growing they're expanding , they are rearchitecting. It's a continuous process but a reasonable cycle is between 3 and 5 years.

Saurabh Sadhwani: Right now, given that 5G has come in we are in the new refresh cycle , right?

Sanjeev Verma: No, it is different for every customer . Some of them are in third year cycle , some fourth, some fifth-year cycle. So, continuously we are assessing , some are in expansi on mode. If you look at

some of our manufacturing customers, they're putting up semiconductor plants massive , there are greenfield projects. So, those are new and then of course you have customers like banks who possibly did a refresh 3 years back. That's coming up now. So , it's a continuous process of mapping an account. Every customer is in a different cycle of orbit based on when their capital expenditure happened in the past , what their growth str ategies are , what new systems they want to bring. So , the greenfield that we will do now is 3 to 5 years' time but hundreds of customers have had their third year now , the fourth yea

r coming or the fifth year they're trying to refresh
that. And of course, we also provide managed services , the maintenance contracts after we do a project. So , when we do discover , design , deploy then we manage and support and then over a period of time 3 years , 4 years , 5 years we again do discovery , again design , again deploy .

Saurabh Sadhwani: And one question regarding the automotive sector. So, now with the connected cars and EVs , have there been any initiatives from the automotive companies to set up some infrastructure for collecting the data from their new vehicles or a nything?

Sanjeev Verma: That' s a good question. So, many of the automotive companies of course are working towards connected cars as you say and the connected cars data , they are not a data company they are a car making company. So , they possibly port the data to Cloud companies . So, they can possibly go to Amazon or go to whatever it is. A very few of them possibly will build their own data center. Tesla could be one of them, but many others would use the Cloud that is getting built. And if you look at what we are doing , on the other side we are helping build that Cloud data center for some of those large hyperscalers that will provide the data management capability to the car companies. So , the car companies would keep the data with the Cloud companies. So, therefore , we are building data center for the Cloud companies .

Moderator: Our next question is from the line of Yash Parekh from Me hra Investments.

Yash Parekh: I just have a couple of questions. First is earlier we ha ve seen the impact of severance cost which weighed heavy on our profitability. So , what was the cost this quarter like have we seen the entire impact of severance cost or there is some more impact that we can expect in this current financial year?

Deepak Bansal: Can you please repeat your last part of the question again?

Yash Parekh: Have we seen the impact of severance cost, or have we seen this impact or is there some more impact t hat we can expect in this financial year of severance cost?

Deepak Bansal: So, severance cost I think the majority of the severance cost was done in the March quarter. But yes, we will continue to see some part of the severance cost still because we conti nue to see that lot of people what we have identified , we are reducing them in parts and pieces so that the business should not be impacted so as and when they are going if there is anything which we have not accrued on their cost and there is some cost wh ich goes up and down that cost will continue to come. But we are not expecting in the range of what we have expected in what we have done the numbers in the March quarter. But yes , some of the cost in the range of between

2 to 4 crores every quarter will s till continue because we continue to look at optimizing the resources and hiring the more resources in India to deliver the work.

Yash Parekh: One more question. Globally companies are witnessing pressure due to inflationary trends. How do you look at thi s macro environment? Also given such inflationary trend continue to persist do we still remain confident to achieve our guidance for this fiscal year?

Sanjeev Verma: So, the fact of the matter remains that there is an inflationary trend. There's also a pr essure on our interest cost. So , we continuously have a cyclical method of repricing to our customers , more specifically for all new bids. Of course , we take every quarter repricing mechanics to adjust our sale price or relook at our cost. And also , as and when we get a chance to renew our customers , we definitely reprice it. So , we are working to see that we are in place and neutr al from that perspect ive in our all-ongoing projects and sale process and also on all opportunities to renew our customers going forward.

Moderator: Ladies a

nd gentlemen that was the last question of our question -and-answer session. I would now like to hand the conference ove r to Mr. Sanjeev Verma for closing comments.

Sanjeev Verma: Thanks. With this I would like to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information kindly get in touch with me, Deepak or Strateg ic Growth Advisors , our Investor Relations Advisors . Thank you.

Moderator: Thank you . On behalf of Black Box Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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BBOX/SD/SE/2023/91

November 20, 2023

Corporate Relationship Department
Bombay Stock Exchange Limited P.J. Towers, Dalal Street, Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited Exchange Plaza, Bandra Kurla Complex, Bandra East, Mumbai 400051

Sub: Transcript of Earnings Call hosted on November 16, 2023 on Unau dited Financial Results (Consolidated and Standalone) for the quarter/hal f■year ended September 30, 2023 .
Ref.: Scrip code: BSE: 500463/NSE: BBOX
Dear Sir/Madam,
This is further to our letter dated November 9, 2023 with refer ence number BBOX/SD/SE/2023/83 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclo sure Requirements) Regulat ions, 2015, the transcript of the Earnings Call hosted on November 16, 2023 on Unaudited F inancial Results (Consolidated and Standalone) for the quarter/half■year ended September 30, 2023, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited
(Formerly Known as AGC Networks Limited)

Aditya Goswami
Company Secretary & Compliance Officer

"Black Box Limited Q2 & H1 FY24 Earnings Conference Call"

November 16, 2023

MANAGEMENT : MR. SANJEEV VERMA – WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND GLOBAL CHIEF FINANCIAL OFFICER

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th November 2023 will prevail.

Moderator : Ladies and Gentlemen , Good day and welcome to the Q2 & H1 FY24 Earnings Conference Call of Block Box Limited.
This conference call may contain forward -looking statements about the Company which are based on the belief s, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a rem inder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during this conference call , please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that th is conference is being recorded.
I now hand the conference over to M r. Sanjeev Verma – Whole Time Director and CEO of Black Box Limited. Thank you and o ver to you, sir.
Sanjeev Verma: Thank you. Hello and g ood morning, everyone. I hope all are keeping safe and healthy, and I wish everyone a very Happy Diwali and a prosperous New Year. On behalf of Black Box Limited, I welcome everyone to our Q2 and H1 F Y24 Earnings Call. On the call, I'm joined by Deepak Bansal –Executive Director and Global CFO and SGA, our Investor Relations Advisors.
We have uploaded our results presentation on the exchanges, and I hope e verybody had an opportunity to g o through the same . We are happy to meet again. I'll start with a brief overview on the Company , followed by Business and Financial Performance for Quarter 2 and H1 FY24.
Black Box stands as a prominent global ICT solution provider, having expertise in designing, deploying and managing digital infrastructure for our global enterprise customers and for fortune customers including cloud providers .
With expertise of more than four decades now, businesses have the capability to create and deliver technological solutions and services that align with their essential business objectives.
We have established ourselves as a trusted and strategic partner in IT sol utions and services , expediting b usiness transformation and strengthening the foundational elements of digital infrastructure such as network, customer experience, connectivity and more.
Our "Glocal Strategy " is based on the principle of "Thinking Global and Act Local ". It enables us to maintai n relationships with our Glocal perspectives. Simultaneously, it allows us to stay relevant by providing flexibility to our customers to cost effec tively deliver in 35 countries including operations from our Center of Excellence in India .
We are delighted with our Q2 and H1 FY24 results, showcasing a significant enhancement in EBITDA margins and overall profitabil ity. This positive outcome is attributed to our cost rationalization program and improved productivity yields. The strong performance was on the back of consistent increase in our order book. The projects backlog for North America has been on a continuous uptrend. Just to highlight on our order backlog for North America , as of

September 21, the order backlog was at $100 million which increased to $144 million in September 22 f urther to $209 million in March 23 and as of September 23, as order backlog increased to $233 million.
We have reported robust deal wins in excess of $80 million during the quarter compared to deal wins of around $30 million in the same period last year. We have seen a strong traction across our business areas with significant con tribution from in-building 5G/OnGo solutions, digital workplace audio video on demand solutions, enterprise networking, connected building and data center.
The data center market driven by the impact of hyper scale and cloud providers we expected to witness signifi cant growth in the f

oreseeable future. We expect we are well equip ped to seize the opportunities c urrently we take pride in serving three of the five major hyperscalers along with esteemed clients in the cloud and soc ial media enterprise sectors.
Our M&A strategy as you are well aware , the acquire and scale methodology has worked out well for us and we remain committed to exploring favorable acquisition opportunities that align with the strategic goal of identifying business es that offer growth potential h aving suboptimal margin profile.
These prospective acquisitions should synergize effectively with our existing operations, enabling us to attract new customers, enhance current business initiatives, support expansion into untapped geographic regions and foster the development of new capabilit ies, thereby helping us to turnaround the business quickly and bring short term s ynergy.
So, overall, just to summarize we have seen consistent growth in order book and deal wins despite the difficult economic environment is the testimony of the strength of our business

model, we are optimistic that we will continue to see the same momentum in the coming quarters, helping us boost our confidence to achieve our s tated guidance for Fiscal '24 .

That's it from my side. I now hand over the call to Deepak to run through the financial highlights.

Deepak Bansal: Thank you, Sanjeev, for the detailed overview. Good morning, everybody and I wish everyone a very Happy Diwali and a prosperous New Year.

I will now discuss our financial performance for Quarter 2 and H1 FY24 :

We are delighted to report the best half yearly performance across al l our business parameters.

On a half yearly basis revenue for H1 FY24 witnesses a growth of 7% year -on-year to INR 3 ,146 crores from INR 2 ,934 crores in H1 FY23.

Quarter 2 of FY24 revenues stood at INR 1,574 crores, which was flat when compared to quarter 1 of FY24 and Quarter 2 of FY23. We have witnessed a few delays at customer sites leading to flattish growth on a quarterly basis. Also, during the quarter, we have started exiting some of the

low revenue customers who do not have future growth potential and were drag on margins, thereby improving our customer profile.

If we look at EBIT DA, we ar e happy to report a robust 85% growth year -on-year to INR 190 crore s in first half of FY24 as compared to INR 10 3 crores in first half of FY23. Talking on quarterly p erformance , our Quarter 2 FY24 EBIT DA increased to INR 101 crores, which is up 13% sequentially and more than double d compared to Quarter 2 FY23 EBITDA of INR 50 crores .

EBITDA margins have also performed significantly well. For H1 of FY24, our EBITDA margin increased by 260 basis points year -on-year to 6.1% . Quarter 2 of FY24 saw EBITDA margins elevated to 6.4% , increase of 320 basis points year -on-year and 70 basis points on quarter -on-quarter basis. We continue to see an uptrend in margins since Quarter 2 of FY23. We believe our focus on cost rationalization and improved productivity has started to yield positive results, thereby increasing our EBITDA margins .

Coming to net profit, which is profit after tax. In the first half of FY24, profit after tax increased to a robust INR 56 cro res as compared to loss of 7 crores in first half of FY23 . Looking after quarterly performance , Profit after tax for Quarter 2 of FY24 increased to INR 32 crores compared to negative INR 23 crores in Quarter 2 of FY23. Sequentially, our profit after tax is up by 33%. Our strong focus on profitability over the last few quarters have started yielding positive results and we are confident that this improvement trajectory should continue in the future as well.

Earnings per share, we have seen a substantial increase to INR Rs. 3.33 paisa per share in H1 of FY24 versus negative of INR 0.43 paisa per share in H1 of FY23. For Quarte

r 2 of FY24 EPS
increase to INR Rs. 1.90 pais a per share versus negative of INR 1.36 paisa per share in Quarter 2 of FY23 and INR 1.43 paisa per share in quarter 1 of FY23 .

As highlighted by Sanjeev earlier, our order book continues to remain strong reflected in new order wins. This coupled with strong traction across our business areas is helping us stay firm on our medium -term targets for Fiscal Year '24 .

That's all fr om my side. I will now request Sanjeev to join me for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Deep Shah from B& K Securities. Please go ahead.

Deep Shah: My first question was on the commentary that you gave that there have been few delays on the customer side, and y ou have exited low revenue customers. So, two parts to this question, if you could elaborate a bit on w hat is the nature of these delays a nd given how the macro environment is, do you think tha t this is not really transient i t will go on for say a year or year and half or you think it will turn around pretty soon ?

The second part of this question would be we have a lot of about 2 ,000 plus customers wi th say revenue is less than 5 crores. So , when you say exiting low revenue customers what is the thought process you have that, how much do we want to rationalize our customer base and what would be a sweet spot f or us to be so. So, that's the first question I'll come back for more .

Sanjeev Verma: So, I'll answer in two parts. On the first part, with respect to delays with respect to customers, I think we are a reasonable part of our business projects which are dependent upon the customer readiness of site, including v endor supplies to support that project and more specifically in the data center space, we work very closely with other ecosystem partners. It could be on the construction side; it could be on the electrical or power side who also build the data center where the Greenfield is going on.

So, we have to work in tandem to be able to see that our technical work or IT work h as worked alongside some of the ecosystem partners and therefore a readiness of a site is important for us to be able to move our projects further. We have seen some challenges and delays. I don't expect that to be a longer term with respect t o or having it occurring often, b ut in a project it is dependent upon certain ecosystem partners be it a technology, supply vendor, be other ecosystem vendor and from a services standpoint we have to work in tandem with that, so customer site business for a project is important.

In general , of course there is a softness in the IT space in general, but I consider our overall specif ic business to be a large portion to be non -discretionary. W e're not expecting a significant matter for us t o be affected, but we are cautious and we're taking measures to see that we are able to burn our backlog, which remains very, very strong to be able to deliver the required revenue that we're looking for.

The second part o f the question with respect to customers and our direction to assess. I think it's a normal business process. I think we definitely want our yield from our customers to be high as we move forward to grow our business into high trajectory so it's important to assess our focus on our customers. We will not be able to deliver quality and d elight our customers i f we do not focus and see t he yield we get from a customer.

To that extent, we are currently assessing customers over the last three years period , assessing the yield s from the customers and possibility of what we can do a nd this is we are taking measures to ensure that we take prudent measures th at we do not see a possibility or w e see very small customers and the possibility not high to take a measure to either increase our pr

ices to be
to get the better yield or not able to handle that we want to exit those customers.

We do not expect that to be a large drag o n our revenues. It might be mild, in fact, it would be a positive impact to our margins, gross margins and profitability going forward. That assessment is going on at this time and as we make progress, I think we'll take optimal measur es to gravitate towards high yield customers, high value customers a nd if we do not see prospects from l ong tail, we will take appropriate measures to see that we are able to either increase our value in the customers or if not, we have to exit those customer s.

Deep Shah: Sir if I can just add a follo w up here when I see that our INR 5-25 crores custom er base, we have some 110 plus. So , is there any specific business line where a lot of these sub -5 crore customers are present, or they are scattered across and generally speaking is there is a thought process that certain business lines you want to focus more and therefore we will keep those c ustomers even if they're small to scale them up or is it re ally across all our businesses it’s a very vertical agnostic?

Sanjeev Verma: No, I think we're taking the approach of trying to cost (inaudible 16:20) to serve the customer. It is not about certain vertical s. We are looking at measures to optimally serve a customer. We can serve a customer locally. We serve customer globally from the Center of Excellence . So, size is one part I was talking about yield from the customer. So, if the yield from the customer is our cost to serve and therefore our profitability, the number of transactions with the customer and th ere are various ways to do that.

We can also do it from a low-cost geographies in India and if that works out, we would get better yield and t herefore there's no need to it, b ut if w e have a very highly local job similar transactions and we make $50,000 a year t hat's the position we take as to what the cost to serve is high. So, it's not a specific type of customer or a specific type of services . It’s in general taking the view of potential with the customer.

We want to do more with less, we want to focus a nd delight some of our largest customers that we serve. All customers are important, b ut I think it’s more important is yield from our customers and potential for the customers in the next two years, three years’ time . So, for going through a scientific process, if you can serve it from a low-cost perspective then would not exit the customer. We're looking at yield from a customer as to what ma rgin we earn from the customer where the potential is going for ward .

Deep Shah: So, the second question would be actually on say the deployment of cash or debt or acquisition. So, I think it's becoming more clear now that interest rates or elevated interest rates are here to stay for some time, a ny change in which we are thinki ng about say acquisitions or therefore result ant debt or debt reduction the entire are a, anything that we've changed or we still will lookout for acquisitions and the idea to repay some debt in FY25 because we should ideally generate some cash in F Y25 that remains a s it is, any color on this would be really useful?

Sanjeev Verma: So, I think our state d position had been and I will r efer the question of debt to Deepak but let me complete our strategy on acquisitions. I've s tated before t hat we follow strictly our economic goals for acquisition. We are not emotional about economics. So , we will not be acquiring because w e just want to acquire to scale, we will see if it's accretive in the short term as I quoted

in my call, we look at short term synergies, it should make s ense for us because appropriate use of ca sh is ext remely important for us.
So, we will be looking at acquisitions to grow. We will not just randomly be wanting to

acquire;
we are a value buyer. We want it to be accretive in the short term. We look at whether we can make it synergistic. W e're looking at suboptimal m argin profile for us to aggregate and make it

margin accretive for us and our shareholders. So , therefore that remains the case and with respect to cost of inter est and debt, I will defer to my Global CFO – Deepak to respond.
Deepak Bansal: So, Deep let us say the borrowings stands at around INR 375 crores and with the cash in the hand of around INR 200 crores , our net debt stands at INR 175 crores . And if you look at our EBITDA for the first half w hich is around INR 190 crores . We are right now our debt; our net debt is let's say 0.5x or something of our let's say yearly EBITDA if I just let's say on a conservative basis if I just multiply by 2 also my EBITDA than I am trading it almost like 0.5 x of this thing on the overall debt.
So, I think yes we don't see that the cost of the debt will go down s ooner and that is uncontrollable item from our perspective because if the Fed starts reducing the rates like now today lot of reports have come that including UBS and Citibank that in 2024, people are expecting between 200 bps to 250 bps for reduction, but that's again not in our control if that reduction comes in that will directly flow to the P&L.
But as of now at least we are not expecting any increase and we are not expecting, let's say, unless otherwise like what Sanjeev told that we really acquired the assets w hich are value accretive to us t hen only our debt will go up. So , anyway from the overall basis that asset will be value accretive. So , the cost of the debt will not be let's say very, very high in terms of the overall value accretion in terms of EBITDA and revenues.
Moderator: Thank you. The next question is from the line of Jigar Shah from AK Securities. Please go ahead.
Jigar Shah: I have a couple of questions. So, firstly, can you throw some light on the inorganic business opportunities? Have you identified any new areas of business, or would we like to excel in the same area of business which we currently operate in?
Sanjeev Verma: I think we as a business as we have stated before is focused around building infrastructure that includes connectivity, networking, modern digital workplace, cybersecuri ty and managed services a nd I think we will continue to focus on these areas. We believe t he potential in that area for building little infrastructure over the next several years is immense because the next generation of applications, AI , machine lan guage , ChatGPT , from connected cars to cancer cure will be driven on this business infrastructure.
So, we are in good spot there and with respect to acquisitions, we have not currently have nothing to comment with respect to citing something that I can comment on, but we are opportunistic, and we'll follow our thesis of being economically accretive to us and shareholders . We are economic and prudent buyers. S o, as Deepak said, we'll continue to see whether it breaks in well into our program, so that we do not overload our debt. We do not stress our business. We want to continue to focus on profitable growth and if th at makes sense, we will pursue it otherwise I think we will d rive our organic growth.

Jigar Shah: Secondly , we have seen a good improvement on the margins front. We have been seeing an improvement trend since last couple of quarters. So , do we expect this to continue for second half of the year a lso if you could highlight additional steps which we are planning to improve on these margins further?
Sanjeev Verma: Yes. So, I think operational excellence is a journey. It is a matter of continuous improvement. We definitely want to continue on the journey of excellence and continue

to improve and
strengthen our margin position both on the gross margin side and operating inco me side. So, we tend to do that.
We expect our m argins from gross, to operating to net improve over the next coup le of quarters for sure a nd we are focused on that, that will co me through increased scale, that will come through our use of maturity of our systems and processes that we have deployed over the last couple of years . That will also be coming through maturity of our center of excellence that we now have in Bangalore.
So, if you look at a combination of continuous improvement across our matured delivery model both locally and globally, our effective use of tools and processes tha t we've deployed over the

last couple of years a nd our focus on selling better with respect to our customers and getting better yields , a combination of that I feel confident that we should be able to continuously improve our margin levels going forward.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Ar ihant Capital Markets Limited. Please go ahead.

Jyoti Singh: My question on the CAPEX side, if you can guide us on that front and another on the capacity utilization?

Deepak Bansal: Sorry your first question is on the CAPEX ?

Jyoti Singh: Yes.

Deepak Bansal: Our business is low CAPEX business, and our business requires a CAPEX primarily related t o let's say the hardware and mostly the long-term software we buy something in terms of the applications or something o r maybe the new offices or the warehouse and all those stuff. So , our CAPEX is going to be in the range of between let's say $2.5 million to $3.5 million every year, that's what our CAPEX range is for the year.

So, we are low on the asset because it is more like customer delivery. We don't have a delivery mode l where we capitalize the a ssets and then delivered to the customer. It is mostly enabling the business type of capitalization. So , that's on the CAPEX . Second question, Sanjeev, at least I missed it, what is t he second question.

Jyoti Singh: Only capacity utilization side s ir, like earlier we were approx. 80%. So , we are on the same level or any changes on that front?

Deepak Bansal: So basically you are talking about efficiency of our technicians on the ground in terms of their utilizations ?

Jyoti Singh: Yes.

Sanjeev Verma: So, I think in general we run a pretty lean organization with respect to our forecasting of our resources. We currently operate at a capacit y utilization northward of 80% a nd a capital utilization of 85% is considered to be optimum and the best. So , we do have some improvement to be done there . Considering our offshore resources in Bangalore that we have at which is low-cost geography, we do need to c reate a little bit capacity a vailability there to be able to address our customers.

So, I think we are utilizing our capacity efficiently. We do have some room and as we mature, I think we should be able to get more towards 85% capacity utilization from o ur resource perspective. But having said that, I think the time our cost based on our revenue, so therefore we do not need to be creating a large bench of pool of people. We have a bout 5% to 7% kind of space to address our growth. So , there is scope to improve that, b ut I think we have to be opti mal with respect to our capacity utilization .

Jyoti Singh: And sir another question is on the America market si de that earlier we discussed about that thing is strategic shift aim to drive the double -digit figure in the near term . So, if you can update on that if I m issed ?

Sanjeev Verma: So, I think we are as I said we are in the digital infrastructure space, we expect a large portion of the spend remains non-discretionary . We still see a strong momentum in our project order book more specific to connectivity and ou

r data center projects. We expect the momentum to pick up in our cybersecurity as well. So , I think across our business lines I think we remain confident to be able to gain growth.

Having said that, I think we're also as you said cognizant with respect to a larger economic situation, a little bit of so ftness on the IT services side, b ut I think for now our o rder backlog , our current pipeline gives us confidence that we are expected to keep our growth momentum growing.

Moderator: Thank you so much. The next question is from the line of Jeevan Patwa from Sahasrar Capital. Please go ahead.

Jeevan Patwa: Sanjeev there is only one question , so this quarter we have got some severance cost. So , how long do you think this severance cost will come , for how many quarters more?

Sanjeev Verma: I think we will have this quarter the severance cost came corre ctly about we did something about 10-odd crores . So, we do not expect the severance cos t to remain high going forward, b ut we do have some severance s cost as we start to more mature or off -shore. I think there's still some room to be able to reconstruct. We are still winding down some of our legacy ERP systems . We're down to two or three systems now and once we are going to do that, we should be able to sit

down on a single platform and therefore some cost optimization will happen. We can take this

kind of work from our shared services center in Bangalore. So , we expect at least over the next
couple of qua rters to have some severance to continue.
Jeevan Patwa: So, by end of this March, I can say that we w ill have everything streamlined?
Sanjeev Verma: I think in the next couple of quarters either have been done with the significan t portion, some portion of severance might continue as a part of our exce llence program and continuous improvement, b ut a reasonable part over the next two quarters, three quarters to possibly wind down.
Moderator: Thank you. The next question is from the line Vivek Choraria who an Individual Investor is . Please go ahead.
Vivek Choraria: Sanjeev , could you share a more broader two year to three -year outlook as to where we want our margins to be on our top line and I mean right now we are at 6 % to 6.5% a nd most of the bigger industry players operate at anywhere between 10 % to 12%.
So, are we reasonably confident that we'll get there and beyond that if we want to reinvest some of that into making sure that our top line goes up. So, at first should we expect our margins t o go up and then we will be in a position for higher top line growth?
Sanjeev Verma: So, the answer is yes, I think we have said it before. I think we are over the next several quarters we intend to improve our operating margins and heading towards more towards 8%, 9% and 10% goals. I think that's what our objectives are. F or the next three years' time , we do expect to be exiting upward of 9% closer to 10% and I think with scale we belie ve that is the possibility for sure whether we can do much better than that the time will tell, b ut for now, over the next two years to three years' time, we expect to move from 6.5 %. I think we expect to exit this year northwards of 7% -7.5% a nd therefore I think we expect over the next couple of years to be able to go to the 10%.
Vivek Choraria: And do we have any like you guys had a internal strategy session a re you able to share some of the insights that you have in terms of I'm just trying to understand f rom an internal perspective what sort of targets do we have as to where we want our Company to be in terms of scale and profitability, be cause if you look at the past 3 years, 4 years we've been stuck in this INR 300 crore to INR 200 crore EBITDA range. I mean should we breakout of that starting next year and that to a higher trajectory. Our peak EBITDA has been about INR 3

50 crores in March 21 and
that has been the case for the past three years to four years. So , should we expect starting now in the next few quarters to be like an inflection point for us and our number should only improve?
Sanjeev Verma: I think we have already provided this kind of our expectation for the year with respect to revenue EBITDA and net operating income PAT and I think although we have a little bit of a softness on the revenue side as you can see in Quarter 2 although we expect to reasonably catch up over

the next couple of quarters with growth. W e are confident of our guidanc e pertaining to this year to EBITDA targets which is northwards of INR 400 crores to INR 450 crores.
We are so confident of our guidance give for PA T northwards of INR 140 to INR 170 crores range. So , I think that we have that. So , currently we are assessing our businesses we will continue to focus on growth and I think the right time to provide guidance for next year and year beyond our current focus to see drive mid double digit growth at least going forward, but I think as we get into quarter 3 and quarter 4 when I have an earnings call, we'll have a better view of the current year with respect to where the goals were a nd where we will land a nd at the right time, we will also provide guidan ce going forward of Fiscal 25 and beyond.
Moderator: Thank you. The next question is from the line of Preeti Mehta from Mehta Investments. Please go ahead.
Preeti Mehta: So, last quarter we highlighted that our cyber security business is gaining good traction . So, this quarter also we have added close to 15 clients in a Fortune client. So , how would we look at this business contributing to our top line in this financial year?
Sanjeev Verma: I think cybersecurity has been a new initiative for us as you know, and it was incubated about 18 months back. W e have spent time. It's a very highly skilled and highly platform centric business. So , we have focused for the last year or so in building our capability both from a security operation center that we built in America and of course a couple of c enters in Bangalore and Mumbai a nd the focus on hiring high quality talent.
The result I am getting a solid footprint when you have started to see that as we reported earlier on for the quarter, we added on more than 15 odd customers in that although it's a small part of our overall revenue profile, but i t's very, very important from a val ue perspective. It's also very sticky with respect to adding to our portfolio and to serving our customers.
So, what we are seeing is that many integrated deals that we are doing within connectivity and the netw ork we are able to attach cyber security within that a nd that momentum will grow in the coming year. And so ther efore, I think we expect that the volume for business to grow and also enable us to have more brand permission to have more, better conversation with our customers

when we build their net work .
So, it's important to secure that. S o, it's a good adjacency, it's a highly skilled business, i t's a very, very technology dependent and changing business to keep pace. So , we're focused on creating the right partnership, having the capability, we have a good platform now and we expect to grow that significantly, alt hough it may not be very large c ompared to our current revenue goals, but from a value perspective, it's also an attach ment that allows us to grow our networking connectivity business. So , there w ould be significant growth, but i n the overall scheme of things I think it's still remains really small, but very important part of our plan as we write our next three-year journey.

Preeti Mehta: And sir one more question , sequentially that our top line remains flat this quarter. So , are w

e
still seeing the impact decline in TPS business whi ch we highlighted last quarter a nd if you can throw some insights on what all steps, we have taken to get the TPS business back to growth track?
Sanjeev Verma: Yes, I think our revenues have been flat for this quarter. We expect to change that tra jectory in the coming quarters point number one across both our services business and our product business. We expect that to change. We had a point in time difficulty in this quarter which I think Deepal eluded to. I think with specific to our product business I think we have taken measures for introduction of new er products, getting our go to market aligned and I think it's coming back from a flat perspective to a growth momentum also in the product business and that will be seen in the coming quarters as we move forward.
Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Sanjeev Verma: I would like to thank everyone for joining the call. I hope we have been able to address all your queries. For any further informatio n, kindly get in touch with me, Deepak or strategic growth advisors, ou r Investor Relation A dvisors. Thank you.
Moderator: Thank you. On behalf of Black Box Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

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BBOX/SD/SE/2024/11
February 15, 2024 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call host ed on February 9, 2024 on Unaud ited Financial Results (Consolidated and Standalone) for the quarter/p eriod ended December 31, 2023 .

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter dated February 2, 2024 with refer ence number BBOX/SD/SE/2024/04 and pursuant to Regulation 30(6) of the SEBI (Lis ting Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on Fe bruary 9, 2024 on Unaudited Finan cial Results (Consolidated and Standalone) for the quarter/ period ended December 31, 2023, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer
Encl.: A/a

"Black Box Limited
Q3 & 9M FY 24 Earnings Conference Call "
February 09, 202 4

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th February 2024 will prevail.

Black Box Limited
February 09, 202 4

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 months FY24 Earnings Conference Call of Black Box Limited . This conference call may contain forward looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve ris k and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev Verma, Whole -Time Director and CEO of Black Box Limited . Thank you and over to you, sir.
Sanjeev Verma: Thank you. Hello and good morning everyone. I hope all are keeping safe and healthy. On behalf of Black Box Limited , I welcome everyone to our Q3 and 9 -month FY24 earnings call. On the call, I'm joined by Deepak Bansal, Executive Director and Global CFO and S GA, our Investor Relations Advisors. We have uploaded our results presentation on the exchanges and I hope everybody had an opportunity to go through the same.
We are happy to meet again. I'll start with a brief overview on the company, followed by business and financial performance for Q3 and 9 -month FY24. Black Box stands as a prominent global ICT solution provider specializing in designing, deploying and managing digital infrastructure solutions for our esteemed global enterprise clientele, including fortune customers and cloud providers.
Our footprint spans 35 countries and is bolstered by over 4,000 highly efficient professionals. Leveraging our expertise of four decades now, businesses can develop and deliver pertinent technological solutions and services aligned with their core business goals. Our strategy of ‘GLOCAL ’, which is ‘Think Global, Act Local ’, enables us to maintain meaningful relationships globally while ensuring relevance and flexibility for our customers. This approach allows for cost -effective delivery across 35 countries, presented by our Center of Excellence situated in India .
We have reported an exceptional performance in Q3 and 9 -month FY24 in terms of improving our margins and overall profitability. Our emphasis on cost -strategization and enhanced productivity has begun to generate positive outcomes, helping us to deliver goo d numbers.
The project's order backlog for North America continues to be strong. Just to highlight the trend for projects' order backlog for North America, this was $101 million in December 21, which increased to $185 million in December 22, and further increased to $193 million in December 23. So [Y-o-Y] over the last couple of years we have seen good growth in terms of order backlog . However, we saw some shrinkage when compared to September 23 project's order backlog of $233 million. Deferment of capex plans at the customer's end, coupled with slow decision - making and consistent execution of projects at our end on a QoQ basis led to a lower -than-

anticipated order backlog. Our new projects' deal wins for the quarter will exceed the $50 million. However, it was below our internal estimates, and we are confident that deal wins will gather momentum over the next few quarters, given the robust pipeline and hyperactivity in the AI-led data center and cloud space. Our overall pipeline at around $2 billion stands at the highest level ever. During the quarter, all our business lines have seen strong traction with significant contributions from projects and managed services in the areas of data center and digital connectivity, modern workplace and customer experience, networking and cybersecurity, and control room solutions.
As we have highlighted in our past call as well , the data center market propelled by the influence of hyperscalers and cloud providers is poised for substantial growth in the coming years. We anticipate seizing these opportunities with our superior design and execution capability both in North America and international markets. We are currently engaged in active projects with three out of the five major hyperscalers.
In addition, we are also serving other large customers in the enterprise domain. We remain focused on our endeavor to enhance margins and profitability. Although we are seeing some delays in decision -making from customers, it has impacted our revenue growt h in the short term. We remain optimistic about sustaining the profitability momentum. We are confident of remaining within our stated EBITDA and PA T guideline range for the year. That's from my side.
I now hand over the call to Deepak to run through the financial highlights. Thank you, Sanjeev,

for the detai led overview.
Deepak Bansal: Good morning, everybody. I will now discuss our financial performance for quarter three and nine months ended FY24. Our strategy is to focus on large revenue customers have started yielding results, helping us to achieve best nine months performance across all the financial parame ters. Starting with the performance for nine months, revenues witnessed a growth of 4% year-on-year to INR4,801 crores from INR4,606 crores for nine months FY23.
On a quarterly basis, our revenues for quarter three of FY24 stood at INR1,655 crores, which is a growth of 5% quarter -on-quarter and muted on a year -on-year basis. Some holdup in decision - making at the customer's end led to delay in getting new orders, thereby leading to muted performance in quarter three FY24 on a year -on-year basis. If we look at EBITDA, we are happy to report a robust 75% growth year-on-year to INR306 crores in nine months FY'24 compared to INR175 crores in nine months FY'23.
For quarter three of FY'24, we have achieved EBITDA of INR116 crores, which is a growth of 62% year -on-year and 15% quarter -on-quarter. We have seen a consistent growth in our EBITDA margins for nine months FY'24 EBITDA margins increased to 6.4%, which is a growth of 260 basis points year -on-year compared to EBITDA margins of 3.8% in nine months FY'23.
For quarter three of FY'24, EBITDA margins grew by 270 basis points year -on-year at 7% compared to 4.3% in quarter three of FY'23. Our emphasis on cost rationalization and enhanced productivity continue to produce positive outcomes, consequently leading to an increase in our EBITDA margins .

Coming to profit after tax, nine months FY'24, profit after tax increased to a robust INR97 crores as compared to INR1 crore for nine months FY'23. Profit after tax for quarter three of FY'24 increased to INR41 crores as compared to INR8 crores in quarter three FY'23, witnessing a growth of 5.2 times year-on-year. Our robust operating performance has resulted in better profitability despite higher interest rates. Our dedicated emphasis on profitability in recent quarters continue to yield favorable results and we are confident that this positive trajec tory of improvement will continue in future.
We have seen a substantial increase in our EPS at INR5.76 paisa per share in nine months FY'24 versus INR 0.04 paisa per share in nine months FY'23. For quarter three of FY'24, the EPS for the quarter increased to INR2.43 paisa per share versus INR 0.47 paisa per share in quarter three of FY'23.
In summary, we have seen a good uptrend in our EBITDA and profitability and we expect to witness the same trend going forward and expect it to remain within the stated EBITDA and PAT guidance range for the year. That's all from

my side.
I will now request Sanjeev to join me for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivek, an individual investor. Please go ahead.
Vivek: Hi, Sanjeev and Deepak. Thank you for the opportunity. We've done a tremendous job on the margin front. When do we start to expect some traction on the top line? Given the fact that we've gone public with a three -year stated goal of hitting INR16,000 cror es, a lot of it will come from acquisitions I'm guessing, but how do you expect revenue growth to pan out in Q4 and in FY'25 if you can give me some colour on that?
Sanjeev Verma: I believe, Vivek, your questions were a little choppy. I'm not able to hear very clearly. I think I got the last one. You were looking for '24 -'25 guidance is what I heard. I heard something about some data. I didn't get the question correctly.
Vivek: I'm sorry. I can repeat it if you want me to.
Sanjeev Verma: Yes, can you do that please?
Vivek: Yes. I'm saying we've done a tremendous job on the margin front. When do we expect to see some traction on the top line? Will Q4 be better from Q3 and how do you expect FY'25 to pan out given that we've gone with a stated goal of hitting 16,000 crores? Of course a big part of it will come from acquisitions, but just how do you think the environment is playing out? And do you see any…?
Sanjeev Verma: Thank you. Sorry, I couldn't hear the first time. I think as I mentioned earlier, we are seeing a kind of a mixed bag in our portfolio of business from the customer set. From our hyperscalers, we are seeing hyperactivity pertaining to making fast progress on creating AI -led data centres. So those are the projects we do. On the other side, a large enterprise client, a little process with respect to various environmental factors including interest rates and so on and so forth.

We are seeing a little bit of softness and delay from a short -term perspective. And I think that's what I quoted earlier. From a perspective of what we have told going forward of a goal for focusing on $2 billion, I think that's where our focus is, which of course will include some element of being inorganic as well.

So we're expecting guiding fiscal '24 -'25 from a double -digit growth perspective. We have a short -term issue pertaining to saying, okay, there's a little bit of a delay. So the hyperactivity on data centre, the enterprise market opening up, some interest rates dropping down, down the year.

Robust pipeline, as I said earlier on, about $2 billion overall gives us a good confidence as we move forward into the next fiscal year that we would be looking for maintaining or growing our growth momentum in double -digit going forward, targeting toward s being above growth of being a $2 billion over the next three years' time. So that's consistent with our thought process from a medium perspective.

Vivek: We've spoken of a double -digit growth target. This year it seems very difficult. What gives you the confidence that FY'25 will be slightly better? As I said, on the margins, we seem to be on target and even further than what we'd expected. But what gives y ou the confidence that next year we should see some traction on the top line? Are you seeing any improvement on the margin as far as the deal momentum is concerned?

Sanjeev Verma: Yes. So I think as you said, we are seeing already the improvement on margin and productivity and did a little bit of that. And if you heard what I said earlier on with respect to our deal pipeline, which is a leading indicator, is very, very strong. The deal sizes are very, very strong. We're serving one hyperscaler as a major partner. We've moved to three hyperscalers as major partners going forward.

So deal pipeline, the advent and the focus on AI that will drive large -scale data

center
investments and cloud transformation, we build that digital infrastructure and therefore the pipeline is strong, higher than before. So those combination of those, I thin k, and our investment in focused markets, focused verticals gives us the confidence that we are looking at much better growth with respect to our revenues in fiscal 2025 as well going forward.

Vivek: Just one question on the margin front. I mean, we are at a 7% today. Do we expect to see improvement in the next few quarters? I mean, we've talked about the 10% margin goal in the next few quarters. Are we on track for that? Because I'm guessing we can o nly go so far if we don't see any top -line growth, right? So any further improvement, I'm guessing a big chunk of it would also need for us to go on the top line.

Sanjeev Verma: Yes, I think, so we, as I said, I think we have been improving our focus on deal margins by better selling and our cost efficiency. We expect to keep on track to achieve our goal of 10% margin as we move forward into the next fiscal year. So that's our goa l. We have come over the last several quarters from a lower single digit to a really higher single digit at this time.

Then we will move forward better that we heard from Deepak going forward as well. And with increased revenues going forward, I think that will only help us to achieve our goals toward achieving a 10% margin goals.

Vivek: Perfect that’s it from my side. Thank you.

Moderator: Thank you very much. The next question is from the line of Akshay Jain from Jain Capital Investment. Please go ahead.

Akshay Jain: Yes. Hi. So a couple of questions from my side. Firstly, our TPS business did face some challenges a quarter ago. So can you provide some insights on how is the current performance of the business? And it is still facing any challenges that we have faced in the past or we have mitigated all the concerns?

Sanjeev Verma: Yes, I think our TPS business remains within the range of 12% to 15% of overall business. We have had some supply chain and product challenges. We have really looked at that over the last couple of quarters, augmented our focus on our own IT led products largely on control rooms. We narrowed down our focus on fewer products that have higher margins.

We expect getting into fiscal 2025 that we will be coming out of a much stronger product line focus, higher margins in the TPS business as well. So, I think the difficulty we face d in TPS pertaining to our supply restriction and the supply chain issue are over . And I think as we get into augmentation are investing in R&D we're expanding some of our product portfolio because high yield margins.

And we are dedicating our focus into specific business lines where our controlling solutions are very, very attractive. So, getting into fiscal '25 we expect to see a reasonable growth in our TPS business and higher profitability as well from that business.

Akshay Jain: Okay. Yes, that's helpful. So secondly, just continuing what previous participants had mentioned, the EBITDA and the profitability has been great. So congratulations on that front. But again, the revenue number seems a little tepid. So just any more explan ation towards that and how is the order win and project backlog shaping up at it seems subdued currently?
Sanjeev Verma: Yes. So I think as I said before, we have a short -term blip and I think when we build a business, we have to take a view in the long -term. So we cannot look at it every day morning. So we do have a kind of a softness, a little bit of a delay with respect t o some of our enterprise customers, rolling out projects and or delaying certain project execution as well.
Having said that, on the other side, a set of our customers and business lines, most specifically in the data center and networking, continue to push harder. So I think a combination

of a good
push part of our customers and enterprise customers a little bi t slow has affected in the short - term. But I think our overall pipeline on which we build our go -forward order group is very, very strong.
As I said, it's $2 billion at the back of very expectation with respect to more adoption of cloud, more adoption of AI that has been talked about, and more adoption of more IoT devices coming onto the network and therefore some basic plans are getting made both overseas and India. We expect our order momentum at the back of a very high pipeline to mature and yield.

And therefore, that gives us the confidence even if we have a little bit of a tepid growth, as you rightly said, we expect to gain back a double -digit momentum going forward in the next fiscal year.
Akshay Jain: Sure. Thank you and all the best. That's all for now. Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Raj Joshi from S&S Securities. Please go ahead.
Raj Joshi: Hello. Thank you, sir, for the opportunity. Sir, I have two questions. The first one is that the data center has been a good contributor to our overall performance every quarter. And I believe this is on the back of one of our large social media clients. So I wanted to understand, apart from that one large client, have we added any other client in the data center space that is contributing and leading to such growth?
Sanjeev Verma: The answer is yes. So I just mentioned in the earlier call, I think we are serving three of the largest five. We are serving one up until last year and a major part of this year. So, the answer is yes, we have now engaged and I'm constrained to give the name here. But we have a large deal, order one, not executed yet from large hyperscale data centers.
We are expecting now to partner with the fourth one and the fifth one going forward. We are among the foremost leading companies who have the ability to build large scale hyperscale data center with the partnership with this cloud guy. And I think we are seeing momentum in that space and we remain a very, very strong player.
Raj Joshi: Okay. And another question is we have a good performance in our EBITDA margin as on nine month FY24. How should we look at as a whole FY24 and over the next two years? Like what is our ambition and how we would like to achieve that?
Sanjeev Verma: So I think our CFO Deepak guided that we would be within the range of what we have guided for this year for EBITDA. Going forward, we have stated our goal to head towards 10% is our ambition to go forward in the short term.
And therefore, we will be moving forward as we scale up our business, get better productivity from 7% to 8%, 9%, 10%. That's our goal to get there. Over the next several quarters, we expect to move towards that direction as we have done in the past coming up to where we are at this time.
Raj Joshi: Thank you, sir. That's it from my end.
Moderator: Thank you very much. The next question is from the line of Saurabh Sadhwani from Sahasrar Capital Private Limited. Please go ahead. Saurabh sir, there is some disturbance from your line. You are not audible. No. Can you disconnect and reconnect? The next q uestion is from the line of Raj Mehta from Wisdom Capital. Please go ahead.
Raj Mehta: Thanks for the opportunity. So my question is last quarter we highlighted that we have started exiting some of our low revenue customers. So have we exited from all of such customers?

Sanjeev Verma: Yes. So we have started to readjust our tail end customers as we speak and that's the focus area. It's not a one -time process. It will take us several quarters to get there because we do not want

to be the back pay to the customer. But yes, we are moving a way from our tail end customers
that are dispropo

rtionately lucrative. If we do not see value in the customer longer term, we will
be moving that away from the customer.
We are taking a two -step approach. The first approach we are taking to serve this customer from
our remote center in Bangalore to lower our own cost. The second, of course, we are taking an
approach of increasing our prices to the customers.
The third is, of course, it is not suitable for us to be moving away. As we start to gravitate towards
large volume customers, our cost to serve is important. We want to serve appropriately.
So yes, that traction, that assessment of the customers, the engagements are going on as we
speak. We have taken some actions in quarter three, but it will take us several quarters to be able
to realign that as we start to move towards high value, high volume customers.
Raj Mehta: Got it. And how we are seeing the growth, large revenue customers that we are adding and what
is the scope of growth further?
Sanjeev Verma: As I said, I think we are looking forward to getting into next year. I think we have not yet guided
yet for next year. But I think at the back of a very strong pipeline and the expectation that the
enterprise customers, which are slightly slower this time, will start to ease out in the later part of
the year.
The combination of large -scale customers in our networking and data center practice, opening
up a little bit of enterprise customers going forward in the second part of the next fiscal year, we
expect that we will be able to drive a double -digit growth in the next fiscal year. We will provide
a bit of guidance towards the beginning of the next fiscal year.
Raj Mehta: And my last question is that can you elaborate on detail on why is there a deferment on capex
and the customers and how we are looking at it in the upcoming quarters?
Sanjeev Verma: Two ways to look at it, of course, the cost of money is high for certain customers. So they are
any discretionary projects that the enterprise customers might have, they are trying to take a
cautious approach. The labor market still remains very, very tigh t in America.
The cost of money remains very, very high. And the market remains a little bit uncertain. So I
think although the Fed has announced that there will be rate cuts coming in the later part of the
year, that hasn't happened yet.
This is a cautious approach by some of our customers. So therefore, the decision -making, as
Deepak said earlier, is a little bit delayed. Having said that, we haven't seen a drop in our pipeline
or engagement with our customers.
So we are into regular conversation. So some set of our customers are slightly slow, and that has
created a stupid environment in our overall revenues that we see in the current year. But as we

get into our pipeline and get into the next fiscal year, we still remain bullish of our optimistic
view.
Raj Mehta: That is it. Thank you so much.
Moderator: Thank you very much. The next question is from the line of Saurabh Sad hwani from Sahasrar
Capital. Please go ahead.
Saurabh Sadhwani: So I wanted to understand on the interest cost. So it has increased significantly. So I wanted to
know the reason, and what are we expecting going forward in '25?
Sanjeev Verma: So the interest cost, like we all know that there is a high interest rate environment as of now in
the US. And most of our costs, including our debt facility and including our securitization
facility, everything is in the US, where the interest costs have gone up. So my facility here are
at LIBOR plus 200 basis points.
But LIBOR or SOFR has gone up by almost 5%, 6%. And that's why the interest costs have gone
up. Now, in fact, the Fed has indicated about tapering down the interest rate by cutting the
interest rates, which we are expecting that should start from June, July, depending on, again, the
inflation and data

and the inflationary environment in the US, how it evolves and everything.
So in the next one year time frame, we are expecting that the interest rates should go down again,
should start going down quarter -on-quarter basis, directly linked with the Fed reduction most of
the interest rates. So that's where we are.
And some of the interest rate as compared to last year, the interest costs have gone up because
we have drawn a little bit of more debt in terms of three almost like INR15 crores, INR20 crores
more debt that has gone up from last year to this year, around INR20 crores. So, the cost of that
is also coming in. But mostly it is because of the interest rate increase in the US.
Saurabh Sadhwani: Okay. Sure. Thank you.
Moderator: Thank you very much. The next question is from the line of Vivek, an Individual Investor. Please

go ahead.
Vivek: Hi, Sanjeev. I just wanted to get a broad understanding. I mean, given our peers in the space like (inaudible) or Presidio or Conver geOne , they are much larger in terms of top 10, right? What is our right to win when we are competing against them in deals? I mean, what I'm trying to get at is that in terms of the capability set within our company, do we think we're there? Or do we need to invest a lot more in people and processes and systems?
I'm just trying to get an understanding as to if the market environment changes, will it be a cleaner run for us or just not there in terms of what they can offer to the customers? I mean, (inaudible) at a $16 billion run rate. We are barely at one. When we are competing against, I'm just naming them as like one of the giants in this. So what is our right to win when we are competing against some of the bigger players in the industry?

Sanjeev Verma: Thank you, Vivek. That's a very good question, actually. Yes, I think if you look at the right to win or brand permission, as we call it, I think it is under a period of time. It is a factor of capability and talent. It's a factor of network of operations across geographies because larger clients have a footprint. So are you able to support that?
And it's also a matter of scale. Do we have the scale to be able to do that? So I think in all the three fronts, I think if you look at our right to win, I think our network of operations spanning 35 markets mimics large operations and large players in th e field.
So therefore, contextually, from local and regional players, even if they're larger in volume, contextually, we can be different if a customer wants to deploy our services in other markets than U.S., in Europe, in Asia Pacific, we are present. So we have a little bit of an edge to be able to right to win. With respect to our capability and talent, now with our investments in Bangalore and our local talent, what I call it, Glocal, I think we're very covered and I believe to know, bring to market talent is much better than again, our local peers.
So that leaves us at a unique spot where we possibly can compete with a larger client. But the only thing left is scale. So we are currently at $800 million ballpark of a size 800 plus, we are at this time. So I think so we are, therefore, there's a need for us to grow. And I think we're growing and winning in a specific area. So we didn't want to be everything for everybody.
We are very, very strong in certain areas of networking, which is the bedrock of next generation applications will run. Data center is where everything will be hosted. So we are able to compete there. So I think a mixture of our presence worldwide, our ta lent worldwide, and gaining scale allows us that contextual difference here to be able to write to win. And again, the idea is to get considered more, if you're getting considered more, the chances of winning increases, right? So we are working every day, every morning to be able to increase our right to w

in.
And so we have been able to get one leg up from regional domestic players here, surely for global customers. But then again, we have large players too. And therefore, we need to build up that scale. So I think we feel reasonably good that we are getting m oving forward in the right direction.
We're also looking forward getting into the next year to realign our focus more deeply into verticals and practices that we do and more to more on that will come in the future, how we're aligning to serve the market, what kind of talent we need to bring. B ut net I think we are making progress with respect to our brand (inaudible) right to win. If I've answered your question.
Vivek: And I just one last question. And I don't mean to dwell endlessly on that. As the environment stands right now, I mean, if the Fed doesn't cut rates, or do you still expect or is that double digit growth next year hinged upon, the Fed cutting rates? I mean, as things stand right now, are you reasonably co nfident that we can hit a double digit growth target for next year? Or is that basis a lot of...
Sanjeev Verma: So I think I think I'm looking at my overall three things we look at, we look at the potential in the marketplace, the portfolio I have and the people I have the three things, and the partnerships we bring with others, right. And I think that gives me confi dence with respect to specifically in

two of our other the four portfolios, the two portfolios are super growth, more specifically, cloud infrastructure, data center, and refreshing of the network from the legacy network to software defined network to 5g and so on and so forth, which you're se eing even in India or any part of the world. And that's those two pillars are very, very strong pillars for us.
So we will expect that for, slighter growth, very large part of a pipeline, for example, our data

center business pipeline was $200 million or $300 million, a few quarters back stands at about a billion dollars now. So at the back of our pipeline, the lea ding indicator, the conversation we are having gives me an optimism for double digit growth going forward in the fiscal '25.
Vivek: Okay, and, and on the acquisitions part, are we looking at any companies? I mean, I'm just trying to understand because for a three year target of $2 billion, I'm guessing up, I mean, we'll have to do it in bits and pieces, right? I mean, can you just give us some color on how you're thinking about the, the, that part of the strategy?
Sanjeev Verma: Yes, so I've told that before, and I think we're not actively and as the time comes, we'll definitely let you guys know. And I've told that before, our thesis are not to be emotional about economics, we would not be emotional about economics. Yes, we are open for inorganic pa th as well. But that isn't our focus area. Every day we wake up, we believe there is a strong growth in organic, but we remain open, right? I think as a growth company, we have done that before.
And I think if it is a credit for us, if it makes sense in a certain market, we would, but it's not about being emotional, just adding up something. We're focused on organic growth, we see pipeline growing, we see that certain markets, certain technology aspects of AI and machine language, and then have cloud transformations being very, very hyper. And we have some play there, as so we remain focus ed on that, but we remain open with respect to see what is the possibility.
And to that extent, if something comes, we are not into any active engagement, something to talk about now. But if something happens, I think we will consider if it makes sense for our stakeholders.
Vivek: All right. Good luck. Thank you.
Moderator: Thank you very much. The next question is from the line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead. Saurabh, sir, there is a disturbance from yo

ur line. Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comment.
Sanjeev Verma: I would like to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with me, Deepak, or our Strategic Growth Advisors , our investor -related advisors. Thank you.
Moderator: On behalf of Black Box Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

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BBOX/SD/SE/2024/37
June 3, 2024 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call hosted on May 31, 2024 on Audited F inancial Results (Consolidated and Standalone) for the quarter/year ended March 31, 2024 .

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter dated May 27, 2024 with reference number BBOX/SD/SE/2024/29 and pursuant to Regulation 30(6) of the SEBI (Lis ting Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on May 31, 2024 on Audited Financial R esults (Consolidated and Standalone) for the quarter/year ended March 31, 2024, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer
Encl.: A/a

"Black Box Limited
Q4 & FY '24 Earnings Conference Call "
May 3 1, 2024

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 31st May 2024 will prevail.

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY24 E arnings Conference call of Black Box L imited. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of the call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants line will be in the lesson only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev Verma, Whole-Time D irector and CEO of Black Box L imited . Thank you and over to you, sir.
Sanjeev Verma: Thank you. Hello and good morning everyone. I hope all are keeping safe and healthy. On behalf of Black Box L imited , I welcome to our Q4 and FY24 earnings call. On the call, I am joined by Deepak Bansal, Executive Director & Global CFO and SGA our Investor Relations Advisors.
We have uploaded our results presentation on the exchanges and I hope everybody had an opportunity to go through the same. We are happy to meet again.
I'll start with a brief overview on the company, followed by business and financial performance for Q4 and FY24 .
Black Box is a global digital infrastructure integrator offering connectivity and network solutions, data center solutions, modern workplace and cyber security solutions and technology products to businesses globally . With our 4,000 plus highly efficient professionals and our expertise of four decades now businesses can develop and deliver pertinent technological solutions and services aligned with their core business goals.
They are seamlessly transforming technology across enterprises economically, uniformly and with scale at a global level across 35 countries in North America, Latin America, Europe, Middle East, Africa, India and Asia Pacific regions. Our presence in key ma rkets s howcases our glocal strategy, Think Global , Act Local and our adaptability to diverse business environments. The approach enables cost -effective global delivery across 35 plus countries supported by our center of excellence in India .
According to Frost and Sullivan in calendar year 2023, we are one of the leading solution integrators globally and in the US market with strong services offering in network integration, unified communications, collaborations, cyber security, digital infras tructure for connected buildings, data center solutions as well as AV solutions.
With focus on innovation, expertise and customer centricity, we provide comprehensive tailored solutions to meet the needs of our global customers . Through our integration solutions and services, we facilitate secure d connectivity as well as collaboration for businesses across industries .

We have reported an exceptional performance in Q4 and FY24 in terms of improving our margins and overall profitability. Our focus on enhanced productivity has begun to generate positive outcomes helping us to deliver increased margins.
Our overall backlog remains steady and with robust pipeline especially in our data center solutions business we expect our North America projects backlog to be on a continuous uptrend.
Just to highlight, on an order backlog across our various solutions and services and projects is US $470 million as on March 24 as against an order backlog of US $490 million as in December 23. There was some shrinkage when compared to December 23 order backlog due to slow decision making on project orders and consistent execution of projects at our end on

a quarter -
on-quarter basis led to lower than anticipated order bookings.
During the year, if you look at large deal wins , it was in excess of USD 150 million in areas of infrastructure, 5G LTE solutions, data center. Our focus continues to be on large deals. As we have mentioned in our previous call, the data center market driven by hyperscalers and cloud providers including multi -tenant data center is set for significant growth in the coming years.
Our engagement with customers and pipeline in this space is growing significantly and we expect to capitalize on these opportunities with our superior design and execution capabilities in both North America and international markets. Currently, we are work ing on active projects with three out of the five major hyperscalers. Additionally, we are serving many of the large enterprise customers.

Our focus remains on improving margins and profitability. Although we are experiencing some delays in customer decision making which has affected our short -term revenue growth, the large order pipeline makes us confident to maintain our growth momentum ove r the coming period.
That's it from my side and I hand over the call to Deepak to run through the financial highlights.
Deepak Bansal: Thank you, Sanjeev, for the detailed overview. Good morning everybody. I will now discuss our financ ial performance for quarter 4 and for full fiscal year FY24. Starting for the performance for the full fiscal year FY24 , revenue remained flat at INR 6,282 crores in FY24 against INR6,288 crores in FY23. On a quarterly basis, our revenues for quarter 4 stood at INR1,480 crores. Some holdup in decision making led to delayed project execution in the second half of FY24 , impacting revenue growth. We have been also focused on large deals and accretive customers and are gradual ly moving out of low -value long tail customers since they are not accretive to our EBITDA growth which led to a miss in achieving our overall revenue guidance for the full fiscal year .
If we look at EBITDA, we are happy to report that we have achieved our EBITDA guidance for fiscal year 24. We have reported a robust 59% growth year -on-year to INR 428 crores in full fiscal year 24 compared to INR 269 crores in fiscal year 23.
For quarter 4 FY24, we have EBITDA of INR 122 crores which is a growth of 28% year -on-year. We have seen consistent growth in EBITDA margins. For FY24 our EBITDA margins increased to 6.8% which is a growth of 250 bps year -on-year compared to EBITDA margins of 4.3% in FY23. EBITDA margins increased by a robust 260 bps year -on-year and stood at 8.2%

for quarter 4 FY24 and grew by 270 basis points compared to quarter 4 of FY22. Our emphasis on cost rationalization and enhanced productivity continue to produce positive outcomes consequently leading to an increase in our EBITDA margins and overall EBITDA .
Coming to profit after tax , our FY24 profit after tax grew by a robust 5.8 times and stood at INR138 crores as compared to INR 24 crores for FY23. Profit after tax for quarter 4 FY24 increased to INR 41 crores as com pared to INR 23 crores in quarter 4 of FY23 witnessing a growth of 77% Y -o-Y.
Our strong operating performance has led to increased profitability despite higher interest costs due to the interest rate environment in US. However, these high interest costs which we have incurred in fiscal year have caused us to slightly miss our profitability target and t he guidance for FY24.
Nevertheless, our focus on profitability over the past few quarters is beginning to show positive results and we are confident that this upward trend will continue in the future .
We have seen substantial increase in our EPS at INR8.20 per share in fiscal year ' 24 versus INR1.42 per share in fiscal year ' 23. For quarter 4 fiscal year '24 , our EPS is increased to INR2.44 per share versus INR1.38 per sh

are in quarter 4 FY '23.
In summary, we have seen a good uptrend in our EBITDA and profitability and we expect the same trend going forward. That's all from my side. I will now request Sanjeev to join me for Q&A.
Moderator: The first question is from the line of Kunal Shah from Anova. Please go ahead.
Kunal Shah: Hello. My first question is how are we looking at the inorganic opportunities in FY '25? And my second question would be how should we look at the North America data center market? What are the growth aspects in there?
Sanjeev Verma: Hi, Kunal. Sanjeev here. I think we continue to be prudent in our approach for inorganic. I think we want to have accretive inorganic plans. So as long as it serves our purpose of either giving us a depth in a certain market or expand us in our certain portfolio, we want to watch to see whether it is accretive for us.
We will continue to look at inorganic opportunities, but we want to be economically accretive for us and not be emotional about that. So currently, we do not have an active pipeline, but as I said, we will continue to look at if it makes sense.
Coming to the second question of North American data center, as I told in my earlier commentary, I think we are seeing a lot of activity throughout the world and clearly North America is leading.
The current requirement for a data center over the next several years, 5-7 years, is for the current capacity of data center will increase from the current 17 gigawatts to about 35 gigawatts. That

is nearly doubling. That creates tremendous momentum for data center across hyperscalers, including some large multi -tenant.
We have seen our pipeline in that space grow significantly. We expect those will mature over the course of the fiscal '25. So therefore, I think we see a huge opportunity and we are bullish on our approach towards data center.
Kunal Shah: Okay, thanks. That's it from my side. Thank you.
Moderator: The next question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.
Tushar Vasuja: Okay, so my first question is on margins. So like you guys said, you guys are trying to increase your margins. So like, first of all, I want to know how are you planning to increase your margins? And second of all, what is the long -term sustainable margin that you guys are looking at?
Sanjeev Verma: Okay, so I think, so we have 3-4 levers to focus on margins. So I think one of course is our ability to sell better, renegotiate our contracts when it comes up for renewal, which we are doing.
The second of course, our ability now to have our Center of Excellence in India support us becau se it's mature now we put the investment for the last 2 years time. So, we are able to get better productivity from our Center of Excellence in India that allows us to have better margin.
Third, of course, our better relationship with our technology vendor partners allows us to negotiate better. And we are focused on ratio ce ntricity across our various cost blocks, both from a cost of goods perspective, our G&A perspective.
So therefore, a combination of selling and negotiating better contracts, ability to get better productivity from our Center of Excellence in Bangalore, India, which is now maturing, and also our ability to negotiate better terms with vendor partners and st art focus on our G&A cost. A combination of all this has helped us to expand our margin, as Deepak said, by over 250 basis points. We expect that momentum to continue.
Our goal is to reach about 10% operating margin, and we are clearly focused over the next couple of years to get there.
Tushar Vasuja : So, sir, any long term sustainable margins that you guys are targeting?
Sanjeev Verma: We are targeting a margin of 10% operating margin that has been our goal and we are working towards that and we are confident to achieve that.

Tushar Vasuja : Okay, sir. And the next thing, you guys were talking about some decision delay that led to some project execution delay. Can you please talk a bit more about that?
Sanjeev Verma: So I think a couple of things. So we are pivoting away from serving small and long tail customers. If you look at our overall customer base, it's about 2,000. 90% of our revenue comes from top 50 customers, so clearly 10% is a very long tail for the balance of 15, 16, 17 hundred customers. So our focus now is to be going deeper with our customers. Working with long customers has its own motion and its own cycle and therefore we have seen some delays in

decision making but we are confident with our pipeline growing that those things will start to mature over the next couple of quarters and therefore we are expecting good momentum in order booking and revenue going forward.
Tushar Vasuja : Okay, sir. And the order book that you mentioned in your IP, it will be executed in this year only, right?
Sanjeev Verma: Yes. That's an annualized order backlog now.
Tushar Vasuja : Okay, sir. I have some more questions. I will get back in the queue.
Moderator: Thank you. The next question is from the line of Vivek Choraria from an individual investor. Please go ahead.
Vivek Choraria: Hi, Sanjeev and Deepa. Thank you for the opportunity. Sir, as I said from Q4 base, I mean, if we are projecting almost a 16% revenue jump, if I take Q4 as the base but our EBITDA guidance seems to be on the same numbers.
I mean, are we expecting no operating leverage to play out as we grow our revenues from the base of Q4? I mean, from Q3 to Q4, our revenues have gone down but we've improved our margins. I mean, can you just explain where am I getting wrong as far as the m argin outlook is concerned?
Sanjeev Verma: No. So, we're looking at a margin outlook for fiscal 25 guiding in the range of 525 no rth to 550, 560. And on that, if you look at the overall EBITDA margin, we're expecting a jump in EBITDA margin from the full year of fiscal 24.
Vivek Choraria: Okay. So, we've been talking about a double -digit revenue growth for the past few quarters but obviously that hasn't played out. Is there something structural which is in the market, which is stopping you from changing that guidance?
Or is there, I mean, can you just talk from a slightly longer view, one to two to three year view? I mean, near term most of the companies in this bay.. are you hopeful of achieving a double - digit revenue growth in the next two to three years.

Sanjeev Verma: Yes. So, we certainly have given a kind of view of the next 12 months time. And as I alluded earlier in my call and also in our investor presentation, so we are pivoting, focusing on large customers and large deals. We have very good logos. There is a strong momentum, specifically in a few of the areas that we serve our customers, both data center and networking. We've had a very long tail that yields us very little from a revenue standpoint.
We are reorganizing ourselves to be able to serve large logos, Fortune 500 customers across enterprise and across hyperscalers, data center market and so on and so forth. Now, the larger customers have a little longer lead time to work on. These are large bids but they're highly accretive for us.

So, therefore, our focus now is to pivot towards the top 250, top 300 odd customers, which is taking time. For the second time, we're also exiting gradually because we cannot just exit the long tail. In doing that, I believe our guidance going forward betw een 5% and 10% growth is at the back of gradually exiting but largely focusing on good quality customers going deeper but keeping our focus on EBITDA growth from where we are at this time.
We are expecting a significant EBITDA growth going forward in next year

and also very significant growth in our PAT margins going forward in next year. So, that's our plan going forward for the next 12 months' time. We expect with our pipeline growing sign ificantly in certain sectors.
After the fiscal 25, we expect even better momentum because the pipeline matured with some larger customers. The run for data center, refresh network to serve the advent of AI will get momentum as we go forward and that's precisely the reason why we are pi voting now to focus on large deals, large customers. Blackbox is spread across 35 markets. So, we cannot be everything to everybody. So, we want to serve those customers across the globe and that's our strategy going forward.
Vivek Choraria: Can you talk a bit about the product s business because from quarter to quarter, there's been quite a degree of variance as far as our EBIT numbers are concerned and we've been talking about a change in go -to-market strategy as well. So, can you talk a bit about how that is shaping up and how do we expect that to show up in the next few quarters?
Sanjeev Verma: I think from a go -to-market strategy, as I said, I think from a focus perspective, we are focusing more from a verticalization perspective. So, we are more focused on rearranging ourselves more from a -- not from a geography perspective but picking up our top customers, creating an account strategy with those customers, getting closer to our customers. We are ramping our talent pipeline to be able to serve that.
Blackbox historically prior to reacquiring was a bunch of 50, 60 acquisitions from many smaller companies. Since acquisition, of course, we have changed that momentum. So, when we change the go -to-market , focus on larger deals, I think that's our focus to focus more on verticals, pick up four or five practice solutions that we have, data centers, cybersecurity, networking, and we believe that those are high growth areas for us.
Many of our legacy customers in modern workplace are also moving towards AI, so we're investing in that as well. So, a combination of changing our go -to-market motion, focusing on those practices that we believe over the next three to four year's time will be very significant. Data center is one of them.
Adoption of AI -led data centers is the second one. Cybersecurity, of course will become extremely important for us. So, these are the changes or focus areas that we are focusing on now, and that will start to yield results for us going forward. Larger deals, of course, from a yield perspective, we believe will be better accredited for our margins going forward and better utilization of our resources locally and globally. So, those are the combination of our strategy going forward.

Vivek Choraria: All right. That's it from us, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Payal Shah from Billion Securities . Please go ahead.
Payal Shah: Good morning, sir. Thank you so much for the opportunity. I have a few questions. First, can you throw some light on the revenue contribution from data centers business, like what has been the past trend and what is the Y-o-Y growth from that business?
Sanjeev Verma: So, our revenue for the data center over the last three years' time has grown significantly. About

three years ago, our revenue from the data center was about $15 million or $20 million. And in fiscal '22, we did about $70 -odd million. In fiscal 23, we did about $90 -odd million. The year that we exited, we've done about $110 million -$115 million in that range. So, we are growing about 20% or so in the data center practice.

Payal Shah: Okay. So, in continuation to the above question, what is the current order backlog and how do we look at it going ahead?

Sanjeev Verma: So, our total current backlog, as I mentioned in my commentary earlier which includes our managed ser

vices, our maintenance contracts, our project business, our product business is about $470 million. And our pipeline, of course is very strong, specifically in our networking and our data center solutions business. It's close to $2 billion at this time.

And we expect those to become mature over the course of the next several quarters to give us the growth momentum from an order book perspective and also revenue perspective and also build a strong order book as we get into fiscal '26 and beyond.

Payal Shah: That's quite helpful, sir. And lastly, how are we looking at the growth in our TPS business and its contribution to our overall portfolio going ahead?

Sanjeev Verma: So, the TPS business contributes currently about between 12% and 13%. We expect the contribution to remain in that range going forward. We'll see growth in the TPS business as well.

But as a percentage of contribution to overall revenue, it will remain in those lines.

Payal Shah: Okay. Thank you so much and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Ashish from Greenedge Capital . Please go ahead.

Ashish: Hello. Am I audible?

Moderator: Yes, sir.

Sanjeev Verma: Yes, Ashish.

Ashish: So, good morning. I have a couple of questions. So, the first question is, we have around 14 customers in INR50 crores + revenue . How should we look at growth in the number of clients in this category?

Sanjeev Verma: So, I think I answered earlier when Vivek asked the question in terms of strategy and I just alluded earlier. I think we are pivoting toward focusing on our top customers. Clearly, we want to increase our number of customers in each of the se segments on the top level more than 50, more than 30, more than 20. We are investing time and energy in that sector to go deeper. We're also ensuring that we are able to take the share of wallet. We have 4-5 portfolios. So, when we do a heat map analysis of the customer, we have expertise to provide different solutions. So, we are focused on adding newer solutions and products to existing customers. We're also focused on getting more share of the wallet of what we have been doing with these custom ers.

So, by doing more of what we are doing for the customer by doing something new that we haven't done before within our top set of customers , by doing more where we are doing in North America with those customers and also doing some where we are not doing because most of the customers are global. So, we are seeing those interactions happening now with many of our global customers outside of the US as well. So, a combination of going deeper of what we are currently doing, adding some newer solutions, serving newer markets for our existing customers which are mostly global in the top end of our customer profile. That's our focus to gain share of wallet and growth of more than INR50 crore customers in the top bracket.

Ashish : Okay. So, the second question which I have is, in one of the quarters, we did highlight that we have been seeing good developments in the cybersecurity space. So, what has been the trend now and how does the growth prospects look like in the cybersecurity space?

Sanjeev Verma: So, cybersecurity is a very critical part of our business although it remains a small part but we are seeing significant wins. Most recently, we have won a new airport, one of the top 10 airports in the US to manage their cybersecurity platform. We have also been winning many other enterprise deals both locally a nd globally.

So, we intend to continue to focus. It's also a very important conversation with a client as a door opener or as an entry point to discuss other aspects as well. Many times, we start with cybersecurity and we end up having a conversation regarding supporting the network because the network needs to be secured.

So, it's a good add -on. So, we e

xpect cybersecurity to grow although remaining a small part of our business but very critical for us. We are currently serving 50 -odd customers worldwide on cybersecurity. Last year, we added 20 new customers. More recently, we added a very large airport as a customer. The more and more reference we get, we are now able to bring those use

cases to our existing top 50 clients to have this conversation on cybersecurity. And I believe in the fiscal '25, we will see many more logos getting added within cybersecurity and will create a momentum for us going forward.
Ashish : Okay. Thank you. Thank you for this detailed answer. Thank you.
Moderator: Thank you. The next follow -up question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.

Tushar Vasuja : So, thank you for the follow -up opportunity. I just want to get some more details on data center competitive scenario in US. Like, who are you guys competing against?
Sanjeev Verma: So, I think that data center is a very large play . So, I think from our approach, we currently provide two specific solutions to data center : connectivity, which includes fiber and passive infrastructure and networking, more specifically our 5G LTE solutions. So, we compete often with many local players out here in the US.
Many of them are regionally located and historically, they have been in that business, telecom business or networking business. So, those are competitors. Our differentiator or our contextual differentiator is our ability to serve at scale. Our contextual differentiator from our peers or competitors is our abi lity to serve in other markets.
As you would know, many of these large Hyperscalers or even multi -tenant players , are not only present in the US, but other markets. With the last couple of years, we have gained access to be able to support a customer, not only in North America, but we're starting to do business with them in Europe.
We are also working to see we are able to get entry into APAC. So, we do compete with local players, but in the data center solutions, most specifically connectivity or networking infrastructure, there are very few, if any, global players and that's what I believ e is our contextual difference.
Most of these customers, Hyperscalers, cloud providers or multi -tenant are large operators. It takes time to build relationships and as I said earlier, our pipeline for data center over the last 12 months or so has significantly improved. We expect those discussions to start to mature as we move forward in fiscal 25.
Tushar Vasuja: Okay, so I must follow up on what you've touched earlier. Any concrete plans to expand in any other geography?
Sanjeev Verma: I think, sir, we are already present in many geographies. We need to build some scale. We're currently operating in many markets, in all the Theaters side. We're present from Auckland, deep in the south and Antarctica to Canada. So, we have quite a bit presence. We are now focused on gaining momentum in some of the markets by leveraging our relationships in North America , with global customers.
As I told before, many of these customers do have global presence and we're seeing those strategies of what I call ‘Glocal’ thinking globally but acting locally coming to .. And so, we are looking for adding a scale in the markets we operate. If we get an opportunity to follow a customer into a market that we may not be present, we would do that.
But currently, with our network of countries that we operate in, we are fairly well covered. We can support many more countries even if we are not physically present through our vendor partners . So, I think we are now focused on building scale and winning, taking our customers in those markets where they are present and gain scale from there.

Tushar Vasuja: T

hank you, sir. That answers all of my questions.
Moderator: Thank you. The next question is from the line of Raj Mehta from Wisdom . Please go ahead.
Raj Mehta : So, I have a question on a domestic front. So, within India, we have seen many developments across the industry we are operating. And so, if you only look at the data centers where we are quite active, there has been many developments here. So, though we only have around 6% revenue from India, so how are we looking at growth in the geography and what will be our plan to expand here?
Sanjeev Verma: Yes, India remains a very critical part of our operations, both from a local business that we serve our Indian customers or multinationals in India or even our Indian multinationals in India. It's also very important for us from our centre of excellence perspective because we have invested heavily in talent in our Bangalore center of Excellence. So, we continue to focus in India.
We are currently exploring our possibilities to expand in areas of data center and large -scale

infrastructure build -out. We have gained some traction. Today, Black Box , is supporting many of newer airports that we're getting built. We are also in conversation with many global players that are landing in India to ex pand the data center footprint.

We're also looking at local partnerships to see that we're able to serve that market as well. So, clearly, we are exploring at this time of what's happening across the globe. Of course, India is a vibrant economy. There's a growth happening there. A lot of global players are coming. We expect that our experience in working with some of these customers, our experience of working at scale with some of these customers in North America would be advantageous to us.

I've spent a significant time last month in India exploring a possibility and speaking to many vendor partners and customers. So, yes, we are looking to focus to be able to grow or expand in the market as well. From a percentage perspective as we grow, I do not see a massive change in terms of contribution of revenue of 6 %, 7% as we scale up.

But clearly, we see growth as well in that market, most specifically exploring data center or supporting other large -scale infrastructure that is getting built and providing the solutions that Black Box has in India as well.

Raj Mehta : Thank you, sir. That was quite helpful. And, sir, what is the order backlog, particularly from North America? So, I believe there has been some de -growth there. So, when do we expect this to normalize?

Sanjeev Verma: No, I think we have had some slight abrasion in terms of order book with respect to last quarter. As I said before, I think it's coming at the back of our planned approach to exit some of our smaller transaction deals. It takes a lot of time and produces little yield for us. A large contract, a large customer approach, a large account management is a little time -taking. And therefore, we've had some slight shrinkage. Our current backlog overall is about $470 million.

At any given point of time, as I alluded earlier, about 60% of our revenues are covered. And that's an annualized backlog. It includes our services, our products, and our projects. We expect

our order book momentum over the next couple of quarters to take an uptrend swing when this large deal starts to mature with our relationship with a focused approach over the 250 customers that I talked about earlier.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Sanjeev Verma for closing comments. Over to you, sir.

Sanjeev Verma: I'd like to thank everyone for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with me, Deepak, o r Strategic Growth Advisors, our Investor Relations advisors

. Thank you.

Moderator: Thank you. On behalf of Black Box Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

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BBOX/SD/SE/2024/59
August 22, 2024 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call hosted on August 16, 2024 on Unaudi ted Financial Result s (Consolidated and Standalone) for the qua rter ended June 30, 2024 .

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter da ted August 12, 2024 with refere nce number BBOX/SD/SE/2024/51 and pursuant to Regulation 30(6) of the SEBI (Lis ting Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on August 16, 2024 on Unaudited Financ ial Results (Consolidated and Standalone) for the quarter ended June 30, 2024, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer
Encl.: A/a

"Black Box Limited
Q1 FY '25 Earnings Conference Call "
August 16, 202 4

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th August 2024 will prevail."

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of Black Box Limited. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and invo lve risk and uncertainties that are difficult to predict.
As a reminder, all participant line will be on listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev Verma, Whole -Time Director and CEO of Black Box Limited. Thank you and over to you, sir.
Sanjeev Verma: Good morning, everyone. I hope you all are well and safe. On behalf of Black Box Limited, I would like to welcome you to our Q1 FY25 Earnings Cal l. I'm joined today by Deepak Bansal, Executive Director and Global CFO, and our Investor Relations Advisors, SGA. We have uploaded our results presentation to the exchanges and trust you have had a chance to review it. We are pleased to connect with you once again.
Let me begin with an overview of our company, followed by a review of our business and financial performance for Q1 FY25 .
Black Box is a leading global digital infrastructure solutions integrator, providing cutting -edge technology solutions and world -class consulting services. We specialize in connectivity and network solutions, data center solutions, modern workplace, and cybersecuri ty across 35 countries.
Our broad global reach, coupled with continuous innovation and deep expertise, drives customer success by seamlessly integrating people, ideas, and technology to solve complex business challenges. With over 4,000 skilled professionals and four decades of i ndustry experience, Black Box delivers secure d, reliable connectivity, and impactful collaboration solutions .
Our presence in major markets underscores our GLOCAL strategy, thinking global while acting local, allowing us to deliver cost-effective solutions across diverse business environments, supported by our Center of Excellence in India.
In the last quarter, our strategic exit from low -value, non - accretive customers caused a temporary dip in revenue. Nevertheless, our focus on productivity and margins enabled us to meet EBITDA targets and came close to achieving PAT guidance . Our core operations demonstrated strong performance, with notable growth in key areas, affirming the resilience of our business model.
Our backlog stands steady at $475 million as of June 30, 2024, bolstered by a robust pipeline, particularly in data center solutions. We anticipate a continuous upward trend in our North

American project backlog. Notable deal wins for the quarter include data center and in -building solutions over $11 million, digital workplace, connected buildings, CX, networking solutions, on-demand solutions, and managed services over $13 million, and KV M solutions over $4 million.
We're excited to report a significant funding boost of INR410 crores to drive growth in key focus areas within the digital infrastructure sector. This capital will be invested strategically in :
Data center expansion, enhancing our capabilities to capitalize on the exponential growth in data center, demand driven by cloud and AI. We aim to become a leading provider for hyperscalers, multi -tenant data center operators, and large enterprise data customers.
Network infrastructure advancement : Expanding our solutions portfolio for enterprise customers and data center operations, including hyperscalers

to support increasing data traffic and improve
user experience at the edge .
We'll make investments in innovation and development in pioneering digital infrastructure solutions, including advancement in cloud computing, cyber security, AI, and IoT .
Go to market expansion : Supporting our strategic growth into key industry verticals with enhanced technology solutions, bolstering our sales and business development efforts in North America and emerging markets. We also made significant strides in our go -to-market strategy and have brought on board seasoned sales and solution architects with industry -specific expertise .
As we progress through FY25, we remain focused on leveraging our strong pipeline and order book with our business segments gaining momentum. We are confident in our ability to deliver improved performance and achieve our revenue and profitability targets.
That concludes my remarks. I now hand over the call to Deepak to r eview the financial

highlights.
Deepak Bansal: Thank you, Sanjeev, for the detailed overview. Good morning, everybody. I will now discuss our financial performance for quarter one FY25. So , revenues for the quarter were lower by 9% year-on-year and stood at INR 1,423 crores in quarter one of FY25. The top line is affected due to our strategic exit from low -value, non -accretive customers coupled with some delay in decision -making leading to delayed project execution and with muted demand for our product business from some federal partners during the quarter.
Our pipeline continues to swell and the order book increased to $475 million as at June 30, 2024.
If you look at EBITDA, we have reported a gr owth of 28% year -on-year to INR 115 crores in quarter one FY25 compared to INR89 crores in quarter one of FY24.
We have seen a consistent growth in our EBITDA margins. For quarter one FY25, EBITDA margins increased to 8.1%, which is a growth of 240 basis points year -on-year compared to EBITDA margins of 5.7% in quarter one of FY24. A strong emphasis on margin and en hanced

productivity continue d to generate positive outcomes reflecting in our EBITDA margins. We are further marching towards FY25 exit at 9% EBITDA margin.
Coming to profit after tax, we have reported a robust 55% growth year -on-year at I NR37 crores as compared to INR 24 crores for quarter 1 FY24. PAT margins stood at 2.6%, growth of 110 basis points year -on-year. We had the higher exceptional items at INR15 crores due to high severance cost during the quarter. Operating performance has resulted in better profitability despite of continued higher interest cost environment .
We have seen a good increase in our earnings per share at INR 2.21 per share in quarter 1 FY25 versus INR 1.43 paisa per share in quarter 1 of FY24. In summary, we are optimistic that this growth trajectory will continue enhancing both margins and overall profitability .
As Sanjeev mentioned, we have secured INR410 crores equity raise earlier in this month in the form of issuance of preferential warrants to existing promoters, marquee investors, and KMP s. We have seen wide participation and interest from various investors. We will continue to deploy the capital for growth and put the best use to enable us for better return on capital employed.
That's all from my side. I will now request Sanjeev to join me for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Saurabh Sindhwani from Sahasrar Capital. Please go ahead.
Saurabh Sindhwani: Good morning, sir. Deepak ji, one question about the severance cost. It has been much higher compared to last year. Should we expect it to stay at the level for the rest of the year?
Deepak Bansal: We are obviously taking some actions in the current quarter and that is why the cost was a little higher. I am expecting t

hat to be hovering at between, let's say, INR10 to INR12 crores in quarter 2 also.
Saurabh Sindhwani: Okay and in H2, are we expecting any more severance costs?
Deepak Bansal: In H2, yes. There will be some severance costs while we are improving and working on our productivity and all those things. It will be some severance costs. Depending on the geographies where we are taking some actions to improve productivity, it will be there. In H2 also, some will be there, but I think it will not be to the extent which is in H1.
Saurabh Sindhwani: Okay. Sir, could you give us a little bit more detail about the funds that you are raising w here would it be deployed exactly and what kind of use cases are we expecting funds to be deployed at?
Sanjeev Verma: I think I answered that in my opening statements. I think we are going to use a large part of the fund for growth, for growth purposes. We are making significant investment in our global market expansion, both verticalizing and creating horizontal solutions, hiring high -end sales professionals with expertise in industr y verticals. We are seeing a massive change in environment for technology, both in the data center and the network infrastructure including 5G.

We will be investing money to make sure that we have the requisite capabilities and solutions crafted in those areas. We will also be making some investments in our delivery and innovation expansion to be able to serve the customers in our hyperscale data center markets. So, all in all, I think the last part of the fund, of course, lies for seeing that we are able to grow. As Deepak said, we will be prudent about making sure that our return on capital is maintained at a very high level. I will give it to De epak to add some more color to it.
Deepak Bansal: I think Sanjeev you have covered it well. So, the idea is to prudently deploy the capital and to

see how we can generate more returns on the capital into the go -to market and into the network infrastructure enhancement and also the extension of the data center practice al l across. Wherever we need to hire a few people in terms of solutions and all those things, we will continue to do from the organic growth perspective.
Saurabh Sindhwani: And sir s pecific to the data center expansion are we looking at some particular geography or will it be for the overall business?
Sanjeev Verma : So, I think we are looking at two specific geographies in that space and both are hyper India and North America. We do serve customers in the European market as well. Many of the m are North American customers, b ut we see hyper growth in the data center, specifically in India where we are constructing our strategy and plan to be a significant player.
And, of course, North America, we are serving large customers like Meta and Amazon and Microsoft. We continue to serve them as well. So, these are the two largest markets and, of course, as I said, we are global [inaudible 13:30] to other markets. But from a focused market, India and North America is the largest market for the data center business.
Saurabh Sindhwani: Okay. Thank you so much, sir. That was all.
Moderator: Thank you. The next question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.
Tushar Vasuja: So, hello, sir. Thank you for the opportunity. I have a couple of questions. In this quarter, you had a degrowth of around 10%. Can you please quantify what part of that degrowth was business or orders that you willingly walked away because of low -value customers?
Sanjeev Verma : So, as I said in the opening statement, we have made a strategic decision to exit low -value long -tail customers. Black Box is serving over a few thousand customers over the last many, many years. We have instituted a strategic program to assess our customer base. 90% of our business comes from top 250 -o

dd customers who are large multinationals. We see a lot of scope in going deeper than going wider with a long tail.
So, we have made specific programs to see that we are able to exit where we don't see long -term value from our customers, not from a smaller customer. So, I think it is across board. We started that sometime end of last quarter. We are continuing to make progress on that. We'll still make some progress on that with respect to assessing and exiting if we don't see value and focusing

on our top customers. To that extent, I think we are investing heavily in go -to-market leaders where we can then scale with our existing customers.
The opportunity with our top 250, top 300 customers is immense and we cannot be everything to everybody. We are a global company. So, therefore, we are able to see that we are able to get value from our customers and focus on our Fortune 500 customers. That's the objective. And therefore, we are exiting from customers that we don't see long -term value or see growth in those customers we will be admitting.
Tushar Vasuja: Is it fair to assume that entire around 10% of degrowth can be attributed to this reason?
Sanjeev Verma: So, it's a mix , right? So w e have added and we have exited. So, clearly, in this case, our additions has been lower than my exit. As we make progress, we expect to add more and exit less. So we expect to continue to grow our revenues from here. So the additions would exceed the depletions or exit of long tail customers going forward.
Tushar Vasuja: Okay. So how long do you expect this exercise to last for?
Sanjeev Verma: We expect that fiscal '24-'25 will continue to exit and assess our long tail customers.
Tushar Vasuja: Okay. And from 2026, you would only serve high -value customers. Is that correct?
Sanjeev Verma: We will serve customers that we believe has long -term potential over the next 3 , 4 years time to become substantially attractive to us. We're still focusing on driving our organic growth and inorganic growth to be a $2 billion enterprise over the next 4 years time. So to that extent, customers who are accredited for us have long -term value. We're investing in those customers, investing in sales motion, investing in leadership and talent. And that's the way we want to go.
Tushar Vasuja: Okay , sir. Fair enough. And s ir, when you talk about delays in decision -making, is that on your end or on your client's end? And also how long will this last also?
Sanjeev Verma: So I think specifically for our product business, there have been some delays with respect to our Federal customers, which is about 15% of our business. So that was our technology product business. We do long -term projects with large customers. Sometimes, it is linked to their site being ready. So it's not if, it's when. And those sometimes take a little bit more time than planned. And that's what happened in quarter 1. So we did have some delays in some of our large project execution.
In our project business, it's important for us that the site is ready for our engineers to run the projects. So if there is a delay, there could be a mismatch of revenues in a certain quarter. It's not a standard trend, but it does happen once in a while. And we saw some dip of our revenues

getting backlogged because we couldn't complete certain projects largely from a customer interest point of view. Sometimes, we do have delays in some product supplies from third -party vendors if you're doing a project. So a mix of customer side, a mix of customer when the revenues that cause a little bit delay, causing a mismatch in a quarter.

Deepak Bansal : And also, just to add, the project delays are also triggered by a little bit of the economic situation right now, where there's a little bit of confusion on the hard le

nding, soft lending and then the Fed interest rates and all. So we are expecting that as soon as Fed starts reducing the interest rates, these environments will improve. And because the customers are also prudently going on with respect to spending, because if they go slow on the work, obviously, their spending a li ttle bit gets slowed.

So they are timing it basically with the Fed taking some actions, which we are expecting that Fed should take the action by September to reduce the rate. And as soon as that cycle starts, the overall sentiment at the customer's level will also change in terms of faster project execution.

Tushar Vasuja: Okay, sir. Sir, I have a bit of a qualitative question for you. Approximately 75% of your revenue comes from the North American region. And you also talked about the hyper growth space for Indian data centers. So I want to know how different is India's data center ecosystem and potential for growth when you compare it to a more matured market like U .S.?

Sanjeev Verma: So from a maturity perspective, clearly America's maturity curve is higher and the demands are a little different. India is also a hyper growth market. I think over the last couple of months, I think the total number of projects in India on the ground for data centers specifically was about 1,300 megawatts. It is now forecasted to double, more than double to 3 ,000 megawatts.

And should AI catch momentum, it's going to go several times more than that, right? So a larger part of the environment is largely based on the cost and pricing. The per megawatt build -out of data centers in India is much lower, largely at the back of lower labor costs.

But I think most of the players coming to India are global players apart from the local players as well. And so, therefore, from a maturity perspective or a quality perspective, I think it will be consistent to what North America would have, except for the fact that the total cost outlay for data centers in India is significantly lower, nearly half. And that's largely at the back of lower labor costs in India.

Tushar Vasuja: Okay , sir. So, I guess, just one last question. Do you have any sort of seasonality in your business? Like how much do H1 and H2 usually contribute to a full year's revenue?

Sanjeev Verma: So I think from our perspective, we expect that H2 to be higher than H1. There is an element of seasonality to an extent that there is a budget and a fiscal year norm. In India largely, the fiscal year ends in March. So , therefore, if you have an India -specific business, people want to utilize their budget in the Jan, Feb, March period, specifically if they're doing capital -intensive work. And if you have capital left, you want to use it to your budget.

Similarly, in America, there is a calendar year. So the third quarter, for some federal customers or some customers that have budgets to consume, we'll do that. So we expect that H2 to be better than H1 from that perspective considering a certain element of seasonality or use of budgets to be used for projects.

Moderator: Thank you. The next question is from the line of Vivek Choraria , who is an individual investor. Please go ahead.

Vivek Choraria : Hi, Sanjeev and Deepak. Thank you for the chance. Sanjeev, what gives us the confidence of meeting our guidance? We're constantly missing on our top line and our commentary hasn't changed. I mean, even to meet the lower end of our top line guidance, I mean, our revenue for the next three quarters has to be close to INR1,700 crores and we're at INR1,450 crores. So, can you just explain the math to me? Because it seems a bit daunting to meet the revenue guidance and then consequently, the EBITDA and the PA T guidance as well ?

Sanjeev Verma: Yes, Vivek, thanks for the question. As I said before, I think we have made a strategic call after assessing as to wh

ere we want to go and how we want to get there to make sure that we are getting profitable growth. We suited our assessment of a go -to-market sometime in the last quarter of the last fiscal year and made a decision to transform the business, especially in North America, with go -to-market being verticals, going deeper in industry verticals and horizontals,

taking an assessment o f our large data customers over a few thousand and assessing what is the value that we create for us in terms of operating margins. And we made a call saying we'll focus on our top customers to go deeper because their ability to spend is very, very high. A nd to that extent, we have been gradually increasing prices to our low end customers or exiting if we don't see value.
And we are going to continue doing that. But we expect as we move forward that we now have the pipeline, the team in place over the last six months, and we are completely making the investments, which will start to catch momentum where our growth additions from our focus accounts will exceed or far exceed our depletion of some small cuts that will take into our long - tail accounts. So , we expect our quarter two moving forward to be better than quarter three and quarter four.
We expect our second half of the year to be significantly better than the first half. We are still guiding within our revenue guidance range for the year. We are confident of meeting our EBITDA and PAT norms for the year that we've had before. So having said that, I think I know our quarter one has been lower as I called out because of our exit of some low -value customers. We are turning around. We expect our momentum to catch up going forward.
We expect our second half to be significantly better. We expect some of our investments in our large accounts and the team that is in place will become accretive going forward in quarter three and quarter four. We expect we should be able to meet our guida nce range for revenue, especially for EBITDA and PAT as well going forward.
Vivek Choraria : Okay. Thank you for that. So slightly a longer -term question. I mean, you've now spoken at the end of a 2 billion target in the next four years. I mean, right now we are close to $700 million, $800 million. So , I mean, that's quite a huge jump, right? 2.5x to 3x . Do you have the team in place? I mean, are the building blocks being shared ? Because I mean, and that will of course be amidst of organic and some acquisitions.

How confident are we as a company to be a $4 billion company say by FY '28 or FY '29? I'm guessing by FY '28 or FY '29 is the target. And then consequently, I'm guessing the margin profile will obviously will be very different. Just a slightly longer -term outlook would be great.
Sanjeev Verma: Thank you. I think one of course, it's important for us to put a goal in front. We have put ourselves into an accurate goal of getting the $2 billion business in the next four years' time. We are currently at a range of $800 -odd million. We are expecting organically to take this business to $1.2 billion, $1.3 billion with a double -digit growth going forward for the next several years. And yes, we will be looking at, to be able to go to 2 billion, we will have to look at inorganic growth. That is part of our strategy. We will be looking at equity growth. We will not be emotional about economics.
So should we get into some assets that we believe are valuable, we'll do that. But first things first, we are focused on going into organic growth. Coming back to the question of investments, yes, we are making significant investments already made. We have divided our North American business, which are largest businesses, into five verticals and worldwide into five horizontals. All the vertical leaders are in place. All the horizontal leaders are in place at this time.
We're making also investments

in high -value business developers who have a relationship to get into accounts that we want to serve. With the investment, the momentum catching up now, we expect to build a significant momentum in fiscal '25. We expect going forward from fiscal '26 to become highly accretive and to be able to meet our double -digit organic growth aspirations. And as we move forward, we'll continue to explore assets that will be accretive for us, that will allow us to bring in additional revenue inorganically to guide us towards our $2 billion goal. So we will continue to guide ourselves towards that. We are cur rently focused on reorganizing, revitalizing, and reinvesting in our sales go -to-market motion.
I've called that out earlier in our press release, in our conversations, that that's our focus now is growth, growth and growth. Of course, we have to grow in a disciplined and profitable manner, and investment to that extent has been made and is being mad e, and expect as we start to get to the second half of the year start to become accretive. And we start to get into the next fiscal year, we start to get speed on that and take it from there.
Moderator: Thank you. The next follow -up question is from the line of Tushar Vasuja from Yogya Capital. Please go ahead.
Tushar Vasuja : So, thank you for the follow -up opportunity, sir. I have some questions on your order book. So, what's the execution period for current order book?
Sanjeev Verma: Okay, so I think on average the execution period is of various types. So, we have annual maintenance contracts that last for a year. Our average project size are nine months. Some of them are six months, some of them are 18 months, some of them could be longer. So the average

size of our projects is about nine months. We do have annu ity contracts that last for a year. We do also serve a lot of customers on demand that are practically revenue at the point of sale.

So, our product business is revenue at the point of sale. So , we have a mixed bag from our revenue streams, right? Some are projects longer term, some are annuity contracts, some are product sales where we sell products from a technology products perspective. And a significant part of our business is services, which is on P &L basis, which is at the point of sale, right? So , it's a mixed bag from an order book perspective.

Tushar Vasuja: Okay, so how much of your order book will be executed in FY '25?

Sanjeev Verma: So, I think an order book is a point in time, right? So , I think we continue to burn order books, we continue to add order books. Our focus is to see that our order books exceed our revenues for the year.

In general, we focus on order books to be 25% more than our revenue plan for the year, right? So, if you look at our current order book, possibly we'll consume 60 %-70% of that in the remaining part of the year, but we'll be adding an order book over the next 5 -7 months. Some of them will be consumed in the current part of the year and some of them will become a backlog adding to the backlog of the remaining 475. So it's a catch and drops. Our goal is to close the year bigger than last year from a revenue pe rspective and open the order book bigger than the last year's opening order book.

Tushar Vasuja: Okay, sir. So you mentioned that for an average 10 -year record order, it's around 9 months. So what would be the average monetary value of an order?

Sanjeev Verma: Average monetary value of an order, I think it would be difficult to predict an average monetary value of an order considering your products, projects, large projects. So if you divide it by our customers about 90% of the revenue comes from 250 customers. So you can take 90% and divide the 250, you get an average value from the customer.

Tushar Vasuja: Okay, sir. Fair enough. I have some questions on a technology product solution

division. So
margin performance of the segment has been very inconsistent for some quarters. So can you please add some color on it and when will that segment be able to consistently be profitable?

Sanjeev Verma: You're talking about gross margins or operating margins?

Tushar Vasuja: Operating margins, EBITDA margins.

Sanjeev Verma: Okay. So from a gross margin perspective, we do about northward of 40%. Our business technology products breaks even at about $20 million. So every dollar outside of that is highly accretive.

As we move forward, we plan to grow the business in this current year over 20 -odd percent. So if you look at the current fiscal year, it will be equal accretive or more from our 9% guidance perspective that Deepak called out that will end the current year time. So I think we expect the year for TPS to be accretive equally or more than the 9% that we're guiding for the year.

Tushar Vasuja: Okay, sir. So I have one question regarding this. Do you manufacture products or is it outsourced or privately labeled?

Sanjeev Verma: So we have both. So we have our own control room products sold under Black Box Emerald brand for which we have an R&D center in Ireland and Bangalore. We do also have contract manufacturing products sold under Black Box brand. The focus is, as we move forward over the next few years' time to focus more on our IP -led products that have higher margins. And to that extent, we are again, investing in those areas. We just expanded the R&D in Bangalore. We expect the percentage of own IP products to increase significantly quarter after quarter going forward and therefore be accretive for us as we g row that business as well.

Tushar Vasuja: Okay, so one last question. How much of your revenue comes from data center -related solutions?

Sanjeev Verma: So our revenue from data center solutions last year, Deepak I correct me if I'm wrong, was close to $150 million. No, it is around $175 million.

Tushar Vasuja: Yes. Okay, and in this quarter

Sanjeev Verma: That was the annual number.

Tushar Vasuja: Yes, I'm asking, can you provide a similar number for this quarter?

Deepak Bansal : We, this quarter it should be around $40 million or $45 million, but ye s, we don't have the exact numbers but ye s, it should be around $40 million , $45 million.

Tushar Vasuja: Fair enough, sir. Thank you. That answers all of my questions.

Moderator: Thank you. The next question is from the line of Harish Jain, who is an individual investor.

Please go ahead.
Harish Jain: Good morning, sir. Sir, I wanted to understand our strategy on the interest part. So as we can see that our debt for FY '24 was around INR400 crores but our interest cost was around INR140 crores. That's 35% of our debt. Even if we include lease liabilities and there are some costs related to lease liabilities in this still the interest cost is pretty significant compared to the debt we have. So what's our strategy to it? And I have a second part to this question as well.
Deepak Bansal : So, the interest, you rightly told that we have the debt of close to around, let's say INR350 crores. So on a, sorry not on INR350 crores , INR400 crores. So on a INR400 crores we have the interest, which is basically in the range of SOFR plus 250 basis point. And then we have a $100 million of the AR securitization facility, which is an off -balance sheet non -recourse facility. That is an off-balance sheet facility. And that the cost of the securitization of that $100 million also get accounted for in the interest line. And that is why you are not able to correlate the total interest cost with the overall borrowing on the balance sheet of INR400 crores.
Harish Jain: So this is where my second question comes in. So our PAT is almost equivalent to our interest cost. So why, as a management, are we bearing such high in

terest costs when we are so sound
in our balance sheet and we have the ability to raise large sums of money? Why don't we, as a management try to reduce this cost, which will significantly increase our PAT? As we can see that FY '24, PAT is equivalent to the annual interest cost.

Deepak Bansal : No. So our interest cost is SOFR plus 250 basis points. And SOFR right now is at around 6% because of the high interest rate environment in US, which is not in our control. When the 6% SOFR cost comes down to probably 3%, 4% in next one year time, our interest rate will automatically reduce. Can we reduce the margin of 250 basis points with bank charge? Probably by 25 bps. There is no scope more than that because that's a reasonable margin of the size of the company we are. So basically our interest cost is on the AR securitization facility of $100 million, which is off balance sheet and on the INR400 crores of the debt, which is on balance sheet.
Harish Jain: So how much of this INR140 crores would be the off balance sheet cost? I mean, cost related to the $100 million facility?
Deepak Bansal : Yes. So the $100 million facility will be around eight and a half, around INR70 crores.
Harish Jain: Okay. And we use this facility to convert our receivables, right?
Deepak Bansal : Correct. Because basically our business is a -- we need a working capital to run the business. And for that working capital is funded through AR securitization. So the AR securitization facility cost goes into the interest rate.
Harish Jain: Understood. But so do we have any plans to reduce the INR400 crore s debt, given that we have INR200 -odd crores in cash as of FY '24, and then we have raised significant equity. Do we have plan to reduce the debt? Or we are comfortable with the debt levels?
Deepak Bansal : So, we are as such comfortable at the debt level, but ye s, we will not leave any opportunity where we can reduce our debt. But the idea is to deploy the capital on the growth, because the cost of the debt is only 8%. And if we deploy the 8% capital into a better growth in terms of the revenue, which we can churn on the cycle on the inventory, on the working ca pital cycle, we can generate a better return as compared to reduction in the debt.
So it's like a trade -off between the business opportunity versus reduction of the debt. So we'll continue to look at that. If we have the business opportunity, obviously, we will not reduce the debt. Otherwise, we will park the cash into reduction of the debt.
Harish Jain: Understood, sir. That's a fair call. I have just one more question. I was reading Facebook's result of last quarter, and they seem to have again, restarted the capital cycle. And we continue to say that there is a headwind in terms of delay in decision making. So do we see that changing on ground as of today, given what ha s happened in what is announced by Facebook?
Sanjeev Verma : So, I'll take that. I think, Facebook did announce increasing capital outlay for this fiscal year, about $5 billion. So Facebook happens to be a large customer. So when you say about the market dynamics, it's not a particular customer, which we continue to serve Facebook, we expect large orders from them over the next couple of months. So that will continue.
So from an overall perspective of the mix of financial sector, we have exposure to the data center, which is a credit for us. There are manufacturing companies. So in totality, including some

federal businesses, we have to have product business. So we do see scope of hyper growth in

certain areas.
So it's a mixed bag, right? So we're not expecting anything to fall off from specifically AI -led customers. And therefore, we're investing heavily. If you see when our data center solution network refresh, which is now becomin

g wired, wireless, and more software defined, we're adding capabilities, adding go -to-market to specifically industry vertical solutions is largely at the back of that, because s ome industries will do well, while some will not in a certain environment.
We are agnostic to industry. We are, of course, lucky from that perspective that this is a digital infrastructure decade. There are a lot of data centers getting built. And therefore, we have taken a call to make significant investments. Some investments take time. These are large customers. The selling cycle sometimes are 6 months , 9 months. But once you're in, you're in for a long haul.
So we continue to look at those opportunities, those sectors that have seen hyper growth, be it semiconductor, be it AI -led data centers, be it large infrastructure buildout . Black Box is very well suited with experience to serve those, while some of the other sectors might have some headwinds, be it the banking sector, be it t he federal or other industries. We believe that we have a good potential for us to grow with the portfolio we have, with the customer set that we have.
We need to bring in high -quality talent, which we are doing at this time. We wanted to get deeper with our customers, which we are doing. And as I said before, we expect as we move forward in this fiscal year, the second half, of course, we'll catch moment um. And keep going forward in the next year, of course, we'll catch momentum because we would have, our investment would have started to mature and become more accretive.
Harish Jain: Understood, sir. That's all from my end. Thank you.
Moderator: Thank you. The next question is from the line of Payal Shah from Billion Securities. Please go ahead.
Payal Shah: Good morning, sir. Thank you so much for the opportunity. I have two questions. First, I just wanted to understand, apart from data centers, which of our business has a good headroom for growth? And what has been the trend in that particular business?
Sanjeev Verma: So I think from a solutions perspective, I think our data center business has growth. Our networking business, both on the wireless side and both on the wired side, a private LTE, large infrastructure rollouts are accretive. Our high -tech business, we serve customers like Intel.
We are expanding the fab plants, the semiconductor plants. These are high accretive areas for us. But more importantly, most of our solutions are actually supporting mission -critical operations, be it networking. If you look at the next generation applications, will require high - speed connectivity, high -speed network. We all know that we want to have very fast internet.
We want our devices, applications and devices to run faster.

Black Box is in the business of creating that digital highway on which this runs. But some industries are making bigger investments, some are making late investments. But in general, we believe the next 5 years , 7 years , 10 years' time would be the era for creating next -generation infrastructure, be it in India, airports getting built which will be connected.
We have face recognition. We have video cameras on the streets. Now, these require heavy investments in infrastructure so that we are able to have those connectivity and the network to transport a massive amount of data to regress and analyze. And I think we are in the forefront of building those infrastructures across industry verticals, some putting larger capital outlays, some putting smaller.
But nevertheless, there is going to be a change sooner or later over the next 5 years , 7 years , 10 years' time to rehaul this infrastructure. And therefore, we believe we are at a very good spot to capitalize on this over the next several years.
Payal Shah: That's quite helpful, sir. So, my next question is, in our consolidated revenues, how much contri

bution would be from the inorganic acquisitions we have done in the past? And how much would be organic?
Sanjeev Verma: We haven't done any inorganic in the past year or so. So, barring a small $4 million or so that we did, this is largely organic. Going forward, as you said, in two parts, we expect our current focus is on organic growth, double -digit taking us from a curre nt $800 million kind of a run rate going to $1.2 billion to $1.3 billion. Inorganic is opportunity -based , based on being effective.
Our goal of getting the $2 billion does have an inorganic element to it. But our current focus is to put our heads down, get into our organic growth, maintain our profitability benchmarks, get to our 9%, 10% goal that we have. And as and when we feel that we are ready, we got something

which is a credit for us from an organic perspective, we will do that. But that's not our everyday focus at this time. Our current focus is to grow organically.

Payal Shah: That's quite helpful, sir. That's just from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Sanjeev Verma for closing comments.

Sanjeev Verma: I'd like to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with us or our Strategic Growth Advisors, our Investor Relations Advisors .

Moderator: On behalf of Black Box Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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BBOX/SD/SE/2024/89
November 14, 2024 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call hosted on November 11, 2024 on Unau dited Financial Results (Consolidated and Standalone) for the quarter/hal f■year ended September 30, 2024 .

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter dated November 6, 2024 with refer ence number BBOX/SD/SE/2024/81 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclo sure Requirements) Regulat ions, 2015, the transcript of the Earnings Call hosted on November 11, 2024 on Unaudited F inancial Results (Consolidated and Standalone) for the quarter/half■year ended September 30, 2024, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer
Encl.: A/a

"Black Box Limited Q2 & H1 FY25 Earnings
Conference Call"

November 11, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange o n 11th November 2024 will preva il."

MANAGEMENT : M R. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – BLACK BOX LIMITED

MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND GLOBAL CHIEF FINANCIAL OFFICER – BLACK BOX LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 & H1 FY ' 25 Earnings Conference Call of Black Box Limited.
This conference call may contain forward-looking statements ab out the Compan y which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future perfo rmance and inv olve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be on listen-only mo de and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev Verma, Whole-Tim e Director of Black Box Limited. Thank you, and over to you, sir.
Sanjeev Verma: Good morning, everyone. I hope you all are well and safe. On b ehalf of Black Box Limited, I would like to welcome everyone to our Q2 and H1 '25 Earnings Ca ll.
I am joined today by Deepak Bansal – Executive Director and Gl obal CFO, and our Investor Relations Advisors, SGA.
We have uploaded our results presentation and trust you have h ad a chance to review it. We are pleased to connect with you once again.
Let me begin with a brief “Overview” of our Company, followed by a “Review of our Business and Financial Performance.”
Black Box is a trusted global leader in digital infrastructure delivering cutting- edge technology solutions and expert consulting s ervices across (+35) countries .
The Company specializes in conn ectivity, data centers, modern workplace, enterprise networking and cybersecurity. We help businesses drive success by seamlessly integrating people, ideas and technology to solve complex challenges.
Coming to the “Quarterly Highlights”:
We are happy to report that the Company posted a strong 60% Y-o n-Y jump in profit after tax of 51 crores and a 34% jump in EBITDA to INR 135 crore. Our foc us on improving overall profitability continues as the business focuses on cost optimiz ation and improvement in price realization.
To bolster operating performance and profitability further, we have renewed our go-to-market business model and sharpened our long-term business strategy to propel opportunities in the

digital infrastructure space with growing demand from technolog ical advancements the world is experiencing which will exacer bate as AI permeates further.
For example, the CAPEX spend by the largest cloud providers an d hyperscalers is expected to significantly increase over the next few years, leading to hype r expansion in data center and networking capacities. Consequently, we have also increased our focus in the data center infrastructure space with our existing and new hyperscale custo mers and other co-location operators.
During the quarter gone by, the Company's revenue grew 5% sequ entially. Continuing hold-up in decision-making led to delayed project execution impacting r evenue growth. However, we continue with our strategic focus on acquiring high-value custo mers. Our improv ed productivity and pricing efficiency are yield ing better operating performanc e, leading to strong profitability.
Our order pipeline continues to be robust with our backlog at US$455 million as of September 2024. We expect the project backlog to grow in the future as we are taking various initiatives to grow our revenues, including India, where we see growth in digi tal infrastructure spend driven by data center build-outs.
In this regard, we have renewed our go-to-market operating mod el with the adoption of industry vertical and technology horizontal approach designed to enhance customer centricity and provide deeper engagem ent

with innovative, cutting-edge technol ogy solutions across diverse industries.
We plan to focus on 300 of our top clients. We have invested s ignificantly in augmenting go-to-market leadership talent and hi gh-quality sales teams, includin g business development managers. We expect to see results in the form of a growing ord er book by early fiscal 2026..
Black Box currently serves many Fortune 500 customers across t he world. By reorganizing our operating model into industry-focused verticals, we will better serve with deep-domain knowledge, provide very contextual technology solutions. The mo del will foster trusted partnership with customers and provide industry specialized sol utions. By reorganizing our

operating model into industry-fo cused verticals, Black Box will serve growth sectors such as financial services, technology, healthcare, consumer and public sector, including commercial and industrial.
Black Box has built transformational technology capabilities t hat will drive customer success and enable them to succeed in the marketplace. The horizontal t echnology practice areas in connectivity infrastructure, dat a center solutions, modern work place, enterprise network and cybersecurity deliver innovative solutions contextual to the in dustry verticals. This metric structure will ensure that the Co mpany continues to offer relev ant solutions to the specific needs of each sector. This reorganizat ion drives growth by deepening customer engagement.

As a trusted partner, Black Box offers industry sector specifi c knowledge and insights gained through years of multi-site service for a diversified set of cl ients. This expertise brings significant value and differentiation to our customers.
Our service delivery is strengthened through standardized, rep eatable, safety-first methodology that provides consistency, best- in-class service quality at spe ed and optimized cost. Black Box is proud of differentiating in t he market with well-trained, ce rtified talent with extensive experience across infrastructure technologies. The global deliv ery model enables Black Box to provide seamless services across boundaries and in 35 countries , which will augment our revenue growth.
Further, the Company has also established an ESG roadmap, whic h emphasizes sustainable practices across our operations with a steadfast commitment to positively impacting the environment and society while maintaining the highest standards of governance. With a shared commitment to value creation and business excellence, we are bu ilding a sustainable future at Black Box.
Just to “Summarize”:
The digital landscape is constantly changing and every change i s an opportunity. The demand for digital infrastructure is increasing and Black Box is well positioned to lead this advancement, being constantly relevant to changing dynamics and innovating n ew possibilities in infrastructure, networks, data centers, cyber security, we take pride in being the backbone of technology infrastructure that future enterprises can trust and rely on. As we continue to expand rapidly, we are committed to emp owering and accelerating our cu stomers' business growth.
That concludes my remarks. I now hand over the call to Deepak to review the financial highlights.
Deepak Bansal: Thank you, Sanjeev, for the detailed overview. Good morning, e verybody.
I will now discuss our “Financial Performance” for Quarter 2 an d the First Half FY '25:
Revenue for Quarter 2 FY '25 stood at INR 1,497 crores compare d to INR 1,574 crores in Quarter 2 of FY '24. For the first half of FY '25, revenue stood at INR 2,921 crores compared to INR 3,146 crores in H1 FY '24.
Hold-up in decision making led to delayed project execution ha s impacted the revenue. The renewed GTM strategy that Sanjeev spoke will drive our revenue growth in the coming quarters. The Company has

demonstrated notable financial strength, repor ting strong quarterly and half-yearly EBITDA and profit after tax. EBITDA for the quarter incr eased to INR 135 crore reflecting a growth of 35% Y-O-Y and 18% quarter-on-quarter.

For H1 of FY '25, EBITDA grew by 31% Y-O-Y and stood at INR 25 0 crore. EBITDA margins for Q2 FY '25 improved substantially by 260 basis points Y-o-Y to 9%, whereas for first half FY '25, EBITDA margins improved by 250 bps Y-o-Y and stood at 8 .6%. The operating margins continue to improve on account of our consistent efforts on pro ductivity enhancement and better price realization.
Profit after tax for Q2 FY '25 surged by 60% year-on-year and 38% quarter-on-quarter and stood at INR 51 crore. For H1 FY '25, PAT increased to INR 88 crores reflecting a growth of 58% Y-o-Y. PAT margins improved by 140 bps Y-o-Y and stood at 3.4% in Quarter 2 of FY '25, whereas H1 FY '25 PAT margins stood at 3% reflecting a growth o f 120 bps Y-o-Y.
Strong operating performance has resulted in better profitabil ity. Our commitment to enhance financial performance through operating leverage is beginning t o yield positive results as evidenced in our profitability. As we organize our go-to-market strategy, we anticipate increase in our order book resulting in higher revenue and thereby bette r profitability and improved cash flows.
We have secured equity funding of INR 386 crore in the form of issuance of preferential warrants

to existing promoters, marquee investors and KMPs. This will st rengthen our balance sheet and help us make accelerated investm ents to propel growth across th e key growth areas.
That's all from my side. I will now request Sanjeev to join me for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vivek, who is an individual investor. Pleas e go ahead.
Vivek: I just had a few questions. On the India business front, are w e planning something to increase the growth rates? I mean, there is a lot of momentum here in th e data center space. So, do we have any plans to somehow grow the business because we are at a very small base?
And my second question is, have we sort of set the building bl ocks in place for growth to accelerate from now on? I mean, we have done good work on the m argin fund. So, do we expect growth to start kicking in from FY '26? And are we still confid ent because we have given a very ambitious target of maybe 2 b illion by FY '28, are you still co nfident and are we on track for that?
Sanjeev Verma: Thanks, Vivek, for the question. Sanjeev here. The first and f oremost, the answer to your first question is yes. I think we believe India is a huge story. I th ink not too many countries, if any, have a growth rate of 6%-7%, if not more than that, sustainable work for the next several years. And we are seeing the need for enhanced digital infrastructure as much as in India and including build out of the data centers and stuff.
So, we are increasing our footprint, adding our talent in Indi a as much. We believe India is definitely a growth story and should be part and parcel of our growth plan. I have spent substantial time in India. I am trying again shortly about a we ek's time to assess. We are currently

also speaking to some of our marquee global customers who are a lso expanding into India to land with them as their partner for India as well.
So, the answer is yes. The domestic market looks strong. We ha ve a presence there for a long period of time. We have a Center of Excellence in Bangalore. We have a huge presence all across the market. So, we are definitely bullish now to investing on o ur talent and our go-to-market motion as much as we are doing in North America to see that we are able to capture the India growth story

and bring our growth momentum in India, which will overall drive our growth in Black Box.
For your second question with respect to our plans for over th e next several years' time, the answer is yes. I think as you are aware, we have been talking a bout for some time with respect to improving our margins and profitability, which we have been very focused on. Earlier on this year, I think with the management team, I think we have decided to change our go-to-market motion.
We have very many customers that we serve, very, very marquee customers, hyperscalers, which we serve including the likes of Meta and Microsoft, which have massive spend, and we decided to change our go-to-market with vertical-specific solutions, ho rizontal solutions that we have.
We have invested heavily, so we believe that I think our go-to- market strategy with deeper engagements will yield results. Our focus is on top 300 custome rs which have the mighty spend in IT, which continues to grow with significant advancement in AI in infrastructure.
So, the answer is yes, we are focused on a 2 billion goal over the next 3, 4 years' time, and we are making our adjustments, investments and changes in our go-t o-market motion to be able to drive that kind of growth that we have.
Moderator: Thank you very much. The next question is from the line of Sau rabh Sadhwani from Sahasrar Capital. Please go ahead.
Saurabh Sadhwani: Given our quarterly margin of 9%, should we think that this is the long-term optimum margin, or is there a further scope of expansion?
Sanjeev Verma: I will take that. I think our expected goal or a projected goa l for margin, operating margin is a 10% sustainable margin, and so we definitely expect to improve and become better, as Deepak said, with growth in revenues, with continued focus on discipli ned growth and maintaining operating efficiencies, we expect our margin to start to track to 10% and beyond from here.
Moderator: Thank you very much. The next question is from the line of Shi rish Jain, who is an individual investor. Please go ahead.
Shirish Jain: My question is for Sanjeev. Sanjeev, with the launch of signif icantly more efficient GPUs, which are driving rapid AI innovation, how do you see the data cente r market both in U.S. and India to evolve? And as hyperscalers push forward the big data center s, we are talking about gigawatt

scale data centers now, so what specific opportunities do you s ee for Black Box to capture this

new leg of growth? And how can we organically grow in this land scape?
Sanjeev Verma: That's a very good question. So, with respect to adoption or d rive towards GPU, largely it's based on high computational power to put it simply, to again drive en d user experience. With the amount of data being harnessed now, I think we have another fiv e, six years to go before all the data that we have, all that we d id over the last several hundre d years, will be harnessed and therefore our all information w ill need to be com puted faster a nd therefore the need for GPU.
So, when you start having a GPU, of course it makes your compu tational fast, your data center very dense and the need for a high-speed network becomes extrem ely important, right? So, therefore, we see the digital infrastructure will have two play s now, one of called repurposing the old infrastructure from Brown field perspective to support h igh computational power and AI and of course build out of a new infrastructure, new data cente rs AI led to drive the amount of user experience that we are talking about, autonomous cars, we are talking about drones and so on and so forth.
So, either way, we believe the capacity for the data center to compute and of course we need a pathway for the data to travel f aster, both will be required. A nd Black Box is positioned rightly at the center from our portfolio perspective to build

the corre ctive infrastructure, to provide the
enterprise networking for data c enter clients and end user clie n t s , r i g h t ? S o , w e s e e t h i s opportunity as for us as helping to propel that build out of in frastructure.
So, clearly, adoption of AI, GPU implementation will drive mor e data, need for more speed, and therefore need for better user experience and all this requires for the digital highway, which Black Box builds to be more important and critical because if y ou do not have that infrastructure, the experience won't be good. So, that's the first part.
The second part, of course, you talked about is build out of g ig scale. The answe r is yes, I think it's progression. AI requires 10x more computing power inside a rack. An average rack used to be between 5 and 10 kilowatts. We are talking about putting an AI GPU that requires 50, 60 kilowatts. So, that's 10 times more. So, therefore, the power r equires is 10x more. And those kinds of scales ills are getting built, which will have high-de nsity, high-speed network, robust computational power, more importantly storage and so on and so forth.
So, we are fully capable. We are working with customers in tha t space. I talked about earlier like Meta and Microsoft and others who are hyperscalers who are talk ing about Gig scale in the US. I am sure they will come over at India and other markets. It's only a matter of time and we have the experience and expertise working with many of these custome rs in the last several years' time. So, we are partnering with them to address that scale.
Of course, the challenge of power remains. They will require a lot of power. The challenge of cooling remains. And of course, the challenge of supply chain r emains because you have to build the power plant. All of this also needs to be done in an enviro nmentally friendly manner, right?

So, I think from that perspective, so, there is a plan. The U. S. alone requires about 10,000 megawatts over the next several years' time. India today is abo ut 800-900 megawatts going to 1,300-1,400 and then planning about 3,000 megawatts next severa l years' time.
So, this build-out is going to continue. This is just the begi nning. And I think we are focusing on addressing that. And earlier on, if you look at our focus on go-to-market change, it's precisely at the back of getting deeper with our customers so that we can partner, learn and implement together. And I see it as a humongous opportunity for us over t he next several years.
Shirish Jain: Thank you for the very detailed answer. My second question is regarding our ambitious target of FY '27 with $2 billion in reven ue and 10% EBITDA margin. So, our current revenue run rate is still under $1 billion. So, how confident are you of achievi ng the FY '27 targets?
Sanjeev Verma: So, we remain positive and confident. I think we realized earl ier on, I think that our go-to-market structure wasn't designed to be able to bring in hyper-growth a nd therefore we invested in high quality talent, reorganize our g o-to-market with vertical focus and horizontal focus. So, we are still in the process. We are investing heavily.
We also realized that we should be, we cannot be everything to everybody. So, therefore we decided to focus on our top 300 customers, which includes many of these large spenders in CAPEX, be it a high-tech semiconductor industry or hyperscaler industry or large financial institutions. So, that's the focus.
So, with our focus metrics focus on go-to-market with vertical ized approach and some of the hyper-growth areas of data center, networking, some of the mark ets like India, where we now want to focus on, we were not very focused on the last several years. But I think the, with 1.4 billion people, highly digital economy in India, we believe it' s a massive opportunity for us.
So, combination of o

ur geographical presence, a combination of our ability to serve some of the
largest customers with massive technology spend and our combina tion of our investment in high
quality talent, business development focus on top 300, I think we remain positive and bullish
with respect to our aspirational goals. We have some work to do here.
As I told in earlier call, we are seeing our pipelines improve with large deals. We expect starting
fiscal '26, the first quarter that those will turn into large o rder books and from there we will take
it forward to drive further growth in revenues and continue to be disciplined and maintain our
march towards 10% operating margin and more.
Shirish Jain: Also just to add, this 2 billion target is in 4 years, which i s by, let's say, '28-'29. So, not '27.
Sanjeev Verma: Yes, so I think our larger focus remains organic and I think t hat also is baked with some inorganic
process, but I told before many times we are not emotional abou t economics. So, if you find
something accretive, that will allow us to drive faster towards the growth. We will do that, but I
think the larger organization, our investments are focused towa rds organic growth, and I expect

the positive momentum pipeline to turn into order books as we s tart to go forward for the next
several quarters.
Shirish Jain: Just one last question to Deepak on bookkeeping. So, other exp enses as a percentage of revenue
fell significantly in this quarter compared to 9% in Q1. This q uarter it was 5.5%. So, what drove
this decline? And is it sustainable?
Deepak Bansal: So, sorry, which are the expenses you are talking about?
Shirish Jain: Other expenses as a percentage of revenue?
Deepak Bansal: Other expenses as a percentage to revenue has gone down primar ily little bit because of the
revenue because if you see in Q1, the other expenses were 320 c rores and in Q2, it is 319 crores.
So, it is like the other expenses remain in the same level in t erms of most of them as a fixed cost,
but as a percentage of revenue, they are looking down because t he revenue is up from 1,423
crores to 1,497 crores.
Shirish Jain: Just the other expenses part as I am talking about the P&L tha t you have released. I will take this
question offline.
Moderator: Thank you very much. The next question is from the line of Nam an Baradia from RV
Investments. Please go ahead.
Naman Baradia: So, I had two, three sets of question. First, how will you use the proceeds of the QIP? Can we
continue all the questions or one by one?
Sanjeev Verma: You ask all the questions, and we will take one by one.
Naman Baradia: So, how will you proceed, how will you use all the proceeds of the QIP? And if there is any plan
to be met that's been coming here? and the third question is an y more acquisition planned in line
or something like that?
Deepak Bansal: You can take the first one, a nd I'll answer the last one.
Sanjeev Verma: Sorry, I missed the first questi on. You told about the QIP pro ceeds, is it?
Naman Baradia: Yes, how will you use all the proceeds from the QIP?
Sanjeev Verma: So, number one, we have done the equity raise through the pref erred warrants issued on a
preferential basis. It is not a QIP. It is through the warrants issued on preferential basis of 386
crores. So, the fund raise is primarily a growth capital and it will be like we have told earlier also
that the investment is into the expansion of data center build capabilities, go-to-market
expansion, which you would have already seen today that which w e have announced in terms of
key leadership hiring and expanding the sales and business deve lopment efforts both in North
America and emerging markets.

And then some of the investments is into advancement into the network infrastructure, including
connectivity and networki

ng, and also in the innovation deliver y, where the efforts are aimed at
new digital infrastructure solution into cloud computing, cyber security, artificial intelligence,
etc.
Naman Baradia: So, the next question is, there is any plan to be net debt fre e in the coming year?
Sanjeev Verma: No, I just said earlier, I think, so we remain, you know, we a re always in the lookout of accretive.
As I said, a larger part of our focus is organic. I think our i nvestments in people and talent are
for organic growth. We see a large organic opportunity over the next several years' time. So,
there will be something. So, there is nothing in the pipeline t o talk about, but there will be
something. We have been an acquisitive Company. Blackbox came t hrough an acquisition So,
if something comes around the way that makes sense, we will con sider, but our focus remains
on organic growth.
Naman Baradia: And what you said about the net debt free status? Are you seei ng any net debt free status in next

coming years?
Sanjeev Verma: I didn't get that question properly.
Naman Baradia: So, is there any chance that you will be net debt free in comi ng years?
Sanjeev Verma: So, you are saying net debt status?
Naman Baradia: Yes, net debt free.
Sanjeev Verma: So, currently, if you see, our net debt is close to around 130 crores of debt, 130-140 crores of net debt. So, obviously, the idea is to have improved cash flow from the business and as and when the cash flow comes in, obv iously we will continue to redu ce and will come in a position of a reduction in the net debt and come into a net cash type of position. But the idea is to continue to invest in the growth, invest in terms of how to augment the growth and investment in the new resources, sales and connectivity and all the other things.
Moderator: Thank you very much. The next question is from the line of Shr avan, who is an individual investor. Please go ahead.
Shravan: Congratulations on y our profitability increase. My question is regarding the tax implications that may come on. Can you explain what is your take on the tax impli cations from the U.S. as there are so many talks about the tax on the services or whatever it is coming from outside to the U.S.?
Sanjeev Verma: So, these tariffs which are being spoken about from the outsid e goods, we still need to get the clarity on that, but most of our products are the pass-through products we take from OEMs. And if there is any price increase or anything, obviously it will b e a pass-through, but we are not expecting much impact on our portfolio what we are into because ou r mos t o f t he r ev enu es comes from services.

And then whatever products comes from outside, if there is a t ariff limit, obviously it will be overall impact, which we yet to see, because nobody has any ide a that what type of tariffs or whatever it is because right now elections are just over. The n ew political regime will start only after January. So, we need to still continue to wait and watch.
Shravan: And so we are still optimistic on our 8% to 10% margins.
Sanjeev Verma: Y e s .
Moderator: Thank you very much. The next question is from the line of Sag nik Karmakar from Pune E Stock Broking . Please go ahead.
Sagnik Karmakar: I wanted to ask a question about the existing customers for th e data center part in India. I mean, how much of the customer base for India data centers in your po rtfolio as of now?
Sanjeev Verma: So, as of now, we have a very limited customer base in our dat a center portfolio at this time. Most of them are older providers of small scale. The large scal e build out of data center for hyperscalers directly has not even begun. And I told earlier on , they can be evaluating and conversation with some of the multinational providers who we se rve in Europe and U.S. to partner them in India.
The exp

ectation for the data center build out over the next se veral years in India is large as closer to 3,000 megawatts, if not more. Now it is a small figure compa red to the global number, but fairly large figure in terms of India. An average spend of a da ta center in India is close to 50 crore to 60 crore for a megawatt of spend, which drives a fairl y large number.
So, we are currently looking at opportunities to partner and i nvest and hire data center specific teams as well to address that. So, we have a very small portfol io now, but that gives us a very large potential with our experience and expertise to serve some of the largest customers in North America as a very valid player. And currently we are in the pro cess of evaluating and investing into that so that we can harness and grow that business in fisc al '26 and beyond.
Moderator: Thank you very much. The next question is from the line of Vat sal Shah from Anantaya Financial Services. Please go ahead.
Vatsal Shah: So, I just wanted to know and gain clarity on the revenue spli t between the data center business and the IT Services business. Could you just explain the differ ence between the split of value between the both as well as the m argin split of both the servic es?
Sanjeev Verma: So, I think our data center led businesses at this time that i ncludes portfolio for networking and connectivity is in the region of about 20% of our revenues. Our IT Services business remains a larger part. We expect growth in the data center revenues to be disproportionately higher as we move forward and as we start to participate in more build-outs of data center infrastructure, both in North America and in India and elsewhere. It currently stand s at about 20% of our revenues.

With respect to gross margin, o ur data center margin stacks at combined an upward of about 20 odd percent in that range and our gross margin for our services business is more towards a higher end of the 20s, about 27%, 28% to 29%.

Vatsal Shah: So, by, say, end of FY '27 or FY '28 over the next 2-3 years, what is the revenue mix you target for data center business a nd IT Services business?

Sanjeev Verma: So, we have three portfolios of business products, which is 12 % to 15% of our business, our technology products and the rest are IT Services business, whic h includes our data center services. Data center services is also an IT Services business, just that we happen to serve the data center industry. If you look at data center as a focused o ne, we expect our contribution over the next 3-4 years' time for data center to be in the range of 25% to 30% as we move forward from the current 20% levels.

Vatsal Shah: So, do you see, particularly at the growth, the maximum growth is in that particular data center services business, right? Is that correct?

Sanjeev Verma: At least for the next few years ' time, the growth is in the da ta center build out infrastructure. When we say data center infrastr ucture includes quite a few thi ngs. It includes physical connectivity, putting fibers and the passive infrastructure. It includes building the networking, which we also do for large enterprises, right?

So, it just so happens that a data center is more focused on o ne location, unlike a bank that we serve 4,000 branches and provides the same service, but in this particular case, it's high volume in a more concentrated way. So, we do see the growth curve for the data center specifically solutions to be higher than our other elements of our business.

From a profitability standpoint, we believe it will still rema in as accretive for us to go to our 10% margin growth and beyond, because the cost to serve a large volume as a percentage of OPEX will fall down. So, from a sales perspective, you do a lar ger volume, the sales cost is much lower, right? So, although the margins are slightly sub

due d compared to a regular IT Services where we are close to 28% to 29% vis-à-vis 20% or more of data center, the cost to serve will amortize that so that our net impact on EBITDA remai ns positive as we go forward.

Vatsal Shah: And last question is, could you just give some more clarity on why is the Company not paying appropriate tax amounts? I mean, this year, if you see the figu re is hardly 3 crores. So, could you help me gain more clarity on that front, please?

Sanjeev Verma: Yes, so, like you would have seen in our presentation, also, o ur 75% of our revenues comes from U.S., and some 9%-odd revenues comes from various countries in Europe, and then there is other mix of the countries, including Australia, New Zealand, and all those things. So, we have a huge revenue mix. And we have the carry forward net operating losses from the past in the United States.

When we acquired Black Box in 2019, obviously, we have the tho se NOLs. It is called as net operating losses. They are the carry forward net operating loss es. So, because of that, our tax liabilities continue to be low. We continue to review that thin g with our tax consultants on a regular basis and, and obviously create that. And it also depen ds on our mix of the revenue from geographies, that how it will go and all those things.

So, we expect that our tax cont inues to be in that range, or m aybe a little bit higher range, but not to the extreme range, like between 5% and 10% of our of our profit before tax, it should be there for at least next three years between 2 to 3years' timefr ame till the time we continue to consume that.

Vatsal Shah: So, are the previous financial statements of the losses and ev er y t hi ng wh ich B la ck B ox h ad incurred available on the website?

Sanjeev Verma: No, they are not. They are not. But if you see our Annual Repo rt, there are details of some of the things which are there as a carry forward losses in detail in t he tax note in our annual report in the consolidated financial statements.

Vatsal Shah: So, I just wanted to understand when we are supposed to finish booking our losses, previous losses in the consolidated fin ancial statement. That's it.

Sanjeev Verma: That's what I told that that we expect that in next two, our t ax rate, lower tax rate will continue to be there for next two to three years' timeframe.

Moderator: Thank you very much. The next question is from the line of Sau rabh Sadhwani from Sahasrar Capital. Please go ahead.

Saurabh Sadhwani: Deepak ji, just one question that until when should we expect the severance cost to continue?

Deepak Bansal: So, the severance cost, again, it is a feature where we contin ue to because while we are investing in our go-to-market structure, we are continuing to work revisi ting our delivery model and our solution architects wherever pre-sales people are there, and we continue to move some of the w o r k t o I n d i a i n o u r B a n g a l o r e C e n t e r o f E x c e l l e n c e . A n d t h a t i s why this is more like a continuous process. We think that that it will be over, but the n we find some other inefficiencies and we continue to improve that.

So, till the time that work is there, we will have the severan ce cost in our bag which is more like

a restructuring and the severance cost. So, I will expect that in next, let's say, two to three quarters' time, which is by Marc h quarter or quarter 1 of June, it will be there still, but it will stabilize or it will reduce now. It will not go up from the lev els what we have seen now.
Moderator: Thank you very much. The next question is from the line of Shi rish Jain, who is an individual investor. Please go ahead.

Shirish Jain: I have two more questions. A press release says that hold-up i n decision-making leading to delayed project execution and impacted revenue. Now with hypers calers again ramping up their CAPEX, do you anticipate a shift towards faster decision-making ? And additionally, are there any measures to accelerate project deliveries to offset the exe cution delays that we have seen in the past? How long do you see the delayed project execution to continue to impact us?
Sanjeev Verma: So, I think two parts to the question. One, of course, yes, th ere has been a delay in general from a perspective of the environment with high interest rates in so me cases. In some cases, of course, with respect to supply chain, mo re specific to the data center infrastructure where they plan well in advance, but it is dependent on very many other aspects to b uild a data center, which includes the power infrastructure that needs being provided by power uti lity companies, supplied with respect to other cooling equipment and so on and so forth.
There is a lot of infrastructure required to come together. So , therefore, it has to work in tandem. So, there was a bit of a delay even if we have an order to exec ute, and sometimes our work follows certain work to be completed from a construction standp oint so that we are able to make ourselves available on a site, a nd therefore our engineers can work.
We expect with the interest rate regime, which is softening, w hich has softened over the last several quarters now, and with the economy moving in a positive direction in North America, and the need for more better user experience and AI coming fast er than we expected, the hyperscalers, the large co-location providers intend to increas e their CAPEX spend as we have seen in the news reports. Consequently, the supply chain ecosys tem, be it the power companies, be it other companies are also aware, and they have been workin g on that.
So, we expect, although this will remain over this next couple of quarters, but as you move forward, this is not a quarter game. This is a long game. It wi ll go to several years. You cannot build a 10,000 megawatt of infrastructure in one year or two ye ars' time. Similarly, in India, it will take several years' time.
So, the ecosystem is coming together to help. We are part of t he ecosystem, right? And we expect, as we get into fiscal '26, to be better than fiscal '25 from a speed of execution perspective. So, larger spend of capital, be tter supply chain, better resour ce utilization. We are talking today about modular data centers because they are building data cente rs in a space that you do not have the infrastructure, no resources. So, you have to mobilize the resources in the middle of nowhere, as you know, especially in the U.S.
So, we are looking towards prefab. We are looking towards usin g our staging facilities and those conversations are maturing now. So, therefore, speed to executi on, speed to delivery, breaking the cultural barrier of a construction of a data center, which includes brick and mortar and technology that can now be done in a modular way offsite. I was recently in Washington, D.C. speaking on a modular data center. So, those adoptions are comi ng through. They are maturing.

So, to answer your question in summary, we expect the CAPEX to grow as you move forward. We also expect some of the adoption of methods that has not bee n utilized to be done so that we are able to better use our skills and resources, not only onsit e, but now offsite. And the readiness of the ecosystem of supply chain, because they have been projec ted that this is going to grow, to be better. All of this putting together will help the execution faster from fiscal '26 and beyond for the next several years.
Shirish Jain: And the delayed in project execution, is it only in the data c enter verticals or do you see this impacting other verticals of the business as well?
Sanjeev Verma: No, in general, if you look at from a customer perspective, da ta center had a unique challenges as I talked about of various kinds, right? You need connectivit y, you need fiber, network, power, and so on and so forth, which is one part, right? And therefore , and then of course, passive spend. Otherwise, in general, of course, we had a bit of uncertainty, interest rates will come down or not come down and it came down slightly late. So, regular enter prises were also challenged to allocate or execute things faster. There is always uncertainty, specifically in the largest market

in the world when there is an election, which we all know. So, that was also one of the reasons we expect a little bit of a holdup. We expect post March, April , when this change and whatever the new government comes in, at least people will have a clarit y and therefore the speed will improve from where it is.

Shirish Jain: Just one last question on the GTM strategy. So, could you prov ide an update on the new GTM strategy, which is focused on top 300 clients? Like what has be en the changes occurred to the customer base of 2,000? How many customers had been let go who are not contributing to, you know, positively and when should we expect to see this shift co ntributing to the top line growth?

Sanjeev Verma: So, I think, we had at the beginning of the transformation clo ser to 2,000 customers when made an assessment of where we are this time. And I think as we spea k now, in summary, we have an active 1,500, so close to 500-600, we believe, are not accretiv e. We are a global Company working across various countries. We have a global center of ex cellence.

So, if you have a customer who doesn't see value and there are very many local customers, we bought Black Box from an acquisition. So, there are very many c ustomers and local, and when we didn't see much growth with them going forward or a contextu al right to win because our global presence or our deep skills are not required from that p erspective. So, that has shrunk by 400-500.

Coming back to your earlier question with respect to our GTM. So, we have invested in vertical leaders, five key verticals that we have. We have uploaded that into our investor presentation, which you can go through, hired vertical leaders from top compa nies, top technology companies in the world. So, those hasn't completed.

From a solution standpoint, five key solutions that cut across , enterprise and our vertical sector of data center, banking and finance and healthcare and so on an d so forth, connectivity, network

infrastructure, data center, cybersecurity, and modern workplac e. So, we have hired five leaders to run that very tall thought leaders to done that.

And then, of course, we are talking about fitting a whale. We need to have whale hunters. So, therefore we are investing in talent that can deal at scale, ri ght? So, we have had very many sales business developers who have worked on larger deal sizes. And s o those has also been done as we speak.

It takes a little bit time to mature. This has happened over t he last six months in the last two quarters since we engaged with Boston Consulting to help us to organize and we have done that. We expect the pipeline to grow rapidly over the next six months ' time. So, in fiscal '26, I believe we want to enter and start off with a robust pipeline convertin g into order books. Over the next two quarters out, I think it wil l start to yield a focus and re sults from our top 300 as much as it will also help us to further deep dive into the balance and see what we need to move up into our focus customers and work with them.

We are seeing the results. The amount of bidding or size of th e bidding that we have now been participating or being considered has improved, and I will be a ble to talk about that, as I said, over the next two quarters when we get in as you s

ee the result s showing in the pipeline and order book going forward.

Moderator: The next question is from the line of Shravan, who is an indiv idual investor. Please go ahead.

Shravan: So, sorry, I think that it's the same question in the last few quarters, we were telling that we were pivoting from the small customers, and we are focusing on high profitability customers and we are trying to consolidate. I think, can you add to that a few o r is it something we finalized or till we will do in this financial year or continue in the next finan cial year?

Sanjeev Verma: No, I just thought before I think the process for doing that s tarted earlier on in this fiscal year, and I think from IT Services standpoint, customers were 2,000 o r more. We are down to 1,500 or less with our identification of 300 top customers across var ious industry verticals being complete. Our hiring of vertic al leaders who will own up each o f those vertical segments is complete. Our hiring o f solution leaders who will drive data ce nter connectivity networking cyber is complete.

With respect to our focus on reallocating those high-end custo mers to our sales managers and bringing in new sales and business development leaders who are high-value sales personnel is work in progress. We have invested in that, and we will continu e to invest over the next couple of quarters. So, we are also now engaging with our top customer s with our portfolio of solutions both locally in America and globally, we have seen now being co nsidered in larger deals. These are work in progress.

We are seeing the result of that in our pipeline. And as I tol d in my earlier commentary, we expect those pipelines and where we are considered to increase our win rate and start to be accretive for us as we s tart our fiscal '26.

Moderator: Thank you very much. The next question is from the line of Kun al Gandhi from Yashwi Securities. Please go ahead.

Kunal Gandhi: My first question is from the ma rgin front. So, in the current quarter we did a margin of 9%, which is an all-time high, and we have also guided for FY '25 t o do around 8% to 8.1% for the entire financial year. So, going forward, do we expect a declin e in the margin for the next two quarters?

And my second question would be on the warrant side. So, we kn ow that there is an exercising period within which these warrants will be issued. So, are the entire proceeds in? And if they are in, are we also looking at them for inorganic growth opportunit ies?

Sanjeev Verma: So, I will take the first question, and I will defer the secon d one to Deepak, who is our CFO. From the first question perspective, yes, we have had the year at, sorry, the quarter at 9%. The answer is no. So, we do not expe ct to fall back on a margin. We expect to continue to push and continue to be disciplined with both our operating costs and ou r price realization and better sales motion.

So, we will be continuing to focus on that and see that we are able to get through our EBITDA guidance for this year, remains the same and go through the PAT guidance, the answer is no. So, we will continue to focus on margin and see that we are able to maintain that so that we are able to get to the year as to what we have projected from that persp ective. Deepak, on the proceeds side and the warrants side.

Deepak Bansal: On the proceeds from warrants, we have received 25% of the mon ey, which is 97 crores now. And we are right now working on utilization of the same, and th en the balance amount obviously we will receive in the remaining 18 months period, which is the timeline to receive the remaining amount. We continue to, like what Sanjeev told earlier also, is that we continue to identify and look for the acquisitions in the market and we have the pipelin e of them and all those things. But yes, we will continue to see that and as and

when I think we ha ve something concrete there,
obviously we will have the announcement done on the same.

Kunal Gandhi: So, this 75% of the proceeds that are left to be coming in, we can consider them to be utilized for inorganic growth op portunities, correct?

Deepak Bansal: Y e s .

Kunal Gandhi: That answers my question.

Moderator: Thank you very much. As there are no further questions from th e participants, I now hand the conference over to Mr. Sanjeev Verma for closing comments.

Sanjeev Verma: I would like to thank everyone for joining the call. I hope yo u have been able to address all your queries. For any further information, kindly get in touch with Strategic Growth Advisors, our Investor Relations advisors, or with Purvesh Parekh, who is our Head of Inv est or Relations.
Thank you.

Moderator: Thank you very much. On behalf of Black Box Limited, that conc ludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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BBOX/SD/SE/2025/16
February 14, 2025 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call host ed on February 12, 2025 on Unau dited Financial Results (Consolidated and Standalone) for the quarter/p eriod ended December 31, 2024 .

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter dated February 5, 2025 with refer ence number BBOX/SD/SE/2025/7 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on Fe bruary 12, 2025 on Unaudited Fina ncial Results (Consolidat ed and Standalone) for the quarter/period ended Decemb er 31, 2024, is attached hereund er.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer Encl.: A/a

"Black Box Limited
Q3 and 9 Months FY '25 Earnings Conference Call "
February 12, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th February 2025 will prevail."

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – BLACK BOX LIMITED
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND GLOBAL CHIEF FINANCIAL OFFICER – BLACK BOX LIMITED
MR. PURVESH PAREKH – HEAD OF INVESTOR RELATIONS – BLACK BOX LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 months FY '25 Earnings Conference Call of Black Box Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev Verma, Whole -Time Director and CEO of Black Box Limited. Thank you, and over to you, sir.
Sanjeev Verma: Thank you. Good morning, everyone. Welcome to Black Box Limited's Q3 and 9 months FY '25 earnings call. I'm joined by Deepak Bansal, our Executive Director and Global CFO; Purvesh Parekh, Head of Investor Relations; and our advis or, SGA. I trust you have reviewed our results presentation, press release and financial release, all of which are available on the exchanges and our website.
Let me start by providing some context for Black Box ’s position in the IT industry. Gartner projects global IT spending to reach $5.7 trillion in 2025, with IT infrastructure accounting for $600 billion to $750 billion. Our total addressable market is approximately $120 billion to $150 billion or 15% to 20% o f that, presenting a significant opportunity. We are targeting 1.5% to 2% of this market to reach $2 billion in revenue by FY '29.
I'm pleased to report our highest ever quarterly and 9 -month PAT in FY '25 alongside strong EBITDA performance, which Deepak will explain later. As we move into fiscal '26, we are focused on expanding our footprint with the top 300 customers and capitalizi ng on the growing digita l infrastructure opportunities.
AI-driven models are accelerating demand, particularly from hyperscalers like Amazon, Meta, Alphabet and Microsoft who are investing over $325 billion in data centers and cloud services this year. We are positioned to benefit from this .
Recently, we secured a major data center order from one of our largest hyperscalers, including 3 large U.S. sites and a INR250 crore order.
Additionally, we have won significant orders across cybersecurity, network integration and airport infrastructure. We are confident that demand for digital infrastructure will remain strong across industries .
While Q3 and 9 -month FY '25 revenue growth was impacted by a subdued order book, we remain focused on acquiring high -value customers and optim izing operational efficiencies.

The order pipeline has strengthened with a sequential increase to $465 million, approximately INR3,900 crore as of December 2024. We have secured $80 million in orders so far this quarter and expect strong momentum to continue into quarter 4 and FY '26.
For FY '25, we have revised our revenue guidance to INR5,925 crore to INR6,000 crore due to delayed decision -making and our strategy to exit lower -value customers. 80% of our business comes from top 200 customers, many of whom are Fortune 500 companies. Going deeper with these customers is our priority. Notably, contract cycles have exten ded due to some delays, but we are confident this will improve as we move forward.
For FY '26, we anticipate revenue growth to INR6,750 crore to INR7,000 crore , driven by an expanding order book and a stronger win rate from large enterprise and high -value opportunities. This momentum should positively impact revenues from Q2 FY '26 onwards.
Despite the lowe

r revenue guidance for FY '25, we are on track to meet our revised EBITDA guidance of INR525 crore to INR535 crore , reflecting a 23% to 25% increase from FY '24. EBITDA margins of 8.9% for FY '25 are above our previous expectation due to improved efficiency and focus on quality of revenue. For FY '26, we expect EBITDA to range from INR605 crore to INR645 crore with a margin between 9% and 9.2%.
We have also revised our FY '25 PAT guidance to INR205 crore to INR210 crore , reflecting an exceptional impact. However, this still represents a 50% growth over FY '24. For FY '26, we expect PAT to grow 30% to 40% with a target of INR265 crore to INR285 crore .
I will now hand over to Deepak to take you through the financial details.
Deepak Bansal: Thank you, Sanjeev. Good morning, everyone. Let's review our financial performance for quarter 3 and 9 months ended for FY '25 .
Revenue for quarter 3 stood at INR1,502 crore , slightly above quarter 2's INR1,497 crore , but down from INR1,655 crore in quarter 3 of FY '24. For the 9 months, revenue reached INR4,422

crore compared to INR4,801 crore in the same period last year. Subdued order book and delayed decision -making impacted revenue, but strong order growth in quarter 1 of FY '26 gives us confidence in meeting our FY '26 targets.
On the EBITDA front, we delivered strong growth, quarter 3 EBITDA rose 15% year -on-year to INR134 crore , while for 9 months ended EBITDA grew 25% year -on-year to INR385 crore . EBITDA margins improved significantly, up 190 basis points year -on-year to 8.9% in quarter 3 and 230 basis points to 8.7% for 9 month FY '25, thanks to better efficiency and quality of revenue.
Quarter 3 FY '25 profit after tax reached a record INR56 crore , reflecting a 37% Y -o-Y increase. For 9 months FY '25, PAT grew 49% year -on-year to INR144 crore with PAT margins improving by 120 basis points year -on-year to 3.7% in quarter 3 and 130 basis poin ts to 3.3% for 9 months FY '25.

We continue to generate strong returns on equity and returns on capital employed, along with positive cash flow. Based on our strong order pipeline, we are confident in achieving our FY '26 guidance across all parameters.
That's all from my side. Sanjeev and I are now happy to take your questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Deep Shah from B&K Securities.
Deep Shah: Congrats on substantially improving your margins. I think this is in line with what we have been seeing for some time. Sir, so if I were to further emphasize on this, we've been saying that we want to cut the long tail of clients and focus on top 300. But what we've seen this quarter is that sequentially, number of clients in revenue buckets of more than INR5 crore , INR25 crore and INR50 crore , they have declined. So could you help us explain this divergence that we are focusing on top clients, but the number of clients in top brackets has come down?
Sanjeev Verma: Yes, I'll take that. So I think we are looking at point in time. Of course, there are several clients in those buckets, which are renewed periodically, and there are also projects or order s in motion. So as we move forward, we will see those changes. We'll continue to focus on our top 300. There is a timing issue of when those contracts are renewed.
For example, in the coming quarter, we are looking at a very large health care contract to be coming back for several years. So that will change, and it could be possible that in a quarter, we have several of such. So when we take a situation for 9 months or a particular quarter, there could be small adjustments there.
But our go -to-market strategy now with verticals and horizontals that I've said before, we will continue to focus on our top clients and ensure that we are able to increase those

various buckets
of INR50 crore , INR100 crore , INR200 crore customers going forward.
Deep Shah: So would it be fair to say that this number we should look maybe on a Y -on-Y basis or on a yearly basis? That would be fair?
Sanjeev Verma: That would be fair. Yes.
Deep Shah: Sir, second question is on this order book. So you highlighted that you won about $80 million worth of orders post the end of the quarter. So typically, sir, what part of our revenues flows into -- I mean, there are large orders which become part of order book and then they are executed versus, say, ongoing services. Another way to ask this question would be that what would be the typical durati on of this order book, $520 million, $530 million now to convert to revenues?
Sanjeev Verma: So we usually take on an annualized basis for our contract revenues and a total value of projects for our project order booking. An average cycle of a project order booking is about 9 months, some are going to 2 years' time, some 18 months, but an average between 9 and 12 months' time. So a fair view to look at order booking w ould be on an annualized basis.

So between 60% and 65% of our revenues are covered through the order book at any point of time. We are working to make sure that as we get into larger deals to improve that coverage in any quarter from the current 60% levels to maybe 65%, 70% as we go forw ard, focus on larger deals. So in summary, we take project order values from an order book perspective when we report and we take annualized contracted value of contracts to report order book.
Deep Shah: Sir, one last question that now we've had severance costs for many quarters. And we are probably seeing some benefits of it in terms of our margins, efficiencies are improving. But what is the idea here that how much leaner you think the organization needs to become? How long will this continue? And what is the e nd goal here?
How many clients do we want to service? How many employees do we want to keep? I

understand we've been reducing employee count. So any idea here would be helpful because this severance cost is substantial, right? It's like INR13 crore this quarter on an EBITDA of INR130 crore .

Sanjeev Verma: So I'll take the later part of the question, and then I request to Deepak with respect to severance costs. With respect to how many clients, our focus, Deepak just said, is to focus on larger clients and larger deals. We have a total basket of close to 1,500 -odd clients, and we are benchmarking that we would be wanting to serve or progressively serve clients to a level of the potential for us for $1 million. That's the benchmark. We are not there at this time.

Focusing on top 200, 300 of our customers and then others, which we see at least a baseline because we cannot afford to be everything to everybody. So that's our focus. With respect to -- with scale, we will gain some operational efficiencies as well. So t herefore, it's not a linear investment in people as we start to scale. So we'll see our operating margins gradually improve as we start to build scale. With respect to how long do we see the severance costs in the short term, I'll defer to Deepak to respo nd to.

Deepak Bansal: Yes. So , Deep, what is happening is that like you know that we continue to optimize the efficiencies in the whole ecosystem. And we still think that there is a little bit of scope there to improve and all those things. So it's like a continuous process we are runn ing right now. And we are expecting that for next, let's say, 3 quarters at least, we are expecting the severance cost to continue because it's like -- we think that this is over and now we have nothing to do.

And then again, we put a review process. And again, we see that, okay, these are the 10 people, again, which we can remove or which we can move to India or not required or whateve

r it is

under the severance cost comes in. In this quarter, specifically or, let's say, on the last quarter, there is a lot of pe ople we have removed in Europe.

And because of the Europe thing, the amount of the severance is a little higher as compared to what it happens in U.S. So we are revisiting everything across the world. It will continue for next 3 quarters more so that we continue to optimize our efficienc ies and do more in less.

Deep Shah: Deepak, one last question for you, and this is purely bookkeeping. If I look at our guidance and I take midpoint of our guidance for simplicity, the delta in absolute rupees of increase in PAT is actually lower than increase in EBITDA.

I mean this doesn't sound right if we assume that severance cost is going to be there only for next 2 quarters because this year, we had severance costs for the full year, plus we should have some interest cost reductions both because of rates are expected to come down, and we've raised INR100 crore , we will raise another INR300 crore in the next year.

So could you just explain how are these guidances driven? Or is it that you've been extremely conservative to not miss the guidance? If you could explain that, it would be very useful.

Deepak Bansal: Three things here. One is that, that we have assumed the severance cost will continue for 3 quarters in the next fiscal year. That is number one. Number two, what we have assumed is basically, we have not assumed that the interest rates will come down. We have not assumed that.

And also on the growth because we are talking about a growth of close to around INR750 crore to INR1,000 crore type of growth on the current year revenues. So for that, obviously, the working capital will come in. And for that purposes -- because we need to put upfront working capital, so there will be a little bit of interest cost on that securitization, what we will do, the receivable and all those t hings, that will come in there.

And then a little bit of, let's say, 2% increase in the tax on the profits, which will come. So -- and then we didn't wanted to be expanded more -- wanted to be a little bit conservative in terms of overall numbers. And that's how if you see our EBITDA, th e EBITDA is going up by close to around INR80 crore , let's say, at the lower range of the guidance, and the PAT is going up by INR60 crore . So it's a INR20 crore type of the difference, which is there, which comprises of all these things.

Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analy tics.

Garvit Goyal: I have 2, 3 questions. One is on our top line. So over the past 3 years to 4 years, our top line growth has been muted, while profitability has improved primarily due to cost -cutting measures like reductions in employee costs and service charges. Here, I'm having 2 questions. One is what are the primary challenges that are pre venting us from accelerating the top line growth like despite our focus is on data centers and go -to-market strategies, we hav e reduced our revenue guidance?

And additionally, if we see data centers are not a major portion of our revenues. And even there, we are fighting like customer capex delays are happening. So given that the high -quality profit growth is driven by the top line expansion rather than the cost cutting, how do we plan to achieve like sustainable revenue growth of 25% to 3 0% moving forward? That is one.

Secondly, while we position ourselves as a provider of specialized IT solution company, our PAT margins are very low at 2%, 3% in comparison to even general IT companies that achieve 6% to 7% PAT margin. So is it due to intense competition that is limiting our pricing power? Or are there any ot her structural factors at play? So can you provide more insights like why our margins are relatively low and what steps we are taking to improve

them, sir? So that is the one
question, sir. So please, sir.

Sanjeev Verma: So I'll take that. I think yes, our order book and revenues have been muted over the last several years' time. As I had told in my earlier earnings call, I think Black Box historically has been serving a very large bunch of customers over several thousand, and we were trying to be everything to everybody.
And we embarked upon initially to focus on margin growth, margin expansion because 3 years, 4 years back, when we acquired, there was no margin. So our focus was largely on margin expansion, and that's what we did. Over the last couple of years, I think we have pivoted to become a specialized global digital infrastructure player at the back of growth for data centers and AI.
To that extent, we had to change our go -to-market motion to be able to go deeper than wider. We employed and engaged with Boston Consulting to reorganize our go -to-market focus, as you would know . To be able to do that , our entire -- invested heavily in our vertical motions, bringing in a lot of top industry leaders in verticals and horizontals o ver the last several quarters.
The effect of that investment in verticals and horizontals is starting to take shape as we speak. And as we get into our fiscal '26, we expect the order book momentum to be able to take us to our guidance and growth overall over the next several years' tim e.
Large projects have certain challenges with respect to timing. And therefore, we had those challenges in this year where our revenues remain muted. We expect our current order book and pipeline, which stands robust of over $2 billion to be able to help us increase our win rate. Our win rate in our large deals has been lower.
with focus now in verticals across technology, financial services, hyperscalers, health care and so on and so forth, we expect our order booking to gain significant momentum starting from quarter 4 onwards getting into the next fiscal year. So we believe o ur current guidance for the next year, which allows us to grow mid -double digits between 13% and 17 %-odd, confident of being able to do that.
Your second question pertaining to our PAT and stuff. So we are not comparable to a regular IT services offshore company. That's not our model. Our model is largely Glocal . We are a local digital infrastructure company. So therefore, we have larger resources onshore than offshore. We, of course, use offshore appropriately to be able to expand our margin to build our service delivery wherever we can, but more importantly, ou r back office and shared services.
Our guidance pertaining to EBITDA margins is 10%. The industry EBITDA margins for our kind of infrastructure integrated business locally and globally is in the range of 8% to 12%. So we are currently focused on taking our EBITDA margins to be in the range of 10%. And then from there, with scale, work forward to see whether we can improve that further 10%, 11% and 12% going forward.
PAT, of course, is an element of our cost of money, depreciation and other exceptional factors, as Deepak alluded, we have seen over the last year or more than that, the interest rates to be high.
As we scale up our business and get into fiscal '26 and fis cal '27, we expect our -- not much of

our cost below the EBITDA line to increase in a linear fashion. So we will see our PAT margin inching up more towards 4%, 5%, 6% over the next 3 years' time.
Deepak, do you want to add something on the drop between EBITDA and PAT?
Deepak Bansal: Yes, 2 things I wanted to add. One is that on the PAT side of it, we are mostly an onshore, onshore company. We are not an offshore company like the other IT service providers from India is. We have 90% of our people on ground. So let's say, if our majority of the business, which is 3

/4 of o ur business comes from America. So we have the people on the ground. We have close to around 2,200 people on ground in United States. So from that perspective, we are not comparable with the Indian IT service providers. We are IT -- digital infrastructure provider. We are not IT service provider.
Garvit Goyal: And sir, you mentioned $2 billion target by FY '29. So from the current levels, if we want to

achieve that number, we have to grow at a CAGR of around 30%. But for next year, in FY '26, you are saying given that by the orders that you are expecting in the upcoming quarters, we are guiding for a growth of like 15%, 17% kind of number. So is it like the major expansion in the turnover is going in FY '27 and onwa rds?

Sanjeev Verma: So I'll take that. So yes, I think our $2 billion aspirational goal by fiscal '29 also includes a decent portion of inorganic that we do not talk about. So we expect organically to be in the range of $1.4 billion, $1.5 billion, and we expect some inorganic stuff as we move forward included in that. We expect our organic motion as we move forward from the current 15%, 17% levels to move to 20s.

And the gap between that organic growth of nearly 20% as we move forward to fiscal '26, '27, '28 and beyond is also to see that we are able to acquire assets that we believe are accretive for our shareholders, and we will talk about them when we get ready to be able to do that.

Garvit Goyal: And just a clarification on the order inflow. Like you mentioned that one of the world's largest hyperscaler has allocated 3 large sites in the U.S. And additional to it, you have mentioned like INR250 crore order from this long -term customer only. So could you clarify whether this INR250 crore order includes those 3 large sites? Or is there any additional order value associated with these specific sites? And if so, what is the incremental order value for these 3 sites?

Sanjeev Verma: Yes. So the current INR250 crore quoted does not include all the new sites. The new sites, the order comes through a lag. It first comes through an allocation, then discussion and the order book. So yes, there will be more orders flowing with those 3 new sites, 2 of them has not seen orders yet. So we expect order in the range of INR200 crore to INR400 crore additionally from this customer for those new sites in the coming quarters.

Garvit Goyal: Just a last question. Based on the order filings this quarter, the total value of incremental orders like in Q3 is around INR400 crore , which seems relatively small compared to our existing top line. So in the last con call and in today's con call as well, you mentioned a strong order pipeline is there and expectations of securing the sizable orders to d rive growth in the years ahead.

So however, considering the current order inflow and our stated revenue growth of 13% to 15% for FY '26, there appears to be a disconnect. Like could you provide more clarity on like how the incremental orders are going to be big enough to drive this kind of growth that we are aspiring to?

Sanjeev Verma: So we actually provide overall order book during the earnings call at the end of a quarter. So the overall order book or order backlog that we have provided for is marginally higher than our previous quarter. As we get into the quarter 4, we expect our order book to close even larger compa red to what we are showing now.

So we expect our quarter 4 order book to be much higher. So I think it's not a point in time of an order book that we booked in Q3. The overall order book is 10 million more than the previous quarter. As we get into our new fiscal year, we expect to open up with a larger order book compared to that, that will drive growth going forward in fiscal '26.

Also, our current pipeline based on our assessment, has a significant traction to be able to book bill and re

venue in the next fiscal year, giving us confidence for the guidance that we have given for a 15%, 17% organic growth in next year.

Moderator: The next question is from the line of Vivek Choraria , who is an Individual Investor .

Vivek Choraria: I've got 2 questions, one slightly near term and one long term. I mean, can you just point out and talk to how a change in our go -to-market strategy is impacting our organization? Because we've been talking about a double -digit growth for the past 6 -8 quarters, but that hasn't come about. What gives you the confidence that now -- I mean, you've been talking about a delay in orders - - I mean delay in order taking and in the same way, we are talking about a double -digit growth starting from next year?

Are you confident enough to achieve that? Because we've been talking abou t that for a long time. I mean, do you think you'll start walking the talk from, say, Q1 or Q2 onwards? Because we don't have much runway left for the margin part, right? So I guess that the company needs to start firing on the top line?

Sanjeev Verma: I'll take that, Vivek. So yes, I think , specifically from a renewed go -to-market this thing, we started the initiative early on in fiscal '25 by engaging Boston Consulting. Our top stack for our sales leadership with respect to vertical leaders across financial services, technology, health care , consumer and other sectors were completed in the middle of the last -- this fiscal year, and the y are in motion.

We also invested heavily in our horizontal practices to be able to support that, be it in connectivity or data center workplace. We are starting to see those results with respect to pipeline building on large value. Large value orders, engagements are of 2 nature. One, of course, participating in growth, that's your build -out of infrastructure, be it airports or data centers.

Then, of course, displacement -led growth, which you have to get the right to win. A combination of 2 will allow us to do that. Our large deal pipeline end of Q3, getting into Q4 is significantly

larger. Our quality of engagements with our top customers, the top 300, is much better and deeper. I'm personally engaged in many of those conversations as well.

So as I told earlier, we expect our order book to gradually improve from where we left the first 2 quarters. The quarter 3 was slightly better, but not as much. And we expect that to be much better in quarter 4, leading us into fiscal '25 -- sorry, fiscal '26. And our ability now to not only participate and get considered, but our account management, deeper engagement will all ow us to increase our win rate.

Our win rate for large deals was much less compared to what we expect it to be. We expect our win rate for large deals in the range of 20%, 25% is fairly low at this time. And that itself will allow us to propel significant order booking uptick, which will then convert to revenues going forward.

So I feel confident with respect to fiscal '26, double -digit growth with the motion that we've had over the last 6, 9 months. Large deals take a little bit of a time to mature , displacement growth requires a bit of a time. And then faster adoption of AI and build -out of data center for what we've seen today also throws us larger opportunities for us to be able to participate in those. We are engaged in those conversations.

So a combination of robust pipeline, increasing our win rates, deeper engagements with respect to our conversations that we're having with our customers, quality of revenues and the combination of that, we feel confident for our growth momentum in fiscal ' 26 and beyond.

Vivek Choraria: Sanjeev just to clarify, so we're basically guiding for close to 15% to 18% top line growth organically for the next 4 years and then the acquisition runs on top of it. We've been barely able to grow top line.

I mean that's quite a tall ask. I mean I hope you guys have your plans in place to deliver because it will be quite a task to deliver, say, 15% growth organically. I mean, as we are seeing in Q4 '25. So when do you think we'll start seeing those numbers on the P&L? I mean, should Q2 be a fair expectation to see a double -digit growth o n the top line?

Sanjeev Verma: So I'll give you 2 answers. One, of course, yes, I think considering our muted results, from a growth perspective in this current year, your question is valid. As we told earlier, we've also been working with respect to eliminating some of our nonaccretive long tail, and I address t hat by the quality of revenues.

So the answer is yes, we expect from starting from Q2 of the next fiscal year to see those double -digit growth to be able to allow us to reach our guidance of overall double -digit growth in the fiscal '26. Our order pipeline getting into quarter 4 looks go od. Our order pipeline, our order backlog getting into quarter 1 of fiscal '26 will look bet ter and momentum will continue.

So fiscal '26, quarter 2 onwards for the next several quarters, getting those double -digit -- high double -digit momentum to lead us into our guidance of 15%, 17% organic growth is what we are confident about in fiscal '26.

Vivek Choraria: Sanjeev, just one last qualitative question. How different do you feel our company is now? I mean, with the change in the go -to-market strategy and with the recent top level hires, do you

feel more confident now that we can finally scale? Because I mean, just speak to it qualitatively. I mean, if we were able to participate say a $10 million order, can we now see our company participating in much higher orders of magnitude? Just -- I mean, so if you can just speak in terms of the quality of the bench that we have now and how confident do you feel?

Sanjeev Verma: Yes. I believe I'm very confident with the quality of bench that we have with respect to the leadership. We've also added in the last 2 quarters specifically 20 new sales business development hunters from industry experience that we desired. Some of these have taken time to come on board.

So the qualitatively, the quality of leaders in verticals and horizontals, the quality of engagement that we're having and the size of the deals that we're having is much better. You'll be able to see some of those. For example, we are now engaged with a fairly large deal with the health care that is going to culmi nate for a long -term contract.

We're also seeing on a modern workplace, our engagements pertaining to AI adoption, and we will be talking about those in the coming quarters as well. So qualitatively, our level of engagement, the quality of engagement that we are having now with our cust omers, with the team that we have, overall management team, the sales management team and the sales business developers are much better t hen to provide some confidence.

I'm personally engaged with the mentoring and engaging with some of these top customers and I believe, bullish about the quality of people. We'll continue to add more, hiring more high - quality talent, especially in terms of sales as we get into this. We wi ll be focusing deep dive. We have picked up our top 100 customers for deep dive account management out of the top 300. And each of our vertical leaders are responsible to own up several of those. So if 10 of those, including myself, own up 5, 10 to mentor and engage, we believe the quality of engagement is getting much better.

The deal size is getting larger. We all have to focus to make sure that we are able to improve our win rates. Our consideration we have been considered, we have to make sure that we improve our win rate to be able to get to that momentum. So I feel confide nt of what's coming in FY '26.

Moderator: The next question is from the lin

e of Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni: What are the key reasons for the delay in the settling foreign currency trade payables and receivables? And what steps has the company taken to resolve the issue with regulators and counterparties? And what is the expected financial and compliance impact, including potential penalties or risk to cash flow and working capital?

Deepak Bansal : You're talking about which one? You are saying about the note on the FEMA?

Aman Soni: Yes.

Sanjeev Verma: So that is not impacting the day-to-day thing. They are more intercompany transactions. They are not third -party transactions. As per the FEMA regulations, all the intercompany receivables,

payables or any receivable, payable from overseas when you do the transactions from India, need to be close d within the 3 years timeframe.

So these are the, let's say, some of the transactions which were not transacted within the 3 years timeframe. So we are working with some approvals from the Reserve Bank to close those transactions, but those are all intercompany transactions. So there is no impact on the balance sheet or on the financial affairs of the company because of that.

Moderator: The nex t question is from the line of Sheersh Jain , who is an Individual Investor .

Sheersh Jain : I have 2 questions. First being, in the previous fiscal, we were on our way of closing our second $100 million customer. So have we been on an annualized basis, able to make $100 million plus revenue from both those customers in current fiscal?

Sanjeev Verma: So if I understood the question, you said, are we able to get $100 million customer in this fiscal? Is that what you said? I didn't get the question.

Sheersh Jain : I wanted to -- so from both those customers, have we been again able to make $100 million plus revenue in this fiscal as well?

Sanjeev Verma: So yes, we have made $100 million plus revenue from our largest customer and with -- we will make the year hasn't ended yet. And we expect to make that as well with our second largest customer, almost $100 million. The idea for us is to get into more custo mers in the $100 million bracket as we move forward into fiscal '26.

Sheersh Jain : And sir, how close are we in adding more customers in this $100 million plus bracket?

Sanjeev Verma: So we expect in fiscal '26 to add at least one more customer in the $100 million bracket.

Sheersh Jain : And sir , last question. Earlier, we were very confident that because of our GTM strategy, FY '25 shall be a flat year and FY '26 is where we will reap the benefits of this new strategy. But the updated FY '26 guidance suggests that we are targeting a lower growth in FY '26 despite relatively healthier macro environment, especially in U.S. and there has been strong capex announcement from all the hyperscalers. So I wanted to understand what changed for us? Why are we holding back in FY '26 desp ite a healthier macro environment?

Sanjeev Verma: So we are taking into account the revenue to be achieved in the fiscal year, the guidance for revenue. We expect our order book momentum to be significantly better and larger with the macro environment, AI adoption and so on and so forth. But we also have to see the timin g of our projects and win rate.

So we expect our fiscal '27 to gain larger momentum with respect to the order books that we'll have. So we have to ensure that we are able to convert those order book into revenues, and that requires a certain timing of those orders. As we expect to gain l arger order book, larger size from our large customers, the runway to be able to convert that into revenues may not be enough for us to -- and therefore, we are being a little con servative in terms of guidance.

But we believe the fiscal '27 will have much better momentum at the

back of order backlog and
wins that we'll have in fiscal '26. So that's the reason we want to make sure that we are able to deliver from a revenue standpoint.
Moderator: The last question is from the line of Lakshay Agarwal from GrowthSphere Ventures LLP.
Lakshay Agarwal: So firstly, I just wanted to understand that in our data center segment, like we had earlier also mentioned that 20% of our revenues coming from there, and we want to move towards 25% to 30%. So I just want to understand that what service exactly we provid e in the infrastructure network development. Like I do understand that we put fiber and we put the passive infra. But if you could give some more detail on it.
Sanjeev Verma: So we expect our data center revenues in our $2 billion goal to be in the range of about 25 %-odd as we get into the next 3, 4 years. So that's our goal. With respect to what we provide, we largely provide the connectivity infrastructure, which is the core of any data centers, which includes structured cabling, passive infrastructure, the fiber to the racks, the wireless infrastructure into the campus, we're largely a ne tworking connectivity provider.
The networking connectivity is about 10% to maximum 15% depending upon the size of a data center build -out. A data center build -out requires in America about $10 million ballpark average per megawatt. So depending upon what we win, it's a 200 -megawatt buil d-out that possibly spend $2 billion, the total opportunity for us in providing connectivity, network infrastructure is about $200 million.
We are not only the sole provider, sometimes we are. So we have a significant opportunity to do that. We can also do more than that. But considering the scale, I think the customers buy different ly in a hyperscale environment.
So our larger focus at this time is to be the best in providing connectivity, networking, wireless some other private LTE infrastructure for a data center campus, which is a significant opportunity, which is about 10% of the total spend -- of total capex spend. So that's what we do in the large -scale hyperscale data centers in the U.S.
Lakshay Agarwal: And secondly, like who would be our close competitors in this space? And how does our margin profile look for this segment compared to the same networking solutions which we provide for health care and finance and different other segments?
Sanjeev Verma: So our peer groups in that space in North America includes the likes of Direct Line, IES, which is a public company, E2 Optics and some more, Vision Networks and some more. The margin profile for connectivity compared to other -- when you go larger, the ov erall marg in profile is slightly subdued.
The margin profile for data center infrastructure, networking from a gro ss level in the range of 20%, 22% whereas if you do a health care, of course, the scale will be much lower in the range of 25%, 26%. But with respect to being accretive to operating income, I think both will be the same because the cost to serve a large client with respect to our sales c ost or other overheads is

lower. So it will balance out with respect to our goal of operating margin of 10%. So both of them are equally accretive because larger volumes require a little -- lesser overheads to serve.
Lakshay Agarwal: And lastly, on the client acquisition strategy, like is it the years of experience and the client base which we have, so which will give us the recurring revenue? Or do we also provide some lower pricing from which we are able to add new customers? So what is our exact strategy on this?
Sanjeev Verma: I think you have to be competitive at market pricing, 1% or 2% would not really make a difference. You r right to win is largely a contextual based on your experience, based on the relationship we have, ability to serve globa lly with many of our customers.
So I beli

eve a combination of long -term relationship, providing relevant technology solutions with knowledgeable and highly skilled people and providing, of course, ability to serve them globally at market cost will allow us to improve our win rate. But la rgely, it is our relationship and the relevance which will count to be able to win that.
Lakshay Agarwal: So sir, like when you mentioned relationship, I understand that we can get extra business from our existing customers. But to get new customers, what exactly do we offer over there?
Sanjeev Verma: No, I believe when we talk about -- one, first of all, we are focused on our bench of customers. We have very many customers. The total addressable market within those customers for increasing share of wallet is very, very large. Not to say that we will no t look for newer customers. Of course, we all wa nt to look for newer customers.
And to that extent, our investments in sales motion, vertical leaders are based on their ability to keep those -- bring those relationships back to us, right? The people have served those customers for a long period of time. So serve your existing customer s, increase share of wallet. If we are providing one set of solutions, we can provide others and therefore, increase share of wallet. That's our larger focu s to go deeper into an account.
We have many marquee customers. And with respect to hunting or getting newer logos that we must want to win, our investments in newer salespeople, top quality talent will allow us to start

those conversations, which will eventually lead into building of relationship and winning those deals.

Lakshay Agarwal: Is it possible if I can squeeze one more question? So I guess I'll just ask one question. I just wanted to understand that how does the pipeline look like in terms of numbers, if you could provide? And what is our conversion rate for the sale?

Sanjeev Verma: So as I said, our current pipeline for getting into Q4 and beyond looks large. We are looking at pipeline in 2 parts, a large value deal pipeline, which is our focus. And that's what has grown over the last several quarters, which will allow us to win some of those as we move forward.

Our win rate in smaller deals ha s been much robust at 35%, 40%.

Our win rate for large deals historically has been lower. So our focus now with verticals that we have brought in horizontal is to increase the win rate that I told earlier to about 20 %-odd. So

that's our focus. And if we were able to do that, which we are confident about, we should be able to deliver the organic growth that we're talking about over the next several years.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Sanjeev Verma: I would like to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Purvesh Parekh, our Head of Investor Relations, or with Strategic Growth Advisors, our Inves tor Relations Advisors . Thank you.

Moderator: On behalf of Black Box Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

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BBOX/SD/SE/2025/45
June 2, 2025 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call hosted on May 28, 2025 on Audited F inancial Results (Consolidated and Standalone) for the quarter/year ended March 31, 2025

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter dated May 22, 2025 with reference number BBOX/SD/SE/2025/34 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on May 28, 2025 on Audited Financial R esults (Consolidated and Standalone) for the quarter/year ended March 31, 2025, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer Encl.: A/a

"Black Box L imited Q4 FY '25 Earnings Conference Call"

May 28, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th May 2025 will prevail."

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER , BLACK BOX LIMITED
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND GLOBAL CHIEF FINANCIAL OFFICER , BLACK BOX LIMITED
MR. PURVESH PAREKH – HEAD OF INVESTOR RELATIONS , BLACK BOX LIMITED
SGA, INVESTOR RELATIONS ADVISORS

Moderator : Ladies and gentlemen , welcome to the Q 4 and FY '25 Earning Conference Call of Black Box Limited.
This conference call may contain forward -looking statements about the Company , which are based on the beliefs, opinion and expectations of the Company as on date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant s' line will be in listen -only mode and there will be an opportunity for you to ask question at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now would like to hand the conference over to Mr. Sanjeev Verma, Whole -Time Director and CEO of Black Box Limited. Thank you, and over to you, sir.
Sanjeev Verma: Thank you. Welcome everyone to Black Box Limited 's Q4 and full year FY '2 5 Earnings Call . Today, I will take you through our Business Performance for the quarter, provide update on Key Strategic Initiatives , and share our Roadmap for reaching our long -term growth targets. Following that, our CFO – Deepak Bansal , will present the Financial Update and forward -looking guidance.
We are pleased to report a strong close to FY '2 5. In Q4, revenue grew 4% year -over-year, while EBITDA and PAT increased 21% and 48% Y-o-Y respectively. This translated into all -time high margins, EBITDA at 9.5% and PAT at 3.9%. These metrics emphasize our operational discipline and financial rigor.
Over the past several years, we focused intensely on stabilizing the Black Box and transforming it into a resilient and profitable enterprise. For context, Black Box was a distressed US -based business when A GC Networks acquired it in 2019, later renaming the Company as Black Box Limited.
Since then, we have executed a multi -year turnaround. EBITDA margin expanded from 2.5% in FY'19 to 8.9% in FY '2 5, while PAT improved from a loss of INR 79 crore in FY'19 to INR 205 crore in FY '2 5. With the foundation now solid, we are shifting our focus from stabilization to growth , targeting revenues of US $2 billion by Fiscal '29 and aiming to expand our global market share to 1.5 % to 2%.
To reward our shareholders, the Board has proposed a final dividend of 50% of INR 1 rupee per share on face value of INR 2, subject to approval.
Throughout FY '2 5, we launched a series of strategic initiatives to support long -term growth, most of which were implemented by Quarter 3. This included verticalizing our business to better align with client needs, strengthening our leadership team and sales force by hiring talent from

global GSIs and other leading industry players, and doubling down on large account strategy to drive deeper engagement and higher wallet share.
These efforts significantly enhanced our sales pipeline, culminating in record order wins of INR 1,550 crore in Q4, more than twice the level of Q3, and the highest for any quarter in Fiscal '25. These wins include multi -year contracts with hyperscale clients, healthcare networks, airports, and educational institutions.
We also continue to execute a large ongoing engagement with a top tier U.S. financial services firm. Importantly, the majority of these wins are high value, long tenure contracts. Our managed and maintenance services business grew $61 million se

quentially, which improves revenue predictability and enhances margin visibility going forward.
The U.S. remains our most critical growth market driven by scale and technology adoption. We have carefully assessed the potential impact of macro headwinds such as tariffs and believe this will have minimal effect on our business. The demand for digital transforma tion, improved user experience and AI -driven solutions remains non -discretionary. The investment climate in AI remains robust.
One of our hyperscaler clients has increased its CAPEX guidance. According to S&P Global, just the five AI hyperscalers are projected to spend over $1.6 trillion in CAPEX between 2025 and 2029. A recent Bank of America report forecasts AI CAPEX to grow 44% Y-o-Y to US$414 billion in Fiscal '25. Industry estimates show AI -related markets growing at a CAGR of 30% to 37% through 2032, a trend we are positioned to benefit from significantly.
While the U.S. is our anchor market, India represents a compelling structural opportunity. India has four times the U.S. population, yet only 1 Gigawatt of data center capacity, a fraction of U.S. levels, despite being the world's highest data consumer. This supply -demand imbalance

represents a long -term opportunity for us.
We are leveraging global expertise, especially in serving hyperscale clients to build leadership in India's digital infrastructure ecosystem. Key wins include a five -year cyber security contract, INR 100 crore, with one of India's largest municipal corporations, protecting digital assets of over 20,000 public sector employees. We have committed an additional INR 100 crore to double our India business and are expanding our Bengaluru (Bangalore) Center of Excellence .
Our growth post also extends across APAC and the Middle East. Notably, we secured a large INR 90 crores order from a consumer electronics firm in APAC and inaugurated a state -of-the-art security operations cent er and data networking lab in Sydney , addressing the growing need for cyber security and high-performance networks in Australia.
As of March 2025, our order book stands at US$504 million, up US$39 million sequentially. While we are refraining from specific order book guidance, our revenue target of US$2 billion

by Fiscal '29 remains firmly intact. Our execution in FY ‘2 5 positions us well for the next leg of growth.
With that, I now hand over to Deepak our CFO for the Financial U pdate.
Deepak Bansal: Thank you , Sanjeev. As mentioned , FY ‘2 5 was a landmark year for Black Box. We achieved historically high margins driven by operational efficiency, pricing discipline and strategic cost management.
Over the last three years, Our EBITDA and PAT have grown at a CAGR of 27% and 41% respectively. Our profit after tax increased nearly 9x from INR 24 crores in FY ‘2 3 to INR 205 crores in FY ‘2 5. Quarter 4 EBITDA rose to INR 147 crores , translating to a 9.5% margin , up from 8.2% in Quarter 4 of FY ‘2 4, an expansion of 130 bps. PAT for the quarter stood at INR 60 crores growing 49% year-on-year.
For FY ‘2 6, we are guiding for EBITDA growth of 14% to 22% and PAT growth of 29% to 39%. These gains will be driven by operating leverage , improved service mix and continued focus on quality of revenues.
While FY '25 revenue was marginally lower than FY '24 link to our strategy to exit tail accounts and due to delays in decision making by few large clients because of the dynamic economic environment.
However, our strategic initiatives have positioned us for a revenue ramp up f rom Quarter 2 FY ‘26 onward, supported by stronger pipeline conversion and higher win rates on enterprise opportunities. We continue to maintain a strong balance sheet and healthy liquidity position, providing flexibility to pursue both organic and inorganic growth.
During the quarter, working capital investment led to hig

her debt, primarily driven by revenue
skewness within the quarter and proactive supplier engagement. Despite that, we delivered a robust ROE of 27% for FY '25.
In recognition of our financial progress, CRISIL upgraded our long-term rating to BBB+/ Stable in March of 2025. We remain committed to a capital light model with disciplined capital deployment.
Thank you . We can now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of CA Garvit Goyal from Nvest Analytic al Advisory LLP . Please go ahead.
CA Garvit Goyal: Congrats for a decent quarter. My first question is on the orders inflow . We got good orders in past few months, and I want to understand from you more on the current environment, like what kind of Big 9 are we currently in ? What is the size of orders are we expecting in the next few

months ? And what are those areas where we are targeting these orders ? And you mentioned like in FY '25, our customers were showing a bit delays in decision making. So, in current environment , are you still witnessing anything like that?
Sanjeev Verma: I will take that. So, our focus on order book , as we mentioned earlier, we have been focused with our change in go -to-market strategy with larger customers, our top 300, and the larger value and volume of customers. So , our approach will remain to focus on large deals and remain focused on our top 300 customers for where we believe we have the right to win both locally and globally.
Quarter 4, as mentioned, has been a robust quarter with respect to our order booking. As we get into the motion of this current fiscal year, several quarters, we expect that our effort over the last several quarters with respect to change in go -to-market, investing heavily in our vertical motions, investing in leadership, will continue to create the momentum for robust order booking going forward as well.

So, coming back with the perspective of what we have currently, a little bit of uncertainty, I think we have baked in that as well. Yes, there is an issue pertaining to tariff and there is some uncertainty in the market. But I believe our overall portfolio re mains largely non -discretionary. We remain a little cautious but are very optimistic with respect to our pipeline growth , and therefore expect that we will continue to have a good order book motion going forward.

Specific to what areas we see, we currently focus on five key areas of connectivity, networking, workplace, cyber, and data center. We expect that our overall portfolio, each one of them will have growth. Some of them will see a little bit hyper growth, sp ecifically in the data center and networking space .

Specific to industry verticals , although all the industries have requirements for having non - discretionary spend, specifically the areas that we operate, the network of this digital infrastructure needs to be up and running. But few specific areas of large -scale infrastructure, specifically to industrials, public infrastructure like airports and healthcare facilities that needs to be current are specific focus for us going forward .

So, all in all we expect that many of our verticals are in the sector that we are focused on , specifically healthcare , industrial and public infrastructure , and our portfolios across this will continue to push forward . So, we expect the robust order book going forward for the current year as well .

CA Garvit Goyal: And secondly, as you mentioned, and we are focusing on the data centers apart from being the traditional IT Company , so I want to understand , like, how much percentage of our existing revenue is repetitive in nature and how much is going to be dependent upon the kind of order inflows we are talking about from the hyper growth areas like data centers, cyberse

curity and connectivity you mentioned. So , can you put some color on that?

Sanjeev Verma: Yes, so we expect our data center revenues to be in the range of 15 % to 20% of our business. A large part of the data center, which is a green field, starts with projects, and we expect over a period of time that that would turn into annuity as well. As you heard before, our focus remains for long -term contracts, both from a managed service perspective and also projects. But once we close the projects, it turns into an nuity as well.

So, we expect that as we move forward in Fiscal 2026 and beyond, our projects in large -scale infrastructure like data center connectivity would start to yield managed services as well. As we continue to focus on other managed services, large -term contracts into healthcare, into our retail businesses , we will continue to focus on larger projects, and we will continue to focus on large - scale managed services annuity kind of business across other verticals as well.

CA Garvit Goyal: And out of total revenue right now, like we did INR 6,000 crore this year, what percentage is repetitive in nature?

Deepak Bansal: Around 30% is repetitive in nature as of now. So, one -third, between 30 and one -third, because the ratio changes quarter -on-quarter , but I think on a yearly basis it is almost like a one-third of our revenue is repetitive in nature.

CA Garvit Goyal: And what are those areas . Is it entirely in the traditional IT services that we are doing?

Sanjeev Verma: So, those areas are largely managed services for our modern workplace, managed services for network, managed services for IT help desk and support. Those are the areas that are large scale annuity in nature.

CA Garvit Goyal: And s ir, in your opening remarks, you mentioned about $2 billion target by FY '2 9, which essentially comes out to be around INR 17,000 -18,000 crore kind of top line. And currently, we are at a INR 6,000 crore . And for next year, we are targeting about 10 %-12% kind of the growth in our top line. So, considering this higher target, how are we looking at it? Are we looking for any inorganic opportunity this year or are currently any kind of opportunity in pipeline which can materialize in the next few months? So , can you please put some color on that?

Sanjeev Verma: So, our overall focus of $2 billion includes organic and inorganic growth. We expect our organic growth momentum from the current 12 % to 15% to continue or move up. Having said that, that will still leave us for a gap in organic growth. So , we continue to look at opportunities which are accretive for our shareholders. We continue to look at various assets in America and elsewhere. At the right time, when we believe that there is an opportunity to comment on that, we would. But as a Company , we remain acquisiti ve, but also keep mindful that we look at being acc retive. So, we would be exploring assets , and it is part of our plan going forward .

CA Garvit Goyal: And right now we are not having anything in pipeline?

Sanjeev Verma: So, as I said, we continue to look at assets, continue to have into pipeline, but there is nothing concrete for me to say at this time.

CA Garvit Goyal: And sir, on the tariffs front, after this pause in tariffs, how do you see, is it going to impact our services, like our business model in the terms of the cost optimization and all, because 70% of our revenue is coming from the Northern America ?
Sanjeev Verma: Yes, so tariffs largely have a limited impact on us with respect to our, we are largely services - led. So , I don't see a tariff, but I will ask Deepak, my CFO, to comment on that.
Deepak Bansal: Yes, so on the tariff side of it, what happens is that 75% of our revenues are in US, and if you see our revenues, it has three components.

One is our on-ground services, Second is we sell the OEM products and the third is our own products. So , no impact of tariffs on the services because the services has no tariffs. The OEM products are purchased locally from OEMs. So , OEMs are figuring out to handle those tariffs including their stocking requirement and all those things. If they will increase their prices, obviously we will pass through those prices to our customers. So , as such there is no impact.
Our own products, we source mostly from Europe and Taiwan. So , from Europe and Taiwan perspective, we are still the tariff, I think should be not to the extent of what we were talking about earlier. Now with China also, like right now it is at 40% and all. We are expecting that whole tariff thing to be, let's say , stabilized between 20 % and 40%, depending on the countries and all those things.
And especially with Europe, Taiwan and all those things, it should be in the range of 20% , which should be okay. As of now, we pay mostly 10%. So , the 10% more will increase, which I think we will increase , which I think we will increase our prices a little bit with industry practice and all those things . So, we don't see as such any impact on the overall tariff thing .
Whatever the economy impact in terms of right now the evolving economical impact where the few industries will do good and few industries like the manufacturing will emerge in the U.S. and all those things , those all will be accr etive logically to us . It may take some time to ascertain because people are right now holding off some of the decisions , people are taking those decisions with a cautious approach . But I think we are seeing that on an overall basis , I think we should be able to gain from the overall scenario .
CA Garvit Goyal: So, that is where my concern is. You mentioned 10% incremental addition will be there. So, ultimately , that will be passed onto the customers only . So, is it like they again might be the case, they will be looking for some delay in decision making and that can further decrease …
Deepak Bansal: No, Garvit, this is not on the overall revenues . So, our own product revenue is around $100 million. So , on $100 million, we source close to around $40 million to $50 million worth of goods. On that, there may be a 10% impact. So , this is on the goods. And it is an overall industry impact. So , we don't see that any demand will come down because of that in United States. And out of that $100 million of the revenues, the U.S. revenue is close to around $45 million. So , from that perspective, the impact is extremely, extremely nominal from our overall scale and size.

CA Garvit Goyal: That means you are saying there is no delays in the decision making on account of these uncertainties. This is what I am understanding, right?
Deepak Bansal: Yes, that is the overall economic environment which will evolve from overall industry perspective. So , overall , industries are watching right now that how this tariff scenario is evolving. You would have seen in the last four weeks that the tariffs have gone for some countries between 30% to 140% , but then again , right now it is ranging between 10% to 40% . So, nobody really has the crystal ball here . Everybody is watching that how really it emerges and all those thing , and accordingly the decisions are being taken .
Moderator: Next question is from the line of Heli from Pi Square Investments . Please go ahead.
Heli: Good morning , sir, and big congratulations to the entire team for very good set of numbers. So , I just wanted to understand , like, can you talk more around the order pipeline as to how much percentage of the orders that are in pipeline are…
Moderator: Sorry to interrupt , ma'am . You are not clearly audible. Next question is from the line of Saurabh Sadhwani from Sahasrar Capital. P

lease go ahead.
Saurabh Sadhwani: Hello, good morning , everyone. So, I wanted to know about the large orders that we have secured. What would be the timeline for execution for those orders?
Sanjeev Verma: So, our average project execution timeline are between anything between six months to two years. Right . So, depending upon what kind of orders we get. So , at an average it is, say, if you draw out an average of about 9 to 12 months ’ time depending on the kind of projects we do. So , if there are more services, I think it takes a longer period of time. And if there are a little bit more products, it will possibly be a shorter period of time. But on average, about 9 months time.

Deepak?
Deepak Bansal: Yes. And also the another thing is that that on an average, it is 100% right , 9 months' time. And while we from the next quarter and the next couple of quarter , three quarters , when we move forward with a with a large orders with a large customers, this and focus on the managed services and the maintenance , the managed services and the maintenance contracts will be in the range of three to five years , but the project's timeline on an average will continue to be 9 to 10 months ' time.
Saurabh Sadhwani: And you do expect to get the size, the order of the large order that you have received similar orders in FY '2 6 also?
Sanjeev Verma: That is correct . So, our focus remains, pipeline remains robust for large orders. As you could understand, large orders have a time lag because large orders takes time, but once you have the ball rolling and the pipeline growing, I believe it will start to roll . So, the focus will remain on large orders, upward of $5, $10, $20 million, working with larger clients and that's where we want to focus on with top 300 customers and large value customers .

Saurabh Sadhwani: So, Sanjeev , where would you say we are in the life cycle? You know, because these large orders are CAPEX -led and there must be an end of cycle period now that we are getting these orders.
So, is this supposed to continue?
Sanjeev Verma: Two ways to look at it . So, we are in a time of digital infrastructure, where we are seeing after a lot of years, both Greenfield and Brownfield . To put in perspective, if you look at the infrastructure built out for data centers, for which we play a certain part, many of them are Greenfield , right?
So, these never existed . So, they are getting built both in India and worldwide . So, that's a Greenfield approach. And of course, if you look at the need for AI, need for better user experience, need for modernization, there is also a Brownfield . Brownfield will require in a cyclical manner. Of course, they will sweat the asset three years, four years, and you have to catch the cycle. But there is a Greenfield also.
A combination of Greenfield and Brownfield with respect to critical infrastructure , if you look at our focus portfolio of connectivity and network, it is fundamental to user experience. Today whatever we do is based on user experience. Be it w e ask for a cab or we order food, or we go to an airport and the gate opens up with our cameras , it requires physical connectivity, network, wireless network and so on and so forth , right? So, there is a lot of Brownfield repurpose to meet the needs of user experience . And there is a need for Greenfield because they expect this user experience to only get enhanced, right?
So, from a cycle perspective, we are trying to catch the Greenfield by being including in the consideration rate as a preferred or a vendor to have a right to win . So, we are trying to increase and focus and therefore the vertical approach so that we are more relevant. And from a Brownfield perspective, many of our existing customers are repurposing. And we are also looking at how can we gain market share from others with respect to our sca

le, our presence.
A combination of our use cases, a combination of our presence in many markets will allow us for a better right to win for larger customers. And therefore, the larger customers value our presence, value our presence in 36 countries, value our presence in India, value our presence in Europe . So, I think that's the reason we are focusing on them. And we are seeing traction with respect to what we saw in this last quarter and our pipeline, we continue to focus . And we expect the momentum to continue with respe ct to order booking backlogs over the course of next several quarters and years beyond.
Saurabh Sadhwani: Thank you , Sanjeev . Thank you, Deepak.
Moderator: Next question is from the line of Heli from P i Square Investment. Please go ahead.
Heli: Hi, sir, good morning , and a big congratulations on a strong set of numbers. I wanted to understand, so can you talk more on the order pipeline as to what percentage of the order pipeline

are we seeing from the larger customers and what percentage are we seeing from a smaller set of customers?
So, I just wanted to get a sense on how are we, you know, so as this quarter we had a subdued revenue because of the delayed decisions combined with our changed strategies to focus on the larger deals . So, I just wanted to understand how long are we going to take to change the mix of the customers and shift to the larger bills .
Sanjeev Verma: So, we have already started the process of changing and shifting. This process started over the last several quarters with respect to our investment and redesign in go -to-market by hiring

vertical heads, bringing in thought leaders in our solution practice .
So, there has been work in progress and it works on a lag. It takes a little bit of time to be able to move that. An impact of that has already started to come in with respect to the last quarter that went by, which we talked about having several customers where we have seen our large value. It was a quarter where we had a significant amount of customers with large value for the first time.
As we move forward, we continue to focus and see our pipeline swelling. It's a continuous effort that we are doing across vertical segments and across our various practices, both in managed services, data center projects, networking projects, and so on and so forth. Our focus is to increase our pipeline from wherever we are moving forward on one side and focus is also be able to increase our win rate within those customer sets that we have going forward . A combination of increased pipeline and a focused ap proach of winning more , increasing our win rate percentages by having relevant conversations , we believe that we have a good path forward for continuing to increase our backlogs and order book going forward .
Heli: So, can we have a breakup on what percentage of the pipeline is from the larger customers?
Sanjeev Verma: So, 80% of our business is from larger customers. Close to 80 % to 90% of our pipeline remains with our larger top 300 customers. And as we move forward, I believe 90% of our pipeline will continue with our top 300 to top 400 customers. That's where we are focused on.
Moderator: Next question is from the line of Suhas from Trieha Capital . Please go ahead.
Suhas: Good morning. You just spoke about FY '29 target of $2 billion, including organic and in organic . So, as we are now getting out of the low paying customers or less margin business, how do you see the margins moving from here , say, over the next three years? Like what are the peak margins that you are looking at in this business that you might att ain over the next three years?
Sanjeev Verma: So, from a perspective going forward, we have stated our goal of initially of hitting our 10% margin goal . So, we are almost there from that perspective. We believe that when we scal

e up,
it will start to bring in a margin efficiency . So, from an internal perspective, we are looking to push this margin that we are currently at 8.9% to 10% to 11% to 12% and beyond . So, there is a scope for margin expansion as we scale up over the next several years ’ time.

Currently , we are guiding our focus for next fiscal year , right ? And from that perspective , we have guided over 9% , but I expect as we move forward , there is room for margin expansion and we will go higher than 10 %, 11%, 12% as we move forward .
Suhas: So, where do you see next year’s end, where do you think the exit margins could be?
Sanjeev Verma: Yes, So, next year’s end, the exit margin should be upward of 10% for sure.
Suhas: And the second question is in terms of the managed services, which , as you said , more like an annuity business . So, currently what is the share of that business in our total revenue ? And where do you see as you are getting larger contracts and including then also have a managed services along with that . So, where do you see your managed services as a percentage of business over the next three years?
Sanjeev Verma: Our managed services and annuity business that includes maintenance contract, as Deepak alluded, is close to one -third at this time. Our short -term goal is to push the number over to 40%. And as we move forward over the next seve ral years' time, I would expect our managed annuity business to be about 50 -50 as we start to move toward 27 -28-29.
Suhas: And I am sure they must be giving you a higher margin vis-a-vis your project business .
Sanjeev Verma: So, we expect that to give us a higher margin. It gives us predictability . It gives us the ability to better deliver. And with scale, of course, we expect a better margin as well. The answer is yes.
Moderator: Next question is from the line of Vivek, an individual investor. Please go ahead.
Vivek: Hi, Sanjeev. Thank you for the opportunity. I just wanted to say, so I woul d say Q4 run rate is about $730-740 million and we set ourselves a very lofty target of $2 billion. I mean, I have been tracking the Company for the past six quarters, and we have barely grown on the top line . So, what gives us confidence is that, because we are almost talking about tripling our revenues over the next 16 quarters . So, when do you think we will start walking the talk ?
And secondly, from an organization perspective, you have said that the GTM strategy has been completely enhanced . So, can you talk to us a bit qualitatively as to what difference you have seen on the ground and your Q4 order booking was very good. How has Q1 been so far? And should we start to see signs of growth, say , about double -digit growth from Q2 this year?
Sanjeev Verma: I shall break it in two parts. The first question was with respect to $2 billion. Vivek, the $ 2 billion, of course, includes an inorganic strategy to the tune of $600-700 million. If we look at organic growth at mid -double digits, we will possibly reach close to $1.3 billion, $1.4 billion , right? So, that's one .
So, I will pass the inorganic separately. And as I said earlier in my response, we continue to look at assets. And at the right time, we will pursue. And of course, we will communicate as we move

forward on that.

Coming back with respect to our organic growth from now moving forward , first, the GTM approach. The GTM , of course , was largely to focus on large value customers and focus on a set of customers in a specific vertical. And I think a large part of that is mostly complete. And therefore, we are now in full motion, staffed appropriately to be able to engage with customers in each of the verticals and have a conversation commensurate to the needs of the verticals. Earlier, as you are aware, we were geogr

aphy centric and therefore the conversation was largely based on a portfolio of what we had and not on the need for the customer in a specific vertical. And that we have higher talent. What we have seen over the period of time, over the last two, three quarters, that the quality of engagement and conversation with our customers have drastically improved. Within our set of customers that we had, we had good logos and also some newer custo mer logos that we have added. That has started to mature.

We look at sales from our Stage 1 to Stage 5. So, when we reach our Stage 3, we start to engage with some , there is a specific need to address. You are starting to get considered. So, if you look from that perspective, I think we have made significant progress. A reasonable part of that has started to accrue, starting Q4.

As we start to move forward, the pipeline continues to remain in each of the verticals . Some little more, some little less , but healthcare, consumer, data center vertical, public infrastructure like airports continue to be strong for us. And we expect those pipelines to start to convert. And we expect to see our revenues uptick to a double digit going forward from Q2 onwards. An d I think that's what we have stated .

So, we remain very positive of the investments made, of the conversations being made. I have personally been engaged with very many customers. Recently, we are heading out for a very large healthcare conference where the top 20 CIOs are invited to attend with us for 2.5 days with conversations across the modern workplace, across the network . So, we are seeing those investments, those conversations changing. We will continue to push for the momentum , Vivek, as we move forward in this quarter and quarter bey ond. And I am positive with respect to our revenue uptake starting Q uarter 2 at the back of continued good order booking going forward.

Vivek: Sanjeev, basis what you have just said, just to put a bit more emphasis , so even on the base business , if you are to hit about $1.3-1.4 billion over the next four years, that's about a 17 %-18% CAGR over the next four years. Are you confident on achieving that? I mean, starting with maybe a 10 % to 15% growth this year and then our growth ramps up even further as we go into FY '27 and '28. So, I mean, just as a Company , our four -year target has to be 18% on the base business.

Sanjeev Verma: Yes, so the answer is yes. We remain confident and positive on that. We are guiding between 13% and 17 % for the current year. And as we move forward, we expect acceleration with some of our sectors, more specifically in the market that we were low.

For example, if you look at India, we have just called out that we want to double the business , right? We were not focused on India. We are now getting ready to look at certain infrastructure and larger projects where we believe that we can add value. We do not want to be everything to everybody even in India. We recently won Rs. 100 cro res order in India. In my memory, we haven't done that in the past 10 years with any customer because we were not focused for various reasons .

So, we looked at India also now starting to emerge. There is a need for global players with good use cases . So, our growth would not only be as you see that contained to America. We are looking at India also as a market. We recently won a large deal in APAC as well. We recently opened up a security center in Sydney and we are expecting a large deal in a security center there .

So, overall, I believe we would be able to be at mid double digits in the current year. And we expect in some of the other markets, which will be much more than that, we are expecting over 60% growth. We are a small Rs. 500 crore business in India, right? So , growing 60% is adding Rs. 300 crore . So, some of the markets will be growing at a

higher pace , although smaller in terms of percentage contribution , but yes , we are positive , we should be able to drive that goal to go to $1.3-1.4 billion revenue.

Vivek: That's it from my side.

Moderator: Next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP . Please go ahead.
CA Garvit Goyal: Hi, thanks for the follow -up. Sir, you mentioned most of our offerings are non -discretionary in nature . So, can you spend 2 -3 minutes on explaining this statement, like what are the areas ? And non-discretionary means they have to compulsorily invest in the areas which we are getting to , right ? So, can you please explain what is driving this statement?
Sanjeev Verma: So, what is driving this experience is fundamental, of course, is user experience. If you look at an enterprise, and if you look at what goes into enterprise, various IP components. And if you look at the wireless system being down for your office, or being old, three years old, a nd one wanting to implement a new software for analytics, and if you had a choice of where to spend money and you were limited, it is clear where you will spend the money first, right? For your critical infrastructur e, for connectivity, for wireless working, for the network working would be required to be done. You will be able to do that.
If you are rolling out an ERP system, your CFO might want to push it for next year if there is an ambiguity in the market, uncertainty in interest rates. But lights -on is required, right? So , if you were to run out of that . So, from that perspective, if you look at an airport that we serve, for us to travel, the network has to be up. They may not modernize their ticketing system for some time, and they can live with old one. But a network is lights -on. A connectivity is lights on. A

user who is using a voice communication system or a wireless system to communicate is lights -on.
So, we are into the core infrastructure business. We call ourselves as a real infrastructure Company . So, those are non -discretionary. If they break, you have to fix it. Or if they get old, you have to replace that first. Some of the others, good to have, you might want to change . So, that's the perspective of having , it's like a broken road, right? So , I think you will have to fix the road if that is broken because that is going to give a very bad experience for people travelling on the road, correct? Even if you get a nice bus, which is a nice application and the road is broken, you will have a bad experience. And we all know what happens in Mumbai when it rains, right?
So, therefore, digital infrastructure is the digital highway. And if you do not have that up and running, you will have a very poor experience . So, that's what I am saying.
Moderator: Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.
Rohan Patel: Sir, what I have looked from our presentation is from since last one year , we are not mentioning about in-building 5G solutions and DAS . So, is it that we have reduced the exposure towards that stream?
Sanjeev Verma: No, so our in -building DAS solutions of private 5G is part of our networking business. Specifically in our market in America, in building for DAS or 5G, especially in -building DAS is critical for safety and public safety, specifically in hospitals or large infrastructure, and we continue to do that. There is a technology shift towards going towards private 5G, not fully adopted at this time. But there is a lot of work happening lar gely on the industrial side with large open areas where you cannot put a pole and put an access point for the wireless . They are exploring that.
We are doing a proof of concept with some airport. We are doing a proof of concept with large industrial operations like oil and gas and fab plants . So, our

in -building DAS and 5G or private
5G network are part of a larger networking portfolio . So, be it wireless, wired, software -defined networks, DAS networks, 5G, are now working in tandem. And it is a critical part of the digital infrastructure . So, it is part of our networking portfolio. We don't specifically call it out specific to that, but that remains a part and parcel, a very critical part of network infrastructure.
Rohan Patel: So, just I want to understand from you and your point of view is that seeing that the number of airports that are coming in India as well as the number of stadiums which are there in India, and as we mentioned, there are a lot of commercial sites, industrial sites that are in India . So, how big of an opportunity do you sense that India as a whole provides for a DAS system or in -building solution system? Is it large enough for us to cater and make money?
Sanjeev Verma: So, in India, of course, specifically it is a little bit of a confused state for DAS solution. And let me explain. Because in a DAS solution, there are three key players. One, of course, is the user

who is using a cell phone. There is a tenant in the building. There is a building owner. And then you have the telecom provider. In India, it is Jio, it is Airtel. And India has not sorted out as to who is going to pay for that, right?

So, therefore, there is no mandate pertaining to having a public safety requirement or real -time location requirement . To our hospitals or some other infrastructure you find some dark and gray areas where signals don't come . In America , there is regulation mandated by law specifically in public critical infrastructure that must have a signal at every part of the building , basement , open areas . And therefore , there is a spend happening in that .
So, it is a large opportunity . India , of course , might skip the technology , go to private 5G . Currently, it is with BSNL . So, there is a discussion going on of revenue share with some providers. It will become a bigger opportunity.
Specific to your question about the stadium and other infrastructure, it is a matter of who is going to pay for that, right? So , I think if it's an Airtel network and some areas don't work, so whether the stadium owner or BCCI or who will pay, that has not been settled . So, therefore India still struggles with some signal issues in many parts. There could be a regulation with respect to providing connectivity in infrastructure that are critical. Hospitals could be one . Airports could be others .
So, it is a huge opportunity . Just that the capital spend has not been sorted out. If the building owner starts to charge, the rent will go up. The guys in the building are saying I have anyway paid you the rent and Airtel is saying you don't have many users , so I can't put more antennas . So, that's the issue out there . So, it's never been a large business in India.
Having said that, private 5G can change that. The private 5G does not require so many access points. The coverage is more than a couple of kilometers. But it is a licensing issue , and it's a technology issue. But I think India will see that . And as and when we start to have those conversations, as I told before, we are looking at India in a bullish manner.
We have massive use cases. We are highly expert in putting that system for very large infrastructure, hospitals , and customers like large hyperscalers. We are exploring to see at the right time to be able to address that. But from our perspective, we have to make sure that it remains a profitable business for us and somebody has to invest in that technology , and somebody has to make an ROI of the technology .
Rohan Patel: Yes, that was a very detailed and fair explanation .
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participan

ts, I now
hand the conference over to management for closing comments.
Sanjeev Verma: Thank you everybody for joining the call. I hope we have been able to address all your queries.
For any further information, kindly get in touch with Purvesh Parekh, our Head of Investor Relations, or Strategy Growth Advisors, our Investor Relations Advisors. Thank you.

Moderator: Thank you. On behalf of Black Box Limited , that conclude s this conference . Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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BBOX/SD/SE/2025/63
August 21, 2025 To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051
Sub: Transcript of Earnings Call hosted on August 14, 2025 on Unaudi ted Financial Result s (Consolidated and Standalone) for the qua rter ended June 30, 2025

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,
This is further to our letter dated August 8, 2025 with referen ce number BBOX/SD/SE/2025/52 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosur e Requirements) Regulations , 2015, the transcript of the Earnings Call hosted on August 14, 2025 on Unaudited Financ ial Results (Consolidated and Standalone) for the quarter ended June 30, 2025, is attached hereunder.
This is for your information, record and necessary disseminatio n to all the stakeholders.

For Black Box Limited

Aditya Goswami Company Secretary & Compliance Officer Encl.: A/a

“Black Box Limited Q1FY26 Earnings Conference Call ”

August 14 , 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th August 2025 will prevail.”

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR & CHIEF EXECUTIVE OFFICER , BLACK BOX LIMITED
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR & GLOBAL CHIEF FINANCIAL OFFICER , BLACK BOX LIMITED
MR. PURVESH PAREKH – HEAD OF INVESTOR RELATIONS , BLACK BOX LIMITED
STRATEGIC GROWTH ADVISORS - INVESTOR RELATIONS ADVISOR S

Black Box Limited
August 14 , 2025
Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q1 FY26 Earnings Conference Call of Black Box Limited.
This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the compan y as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev V erma, Whole-Time Director and CEO of Black Box Limited. Thank you and over to you, sir.
Sanjeev Verma: Good morning, everyone. I hope you are all doing well. On behalf of Black Box Limited, I would like to welcome you to our Q1 FY26 Earnings Call .
I will start with an Overview of our Business Performance and then our CFO , Deepak Bansal will walk you through the Financials .
We have already uploaded the Results Presentation and I hope you had a chance to review it. It is great to connect with all of you again.
Over the past five years, we have transformed Black Box from a loss -making entity into a profitable cash-generating business with a strong balance sheet. With the turnaround complete FY26 and onwards, is about accelerating growth, s teering revenues, and capturing market leadership.
While the year began at a slower pace, we are seeing solid traction in key accounts and are actively engaged in multiple high value opportunities.
This quarter, we retained the order booking momentum similar to Q4 FY25 and booked orders worth $176 million , with most of the deals, nearly two -thirds, being high value deals.
Some of the notable order wins during the quarter included a very large project in the U.S. from a leading financial services giant, as well as a workplace solution engagement from one of the world 's largest OT T players for their operations in Latin America.
The company also secured two significant data center orders in the U.S., one from a global hyperscaler and another from a top -10 global core location provider.

Other key wins included a workplace solution proj ect in the U.S. from a top -tier city transport authority, a combined connectivity infrastructure and networking order from a prominent public services organization, and a large networking deal from a reputed 200 -year-old research university in the U.S.
Our backlog at the end of Q1 FY26 was at $518 million, up from $504 million at the end of FY25. We are confident of reaching $700 million of backlog by end of the fiscal year. We are also targeting to book orders worth $ 1 billion in FY26.
As mentioned by us in the previous quarter, our order book will continue to grow as we implement our new GTM with experienced leadership and business teams now in place across vertical s and horizontal solutions. And this will set the stage for FY29 target to reach to a $2 billion in revenues with an expanding order book.
Strategically, we continue to reduce our long -tail low -value accounts which was reduced to less than 1,000 at the end of Q1 FY26.
We expect demand for our services to remain strong, with sufficient headroom at the back of AI -led overall growth, which will require refreshed new deployment and retrofit of technology infrastructure . Backed by our solid market positioning and proven capabilities, we are confident in achieving our growth target for FY26.
With that, I now hand over to Deepak, our CFO, for the Financial Updates .
Deepak Bansal : Thank you, Sanjeev. Hello and good morning, everyone.
A

s you would have seen revenue for the quarter stood at INR1,387 crores, down 3% year-on-year impacted on account of client -driven delays in equipment procurement due to the ongoing tariff situation which pushed out revenue c ognition and affected operating margins as well.
Given the focus on getting large size of orders and our focus on high value customers, the average lead time from order receipt to first revenue recognition is now extended to around four to six months. Hence, you will see revenue increase from our robust order bookings only post Q2 of FY26. There is also a small impact from the reduction of the long -tail low value accounts.
EBITDA for the quarter grew 1% to INR116 crore s compared to Q1 of last year, essentially remaining flat. While EBITDA margin improved by 30 basis points year -on-year to 8.4%, they were lower compared to Q4 of FY25 due to lower fixed cost absorption in Q1. Fixed costs generally would range around INR310 -320 crores per quarter. Fixed cost absorption will be better in the coming quarters as revenue increases. Our guidance of 9%-9.2% EBITDA margin in FY26 remains intact.

Profit after tax rose 28% year -on-year to INR47 crores from INR37 crores in Q1 FY25, with margins increasing by 80 basis points to 3.4% year -on-year, primarily driven by reduction in exceptional expenses and lower taxes.
In summary, we delivered year -on-year growth in both EBITDA and profit after tax, highlighting our operational efficiency and margin resilience.
With a strong order book, healthy cash reserves, and a reinforced go -to-market strategy, we are confident of delivering on our growth ambitions for fiscal year.
I would now request the moderator to open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Deep Shah from B &K Securities. Please go ahead.
Deep Shah: Yes, h i, good morning. Thanks for the opportunity. So, first question is on the commentary that you gave that revenue growth was impacted due to delays in clients' equipment ordering. Now, this is unlikely to change in the near term , right? So, what gives us the confidence to stick with the guidance because the revenue guidance effectively implies that an 18 %-19% kind of growth is needed in the balance nine months of the year to achieve our '26 guidance. So, if you could just give some more context, that would be useful ?
Sanjeev Verma: So, yes, in the short term , I think with some of the uncertainties still remain on tariffs, we expect there will be some delays. Some of them are big deals because it is from a backlog perspective is cyclical in nature. So, it is two months, it is now 3 months or 4 months' time . We expect it to ease post-October, hopefully, but we are not sure. Having said that, I think certainly we are looking at where we stand in terms of order backlogs and our burn rate. We expect that the burn rate would be better because we are baked in the last three, four months of order book that has come through , that has not gone into revenues. Also, our pipeline currently, as we stand today, getting into the middle of Quarter 2 is much robust. We expect our order book to continue to rise as we get into Quarter 2. It is impacting our revenues positively for Quarter 3 and Quarter 4. It is a kind of cyclical com ing at the back. To answer your second question, we expect our revenue and order book momentum to track between 15 %-20%. In fact, order books will track more than that going forward each quarter from here. So, we have still remained positive with respect to our guidance, as Deepak alluded with respect to also EBITDA impact, and also from an order book perspective of exiting the year closer to $700 million . We are currently at $520-odd million . So, we remain robust. The work that has gone through the last five, six

months, starting our order backlog this quarter, getting into next quarter, we understand we need to track between 15 %-20% and remain positive that we will be able to deliver that.

Deep Shah: Right, sir. This is useful. Second question is for Deepak. So, Deepak, in our press release, we mentioned EBITDA of Rs.116 crores. But if my understanding is correct, this includes Rs.11 crores of FOREX gain. Is that understanding correct?
Deepak Bansal: Yes, yes. So, there are three types of FOREX s normally in the business. One is that which is on a translation side of it that passes through the OCI, which does not hit the P&L as such. The second type of thing is a cash flow hedge, which is when you hedge your currency for different mo vements , on that, it comes under the line below the EBITDA. The third type basically is when we have the inventory, because we deal in multi -currencies, we deal in almost like 19 currencies in our operations overall. So, on that, when we have the inventory accounts receivable and accounts payable, and the consumption pattern and the revenue pattern on that happens, and primarily that happens in our product business and all those things. Every quarter, when you book it on a transaction level, there is a currency difference every day, which happens depending on that. And that is, if you see consistent every year, it can be positive, it can be negative every quarter, every month and all those things. That is part of the EBITDA only, because that is an operational -related thing. Because of the accounting gap requirement, we show it as a different line item. But otherwise, it is related to the operational thing, which impacts our inventory valuation and our accounts receivable and payable when the customer pays the money or we pay to the vendor or when we consume the inventory when we sell the inventory.
Deep Shah: Right. But Deepak, it is really difficult to forecast this number, right? So, when you give your estimates for or guidance for '26 or for any year, should we think that this guidance that we have given of 9.2% margins is exclusive of all of these impacts? Because as you said, right, that it could be positive , in some negative in some years , and it is not really in our control.
Deepak Bansal: You are right. Technically, that currency is not in our control. The planning of the inventory and the planning of the receivable and payable is in our control. And that is how we plan. So, this quarter, when we saw that the currency is going in the right direction, we planned our inventory to consume in a way that we take benefit of that. So, it is in our control to plan that how we are consuming from which country and which currency we are passing on that inventory to consume. And that is w hy it becomes more like because that is real money which is coming. It is not like that is just an accounting thing. It is real money which flows to us with respect to the collection or with respect to the inventory

consumption in terms of the margin. So, when we forecast this 9.9%, that includes some of these strategies , because in the business, you apply all these strategies when you are delivering the material to the customer or anything where you will try to do all these things. When the currency is goi ng down or something like that, then also you will do a different type of thing. You will consume the currency. If I have a material sitting in a Switzerland warehouse, so I will sell that if the Swiss Franc is doing better than the euro.
Deep Shah: Right. Understood. And just one more follow -up. This quarter, we saw some 40% increase in purchase of stocks. So, anything to call out here or it is just a timing difference?

Deepak Bansal: It is a timing difference. It is a timing difference that because we continue to purchase the inventory and sell. So, because of th

e tariff things on our TPS side of things, we little bit purchase more to basically store the inventory in US to reduce the i mpact of the tariff because on the China goods or whatever we have purchase from Taiwan also because Taiwan when they put the higher duty initially, we ordered the material to come in advance to consume in the next quarter and all those things. But now, Ta iwanese duty has again come back to the lower levels now. So, as such, there is not much impact on that. But , we are planning basis what is happening right now on uncertainty type of thing.
Deep Shah: Understood. This is super useful. All the best. Thank you.
Moderator: Our next question is from the line of Abhishek Kumar from JM Financial Limited. Please go ahead.
Abhishek Kumar : Yes. Hi. Good morning and thanks for the opportunity. I have a couple of questions on your outlook only. First, I just wanted to understand when you say that you expect $1 billion of order booking in FY26 , is it corresponding to the $176 million inflow that we did in Q1 , that cumulatively you expect to reach $1 billion in FY26?
Sanjeev Verma: That is correct. So, basically, the cumulative order booking for the year starting at $176 million , when you track 200, 250, 300, we will do a cumulative of $1 billion for the year. You are correct, Abhishek.
Abhishek Kumar: Okay. So, that is very encouraging. And you have mentioned $2 billion plus pipeline. So, that means, very strong win ratio for us to do that. So, we have the visibility, the positioning that we have in terms of where we stand in those deals today to hit that bill. What is giving us the confidence that out of $2 billion pipeline we can get -?
Sanjeev Verma: $2 billion is a point in time. So, if you consume or you burn or you pick up orders for $200 million, you have to replace it by pipeline. So, the pipeline should actually grow from 2 to 2.1, 2.2, 2.5. It is a point in time. It is taking into account that what will burn, which is what will win, that does not mean that you have $2 billion static pipeline. After you get $250 million worth of orders, it should replace that through a pipeline. So, it is an absolute number that should remain constant or move up basically adding. So, if you look at from a percentage win ratio, I think we have a significant pipeline at a given point of time corresponding to a quarter. So, if you are looking at $250 million, we are looking at 12%. So, it is a very healthy pipeline. Of course, all of them will not close in th ese next nine months, some are longer lead times. But a robust pipeline, the current engagements on larger deals combined and are able to continuously improve the pipeline through the go -to-market transformation that we are doing, we are seeing these engagements. So, all put together, we believe we are confident of an absolute booking of $1 billion, exiting $700 million of backlog. We think we need to move the backlog from the current $520 range as we move forward to open a better backlog so that we start Fiscal ‘2 7 and open a better note.
Abhishek Kumar: Okay. And second, I think it is mentioned that now because we are chasing larger contracts, the lead time has increased to four to six months. I think this is the first time we have mentioned this. So, does

that mean now that the order that we have won recently, the conversion or the revenue recognition will only happen in the second half? So, therefore, we might have a soft Q2 as well?
Sanjeev Verma: So, we expect that Q2 to be much better than Q1. So, we already have a backlog which is delayed burn, so did not impact all of that in Q1 or it could have been better. We expect the Q2 to be impacting and the orders that we are booking as we speak will impact partly Q2 going back to Q3 so to just continue to push forward. But no, we expect Q2 to be much better.
Abhishek Kumar: Understood. I will come

back in the queue.
Moderator: Our next question is from the line of CA Garvit Goyal from N vest Analytics Advisory LLP. Please go ahead.
CA Garvit Goyal : Hi, good morning. So, my question is on the tariff front only. I remember in last quarter we spoke on this topic and you mentioned that you will be having a limited impact as far as the tariffs are concerned , and you cited that most of our revenue model is based on some on -ground services , and secondly, our OEM products, that too, will not be affected much because these are getting purchased locally. So, what is the scenario now? Why we are seeing this quarter our revenue is getting affecte d because the customers are delaying the purchase on account of the tariff environment ? So, I am not able to understand this thing. So, can you please put some color on that?

Sanjeev Verma: So, I will take it and maybe Deepak can allude that. So, when we said the tariff would not impact us from a perspective of our margin and profitability, I said because it is a pass -through for us from product side. So, I think so it is not going to impact or if it costs us more, I think we need to pass that. So, that is a take on that impact of tariffs. But from a customer perspective, his cost of purchase is going to go up , right? And I think so there is a delay for larger projects, which includes some products. Of course, we are largely services -led to make a decision on a certain thing. We a re expecting the tariff for some countries to become better. So, that is on the customer side. We are a small part of the customer overall CAPEX , right? So, they are having a delay in their overall CAPEX . If they are building a data center, if they are building a large infrastructure like airports , we are part and parcel of the larger CAPEX program. So, if they are delaying some decision -making, it is not because they are delaying only for us , they are delaying a larger CAPEX, t hey are taking time to see when they want to sp end that money or they are impacting us on the other purchases. So, there is a general delay, not because of just our products or our tariffs. So, two parts to it. The tariff is not going to impact us from a P& L perspective as much as it is a pass -through. The customers considering a bit of uncertainty with somebody at 25 %, somebody at 50 %, somebody at 19 %, just happening over the month of July and August. I mean, generally, the environment with respect to customer decision - making was largely impacted for o verall CAPEX spend perspective. Deepak, is there anything else?

Deepak Bansal: Yes, yes. So, well, you rightly told, it is a macroeconomic type of situation there in US right now. So, let us say I have an order from a customer to execute a project, but that is dependent on two things ; one, the readiness of the site ; and the second is the availability of the equipment which is

required to be deployed where our role will be there. And that equipment may be a server or maybe a networking equipment or maybe cable s or whatever it is where our technicians will be deployed to install, manage and all those stuff. Now, if the customer is not getting from their supplier or from OEM or delayed the decision because of a tariff uncertainty and all those things, because there was a huge uncertainty on the copper tariff in between. And because of that, the people imported the copper flaps, but not the copper wires and cables. And because of that, there was generally a shortage of the cables in US, which now has started coming up once the administration is coming with the clarity on that. If there is no material to install, then our technicians obviously cannot work there and all those things. And because of that, we cannot recognize the revenue. And that is what I think is the project delayed and that is where the revenue recognition delayed. It is not like that w

e lost that , it is just the dela yed because then we will execute it now when the products availability is there and all those things. So, we have a regular engagement with our customers , we are working with them in terms of the revised timelines on the project and all those things , and can we do some change orders with them, basis that and all those stuff on the background, all those things are going on.

CA Garvit Goyal: Understood. And when we say like Q2 is going to be better than Q1 and we are also maintaining our guidance. But at the other hand, tariff situation is getting worse day -by-day, right -

Deepak Bansal: I will say tariff situation is generally resolved other than India , because China is now extended for three months , other than India, Brazil and a few countries, the tariff situation is generally resolved. The China is all stabilized now that China will continue to be at the current duty and all those things. So, I think I will say that the tariff situation is now far better as compared to the earlier. People have now the almost like I will say 90% clarity in terms of what is happening. There is not much dependency in our line of business from our IT CAPEX and all those things from India. So, from that perspective, I think there is a more certainty no w as compared to in the past.

CA Garvit Goyal: So, if India is going to face a tariff which is incrementally greater as compared to the other countries, so do you not think people will be shifting to some other countries at least for the product part?

Deepak Bansal: So, the import in the US of the technology products which we are dependent on , whether it is all the OEMs, networking equipments and all those stuff. I do not think that India plays a very contributed role in terms of going to US. We do not work obviously on the cell phone devices. Cell phone devices from India in US, by the way, the duty is zero. So, from that perspective, all the dependency is on Europe, China, Taiwan is the major dependency in US for our products what we deal upon. So, fro m that perspective, those all things are sorted out. India duty probably will not impact us. Sanjeev, do you think India duty will impact us from the networking equipment perspective?

Sanjeev Verma : No, we do not so. I think India is not a network equipment exporter. So, I do not think it will impact that.

CA Garvit Goyal: So, as of today, we are pretty much confident about achieving the guidance that we are speaking about, right?

Sanjeev Verma: The answer is "Yes.'

CA Garvit Goyal: And any kind of risk like do you see like after the quarter, you mentioned like this kind of risk occurred , so, any kind of risk are you seeing right now which can stop us from achieving this guidance?

Sanjeev Verma: So, all of the known risks from the past are baked in. The future risks, which we can't see, can't see

right? But whatever we have at this time, be it tariff , be it some delays , they are baked in our pipeline, our current order book, our current go -to-market motion, the things again where we are, but if it gets in some other direction, which we do not know or all of us do not know, we do not know that. But leaving that aside, there is no other event that we could not answer , as for our guidance is intact.
CA Garvit Goyal: And you mentioned about the newer orders that we are targeting in FY26. Can you put some more color like how much percentage of these orders are going to be from data center and what kind of timelines for these orders to be executed?
Sanjeev Verma: So, our ballpark range, our data center orders should be in the range of 20 %-25% and a little back to that. We are slightly lower over the last couple of quarters on that. So, that would be in that range. So, if you look from a perspective of overall a billion dollar, we expect over $200 million in some way in that range to be

in that range, right? With respect to our project timelines in general, depending when we book the projects, our average project tim elines are between six to nine month s time. So, we will carry forward when we said we want to book that a significant amount of upt ick with respect to our backlogs going forward. 80% of our business is outside of the data center, which includes networking, includes infrastructure, modern workplace, also includes our technology products, that is a Black Box product business.
CA Garvit Goyal: And what is the size of orders you mentioned as an incremental order?
Sanjeev Verma: The size of orders, I think we are focused, as we told before, for the last two, three quarters, we have been saying that we have been pivoting from Black Box a very long list of customers, it was over a couple of thousand to customer focus on larger deals , because w e believe that that is where our focus should be. We are seeing that the contribution in our quarterly order booking pertaining to larger deals, over 1 million, over 5 million, is much more. And as we move forward, we expect that to even go better, whether deals worth 10 million or more, 20 million or more. So, that is where the focus has been over the last several quarters. And we are at the right spot at this time to make a win across data center, across infrastructure, across airports, healthcare, in all the verticals that we operate. That is where we have been focused on , long-term, larger deal, multi -year annuity . So those are the focus areas. And that is where we see our company is heading towards.
CA Garvit Goyal: Got it. . Thank you very much. Thank you.
Moderator: Our next question is from the line of Jatin Deshpande from P keday Advisors. Please go ahead.

Jatin Deshpande: Hi, sir. Good morning. Ye s. So, my first question was that the data center industry is going through a boom in the US. The numbers are not rising as fast. And so, what is the reason for that? And also, in last call, you mentioned that the marginal decrease in revenue was one of the reasons was that due to rationalization of your client base. So, is there any specific reason why you need to remove the long tail clients before you add new larger clients to en sure that the revenue does not drop? And also, I am assuming that tariffs hav e only come recently. So, that is not the reason.
Sanjeev Verma: So, I will answer the first part and try to answer the second part and leave it to Deepak . So, the data center, of course, you see a lot of announcements in the data center between the announcements of data center and the time it goes online with project, there is a huge lag, right? So, I think if you see an announcement of data center for 2 GW f rom the announcement to the removal of the d earth by the time we get to do our work, there is a lag out there. In the last six months , nine months or so, we have reorganized our focus on the data center. We had one large hyperscaler client, which we did not produce enough in the last six, nine months. Currently, we are sitting at a very large pipeline and win rate coming forward from that client. But more importantly, we now have won and gotten into other large global multi -location provider. We are also in active engagement with the pipeline from a win ratio perspective , the relationship from that perspective, with other hyperscalers and Co-lo providers are much better. The closing of a deal for a hyperscaler for the world that we do is a long deep time. And once you get it, you stay for a long period of time as a partner. There is also a dynamics with respect to large hyperscaler and working collaboration with large general contractors and customers with hyperscaler and multi -vendor approach, right? So, we will make it a little complex. So, there is a lead time and lag time from when we start off engaging for larger pr

ojects by the time we get to contracting and by the time we start delivering revenue from that order book. So, there is a time lag. So, where we stand today from our ability to see pipeline conversion, the line of sight is much better and therefore, I said, we expect 15-20% continuous movement both in order book and revenue going forward. So, that is one. The second question, I will defer to Deepak. You talked about margin. I did not get the question exactly, but maybe Deepak will -
Deepak Bansal: Yes. So, I can take that. So, on the long-tail customers, we have already informed everybody that we deal primarily with the large Fortune 500 clients. And in every vertical, what we have announced, we want to deal with the top, let us say 100, 200 customers. And that is where I think the biggest penetration is. We used to have more than 2 ,000 customers two years back on a long tail side of it, where the value of the deal, the engagement with the customer is a one -time engagement in the year or two times, or the value of the deal is between $10,000 to $50,000 and all those things. The cost to

deliver that customer was extremely high in terms of the overheads while the gross margin may look okay, but then the SG&A will be higher to deliver that. And that is why we took a conscious call to reduce our long-tail customers. So, that exercise is going on. We will continue to see that now we have less than 1 ,000 customers in fact on that long tail thing, because you cannot suddenly reduce everything, but we are doing a consistent effort to do that. Because last year, total impact was between $16 to $17 million of that on the revenue. This year, we are not expecting that much of impact. This year, the total impact we are expecting in the range of primarily six to seven, which is already built

in what the guidance we have given that is already built in that. With that, I think our streamlining on the long tail orders will be over, let us say, on a consistent basis in the current fiscal year.

Jatin Deshpande: Got it. Got it. That was helpful. And sir, can you help me understand your customer on the data center side? So, do you directly deal with, let us say, for example, Meta or are you dealing with their vendors? Do you have any preferred vendor position with any of them?

Sanjeev Verma: That is a good question. So, we deal directly with Meta, both from a contracting perspective and from an individual perspective. We also deal with Meta 's large vendors, mostly master contractors in some cases. So, Meta, or any other hyperscaler for that matter, utilizes both channels. There are many sites they contract directly. There are many works that they contract directly. They are putting up a dash network, they might cont ract directly. So, in some sites, considering the nature of the site, the way they have contracted, the master contractor could be a back -tailer turner, could be a lock, stock, and barrel. Pretty much they will be like an airport or a railway system, right? I mean, you might give it to Siemens or somebody else and they become the master contractor. So, they utilize both. So, we have relationships with their master contractors that we work with. So, these are multi -billion -dollar large master contractors. We also have to work directly, irrespective of whether we contract sometimes with the mast er contractor, because that is what they prefer. But the design element, the discussion element is more like a tripartite. You have to sit in the room with all because each is interconnected. So, to answer your question, we have both kinds of contracts directly related to Meta in certain sites, in certain geographies. For example, we do a large work for them in Europe. We contract directly in some sites. In America, we contract directly. We also contract indirectly if that is what their preference is.

Jatin Deshpande: Got it. Go

t it. Thank you. And sir, you have guided for a significant inorganic growth through FY29. So, do you have any plan on how are you going to fund this -- are your internal accruals enough or do you plan to raise any debt or -?

Deepak Bansal: For organic growth, we require just working capital. That working capital, we have the off -balance sheet facilities, and I think we should be able to fund it through our internal accruals and all those things. For the inorganic activities, we may have to raise the debt depending on the situation and all those things, because normally our philosophy on the inorganic acquisition is that we continue to look for suboptimal or subpar performance type of compan ies, which we can get at the lower pri ce, where we put our capability to transform those businesses and then we do some type of structure in terms of deferred consideration and pay upfront something and all those things. So, right now, we are not envisaging that we will be enhancing the debt, basis that, but if we find some good asset, which is a large si ze or something, and if we need to take that in terms of achieving our targets, and we feel that , that asset is a transformable and we can transform it quickly and all those things, probably it all depends on the situation, on the inorganic growth, how that evolves and everything.

Jatin Deshpande: Got it. Thank you so much. All the best.

Moderator: Our next question is from the line of Su crit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil: Good morning to the entire Black Box team. And my question is to Mr. Sanjeev Verma. In the last concall , I believe you had emphasized a shift from stabilization to growth, targeting approx . 2 billion revenue by FY29. So, just an extension to that question, as Black Box transitions from stabilization to growth, how are you thinking about evolving your engagement model with hyperscalers and large enterprises from being a systems integrator to a strategic co -innovator in areas like AI infra, Edge Computing or Sovereign Cloud? And are there plans to co -develop IP or enter joint GTM partnerships that could deepen wallet share and create annuity like revenue stream for the company? Yes, thank you.

Sanjeev Verma: Yes, so the first part of the question is, so far we are focused on moving from stability to hyper growth going forward. And we are on the right path to be able to do that. As I called out earlier, we expect our coming quarters to gain velocity and momentum b oth in order book and revenues going forward . So, the world of hyperscaler is broken into two distinctive parts : One, of course, hyperscalers have built their own projects largely at the core, largely they build large mega infrastructures . And then, of course, there are various multi -tenant Co-lo providers which also build and support these hyperscalers largely at the Edge , right, which means they build in the cities, they build various sites for them and the likes of QTS or CyrusOne or others in that space, also a partner. In fact, if you look at India, many of the Co-lo providers now are actually a wholesale provider to Google and AWS. The model that they started earlier was different, right? So, now the consumption happens. So, coming back to your question from a transactional provider to a strategic one, that is exactly what we are doing at this time, engaging with these hyperscalers that we have, starting from building their core infrastructure, we do connectivity and networking. We are also doing some other work pertaining to that infrastructure and wireless infrastru cture. The larger hyperscalers, they buy differently. We do not expect to be selling compute to them. They actually do not buy compute from anybody. They are starting to build their own compute. So, that is one side. From a long -term partnership perspective, we do provid

e what we call day -to-day support, which is annuity in nature.
So, once the work is done, the ir work is never finished , so, you need to support the work that you do. There is always some move activities going on. So, somewhere around 10%, 15% of our workforce will continue to remain to support the day -to-day and our endeavor is to be able to do that longer -term. When we come down to some of their partners, which is their location providers, multi -tenant, the ability to do with them is a little bit more , because they do a small format. So, when we work with QTS Realty , we could go up the value chain from Layer 0, Layer 1, Layer 2, and we are also forming partners with them. Over the last several quarters, the investment that we have made and the talent that we have brought in quality, safety, project controls, high -level leaders hip, our engagement now, both with hyperscalers, outside of our single largest client that we have is increasing . And our current engagement is across various multi -tenant, various hyperscalers, both from a pipeline perspective and we expect to be able to become their core strategic partner. We will do a project that lasts for 1 -2-3 years time. You cannot be a transactional vendor. Black Box is also working with many of these providers in more than one country and we intend to expand. For example, we are

focusing on Europe and some markets, especially in Spain, UK, and other areas is it the back of a relationship . In summary, we are looking forward to long -term relationship. That is the reason why we are focused on larger and similarly are engaging with larger enterprises as well in a similar nature. So, therefore, we decided not to give everything to everybody. That is the reason why we are moving out of the long tail , and most of our engagements are now focused on long -term contracts either projects or lo ng-term multi -year annuity contracts that we do for several critical infrastructure like airports , we support some of the largest airports in the US. So, that is the initiative.

Sucrit D Patil: Great. That was good insight. Just on an ending note, I just want to understand from you as a CEO of a company, how do you decide where to focus between US hyperscalers and India 's digital infra , what is the framework behind those choices from your point of view?

Sanjeev Verma: So, from a size perspective, I was told before we focus on where we believe we will get better yield from the effort that we put. The size of the market for the US is much larger. Of course, India is a growth country. So, we have also pivoted to look at India as a growth market for us this time but still remains a small portion of the overall business. So, we are looking at putting our resources where we believe that we can get volume and we can also get value. So, America can provide value a nd volume both. India, of course, has volume coming in. So, we are currently engaged with India for larger projects. We recently received and partly delivered a very large cybersecurity project. India is going to build a lot of data centers as well. Many of them are currently in the conceptualization stage. They are announcing the project. Google announced this is a billion dollar. They are announcing and the project coming through is a long lead time. But India has a super -tenant of value. It is a cost -plus country. So, we remain cautious how to make our cash work better, how to make our capital allocation work better and what yield can we get from that perspective. So, as a CEO of a company, as I said, we are looking to drive hyper growth but we are looking to drive hyper growth that has margin as well. And India, of course, remains very core to our business both from a growth perspective but also from a delivery perspective. As you know, we are using India for our global capability center in Bangalore. So, it wi

ll remain a key aspect of our overall success both from a local
business which we are cautious about because we do not want to de plete our margins but also from a delivery and skill standpoint that we utilize in India. We have 500 people supporting our global operations. We expect that to grow as we grow our business.

Moderator: We have the next participant, Vivek Ch oraria, an individual investor. Please go ahead.

Vivek Choraria: Hi, Sanjeev. Thank you for the opportunity. Sanjeev, our Q4 order booking was in the range of $200 million if I am not incorrect before FY25 and Q1 that has actually gone down from $200 to $176 million. So, can you just please explain why we are still confident of booking orders to the tune of $1 billion in the 12 -month s trailing? I mean, our order booking has in fact gone down. So, I am not able to square the two. And the second part of my question is we are almost through the first half of the second quar ter. How has order booking been? Because I think growth is what is ailing the company. I mean, we have done tremendously well on the margin front. It is the growth part which I need a bit more color on ? Thank you.

Sanjeev Verma: Yes, I think I will first accept your statement with respect to growth and that is where the focus is. With respect to our confidence, with respect to forecasting, we have been looking at closing an absolute number of a billion dollar starting at $175 or $176 that we were this quarter. We are staring at large bookings coming up that we expect to close in Q2, Q3, and Q4. Many of the engagements currently from a large ticket perspective which is over $10 million, $20 million, somewhere around $50 million, is in the works. And that constitutes today our pipeline. Pipeline, i f you go back 12 months' time, of course, we did not report a break of a pipeline. It still remains $1.6 billion or something in that range. But it is made up of lots of smaller deals as well. We have cleaned that up with respect to what we believe we should be focused on. In summary, to answer where we stand today, our expectation is to have at least 15-20% of growth in revenue sequentially going forward. We expect some of the quarters to be even larger from a perspective of windfall and even a large hyperscaler deal that we expect to win going forward. Considering a size of $175 -$250 million deal for a project that lasts for nine months, 12 months, or 24 months, can skew the win rate much larger from a percentage perspective. So when I look at absolute volume perspective as to where we are and take the view of the next nine months, considering we are one and a half months down in this quarter, we are confident of where we will be in booking this quarter and therefore the revenue coming at the back and going forward. Also, what I have been seeing in Q3 and Q4 with respect to the work that is happening, of how many engagements are on the table, discussion is going on with respect to our contracting, that gives us a positive outlook that we would be able to deliver on about a billion -dollar worth of absolute booking. And if we do that, we expect that we should be able to open the backlog, which is now at $520 range. The expectation is that we should open a backlog in the range of $700 million going forward to set the tone for Fiscal ‘2 7-28.
Vivek Choraria: I have a second question. Since we reorganized the GTM team and with Jai Venkatraman as the Chief Revenue Officer, can you speak qualitatively as to what impact you have seen on ground? I mean, we have talked about margin and stuff, but I just wanted you to speak to, I mean, as a company, you have been the CEO for a long time , can you speak qualitatively as to what difference you have seen on the ground as far as deal engagement and the win rate distance? And are you seeing a considerable difference if we were bidding for $100 million

worth of orders? Is the win rate double in , I mean,
because everything now hinges on us delivering growth ?
Sanjeev Verma: Yes, a very good question. So, I will just add up. So, we do have Jai Venkatraman as the Chief Revenue Officer for North America. We also added, I do not know if you know, with respect to a gentleman called Sean Maguire came over two months back to lead our data center, which is an adjacent business, which is outside of Jai 's span of control. So, it is a very focused data center. So, we have two. So, coming back to your question, the answer is yes, with Jai Venkat with ex-Infosys experience and his team members, which also have come from, which is our vertical heads , there is a dramatic shift with respect to our quality of engagements. Let me call out, for example, if you look at our consumer and public sector, I think we are currently engaged with very many airports. We had Miami airport, if you remember, as one of our largest customers, which is we are currently contracting to renew for several ye ars. But we have solid engagements going on with some other large airport infrastructure. Many airport infrastructures are getting refreshed as you know in

America. Most of them are creaking infrastructure, because they do not want to spend it because they were possibly made 30, 40 years ago. So, we are engaged with them from quality of engagement perspective of volume. Also, from our existing customers, we are single threaded. We are selling networking in one customer, possibly workplace in some other customer. So, multi -threaded, horizontal approach that we have taken, connectivity, networking, workplace, cyber. We are seeing multi -horizontal, therefore, inc reasing the share of wallet in some of the existing customers and some of the new customers. Many of these vertical heads, including the CRO and others, come with deep experience, relationship, and creating newer solutions that we can do. So, we are now engaged with very many managed services, long -term contracts that we have never had before. Now, this takes time. It has to come to a certain tenure when they start. So, qualitatively and quantitatively, the engagement quality, as we speak, we are hosting in Raleigh very many CIOs from healthcare. We recently concluded a customer advisory council in Florida that I attended. Deepak also attended with me. We came out with very good engagements leading to $100 million worth of active customer pipeline. I am not saying we will win all of $100 million, but we will surely make $20, $30 million worth of engagement from top customers including large pharma, large life sciences. We intend to do very many more customer advisory councils that we are doing now where we in vite customers. As we speak, Swami is heading to the West Coast with respect to our data center, similar format. So, with the engagement quality, the conversation with our customers, using multi -horizontals over the last six, nine, 12 months' time has dramatically improved. Now, this takes time to build. As we are speak ing and looking forward in the next seven and a half months that we have , that is where we are seeing, okay, what do we expect in Quarter 2 as I called out earlier to be better significantly, and also some of these engagements to turn in October, November, December going forward. So, yes, good change in conversations, quality of engagements, multi -country, global engagements with imagining the Black Box paradigm inside our existing customers, we had a recall of a certain kind. We had very good tenured customers, as you know . But they had a recall of a certain kind that we do network, or we do connectivity infrastructure, the total story -taking, which I will go to market, verticalized, horizonta l solutions, getting a grip to that , I think we are much better placed than what I would say we were about two, three quart

ers back.

Vivek Choraria: Just one last question. Sanjeev, for FY26, Deepak in his initial remarks had sort of alluded to the margin guidance. Our lower end of the top -line guidance will need us to deliver almost Rs.1,700 crores per quarter. Should we start to see at least 10% to 15% growth from Q2 onwards, and then that accelerating as we move into Q3 and Q4? I mean, so far, I mean, I am sure you can see that we need to start walk in the t hought . So, should we start to expect quarter -on-quarter growth on the top line from Q2, and then that accelerating as we move into Q3 and Q4? Because we are at Rs.1,400 crores, o ur ask for the next three quarters is close to Rs.1,700 crores if we are to meet the lower end of the top line guidance. Thank you.

Sanjeev Verma: Yes. So, I think as I said before, the statements we expect to move forward in a quarter with a minimum of 15%, going to 20% or beyond to hit that number. We expect that we need to start moving in that direction starting Q2. And as you rightly said, to take it from there and keep the momentum

at 15% -odd or more, we will be able to catch up. I think we are currently intending and covered to track starting from Q2.

Vivek Choraria: Best of luck, Sandeep. Thank you.

Moderator: Thank you. Our next question is from the line of Nandan Man juath Arekal from JM Financial Limited. Please go ahead.

Nandan M. Arekal : Yes. Thanks for the opportunity. So, I just want to get some clarity on the exceptional items that have been reported in this quarter. What will be the trajectory of these exceptional items going forward?

Deepak Bansal: So, on the exceptional items, because we continue to do some restructuring and all those things, we are expecting exceptional items in the range of around Rs.40 to 50 crores for the whole year. That is what we have given the earlier guidance also last time on our earnings call.

Nandan M. Arekal: Okay. On a sustainable basis, what do you expect , when would they stop?

Deepak Bansal: I think this year, it should be the last unless otherwise something more comes up depending on the economic situation or the macroeconomic situation, something else comes up. But otherwise, this year should be the last for this broader thing. And I do not expect that this should go to FY27 or something in a larger way.

Nandan M. Arekal: Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Sanjeev Verma: I would like to thank everyone for joining the call. I hope we have been able to address all your queries on this call. For any further information, kindly get in touch with Purvesh Parekh, our Head of Investor Relations, or Strategic Growth Advisors, our Investor Relations Advisors. Thank you so much.

Moderator: Thank you. On behalf of Black Box Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Nov 2025

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BBOX/SD/SE/202 5/96

November 18, 2025

To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051

Sub: Transcript of Earnings Call hosted on November 13, 2025 on Unaudited Financial Results (Consolidated and Standa lone) for Q2 & H1 FY26

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,

This is further to our letter dated November 7 , 2025 with reference number BBOX/SD/SE/202 5/86 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call hosted on November 13 , 2025 on Unaudited Financial Results (Consolidated and Standa lone) for Q2 & H1 FY26 is attached hereunder.

This is for your information, record and necessary dissemination to all the stakeholders.

For Black Box Limited

Aditya Goswami
Company Secretary & Compliance Officer

Encl.: A/a

“Black Box Limited
Q2 and H1 FY '26 Earnings Conference Call ”
November 13, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1 3th November 2025 will prevail.”

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER
MR. PURVESH PAREKH – HEAD OF INVESTOR
RELATIONS
STRATEGIC GROWTH ADVISORS – INVESTOR
RELATION S ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Call of Black Box Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as o n date of this call. These statements are not guarantee of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star t hen zero on you touch -tone phone.

I now hand the conference over to Mr. Sanjeev Verma, Whole -Time Director and CEO of Black Box Limited. Thank you, and over to you, sir.

Sanjeev Verma: Good morning, everyone. I hope you all are doing well. On behalf of Black Box Limited, I would like to welcome you to our Q2 and H1 FY '26 earnings call. I'll start with an overview of our business performance and then our CFO, Deepak Bansal, will walk you through the financials.

Starting with quarter 2 performance, I'm pleased to share that our revenue for quarter 2 FY '26 reached INR1,585 crore, marking a solid step -up of 14% quarter -on-quarter and 6% year -on-year, underscoring the business momentum we are building. The strong se quential growth is on the back of stronger execution.

Looking ahead, we expect H2 FY '26 to be stronger than H1. This confidence is driven by a healthy and diversified order book, improving visibility into key regional pipelines and stronger execution momentum across the businesses.

On top of that, previously delayed projects are now moving into the delivery phase, which further strengthens our outlook. In short, we see the second half outperforming the first half, supported by a larger and more diversified order book, increased visib ility into the USA and Europe pipeline and the progression of delayed projects into delivery.

We're also seeing strong traction in high -growth areas such as data centers and AI -led digital infrastructure, particularly across the U.S. and hyperscaler segments. To capture the expanding opportunities, we are building a specialized data center AI servi ces team in the U.S. that will focus on higher -value multi -hyperscaler engagements.

Further on the strategic front, we are happy to share that Black Box has partnered with Wind River, an Aptiv company and global leader in intelligent edge software to deliver next - generation edge and cloud solutions across industries. As part of this partnership, we have secured the rights to sell Wind River solutions globally with preferred status in India and M iddle East.

In addition, under a separate agreement, Black Box will manage end user customer engagements across multiple geographies. This collaboration is expected to generate approximately INR1,350 crore in revenue over the next 5 years ($30 million annually), further strengthening our position

to scale up and diversify our revenue base. By combining Wind River's cutting -edge solutions with Black Box's deep integrat ion expertise, we are well positioned to drive accelerated digital transformation for our customers.

Turning to the order book, momentum in Q2 remains strong with the backlog at the end of quarter standing at $555 million, up from $518 million at the close of Q1 FY '26. Order bookings during the quarter were robust at $218 million (over INR1,900 crore) compared to $176 million in Q1 FY '26, reflecting an increase of $42 million. For the first half FY '26, total order book stood at $394 million .

Based on the current trajectory, we remain well on track to achieve our full year order booking target of $1 billion, driven by conti

nued focus on high -value contracts.

Notable orders during the quarter included significant extension from company's existing large value clients for networking and connectivity from the company's largest global financial services customer and further engagement from our hyperscale customers, reinforcing Black Box's position as a trusted partner in complex high -value digital infrastructure programs.

The company received orders in digital workplace from U.S. -based local county and a sizable order from a health care institution. Financial services, health care and data center continue to contribute higher across the verticals served. In addition to the expansions, the company secured new client wins across education, municipal sectors in India, reflecting the growing breadth of its market reach and the success of its go -to-market strategy.

Our order book will continue to expand as we execute on our new go -to-market strategy, supported by experienced leadership and business teams now in place across verticals and horizontal solutions. This foundation positions us well to achieve our long -term goal of reaching $2 billion in revenues by fiscal '29, backed by growing and diversified order pipeline.

To summarize, with the business transformation program now largely complete and with a more focused go -to-market structure in place, we are moving decisively towards sustained revenue acceleration and a higher quality business mix through FY '26.

We are seeing a significant headroom for growth driven by digital infrastructure demand, which is fueling fresh deployments and modernization of technology infrastructure. Backed by the se strong fundamentals and market tailwinds, we are confident of delivering a stronger second half.

Thank you. I will now hand over to Deepak to take you through the financial performance in detail.

Deepak Bansal: Thank you, Sanjeev, for the detailed overview. Good morning, everybody. I will now discuss our financial performance for Q2 and H1 of fiscal '26. Revenue for quarter 2 FY '26 stood at INR1,585 crore , witnessing a growth of 14% quarter -on-quarter and 6% year -on-year on the back of strong execution.

For H1 FY '26, revenue stood at INR2,970 crore . EBITDA for the quarter stood at INR142 crore [wrongly said, kindly read it as INR 143 crore] , representing a growth of 17% quarter -on-quarter

and 4% year -on-year. EBITDA margins improved by 60 basis points on a quarter -on-quarter basis to 9% in quarter 2 of FY '26. EBITDA margins recovered from 8.4% in quarter 1 due to higher revenue throughput and better fixed cost absorption. For H1, EBITDA gr ew by 4% year -on-year and stood at INR259 crore with margins at 8.7%.

Looking ahead, we expect near -term margins to remain within the guided range. Over the medium term, margin expansion will be supported by improved operating leverage as volumes scale, a continued shift in business mix towards data center and enterprise tra nsformation engagements and sustained focus on cost discipline and delivery efficiency. As we execute our strategic priorities, we see potential for further margin improvement and continued strengthening of overall profitability.

Profit after tax for quarter 2 of fiscal '26 stood at INR56 crore , a growth of 17% quarter -on-quarter and 9% year -on-year, reflecting strong operating leverage and improved profitability in the core portfolio. For H1 of FY '26, PAT increased by 17% year -on-year and stood at INR103 crore with margin increasing by 50 basis points to 3.5% in H1 of FY '26. As revenue growth accelerates in H2 of FY '26, profit after tax expansion is further expected to outpace top line growth driven by margin normalization, imp roved revenue quality and greater contribution from high-value U.S. opportunities.

As Sanjeev highlighted earlier, quarter 2 saw continued strong order momentum with the bac

klog reaching at $555 million at quarter end, up from $518 million at the close of quarter 1 of FY '26. Order bookings for the first half of FY '26 were robust at $39 4 million. Driven by this momentum, we remain on track to achieve our full year FY '26 financial guidance, fueled by a sustained focus on high -value contracts as well as in the data center segment.

To summarize, with strong order wins, growing backlog, strong execution capabilities, deepening client relationships and a healthy pipeline, the company is firmly on a growth trajectory. We remain confident in delivering an even stronger performance in the second half

of the year .
Thank you, and I would now request the moderator to open the floor for the questions.
Moderator: The first question comes from the line of Deep Shah from B&K Securities.
Deep Shah: Sir, it's good to hear that you've maintained your full year guidance. That implies somewhat like 25% revenue growth and somewhat similar EBITDA growth in second half of the year. So my question is, as we move into '27, '28, do we expect this early 20s kin d of revenue momentum to sustain, given the order backlog that will increase?
Or on a slightly medium -term basis, revenue growth should again come down to, say, early teens or mid -teens kind of level? That would be my first question. And then accordingly, can we -- you did allude that margins will improve because of op lev but that is more like '27, '28 or you mean slightly even further ahead next 3, 4 years? So that's the first question.
Sanjeev Verma: Okay. I'll break it to your answer in 3 parts, one for the revenue for H2. Then the second question was revenue growth for the next fiscal year and then, of course, the margin expansion. So we

expect from -- as Deepak alluded as well and in my comments, we expect our second half to be stronger than the first half at the back of the pipeline.
We expect to be able to meet the guidance between 12% and 15% of sequential growth. And I think our order book currently would support that and the pipeline that we have for the remainder of the year should be able to support our current year guidance that Deepak just alluded to.
Coming back to the next year, fiscal '26, '27 and beyond, I think our plans are well emulated.
We talked about overall goal for the next fiscal '29 to be $2 billion. The organic growth plan is close to 15%. So we expect our organic plan for fiscal '26, '27 in that range, although it's slightly early. Could we go higher than that? That will depend upon our exit backlog that possibly when we guide that when we get into the last quarter.
Our pipelines are very, very strong. But clearly, our overall go -to-market momentum, our overall investments, our overall pipeline is currently giving us confidence that we should be able to be at the mid -double -digit range from an organic perspective goin g forward in fiscal '26, '27 and beyond. Coming back on the margin expansion, I'll give it to Deepak to allude the efficiency of scale and whether we expect some margin expansion within the current year as well.
Deepak Bansal: So margin expansion will a little bit depend on the volume growth. The volume growth of, let's say, roughly around 10% to 12% quarter -on-quarter, we are estimating right now. So in the current year, we are estimating that the margins should play in the ran ge of, let's say, 9% to 9.5% type of range. But in FY '27, obviously, on this sustenance will continue in FY '27. And with the growth coming in and all those stuffs , we will see that on an organic basis, our margins will continue to be hover around 10% or moving upwards to that.
Deep Shah: Sure, sure. This is very helpful. Second question is on the cash flow. So you could just help us understand better the inventory increase of roughly INR180 crore kind of represented on the liability side by INR186 cro

re provision increase and then receivable increase of INR107 crore ,
which effectively made our cash flow conversion pretty poor. So if you could explain what has led to this? And would it be a fair expectation that this will completely reverse in second half of the year or there will be some spillover into '27 also?
Deepak Bansal: So as we have announced earlier and today also Sanjeev spoke about the Wind River agreement and the Wind River partnership. So we have partnered with Wind River, and we have committed to buy the licenses from Wind River to have those platform, which we hav e launched in partnership with them globally.
And against that, we have purchased the inventory of those licenses at a very deep discount rate, which will drive, obviously, in the future, the revenue, which I think Sanjeev spoke about $30 million on an annualized basis, which will scale up slowly, slo wly now from next quarter, which is quarter 3 onwards, it will scale up, which will drive the revenue.
So most of the inventory increase, I will say, 100% of the inventory increase is due to those licenses. While and we have -- what has also happened is that we have negotiated the payment

terms of that inventory. So as per the GAAP, what has happened is those licenses have come and sit in our inventory. And the payment terms we have negotiated is a longer tenure.
The first payment so we are paying in 8 installments to them and the first payment starts from December 2026. So and that is why that is not sitting in the accounts payable, but that is sitting in the non -current liability because that is a longer tenure. Part of that will come next quarter in

the current liability because of the 1 -year type of nature.
So that's the overall, let's say, on the working capital side of it. You also asked about the increase in receivables. So, which is increase in receivable is close to around INR100 crore . The INR100 crore receivable is primarily because most of the -- there's a lot of invoicing, which happens to our customers in the month end and in the month end and in the last 10 days period and all those things because we have always -- in our business, we always will have a skewness within the quarter, where the first month, month 1 and month 2 will be probably between 55% to 57% of the overall quarterly revenues and most of the revenues happens in the last month of the quarter.
So because of that, that receivable, so let's say, around 60% of the overall revenue or let's say, around 55% of the revenue comes in the last month. So because of that, the receivable has built up, and we have already started collecting the money now in t his quarter, we have collected the money, and that's how the cash flow cycle goes on.
Moderator: Our next question comes from the line of Nandan Arekal from JM Financial Limited.
Nandan Arekal: Yes. So sir, we have won an engagement from Wind River. So this is an IoT software provider. So what is the rough split between the reselling and the management contracts in this deal? And what is like the margin expected in this deal?
Sanjeev Verma: I missed the first line. What was the first question?
Nandan Arekal: What would be the rough split between the reselling and the management contract aspect within the deal? And what is roughly the margin profile we're looking at?
Deepak Bansal : Your first question is still not clear, Nandan. Can you a be little -- clarify what you're looking at on the first question? Second question on the margin is clear. The first question, you are saying reselling or what?
Nandan Arekal: Reselling -- so we are doing both the reselling aspect and the management of engagements. So what is the split between that ?
Sanjeev Verma: So these are 2 separate agreements and contracts. This is a strategic partnership worldwide. Just to give some light on the Wind River, a part of an A

ptiv company, publicly traded $21 billion.
Wind River is a virtualized software service provider for both from an IoT standpoint and also for large telecom operators. So it is adjacent to products by VMware, Red Hat. This puts Black Box within the Platform space that we didn't have.
We do connectivity, network, cyber , data center. This is the Platform space. So just to explain what this is about. As more and more EDGE data centers more and more IoT and OT is built in

manufacturing, the need for the software will increase. And therefore, Black Box considered a global partnership.
The split for these 2 are not connected. Our services partnership, as I told before, is an agreement. We have a potential agreement of over INR1,350 crore over 5 years' time. If you look at over the 5 years' time, we expect the average quarterly revenue between INR40 crore and INR60 crore. So that's our services revenue.
The product revenue or licensing revenue will have 2, 3 more. One, of course, we will be selling the license, we'll be installing and there will be some services as well. So these are not connected. But if you look at the potential of that, I would say, 50 -50 on both sides. If you add both and say what we expect over the next 5 years' time, it would be about 50 -50.
From a margin perspective, for the support and services margin, we are looking between 25% and 30%. We expect similar margin overall blended from our software sale as well. It could be sometimes we have got -- like Deepak said, we have got a very good disc ounting because it's a long-term partnership. There's also a range of kind of a long -term payment plan.
So we expect the average margin in that range as well, although some cases, we'll possibly have better margin. In some cases, we might have slightly lower. But we should be able to have a Licensing margin instead of software at 25 -30 odd percent and the Support Services margin in the range of 20% to 30%. So that's our expectation. Deepak, do you want to add?
Deepak Bansal: Yes. So license technically, I think we are pushing our sales team because we have purchased those licenses at deep discount and the competition is only with VMware. And the VMware pricing at, I will say, a standard price level, which is the MRP level, MSP level is almost like 3x of the Wind River licenses.
Now it is on our sales team. We already have the sales team training going on right now on all these things and internally. So by this quarter, it will pick up. We are expecting like from some customers, 30%, some 40% and some 50% also on this. But on a bl ended basis, the license margin should be -- we are expecting at least I'm modeling right now at around 35%.
Nandan Arekal: Okay. Got it, sir. So this will be booked in TPS segment, right?
Deepak Bansal: No. This will be in GSI. This will be in GSI segment only.
Sanjeev Verma: So this is a services business. This is a compute , storage and platform business, right. So we will

be as we speak, this is an initiative to expand our portfolio. The current portfolio had a missing link of platforms. With more and more EDGE data centers and computing and AI coming in, and more and more IoT coming in, we expect that we should be playing in this space. And that's the reason we have had this tight partnership. It is a global partnership, very strategic, not only for buying and selling licenses, but also supporting many of Wind River's existing customers as well. That's a support contract.
Moderator: Our next question comes from the line of Garvit Goyal from Nvest Analytics Advisory.

Garvit Goyal: Congrats for a good set of numbers, sir. My first question is on inorganic growth. We are speaking about -- and in fact, we have been speaking about it for a while now. I want to understand at what stage of evaluation are

we currently in? And when can we e xpect something material out of it, sir?
Deepak Bansal : So Garvit, we like last time also, I think we spoke about it that we continue to look at the opportunities. We have a huge pipeline, like we have the sales order pipeline, we have the pipeline for the acquisitions also. And like we stated earlier also that we are very, very prudent in terms of our capital deployment.
We are taking a little bit of time in terms of decision -making, in terms of reviewing it, engagement and how these inorganic opportunities work. That it is not like there is a one variable which needs to be solved.
There are like multiple variables which are getting into the angle, including the geography, the sellers, the business itself, what are the cost -taking opportunities, what are the revenue growth opportunities and what is the multiple ultimately we are payi ng, how prudently we can deploy our capital and generate the returns. And that is where everything is right now going on.
But I can say that by end of this fiscal year, we should have at least, let's say, some good news available in terms of the acquisition and all those things. And at the right opportune time, obviously, as soon as the -- we will take it to the Board as we make the progress. And then accordingly, we will inform, obviously, to the market about it.
Garvit Goyal: And sir, what is the potential size we are looking at? And are you talking about the -- you mentioned about the geography as well. So what is the geography are you targeting? W hat kind of areas do we discuss?
Sanjeev Verma: Yes. So I think Black Box is a global company. So we are targeting across all the markets, Americas, Europe, APAC. So we -- our thesis for acquisition is expansion of geography, going deeper in our portfolios and of course, remaining value accretive from a shareholder standpoint.
So these are the 3 thesis points.
From a size perspective, of course, we have said we look at between $50 million moving up, going up to a couple of hundred. Our total inorganic goal for the next 4 years' time is about $700 million, $800 million of sales revenues. Yes. So clearly, we don't want to make 20, 30 acquisitions. So if you look at -- so we are looking at a kind of a mid -range between 50 and 100 .
Deepak , you want to ...
Deepak Bansal: Yes, 50 to 200 and then the capital deployment, obviously, to buy those types of revenues , obviously, we don't want to pay all the amount upfront. We will have all those negotiations where we pay between 60% and 70% upfront and then balance amount, you pay year 1, year 2 and all those things.
So like I told, there are a lot of variables on which we are working on in the geographies also.
In some of the geographies, we are subscale, we are not opening any new country. Within our countries, we have the economies of scale, which is missing right n ow in a lot of countries, and

that is where the economies of scale will come in those countries. And of course, the U.S. continues to be our largest market. So the U.S. will be in the picture all the time.
Garvit Goyal: Got it, Sir. And secondly, on the tax rate, sir. So currently, our tax rate seems to be very low. So when can we expect these rates to be normalized? And what is the expected tax rate for this financial year on a full year basis and for next financial year as well, s ir?
Deepak Bansal: So the tax rate is basically works basis that what are the past -- what is my revenue and profitability mix geography -wise? And we have the past NOLs which are available in some geographies from the acquisition what we have made because those companies were earlier making the losses and those carryforward losses in terms of the net operating losses, we have some statute of limitation and all those thing s, which we are utilizing on a regular basis.

So this year, we should be able

to maintain at between, let's say, 8% to 10% type of tax rate or,
let's say, a little lower than that. We are H1 now -- so H2 also, I'm not expecting that the rate should go up more than that. But from a long -term perspectiv e, maybe down the line after a couple of years or something, we should stabilize at between 15% and 20%.
We continue to work on our structure so that how we can do between our multi -geography structure, how we can plan so that we -- between the Black Box group itself, we can have the tax management and all those things so that our tax rate doesn't go more tha n 15% to 20%. And it also will depend on the new inorganic opportunities which come into the play and will -- the future tax rate will depend on that, too, with our stated objective of growing through inorganic acquisition.
Garvit Goyal: So is it fair to assume like whatever the PAT guidance we are giving, we are taking into consideration tax rate aspect as well, right?
Deepak Bansal: Yes. Yes.
Moderator: Next question comes from the line of Sanjay Dam, an Individual Investor .
Sanjay Dam : I have 2 questions. First is what is your comfort regarding debt to EBITDA when you do inorganic acquisitions? And secondly, the kind of cash conversion and cash from operations that we have seen, should we take that as a normal rate of cash conversion and cash from operations in future?
Deepak Bansal: So what is the first question?
Sanjeev Verma: Debt to EBITDA...
Deepak Bansal: Okay. So debt to EBITDA ratio. So like I think we have stated all the times that we are not acquiring the companies which are fully priced. So from an overall basis, we will be acquiring the companies, which are sub -- which are, let's say, the suboptimal in terms o f the profitability and all. So we will be paying the lesser amount and we will be paying between, let's say, 60% and 70% upfront. So the EBITDA obviously will flow, number one, whatever company is making.

And number two, in next, let's say, 90 to 180 days, we will have the EBITDA transformation story done. And with the transformation, the EBITDA margin range should go between 9% to 10%, depending on how, let's say, the transformation happens in terms of the integration and everything between 90 to 180 days.
So on a, let's say, transformed basis, after 180 days or after 6 months, we are expecting that our leverage should not go more than probably 1.5 x to 2x. It should remain between that. I'm not expecting leverage to go up much. Right now, also basis, our overall EBITDA, we are not leveraged more than 1.5x anyway. So from that perspective, I'm expecting that it should be within that range only.
From a cash flow from operations perspective, this quarter, obviously, because of the inventory and all those stuff, our working capital has moved up more. But otherwise, we are not expecting that this quarter, this Wind River inventory has taken up our wo rking capital a little bit more. But otherwise, I'm not expecting much on the working capital to change.
The working capital deployment will continue to be there when we are growing our business. If our business is growing by 10% to 15%, obviously, for every growth, we have to have almost like 25% because we are in a services business.
So for every dollar of the growth, we will have 0.25 of the working capital involved. So I cannot give as a percentage because it is on the business and it is on the timing also that because when we are reporting the numbers on any given date, the working capital may be a little higher or lower because the p ayroll cycle is -- it depends on the payroll cycle because like in U.S., which is our largest geography, the payroll doesn't happen on the month end.
Payroll -- there are 2 payrolls happen on a different dates depending on the weekly cycles. So there are a lot of things which goes into it. But on an average basi

s, if you look at it between the
4 quarters, then the working capital deployment will be prob ably close to around 0.2 to 0.3x of our overall growth.
Sanjay Dam : One last question, if I may. When I look at your growth aspiration of $2 billion that you ’ve set, breaking it into 2 parts, organic and inorganic, your organic growth hasn't been much, but that's probably because you have been churning your portfolio of clients. And you've been stuck somewhere around this INR6,000 crore mark in the last couple of years or slightly more than that. But is your growth aspiration, if I understood correct from your statements earlier, around about 15% going ahead?
Sanjeev Verma: Yes. Yes. I just alluded to that earlier in the call as well. So we expect from a growth perspective

-- organic growth perspective in the mid -teens range of about 15%. Can we do more than that? I know we will give a guidance towards the end of the year for next fiscal year. As I said, the pipeline remains very, very strong. And so our current organic growth plans are at 15%, and that's what we are guiding. And the balance, of course, inorganic growth.
Sanjay Dam : So if I understand correctly, from INR6,000 crore that you did last year. Roughly, if you keep growing at 15%, that's broadly about -- that will bring you to around INR9,500 -odd crore by FY

'29, somewhere around that. And if you are to reach $2 billion, broadly, that probably is another INR9,000 crore broadly, which has to come from acquisitions. That understanding is correct?
Sanjeev Verma: Yes. So we are looking at between $1.1 billion to $1.2 billion of organic revenues by fiscal '29 and about $750 million to $800 million worth of acquisition -- revenue acquisition to total by fiscal '29, you're right to be able to go to $2 billion.
Moderator: Next question comes from the line of Vivek Choraria , an Individual Investor.
Vivek Choraria : Finally, we see some growth as you had guided for. I just have a couple of questions. On the order booking front, you had said that we are aiming for $1 billion , 12 months ending FY '26, there are about 400. Do you see -- is the traction increasing on the ground? And in your order booking, we are almost halfway through Q3. How confident are you in achieving that? And your GTM strategy, is that completely in place now? And do you feel confident that your sales people are doing the job? So I just wanted to ge t a more qualitative understanding of the situation as far as the order booking is concerned.
Sanjeev Verma : So the first response is, yes, we feel confident on our booking goal of $1 billion. We know we are about -- at the 40% mark as you rightly alluded. Based on our current pipeline, deals in motion, expected pipelines and conversations, some of them are personally involved, we feel very confident that we should be able to deliver $1 billion worth of bookings in the current f iscal year, as we have said. That will put us into a good stage to be able to drive our organic aspiration for fiscal '26 a nd '27.
From a go -to-market perspective, as I alluded, a large part, and I think there's always room for improvement, Vivek, as you know. I think we are seeing stabilization. Our consideration rate with the large enterprises, large deals have significantly improve d. We have rehashed our pipeline.
On the data center front, as you know, we had one -- of course, one very large hyperscale customer that engages with multiple hyperscalers at this time , has started. We have put one of the most strongest teams on the sales side, led by Sean Maguire on the operations side , by recent hire of Bill Walters and of course, our CEO, Rick Gannon and others.
I think we have recently concluded a very large event in Washington, D.C. in Virginia, which is the data center capital as you know. So we are also seeing large momentum. So between our enterpri

se go -to-market, which is run by Jai Venkat across health care, banking and others and very focused data center that we have put up a team in the last 6 m onths' time.
The combination of the GTM engagement on both sides of the aisle and the conversations that we have, the pipeline that we have, we feel we are confident to deliver $1 billion of booking that will allow us to have a fairly decent opening backlog getting into fiscal '26, '27 that will provide us confidence to drive our organic momentum from here. So the answer is positive on this front that you asked for, Vivek.
Vivek Choraria : Sanjeev, on the data center front, I mean, we've been talking that the opportunity is large and that is -- I mean, the market does show that. But we've been very far behind the curve as far as

getting orders is concerned. I mean these hyperscalers have been investing a couple of hundred billion dollars for the past 2, 3 years, but we've barely scratched the surface.
So do you feel that within the next quarter or 2, we will hit a point where we st art getting larger value orders? I mean I'm just trying to get an understanding as to if we were getting, say, a $5 million, $10 million order, can we now aspire to get $50 million, $100 million orders? I'm just trying to understand in terms of the capabilities that we have built.
Sanjeev Verma: Very good question. So we not only aspire, we're confident to get the $50 million, $100 million orders within the next 5 months of this fiscal. The fact that I've been repeating our goal for $1 billion and Deepak alluded to that as well. Clearly, if we hav e to go to $600 million worth of booking, you would need that from a perspective. The answer is yes. So we are into multiple deals.

And of course, as you know, we can't win all deals. And surely we can't lose all deals. So yes, apart from $10 million, $15 million, $20 million, that will continue. We love those deals as well. That gives us deal momentum. But we are into heavy lifting as well. So the answer is yes. We are staring at $50 million, $100 million deals, quite a few as we move forward from here.

Vivek Choraria : Sanjeev, just one last question. So for H2 in the presentation, you've mentioned that you expect growth to outperform H1 massively. So are we still on track? I mean we've guided for about INR6750 crore to INR7,000 crore. Can we aspire to about INR6,500 crore, INR6,600 crore so that will entai l about INR3,600 crore for H2? We've done INR2,900 to INR3,000 in H1. Should we be in that ballpark of INR6,500 crore, INR6,600 crore?

Sanjeev Verma: Yes. So we -- I'm not sure we said massively, that doesn't look like massive, but we are guiding to our plan upward of INR6,700 crore was our goal, I believe. Yes. So we -- as I told you in the last earnings call, if I remember correctly, where anyone asked the question, we expect between 10% and 15% of sequential organic to be able to get there. We are on track to do that.

Moderator: Thank you, sir. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Sanjeev Verma: I would like to thank everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Purvesh Parekh, our Head of Investor Relations, or Strategic Growth Advisors, our Investor R elation Advis ors. Thank you.

Moderator: Thank you, sir. On behalf of Black Box Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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BBOX/SD/SE/202 6/17

February 19 , 202 6

To
Corporate Relationship Department
Bombay Stock Exchange Limited
P.J. Towers, Dalal Street,
Fort, Mumbai 400001 Corporate Relationship Department
National Stock Exchange Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai 400051

Sub: Transcript of Earnings Call hosted on February 12 , 2026 on Unaudited Financial Results (Consolidated and Standa lone) for Q2 & 9M FY26

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,

This is further to our letter dated February 9, 2026 with reference number BBOX/SD/SE/2026/7 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call hosted on February 12, 2026 on Unaudited Financial Results (Consolidated and Standa lone) for Q2 & 9M FY26 is attached hereunder.

This is for your information, record and necessary dissemination to all the stakeholders.

For Black Box Limited

Aditya Goswami
Company Secretary & Compliance Officer

Encl.: A/a

"Black Box Limited
Q3 and 9 Months FY '2 6 Earnings Conference Call "
February 12, 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th February 2026 will prevail."

MANAGEMENT : MR. SANJEEV VERMA – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. DEEPAK BANSAL – EXECUTIVE DIRECTOR AND
GLOBAL CHIEF FINANCIAL OFFICER
MR. PURVESH PAREKH – HEAD OF INVESTOR
RELATIONS
STRATEGIC GROWTH ADVISORS – INVESTOR
RELATIONS ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 Months FY '26 Earnings Conference Call of Black Box Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinion and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line s will be in listen -only mode and there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand over the call to Mr. Sanjeev Verma, Whole -Time Director and CEO of Black Box Limited. Thank you, and over to you, sir.

Sanjeev Verma: Good morning, everyone, and thank you for joining us. On behalf of Black Box Limited, I extend a warm welcome to our Q3 and 9 -month FY '26 earnings call. I'll begin by sharing an overview of our business performance, after which our CFO, Mr. Deepak Bansal, will take you through the financial highlights.

Starting with our Q3 performance, we are pleased to report revenues of INR1,660 crore for Q3 FY '26, representing growth of 11% year -on-year and 5% quarter -on-quarter. For 9 -month FY '26, our revenues stood at INR4,631 crore , reflecting a growth of 5% Y -o-Y. The growth was primarily driven by higher order execution during 9 -month FY '26 compared to the corresponding period last year.

From a forward -looking perspective, the business momentum continues to remain encouraging. And this confidence is driven by a healthy and expanding order book, improving pipeline visibility, which together positions us well for sustained growth in the comi ng quarters.

For 9 -month FY '26, the company booked orders worth $626 million. The company continues to maintain strong order momentum and remains confident of achieving its FY '26 order booking guidance of approximately $1 billion, thereby entering FY '27 with a stron g traction.

Supported by sustained order wins, the order backlog is now expected to exceed our earlier estimate and reach around $800 million by the end of March 2026, which is approximately $100 million higher than the earlier estimate d backlog of $700 million, reflecting a growth of 60% year-on-year compared to the earlier estimated growth of 40% year -on-year. This increase reflects continued customer demand, validation of our investment in the go-to-market talent, providing strong revenue visibility for the upcoming period.

The incremental $100 million addition to FY '26 closing order backlog is expected to be driven by two key factors. Approximately $40 million to $45 million relates to revenue that was initially expected to be recognized in FY '26, but has shifted due to temporary customer level delays and supply chain constraints. As these challenges gradually normalize an d execution progresses, this revenue is expected to flow in FY '27.

The remaining $55 million to $60 million is expected to be driven by incremental order wins in Q4, supported by improving traction across key verticals and strengthening customer pipeline.

The project order book witnessed a robust growth, reflecting an upside of $37 million , at $195 million in Q3 FY '26 compared to $158 million in Q2 FY '26. The performance was driven by the company's continued focus on securing large high -value contracts, particularly in data center segment, which remains a key growth driver.

Over the quarter gone by, we have seen extended project execution timeline due to industry -wide shortage of fibers and related accessories. While investments in

data center segment have
begun to show encouraging traction and order inflow momentum remains strong, revenue realization from these projects has shifted to subsequent p eriods due to supply chain and infrastructure -related constraints.

The data center ecosystem is currently witnessing heightened industry activity , which has resulted in shortages across several critical inputs, including optical fibers, cables, GPUs, racks, etcetera, power infrastructure and funding access. This is not only impacting the data center industry, but the entire digital infrastructure industry where these materials are used. These constraints have delayed project commencement as well as execution ti me lines.

Such strong demand and hyperactivity in the industry has led to temporary supply chain challenges, leading to extended execution time lines. However, this is temporary in nature and once the supply chain constraint normalizes, the backlog which is current ly extended due to this will be executed and flow into revenues.

Owing to such delays in execution time line, our orders, which is supposed to be executed in this quarter has flown to subsequent quarters. Therefore, we have revised revenue guidance from the expected range of INR6,750 crore to INR7,000 crore to now INR6,325 crore to INR6,375 crore . The revision in revenue reflects EBITDA of INR555 crore to INR575 crore and a PAT of INR220 crore to INR230 crore in FY '26.

During the quarter, the company secured notable order wins, including multiple large data center orders. The company also secured multiple orders from U.S. public sector, further strengthening its presence in institutional infrastructure projects. Addition ally, the company won a significant order from a leading Indian Internet company and secured a large order from a prominent bank in Australia. These orders highlights company's expanding global footprint, deep client trust and growing momentum across prio rity markets.

Overall, the near -term revenue realization has been impacted by industry -wide supply and execution constraints. Our strong order book and deal wins, healthy pipeline and sustained demand environment reinforces our confidence in growth through FY '27 and be yond. Further, on the strategic front, we are pleased to announce that Black Box has signed a definitive agreement to acquire 2S Inovações Tecnológicas (2S), a leading Brazilian IT infrastructure and cybersecurity integrator and a Cisco partner subject to certain consents and approvals.

With over 30 years of experience, 2S serves 650 -odd customers across enterprise networking, cloud, cybersecurity and managed services backed by advanced networking and data center and

collaboration technology certifications. The acquisition scales Black Box' presence in Brazil, largest growing market in Latin America and is expected to add INR500 crore of revenues in FY '27. The transaction is expected to close by end of current fiscal year. This aligns with our strategy to grow the business to $2 billion by fiscal '29.

With that, I would now like to hand over the call to our CFO, Mr. Deepak Bansal, who will take you through the financial performance.

Deepak Bansal: Thank you, Sanjeev, for the detailed business overview, and good morning, everyone. I will now take you through our financial performance for quarter three and the first nine months of FY '26.

Starting with revenue performance ; revenue for quarter three FY '26 stood at INR1,660 crore , registering growth of 11% year -on-year and 5% quarter -on-quarter.

For the first nine months of FY '26, total revenue stood at INR4,631 crore , which is a growth of 5% year -on-year. Looking forward, growing order book, enhanced pipeline visibility, strengthened execution momentum and regional expansion are expected to drive sustained growth in the quarters ahead.

Moving to profitability

; EBITDA for quarter three FY '26 stood at INR147 crore , representing
growth of 10% year -on-year and 3% quarter -on-quarter. EBITDA margins remained stable at 8.9% during the quarter despite higher employee -related costs on account of investment in go - to-market talent. Better fixed cost absorption and a balance d business mix helped sustaining the margins. For the first nine months of FY '26, EBITDA stood at INR406 crore , reflecting year - on-year growth of 6% with margins at 8.8%. Looking ahead, we will continue focus on disciplined cost management, pricing discipline and continuously optimizing our product mix.

With ongoing operational efficiency and cost optimization ini tiatives, there remains further potential for incremental margin expansion as strategic priorities continue to execute in the quarters ahead.

Profit after tax for quarter three FY '26 stood at INR50 crore , while PAT for nine months stood at INR153 crore . PAT during the period was primarily impacted by a onetime exceptional charge of approximately INR6 crore relating to changes in employee benefit provisions arising from the implementation of the new Labor Code. Excluding this impact, underlying profitability trends remain stable. As revenue growth accelerates, PAT expansion is expected to outpace top line gr owth driven by margin normalization, improved revenue quality and greater contribution

from high -value opportunities.
As highlighted by Sanjeev earlier, the company continued to witness strong order momentum during Q3 with order bookings of $232 million. The total order backlog stands at $601 million as of December 2025. Based on the current order flow trajectory, we expe ct to significantly exceed our earlier backlog target of $700 million and cross $800 million by end of March 2026.
Supported by this strong momentum, we remain well positioned to deliver our full year FY '26 order booking target of $1 billion.
To conclude, strong order wins and expanding backlog, proven execution capabilities, deepening client relationships and a healthy pipeline continue to reinforce our growth outlook. As

temporary customer level delays normalize and project execution progresses, the revenue is expected to flow into FY '27, strengthening our confidence in delivering an even stronger performance in the coming year.
The proposed acquisition of 2S in Brazil represents disciplined and strategically aligned capital allocation that enhances both our growth and profitability profile. We are expecting to add around INR500 crore of revenue in FY '27 and expect to complete integration and synergy within 90 days of closing. This acquisition strengthens our long -term shareholder value, while our balance sheet remains well positioned to support disciplined organic and inorganic growt h.
With that, we would now like to open the floor for questions.
Moderator: The first question is from the line of CA Garvit Goyal from Serene Alpha.
CA Garvit Goyal : First question is on the order book. We are having around INR5,400 crore order book as of today, and we are guiding for INR7,200 crore order book as on FY '26 -end. This is a huge gap, sir, because the part of this order book, which we are having right now will get executed in Q4 also. So what is giving you the confidence of getting these big orders, sir? Because almost 1.5 months are alr eady gone and you have not made any order receipt filing as well. So is it like we are adding the order book of newly acquired company in our projection?
Deepak Bansal: Okay. So I think Sanjeev -- looks like Sanjeev is not audible, but...
Sanjeev Verma: I'm here Deepak, I'll take it from here. I'll just answer that. So first of all, no, we are not taking the order book for newly acquired company, point number one.
CA Garvit Goyal : Can you repeat, sir? I think I missed that.
Sanjeev Verma: Okay. I'll just repeat

that. I said first -- answer to the first question is, are we taking the order book from newly acquired business? The answer is No. The second is we report order book, backlogs, booking and backlogs only at the end of the quarter. So you have a current backlog. What we can derive from that is we are expecting a very large order booking in Q4, which is currently in progress. So order book up until now or ones that will be booked are not reported in general. It will be reported when we close the quarter.
So our confidence for being able to meet our $1 billion order booking is very high. So therefore, the quarter -- the order booking for Q4 is going to be significant to be able to give us the backlog that we're expecting now to move from an earlier estimate of $700 million to $800 million. So clearly, we are in the fray to win some very large contracts in Q4.
CA Garvit Goyal : Can you put some more color on that, like what are those areas? And how much -- maybe we have not booked yet, but how much in first one and a half month s, are we at advanced Stage in Q4?
Sanjeev Verma: We are at a very advanced stage. A large part of the order infrastructure, including a very large data center project from hyperscaler, including order booking for very large infrastructure airport projects, so fairly large, both from a long -term annuity p erspective and also large projects.

Upward of $300 million, $350 million is the expectation to be book ed to be able to get to what we are asking from a backlog perspective, and we are well on track.
CA Garvit Goyal : So if these orders are very large orders, so are you seeing any -- like is it possible that there can be some delays maybe on account of any procedural delays? Or are you seeing any kind of difficulties in closing these order books by FY '26 -end?
Sanjeev Verma: No, as we have repeated earlier, we expect to close the FY '26 with order booking of $1 billion. So we will be having a robust Q4 to deliver that number and opening backlog.
CA Garvit Goyal : Understood, Sir. And regarding the new acquisition, while you mentioned about the top line, what are the operating margins of that company, Sir? And what debt levels do we have?
Sanjeev Verma: Deepak, do you want to take that?
Deepak Bansal: Yes. The company which we are acquiring in Brazil, which is 2S Inovações Tecnológicas, that company, we will be adding close to around INR500 crore of the revenues out of it in FY '27.

And we are expecting to generate an EBITDA run rate of around INR50 crore post integration and synergies, and we are expecting integration and synergies to be done in the 90 days of closing.
What is the second part of your question?
CA Garvit Goyal : Current debt levels in the company.
Deepak Bansal: There is no debt in the company. We are acquiring company at zero debt, zero cash levels.
CA Garvit Goyal : And what are the net margins, Sir, net profit that they made on INR500 crore of top line?
Deepak Bansal: Roughly around -- they make close to around INR45 crore right now, but with the synergies and all, we are looking to make INR50 crore EBITDA run rate next year on that.
CA Garvit Goyal : No, no, I'm asking about the net profit, sir.
Deepak Bansal: Net profit because there is no debt and all those things because they would have made earlier some net profit. But from our perspective, we look at the EBITDA when we are acquiring the company because we are not acquiring anything else below the EBITDA bec ause there is no depreciation and the tax is also -- they had some carryforward losses and all those things.
So to start with, they will not have any loss. So we have to calculate, obviously, based on the opening balance sheet when we acquire them fully that what's going to be the tax carryforward and all those things. But right now, we are acquiring it basis the EBITDA. And the acquisition w

ill take obviously -- will take end of this quarter to get closed.
CA Garvit Goyal : Understood. And one last question regarding the delays in the supply chain that you highlighted in the PPT. Can you put some more color on it exactly what is the issue? How is it impacting Black Box exactly? And were we not aware of this issue in the last quarter? Because in last

quarter, we were very much confident regarding execution and reporting the profitability growth from Q3 onwards and then suddenly, this happened.
So you also mentioned that we will be executing the orders that we have currently built up in the book -- sorry, that we are currently having -- the orders in FY '27. So are you seeing these supply chain issues getting resolved now? And do you believe that -- or do you believe that this will continue for a few quarters from here?
Sanjeev Verma: I'll take that. Okay. So I think -- yes, so some of the activity, specifically in infrastructure projects, AI -led projects, more specifically data center has extremely heightened up, right, as we speak. We support some of the Mag 7, the Magnificent 7 custo mers in the U.S. with large order pipeline already won and in the process of winning, which I already answered.
If you are following the recent trends, specifically for connectivity and infrastructure, more specifically for fiber, there has been a tremendous demand for fiber, and there is a queue to get that -- to be able to do that. More recently, one of the hypers calers announced a very large investment interestingly in a fiber company, close to $6 billion to secure their fiber needs to build data centers. We support such customers.
So some of these things are unpredictable and not really timed because the surge of demand has been extremely, extremely high. We expect that we have already passed through that. But will this continue, if the demand continues to rise the way it is, there is a constraint specifically for connectivity infrastructure, network infrastructure, more specifically fiber and cables, which is required.
We are a services company. We require to be on a site to provide our technical services and deployment if there are materials on site. So there has been a shortage of that. And if you look at the public domain more recently, it is in the domain that there has been all of a sudden humongous surge. So that's the reason. We expect this to gradually ease out.
We've already lost a quarter, as I said, $40 million, $50 million of backlogs that have been burned. But we expect as we get into fiscal '27, a project business is not a quarter -on-quarter business, but we are turning it into an annuity mode business with our pipeline.
So we expect with our pipeline and our order book being strong, we should catch it up over the course of the next fiscal year. And therefore, our guidance and our confidence for the next fiscal year, starting with a very good order backlog gives us confide nce that we'll continue to grow organically in a significant manner.
CA Garvit Goyal : So when you say these things are getting normalized, is it like Q4 will also be getting impacted because of this? Is that understanding correct?
Sanjeev Verma: So Q4 already, we have depicted in the guidance at this time.
CA Garvit Goyal : Right. And what about Q1 next year? Means when you say gradually, this will get resolved, what is the correct interpretation?

Sanjeev Verma: We'll be giving a guidance for the full year after the quarter ends. We'll have a better view when we give our guidance for the next fiscal year. As of now, opening up a very strong order book is a positive sign for us to be entering into fiscal '27.
Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.
Jyoti Singh: Sir, just wanted to understand like

because of the delay of order, we have revised our guidance.
So similarly, a few of our peers, they are also facing same kind of issues. So is there an industry issues that is going on? Or what is the main issue? And whe n we will be seeing this order will be coming back? And after this, we also have revised our margin guidance on a slightly lower side. So when we are seeing those coming back?
And apart from this, we have discussed on the acquisition side. So what is the acquisition multiple that we are seeing on EV by EBITDA or EV by sales? And also, like you talked about on the debt side. So is this deal debt funded or internal accrual funded?
Sanjeev Verma: Okay. So I will take the first part, and I'll give it to Deepak to take the second part of your -- for funding and EV/EBITDA for the acquisition part. So I think in general, as I said, there has been a positive sign with respect to hyperactivity for projects which are AI -led data center infrastructure. Also AI -led infrastructure in other large manufacturing plants or airp ort infrastructure, which is where Black Box focuses on.
We are a digital infrastructure company. We believe this is the era for that. And I think the anticipated hyperactivity has been more than what we had thought. So there has been a lag pertaining to supplying those materials or products required to build th is infrastructure. And this is a trend across the industry, specifically in North America because most of the activity for that is currently happening in -- actually happening in North America. Other markets, of course, are picking up and announcing proje cts, but they're still in the conceptual stage.
Our current focus was first to build our order book pipeline, ability to win large contracts, ability to build the relationship. And I think we have put up a dedicated team over the last 1 year to do that, and that results are showing in our order book. We expect as we move forward that we should be able to burn and melt this order book in a significant manner, providing us growth as we go forward. So this is an industry -wide phenomenon of hyperactivity.
We are first capturing our space in that, getting more momentum, more sites, more complex -- these are very complex large projects. So our right to win has improved. Therefore, we are winning. We'll focus on execution at this time, and we should be able to navigate that with our customers as we move forward in the quarters ahead. Deepak, on the acquisition?
Deepak Bansal: Yes. And on the acquisition side, I think you asked about that what is the value we are paying and all those things. So we will be paying close to around INR275 crore at closing, and this is subject to some working capital adjustments. And then there is the additional deferred payments, including earnouts linked to the performance, which we will pay over the next 2 years.
So roughly, let's say, we will be making around INR50 crore of the EBITDA from this. So from that perspective, we will be paying at closing close to around 5, 5.5x on the -- at closing. And

then on the earnouts and the performance and all those things, at the peak level, if everything, let's say, goes well and all the earnouts and everything gets accrued, including all the deferred payments, then we will be paying another INR100 crore for that. But that is subject to obviously the performance, and that will be payable in the next 2 years' time line, not at the closing.
And then this acquisition of INR275 crore , what we have to pay we will be funding it through internal accruals, mix of internal accruals and debt. And we have already told earlier also that we believe in putting our capital prudently. Our ROE and ROCE, we want to be 25% to 30% type of range. So w e don't want to put capital where we don't generate those type of ROE. And that is why the internal accruals and the debt mix w

ill be accordingly -- we will use it prudently
to pay this INR275 crore .
Jyoti Singh: Okay. And sir, just wanted to understand this time our trade receivable has increased INR674 crore . So what kind of DSO we are seeing going forward and currently compared to FY '25?
Deepak Bansal: So you are seeing September financials? That's what you're looking at.
Jyoti Singh: Yes, Sir.
Deepak Bansal: So you are saying on September, the receivables are at INR674 crore because -- see, because what has also happened is that between the March quarter and the September quarter, we had the growth. And we have some of the invoicing -- the skewness which happens in our business in the last month of the quarter, which has happ ened in the month of September because of the -- some of the orders execution happened in terms -- and the invoicing happens depending on the OEM supplies and all those things.
And because of that, this thing has come. But all these receivables are now come into the same

level as soon as because we realize our DSO, normal DSO is close to around 55 to 60 days. That's our DSO. So that will come to the normal level when we look at, let's say, now or at any other period.

Moderator: The next question is from the line of Vivek, an individual investor.

Vivek: Sanjeev, we've constantly missed on our top line guidance. And even in this quarter, we've only booked order book to the extent of about $230 million. So what gives us the confidence that we'll hit a $350 million run rate? And either we are not seeing thin gs clearly on the ground or we are not being candid in our communication with the Street. I'm just confused as to which one of it is it?

And my second question on your long -term guidance of $2 billion. I mean that's a tall ask even if I consider FY '30, which you've moved from FY '29 to FY '30, in 16 quarters, you'll have to triple your revenue run rate from about INR1,700 crore right now to INR4,500 crore . I mean I can't square the math. So can you just help me with that?

Sanjeev Verma: Okay. So I think the first thing -- thanks for the question, is I think we had guided a booking of $1 billion for the year, and we are holding on to that. So that puts us in quarter 4 for a significant quarter. So clearly, we are halfway through the quarte r and another half to go. So we are -- the

fact that we are saying we'll book $1 billion, but we are -- orders in the bag significantly, projects won specifically for data centers, several hundred million dollars and more to come, right ? And these order books take time.

So gradually, if you see for data center infrastructure, we had earlier told in the first quarter, we are revamping the team. We brought in a new leader, Sean Maguire and entire team. And progressively, each quarter, we have been moving up large projects, which runs several hundred million for hyperscalers and Mag 7 , are very complex and there were only few players. And we are at more sites than before and more companies than before. Earlier, as you know, we had Meta as a large customer, we continue to have that. So those are in the bag at this time.

The way the order book happens is from a letter of intent to low -level design to limited authorization to proceed to finally a contract because these are open projects, greenfield, massive being spent billions of dollars. So first, you are identified, allo cated, then you engage, then contracted. So that's how it happens. So it takes a little bit of a time there. So I think we are almost at the fag end and so therefore, we are certain for $1 billion.

Now unfortunately, there was expectation to burn a little bit more $40 million, $50 million, $60 million more. That didn't happen specifically in the infrastructure projects of data center. That is back ended and therefore, the opening backlog is going to increase. And that's fundamentally, as

I told earlier on the call, if you look around and in the public domain, one of the largest hyperscalers actually invested in a fiber company to get the fibers on demand because they can't get enough.

We do those fiber projects to connect a large -scale data center. So we are at the other end waiting to be able for the owner or a customer to supply the material because we don't supply that material. We do the design implementation. So we are confident to your question of meeting $1 billion goal, an opening backlog, which was supposed to be closer to $700 million and we would have possibly hit our goal , for revenues has slipped by $50 million, $60 million, and that's what I quoted earlier.

So now from a perspective of $2 billion, we have a very clear path of going there. One, of course, from an organic perspective, we expect from -- if your backlog is going to open up several hundred million more getting into fiscal '27, we should be able to drive double -digit growth, mid-double digit, 12%, 15% surely over the next year or so because the backlog is going up significantly, and we take half of that as backlog to burn. That gives us anywhere of a 10%, 15% growth from an organic perspective. And we expect this momentum.

We just started in the data center infrastructure projects and other large -scale projects. This will continue to add significant large value projects as we move forward into the next year. That's on the organic side. So therefore, a run of $300 million, $4 00 million gives you an average of 10%, 12% growth any which way for the next several years' time, and that's what we're focused on large projects. It's complex, very few players. We also expect this to flip our investments. We are looking at projects now in Europe as well, and on the verge of winning. So those will inflate.

So we expect the order book that we're opening up at $800 million, a booking $1 billion now to book much more get ting into '27 and beyond. So that's the organic side. And then again, if you look at that, that should take us to close to $1.2 billion, $1.3 billion. And we have stated we have

an inorganic theme. We just started with that with a small acquisition of INR500 crore , as you heard today, that we will drive that the pipeline in a systemic manner.
Deepak called out being prudent because we don't want to be kind of emotional about economics and lose the ROE and the ROCE. We'll focus on that, so it takes time. But we have a significant pipeline as well on that to drive that momentum because we believe at scale, our EBITDA to PAT conversion is going to improve significantly. So it will start to add up into our PAT as we go in '27, '28 and beyond. So we have a team focused on that as well. So we just had one of them announced, and we'll continue to focu s on that.
So between organic 12%, 15% through a very strong pipeline, order book, infrastructure being done, Americas, possibly getting into U.K. and Europe now. We just put up a leader in Europe, which we announced, India and APAC. We just announced a leader, Mr. S ameer Batra on the public domain, who joined us. So I think we have a clear path from an organic perspective.
Inorganic also, we will drive reasonably through our prudent capital deployment. We expect as we move forward, we will have -- we will not increa se our leverage more than we need to do, right ?
So our free cash will start to pump in '27, '28, so it will be accretive for us. So we should be able to drive significant momentum in that business as well, a combination of both organic through our pipeline, large infrastructure project wins and our inor ganic that we are also driving now ,
We believe we have a clear path to move forward towards our aspirational goal of $2 billion.
Vivek: Sanjeev, just to labor on that point again, we guided for about 15% growth starting this year.
And even now on

just in your commentary, you mentioned a 10% to 15% growth. I mean if
we've missed orders this year, ideally, next year, we should be doing much higher, right? I mean if we are to just -- if that order has just been deferred to the next year, shouldn't we be doing about 20% next year.
And on the back of the acquisition, your overall revenue ideally should be in the range of 20% to 25%. I mean, just 10% to 12%, I don't think gets us to $1.2 billion. We are at a $700 million run rate. I mean, if we end the year at INR6,300 crore , that's a $700 million. For us to move from $700 million to $1.2 billion in 4 years' time, that will take a lot higher than just a 10% to 15% CAGR. So at some point, the math has to catch up. So your growth rates can't just stagnate at 10% to 12%, while p revious year, you've not delivered any revenue growth.
Sanjeev Verma: Yes. So I think you're right. I think -- so whether it's a little more than 15% or 16%. I think the first fundamental goal for us has been to have enough backlog to be able to burn that. I agree. I think we possibly will do more at this time. But I think w hat I'm alluding to is our clear path of driving organic through large -scale projects and order book. So if you look at the order book growth of 60% compared to opening balance of last year, we are taking currently at the back of the environ ment that we burn at whatever rate we're expecting.

Could we burn more of that $300 million, $400 million that is lying extra in our order book than when we opened up last year. It is a possibility, right? But considering we just quoted about some constraints and miss $40 million, $50 million worth of reven ues. So we took that call. But will that improve and a backlog of $300 million, $400 million should drive 15%, 20% growth, if not more, I agree.
But we're taking that view -- we'll guide it at the beginning of the quarter -- beginning of the fiscal year, and that's what I said in the earlier call , we'll guide as we get a view of how we are looking closing the year, first booking $1 billion, opening of $800 million and then guide as to what we believe we can burn and the possibility that we could possibly be doing organic more than 15% from that pe rspective.
Vivek: Sanjeev, and just for us to get to $2 billion, we can't just rely on the data center, but that is a project business. It's a onetime business and then we have to replenish the order book completely. What is happening on the managed services and the mainten ance contract side? Is that pie growing? For us to get to $2 billion, we can't just rely because then that will require us to replenish a couple of hundred million dollars every year, which might get tough.
And on the data center part, we've been calling out massive activity, but we've barely scratched the surface. I mean these companies have spent a couple of trillion dollars already, and we're still not -- we've barely acquired the orders and we've still no t executed.
So I mean, I'm just trying to piece -- I mean, can you just give me a broad macro view on how the sales teams are performing, not just on the data center side, but also on the other side. This order booked in of about $230 million every quarter will not le ad us to $2 billion. We'll have to get to possibly $350 million to $400 million run rate every quarter. Can you just speak to that, please?
Sanjeev Verma: Yes. So first of all, the $2 billion, I think I said $700 million is supposed to be inorganic. So even if you look at $1.3 billion, right? I think from a current backlog perspective, we are covered

ballpark about 60 -odd percent as we start the quarter or s tart the year. That's what we are. To answer your earlier question, I think although we are seeing more bump coming in, in the Project side, which gives us some annuity business as well. So it's not only a Project .
So we are doing a

n annuity for a hyperscaler in data centers in Europe for several years running into several million dollars, after doing a project for $20 million, $30 million plus. So it also gives us annuity, not high, 10% to 15%. If you do $100 millio n project, you do get $10 million, $15 million of annuity at a much better margin going forward.
Having said that, we still have good over 50%, 60% of our business, to your point, as you rightly said, from our non -data center business, which includes our bank business, which includes very large business in our airports, which is multiyear managed serv ices for airports like Miami, which runs into tens of millions of dollars or Newark airport.
So we are expecting large projects and annuity and managed services. We're doing for a very large health care to $20 million worth of managed services. We have multi like that. So the answer is yes, we'll have both. So although if you look at our table, th e Project bumps up more

in a certain quarter because it's not really a quarter -on-quarter business. You can get a very large order, which will burn over a period of time. So we are also focused.
The large part of the team is enterprise focused on non -data center, similar business, connectivity, networking, workplace modernization and so on and so forth, predictable large scale. We are expecting large -scale refresh in wireless infrastructure, netwo rk infrastructure. So that will continue to happen, run by Jai Venkat that runs it through a large team.
Data center, of course, we require a smaller team. We don't require 50 people, 100 people from a sales standpoint. There are only 5 hyperscalers and maybe 10 multi -tenant guys. So we have a smaller team, but a high -performance team that was put in place in fiscal '26, as I told earlier, with Sean Maguire leading that with 30 -year experience from that perspective.
So we are not leaving away and only focusing on data center. We're just saying data center is hyperactive. There are very few large -scale complex Projects execution. It's time taking, but a pipeline and an order book of large nature will burn over a period of time for the next 2, 3, 4 years' time, right? And when you do a Project of $200 million, it takes 2, 2.5 years to burn. Of course, we expect it to win another $200 million and $400 million.
But the road map for that, at least for the foreseeable future is there, right? And I think -- so we are focused on working on that. We're moving to Europe. We have not even come to India at this time. And possibly at some point, we will look at whether we want to participate in some of these things in India when India actually starts to build or deliver those projects. Currently, it's that conceptual MOU kind of a stage.
So both the tracks, non -data center and data center, we wanted to turn a data center pipeline into a project into a more annuity predictable business with large pipeline. Some portion of that will turn into managed services for what we call Day-2 operations. So we are looking at both, and we are driving both from that perspective.
Vivek: Sanjeev, just one last question. Since we brought the new Head of GSI into the company, I mean, the order booking for the last 3 quarters has basically been around the $200 million, $230 million range. I appreciate that once you've set the team in place an d with the new go -to-market strategy, I mean, at some point, the sales team has to fire. I mean, so what -- ideally next year onwards, what should be the quarterly order booking? And will that be lumpy nature?
Should we be moving to a different orbit from about a $250 million, $300 million run rate to a much higher? Because that -- I mean, that math doesn't change, right? We can't be at a $250 million, $230 million run rate and expect to hit a $1.2 billion targe t in the next 3 to 4 years.
Sanjeev Verma: No, I agree.

I think , yes, I think you're right. So we will see normal growth in the enterprise sector, which is Jai’s business and of course Sean , which is more 15% to 20%. We saw hyper growth. So if you book ed -- we had $100 million booking or $200 million booking in data center the previous year, we're expecting $400 million or $600 million, which is multi times jump because it will not go the same way. A combination of both.

Our goal next year moving into should be upward of $300 million, $350 million every quarter going forward. We are currently at $230 million, $250 million. Quarter 4, of course, will be much larger, and we'll report when we get there. And we have an ability now to be able to see that funnel culminating.

Having said that, the enterprise side of business supporting our bank, first of all, you have to keep those customers going and then win new customers. We still expect 12, 15, 20 depending which quarter we land up. But I think we're expecting a significant bump quarter -on-quarter going forward of a similar type, several hundred million dollars in the data center infrastructure business. We still depend on half the business, 40% of the business, but that didn't exist earlier. So we were doing $230 million, $180 million, $200 million, $250 million, whatever number was. You're right we're expecting it to turn.
Vivek: Just one, have you bitten more than we can chew as far as the $2 billion target is concerned? I mean I appreciate that even on the inorganic part, with a $50 million acquisition, we still got to cover...
Moderator: Sorry to interrupt, sir. Vivek, sir, can we request you to re -join the queue? The next question is from the line of Disha from Sapphire Capital .
Disha: Yes. So firstly, on this current order book that we have, what sort of execution time line do we see here?
Sanjeev Verma: Can you repeat the question, please? I think your voice is cracked.
Disha: The execution time line for the order book.
Sanjeev Verma: Okay. So I think we have several kind of order books. The order book includes annuity order books that are recognized ratably over a period of time. If you look at our investor presentation, you will see that. Projects backlog run between 9 months to 24 months. For enterprise projects, they usually close within a year. For large -scale infrastructure projects for data centers, depending on the size that might last several years, maybe 2 years or more.
On average, if you look at it, I think we look at an average of 1 year from last 3 months, 6 months, 9 months and 2 years' time. Large hyperscaler projects run over several years. Enterprise projects usually run between 3 months to 6 months' time. Annuity, managed services are ratably recognized every month, every quarter as per accounting needs.
Disha: Yes. So just following up on what the previous participant had asked, if we are targeting a $2 billion by 2030, if we close this year by around, say, the upper end of our guidance, around INR6,375 crore , that would mean that we need a CAGR of around 25% to 30%. But we're only just targeting, I think you mentioned 12% to 15% growth. So what is the sort of glide path that you see?
Sanjeev Verma: So we're targeting a CAGR of 30%, 35%, including inorganic to be able to get to our goal of $2 billion, right? So that's what we're looking at. We're looking at $700 million, $750 million, $800

million, wherever the number lies with respect to our inorganic goal. We just started that process, as we have called in a small way, but we have larger ambitions on that as well.
Having said that, a larger part of the company's focus is organic growth, which includes our enterprise business and which also includes our data center infrastructure business. And we feel confident first thing first to be able to close the y

ear with resp ect to what we have guided for order booking, open up a strong backlog, continue to push and drive that organic growth as we parallelly look for inorganic opportunities, a combination of those CAGR of 30% or more northward of that should lead us to where we want to go to $2 billion is what our goal.
Disha: Yes. So yes, a CAGR of 30% will lead to that. So just for the acquisition that we have done, what sort of growth do we see for this company?
Sanjeev Verma: Deepak, do you want to take that or you want me to answer that?
Deepak Bansal: Yes. So this company has grown at a CAGR of close to around 20% from last year to this year also in 2025 tentative numbers. So we are expecting at least 12% to 15% growth because Brazil is a very high growth market. And we are expecting that FY '27, we should add INR500 crore . And then from FY '28 onwards, we should grow at least at minimum -- bare minimum at 20% levels for this company.
Disha: Okay. And just what is the rationale for this acquisition? And what sort of synergies do we see here?
Sanjeev Verma: I'll take that. So our footprint currently in Brazil is fairly small. We do about $14 million, $15 million. The company is a fairly large enterprise -focused network integrator, a large Cisco partner , very marquee clients. Adjacent to what we do, we largely did connectivity and heavy infrastructure, so we can cross -sell. So we expect sales momentum in that region to improve collectively as we move forward by cross -selling.
The second, of course, the company was only present in LatAm, largely Brazil, but has marquee customers, good relationships with no ability to serve them overseas, and they were serving it through some partners and otherwise. So with Black Box presence in Americas or Europe or otherwise, we expect some flow of business coming to other markets as well at the back of this acquisition.
Third, the seat on the table with us with respect to networking conversation, more specifically

from a Cisco standpoint is much better to have the relationship, which could be accretive for our margin going forward. In combination, I think the rationale wa s to get to scale because if you're not having scale, if you're doing $12 million, $15 million in a market, you don't have a seat on the table with large customers to talk. So we get a seat on the table.
We also get an ability to cross leverage each other in that geography and also get a leverage and ability to serve some of customers in other geographies that they were not serving. So we see a multitude of synergies. As we move forward with integration over 90 days, the first thing is to get into our run rate and then look at combined strength of 1 plus 1 to see how we can make it more than 2.

Disha: Okay. And just last question on the margins. I think this time, so obviously, because the revenue is deferred and the supply chain issues, we've reduced the guidance. But going ahead with this acquisition as well, how do we see the margin trajectory?
Sanjeev Verma: So we continue to hold on to our margin guidance. Our goal is to move to 10%. We are at 9 -ish, 8.9%, 9%. So I think this acquisition or otherwise as well, at scale, we believe will be margin accretive, both from an EBITDA perspective and of course, much better from a PAT perspective.
We expect our PAT CAGR to be significantly higher as we move towards growth of revenue. Our EBITDA CAGR to also be significantly higher. Our EBITDA to PAT conversion would significantly improve at scale because we don't expect that to be linear. So therefo re, accretive from that perspective as we get into '27, '28 and beyond.
Disha: So 10% sort of EBITDA margins can we target for FY '27?
Sanjeev Verma: That's what we're targeting, yes.
Moderator: The next question is from the line of Rohan Nagpal from Helios Capital Management.
Rohan Nagpal: So

first question I had is, so this is the seventh quarter in which we've been recording exceptional expenses on provision for rents and foreclosure of leases. How much longer do we expect to record these exceptional items?
Deepak Bansal: So Rohan, we are -- let's say, because we are operating multi -geographies, we thought that technically, the FY '26 should be the last one. But right now, I think from a visibility perspective, I think that at least another two quarters in FY '27, we should have these exceptional items. But the exceptional expenses should a little bit go down because we continue to pivot and, let's say, identify the opportunities to sever the people wherever we think that it is not required or whatever, and that's what it comes into it.
And with respect to the rent and all those things, it is more like -- so let's say, what we are also doing now is that we are not recognizing the overall rent restructuring into one quarter because as per the gap, if I have done a rent restructuring and some consolidation or whatever, I need to recognize during the period of the term of the contract as per the lease accounting. So that is why it is coming like that.
So the rent restructuring is a lower amount as compared to the severance. I'm expecting severance amount to come down drastically in going three quarters. But I'm expecting that next two or three quarters, still the exceptional items will be there.
Rohan Nagpal: Okay. Understood. And then my second question is on demand. So I mean, we already have a long-standing relationship with one of the large hyperscalers that is committed to a significant amount of capital expenditure this year. So we have a path to benefiti ng from some of that capex .
But from some of the other hyperscalers that have announced even larger amounts of capex , how exactly does the sales cycle work in this situation? If someone's announced say a $200 billion of capex this year and we -- is there any way in which we have an opportunity to participate or service some of that spend? Or is it -- or will it take along a significant part of this fiscal '27 for

us? And then we have to effectively -- we get to service some of that spend in the next year if the business development efforts are successful. Just want to get a sense of the dynamics at play over here.
Deepak Bansal: I think Sanjeev has dropped. So I can take this. So basically, like we are dealing with, let's say, one large customer on a hyperscaler, but then we have the other hyperscalers like we are speaking with two more large hyperscalers who have announced the large project and also one of the joint venture between the hyperscaler and the large, let's say, the GPT company, we are dealing with them.
And the sales cycle typically on this whole data center thing is more like, I will say, 3 to 9 months type of period from a sales cycle. And the decision -making is happening most of the hyperscalers, it is between hyperscalers and also the general contractors who are getting

involved. The decision -making happens between them. So there are like a lot of round of interviews and then there are safety practices and then there is a prior experience and all those things.
And most of the hyperscalers, it is not on the -- it is more like a technical discussion in all these rounds. The financial discussion is not, let's say, not much. We have to obviously give the financial models and all those things and in terms of margin a nd all, but it is more like a discussion type of thing. And then accordingly, they allocate. So let's say, the selection or, let's say, the allotment of the project is more happening on the technical parameters. The financial parameters for everybody rema ins almost in the same ballpark numbers.
Rohan Nagpal: Okay. Understood. So on the significant surge in capex ex of the hyperscaler that's already a cus

tomer, we would not have as much -- we won't be able to service or participate in as much of that this year, it would primarily be a 2027 story. Is that a fair understanding?
Sanjeev Verma: No, I believe -- I'll take that. So I think -- so we have to be prudent as to where we want to deploy our capital and our resources. So we are focused on 6 specific markets in America where we focus with this sector. U.S. has 50 states, data center is gett ing built in 50 states. This is a localized work. Obviously, you cannot have hundreds of resources parked in every place. It's just not physically possible.
So therefore, you choose what you can deliver best because if you do -- these are very complex large -scale mighty scale projects, if you don't do well, the chances of getting a repeat becomes low. You can also have a cost overrun, you can have delays. So you choose your battle accordingly. We have, over the last several quarters, reorganized ourselves as to whe re we will focus on. Therefore, those conversations in my meetings the senior management of these hyperscalers or other multi -tenant, we are clear as to where we are and where we have the strength.
So we do not want to be just spraying and praying, right? I think that's one way to do it is too much opportunity means nothing because you'll be bidding for too many things and winning peanuts. You'd rather be focused on, as Deepak called out, where we ar e allocated more on technical strength, resources, capability, safety and so on and so forth. And the commercial

discussion negotiations are understood, fairly well now. It's market -driven labor rates, your overheads, your margins, fairly transparently because it's not a fixed cost, fixed scope project. The project changes on the fly because it's a barren land built for 2 gigawatts, right? So I think it's a different kind of project. So there's an entry barrier. Anybody can't come and bid for those projects. It's a long lead time. And if you come out a wi nner, I think you would be here for long term. So that's what we are trying to build.
Rohan Nagpal: Okay. Understood. And just last question from my end. So we discussed supply chain bottlenecks. There seems to be a certain amount of social and political resistance to the development of data centers in certain states. You have certain bill looking at res tricting the build -out. Is that impacting us in any way or even at a business development standpoint at this point?
Sanjeev Verma: No, I believe I think -- so of course, there are certain specific states where there's more hyperactivity and so on and so forth. But I think -- I don't think we are affected by that. As I told earlier, we are focused around where our winnability is higher , focused on our win ratio and stuff like that. So that's why we are not affected by that.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand over the conference to management for closing comments. Over to you, sir.
Sanjeev Verma: So thank you, everybody, for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Purvesh Parekh, our Head of Investor Relations or Strategic Growth Advisors, our Investor Relations Advis ors. Thank you .
Deepak Bansal: Thank you.
Moderator: On behalf of Black Box Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2026

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June 7, 2026

To
Corporate Relationship Department
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Sub: Transcript of the “Black Box Capital Markets Day 2026 ” Conference

Ref.: Scrip code: BSE: 500463/NSE: BBOX

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the “ Black Box Capital Markets Day 2026 ” conference held on June 1, 2026.

This is for your information, record and necessary dissemination to all the stakeholders.

For Black Box Limited

Aditya Goswami
Company Secretary & Compliance Officer

Encl.: A/a

“Black Box Limited
Capital Markets Day Conference ”
June 01, 202 6

Black Box Limited Management:
Mr. Sanjeev Verma – Whole -Time Director and Chief Executive Officer
Mr. Deepak Bansal – Executive Director and Chief Financial Officer
Mr. Rick Gannon – Chief Operating Officer
Mr. Mike Carney – Chief of Strategies and Transformation
Mr. Bikram Sahoo – Chief Technology Officer
Mr. Kannan Ramaiah – Chief Human Resources Officer
Mr. Sean Maguire – Head of Sales, Data Center Business
Mr. Paul Williams – Head of Technology Product Solutions Business
Mr. Sameer Batra – Head of Business – GSI India, APAC, ANZ, Middle East

Mr. Garrick Cole – Global Client Director
Mr. Purvesh Parekh – Head of Investor Relations

Black Box Transformation Partners :
Mr. Sanjay Kapoor – Senior Advisor , BCG
Mr. Vaibhav Dhingra – Project Leader , BCG

Purvesh Parekh : Good evening, everyone. On behalf of the management team of Black Box, it is my privilege to welcome all of you here today for the Capital Markets Day of Black Box being held today here at Trident. We are delighted to have with us members of the investment community, analysts, shareholders, board members, transformation partners, and our senior leadership team joining us both in person and virtually from across geographies.
We have an exciting and comprehensive agenda planned for today where the leadership team will share Black Box's transformation journey, market opportunities, strategic priorities, and our roadmap for the next phase of growth.
Thank you for taking the time to be with us today. May I also request everyone to kindly keep their mobile phones on silent, please, to ensure an uninterrupted session for all the attendees.
And now, it gives me great pleasure to invite our Chief Executive Officer, Mr. Sanjeev Verma, to take the stage. Sanjeev sir, over to you.
Sanjeev Verma: Good evening, everybody. I want to start off by saying that at Black Box, the transformation is behind us and growth and scale is ahead of us. On behalf of the board and the management team, welcome and thank you all to be here this evening. June 1st, that is the date today, in the US market, 2026. This date matters to Black Box a lot. Not because of what we are announcing today, but because of what this day represents. The moment we step forward and say clearly and confidently, the hard work is done. What comes next is growth.
Before I begin, I ask you to take note of our safe harbour statements. Our remarks today would be aspirational, forward -looking, and might differ from actually what can happen.
Today, you will hear from the full Black Box leadership team, the people who have built this company and who will scale it.
You will hear from Deepak, our Global CFO, on the transformation we have executed. You will hear from our transformation partners, Sanjay Kapoor and Vaibhav, ex -Bharti CEO and Senior Advisor for Boston Consulting, and our business leaders in the room and many of them on the screen out here, which you can see. Sean, right here in the room, who flew down this morning and flies out tonight because he has to attend a conference in Nice.
I am not sure who goes for a conference in Nice, Sean, but I am sure you have something going up there. Rick Gannon, our Chief Operating Officer, on the screen. Rick, if you can wave your hand, please, on the screen out there. Mike Carney in the room. Sameer, our Rest of World leader here. Paul, our Technology Products Leader in Utah, it is about 5:00 AM there.
Bikram, our Chief Technology Officer, on the screen. Ka nnan, our Head of Human Resources, right here. And Garrick, who runs our financial services based out of Charlotte. You will not hear from one person today. You will hear from this team that is going to execute this plan going forward.
A strong company starts with a strong governance. Our Board combines financial expertise, independent oversight, and long -term promoter conviction. And we have Anshuman in the room as well. I am grateful for their guidance and their continued confidence in the leadership team.

The agenda for today is structured around four things: who we are, the transformation we have done, the market that lies ahead of us, and more importantly, how do we get to $2 billion in revenues by F iscal ' 30.
With that, let's begin.
Okay. So, let me start with the company as you see today. 50 years of experience, 35 countries, serving more than 120 Fortune 500 customers, over 5,000 active sites that are supported from 75 delivery centers. We span six continents across the globe. Someb ody at Black Box is working somewhere, supporting some customer, any time of the day, 24 hours a

day.
Over INR6,000 crore s of revenue in FY26, expanded by 470 basis points, PAT over 9x growth over the last three years' time, return on capital over 34%. These are not aspirational numbers. They are proof points of how far we have come, of what this company has become today. The result as you see today did not happen by accident.

It is a product of a deliberate focus over the last three years of what we wanted to achieve: stability, profitability, focus, and the ability to see that we are able to scale of what lies next ahead of us.

The evolution for Black Box, it is important to understand, has moved through various phases. Companies founded independently, AGC Networks, the erstwhile predecessor name of Black Box, two public companies, one here in India, one in NASDAQ. The work of tr ying to bring them together, a unified global platform, is what we did over the last several years. From 2020 to 2024, we integrated two very complex organizations so that we were able to sustain and transform.

We opened up a GCC in India to be able to create scale and efficiency. Today, the company carries an order backlog of over $800 million. The transformation over the last three, four years' time to bring stability, create a foundation, to create a benchmark of from where we want to springboard is mostly complete.

The acquisition of 2S in Brazil that we announced recently is in the direction of creating scale in markets that are sub -scale today for us. And the trajectory for FY30 is clear. The strongest proof, the strongest proof of our strategy is the quality of cu stomers that trust us today and every day.

On the chart here, four of the top six hyperscalers we are engaged today. Four of the top five US banks are our customers. Many of the healthcare systems among the top 10 are Black Box customers to keep their mission -critical operations running every day. Five of the top 10 retailers are also our customers. Airports, manufacturers, semiconductor companies, we span across industries and verticals globally.

These are not just logos on the page. These are long -standing partnerships, some of them over decades, that have believed in Black Box to provide mission -critical environments where execution, reliability, and trust are non -negotiable. This is what we focu sed on building over the

last several years' time. This relationship represents our most durable competitive advantage for Black Box as we scale up from here to our journey to go to $2 billion globally.

As technology spending starts to accelerate at the back of AI adoption, data center build -outs, modernization of infrastructure, workplace and workspace, we are already inside many of these accounts serving today worldwide. The reason this opportunity keep s growing is because where our portfolio is positioned is right at the center of what is required today to build an AI -scale infrastructure to support the next -generation application, to support the adoption of AI as we move forward from here. We particip ate across the entire life cycle of the digital infrastructure. This is the backbone of creating next -generation applications . Without digital infrastructure, many of our experiences that we have today, be it calling a Uber, going to the airport, ordering food, nothing would exist if we do not have that infrastructure.

The fact that so much investment is going is because the human experience of 6 billion users is dramatically going to transform over the next several years time. And once you experience your digital gate or DigiYatra opening up in five seconds, you would n ot want to wait even for a minute. That requires infrastructure and that requires scale. And Black Box is at the center of building for one of the most critical infrastructure in the world today. Data centers, enterprise networking, workplace, connectivity , cyber, bundled with manage

d services, professional
services and our technology products are a backbone of infrastructure that is required to drive next-generation AI applications.

Our value c hain is captured in four words. Connect, Network, Modernize, and Secure. This breadth of end -to-end capabilities across infrastructure stack allows Black Box to capture spend across multiple categories and not just a collec tion point for certain vendors a nd we have the partner ecosystem to extend the reach further.

Black Box is an orchestrator. We create music of digital infrastructure for our customers and therefore we understand we cannot do it alone. So, we have partnership with best -of-breed technology companies that enable us to create the partnership or the rel evance required to drive results for many of our customers. And these are not casual relationships. These are global, structured, co -invested partnerships that make Black Box stronger in every pursuit we make with our customers.

Finally and perhaps most importantly, we have the team. You see them in the room here, you see them on the screen, over 200 years of combined experience. Leaders who have built global business at scale, leaders who know data centers, enterprise IT. The team did n ot just inherit this transformation. They architected it, they wrote the thesis, they delivered and now are positioned to drive the next generation of growth going forward from here.

To talk about transformation, this is where we are today, what has happened over the last several years' time. To talk about that transformation journey, I invite Deepak, who is our Global CFO, to take us through a transformative journey of what has happen ed thus far over the last several years' time, what makes us confident to be able to believe that we should be able to take this company to $2 billion. Deepak, with that, over to you to take us through the transformation journey going forward.

Deepak Bansal: Hi. Thank you, Sanjeev. And good evening, everyone. Thank you for being with us today. Till now, you have heard about Black Box business, market positioning and capabilities. Before discussing growth, I want to briefly reflect on the transformation we have completed over the last few years.

And since the integration of Black Box in 2019, our focus has been on stabilizing the business, simplifying operations, strengthening the balance sheet and building a scalable operating model. Today, we are fundamentally a stronger company with better prof itability, sharper customer focus, stronger leadership and significantly improved execution capabilities.

The next few slides will highlight how that transformation was achieved and the results it has delivered. We have moved from inherited complexity to a focused and scalable platform. We were managing over 8,000 customers earlier, many of which were low -value and transactional. Now, we are focused on roughly 300 strategic customers that offer meaningful long -term growth opportunities.

We have reduced our leverage, established our global capability center in Bengaluru, improved our customer mix and significantly strengthened operational efficiency. Importantly, these actions have translated into approximately 470 basis points of EBITDA m argin expansion since FY23. With the transformation phase largely complete and sustainable, our focus now shifts to scaling growth.

We approached the turnaround in a very structured manner through three distinct phases. The first phase was fixing the basics. We reduced SG&A costs, consolidated facilities, transitioned subcontractor labour to our own workforce and simplified our customer portfolio by exiting thousands of low -value accounts.

The second phase was architecting for scale. This included consolidating 22 ERP systems into a unified technology stack built around SAP, Salesforce and ServiceNow. We built our GCC in India,

centralized key functions and established global governance proc esses. The third phase is where we are today, which is unlocking growth.

We have invested in strategic growth units, expanding our partner ecosystem, won hyperscale data center customers, strengthened our AI capabilities and inherited inorganic growth through acquisitions such as 2S in Brazil. The growth today is being built on a transformed foundation rather than on legacy complexity.

The results of the transformation are clearly visible in the graphs on the side. EBITDA has more than doubled from INR269 crore s in FY23 to INR570 crore s in FY26, with margin expansion from 4 .3% to 9%. Our order backlog has grown from approximately $500 million to nearly $800 million, providing strong visibility into future revenue streams.

We successfully raised around INR600 crore s of capital during the period, including substantial promoter participation, demonstrating confidence in our strategy. Our balance sheet is significantly stronger, supported by investment -grade credit ratings and a cumulative ROCE of 34%. We also strengthe ned our leadership team with experienced industry executives across sales, delivery, operations and growth functions.

Most importantly, we are winning larger, more strategic engagements across our key markets of all our customer verticals. This slide highlights the quality and diversity of the wins we have secured over the last 3 years. We have delivered large engagements across financial services, technology including hyperscalers, healthcare, consumer and industrial sectors.

These are increasingly multi -solution, long -duration relationships, demonstrating both our execution capability and the strength of our customer relationships. The momentum we are seeing today provides confidence in our future growth outlook. A key validation of our strategy has been the continued support from our promoters, our largest shareholder Essar. A special thanks to Mr. Anshuman Ruia, who is present amongst us today. Over the last few years, promoters have invested close to around INR425 crore s into the business through two rounds of capital infusion. This reflects strong alignment, long -term commitment and confidence in Black Box's growth trajectory.

Sanjeev, I would like you to join me while I speak on the focus areas as we accelerate growth. With the transformation complete, our priorities are very clear. First, accelerate revenue growth.

Second, increase wallet share within our strategic accounts. Third, improve win rates. And finally, continue managing cost and productivity.

Sanjeev Verma: Thank you, Deepak. What you have just mentioned and what you have guys heard is not a story about survival. It is a story about discipline, about deliberate choices made over the last several years under pressure that have resulted in fundamentally a stron ger business platform from where we believe we can scale. 470 basis points of EBITDA expansion, order book 1.6 times, Debt to Equity from 1.2 to 0.6, a billion dollars booked in the year.

The foundation is real. The numbers speak. Now, the question this room might have or should ask what is the size of this opportunity ahead? What are we staring at? Is the market moving in our direction? Are we participating? Do we have a right to win? Are we being considered? To answer that, I want to bring forward someone with a perspective that is rare.

A leader who has built scale one of India's most iconic telecom technology business, now advises BCG, sits on the board of STC, Sanjay, former CEO of Bharti Airtel, will take us through the market trends that make this right moment for Black Box. Sanjay, w ould request you to be on stage and talk to us as to what are we staring at today.

Sanjay Kapoor: A very good evening to all of you. Pleasure to be here and talking about a subject that's very dear to my heart.

And I think between me and the BCG team, we've spent long number of hours talking to several people who get enticed to this opportunity that prevails not only in India, but all over the world.

There are few industries and few opportunities where demand is not an issue. I mean, any industry that you set up, you are chasing the demand or trying to create demand. This is one industry where supply is probably the constraint and not the demand. And t hat's a very unique position to be in.

This is all about the infrastructure around the digital technologies that sit here. And at a very broad level, I can divide it into two. I can say there is a data center concept that many of you

have heard about. This is about $0.6 trillion in opportunity that sits across the globe in 2025, growing at a fast pace. And then the enterprise spend, a part of it where Black Box also participates is 10 times that size.

It is $6 trillion in size. If you look at the total addressable market that Black Box really talks about, it is $240-250 billion that they today cover. And probably given the size of the opportunity, it could take us to a very different scale as we progress. You have to keep in mind that there are four or five triggers that lead to the opportunity.

The opportunities don't work in isolation. While I might talk about artificial intelligence, I might talk about data centers, migration to cloud, please don't read it as 5G technologies because technologies come and go. This is essentially around the mobil e broadband and the fiber. Fiber to home, fiber to offices, all this creates the opportunity that we talk about.

And like I said, these don't work in isolation. They work in tandem. For example, if you want to set up a data center, it is meaningless if there's no cloud infrastructure that can support it. And the moment you talk about the thick pipes or the dumb pipes , which are around both the fiber and the mobile broadband, they are useless if you don't have the cloud ecosystem which carries all the content and applications. And it is useless if it is not supported by AI in this day and age. So, all of them work trul y in tandem today to make it happen.

And you know, we are at the cusp of a growth that is unprecedented. We all know the world talks about the short supply in everything that requires to build a great data center and especially in a world where we are transforming from the data centers of the past to the data centers which are GPU -based data centers.

And we are growing today on the data centers about 87 gigawatts to 233 gigawatts by 2030. And the global migration of the cloud is also happening at almost a similar pace. Let's come down to the data centers and see. If you look at the growth rate of the G PU data centers, it's really reaching a scale where 50% of the capacities are on GPU and 50% of the capacities are on CPU.

And this is growing at a 40% CAGR. This is unprecedented. Similarly, data centers on a whole, even considering the past data centers, we are growing at 22%. Just a while back, we were growing on single digits. Now, this is a big transformation, big change that has happened as we move forward.

While the scale of the data centers in the United States of America is very different, they are growing from 47 gigawatts to 158 gigawatts. India is relatively smaller, but the change is a large one. From 1.7 gigawatts to 8 gigawatts is a five -fold change, four-fold change that's happening. And that's a humongous change that is going to hit all of us.

Black Box probably wants to enter the Indian market at this stage and I think it's absolutely right. Between me, Vaibhav, and some others, I think we met the who's who of this country in the past 10 months, 11 months and everybody wants to not miss this op portunity of creating digital infrastructure in this country. And data center sits right at the cent

er of it.

We also need to keep in mind that this market is lot more concentrated. At the end of the day, hyperscalers, which are Meta, Google, AWS, Microsoft, there are few of them. And you need some very specific relationships to have a disproportionate gain of the market. And given where Black Box sits, I think that gain is possible because you need to create those right relationships with these hyperscalers to fill up a GPU center.
Without a hyperscaler being there, it won't happen, because they are the anchor tenants for most of the GPU data centers and they are the ones who will probably give you 30%, 40% of the load. But the balance 60% will come because of the enterprise giving y ou those businesses. And that's where Black Box sits again.
They have the right relationships with the enterprise s and there's an opportunity sitting there, both in India and outside India. And that is a unique proposition because we've come across many people who want to get into this trade. But once you get a hyperscaler agreement, what about the enterprise? How are you going to make your data center profitable? And many of them don't know how to do that tra de, how to do the B2B business. How to get the relationships with the enterprises. So, that puts you in a ve ry unique situation.
These figures in absolute terms are staggering. They might be small in terms of growth, but a $200 billion opportunity on network and connectivity. This is the bu siness that you are already in and this is a big bump up that's happening.
This is the single largest bucket that will be addressed in the coming time. And Black Box probably captures 0.2% of the total opportunity that sits. And therefore, it tells you the upside that sits and the size of the market that sits in front of us.
Communication is getting unified everywhere. The voice, video, everything is coming together and everything is go ing to the cloud. And after probably COVID, when everybody upped their game on communication, I think this is the time when a reset is happening. So, if you broadly divide what's going on in the market, as far as data center is concerned, all the moneys that are going to come out of there is new moneys, new revenues, new streams , for everybody, for most of the people, right?
But when it comes to the infra business that you already doing, it's all displacement. You're going to be displacing what's existing here. And the people who can execute far better have got the best opportunity to encash on that displacement. Because what gets displaced is not rocket science. It will be available to everybody. It's who can capture the opportunity, who can execu te it faster than anybody else a nd that's a big opportunity.
Cybersecurity, I don't need to say much about it because it is not only a push that is coming from the government and regulators, but it's a big push for the survival. I sit on several boards and I don't remember a single board where when you put or examin e the risk profile of a company, that cybersecurity doesn't feature over there. It goes right up there and everybody's worried. Most of organizations want a real -time monitoring of it. But with what's coming on DPDP, what's coming on basically the consent from the customers as far as the regulation on telecom is concerned, these are all things that are going to drive cybersecurity to a very different level.

And with AI coming in, AI as much as it's available to us is available to the spammers and scammers as much. So, they are playing the same game that you are trying to play. And therefore the opportunity, because most organizations want to cover this risk but not necessarily know how to cover this risk. And this risk lies all across the spectrum.
When you create a digital network, it's about connectivity, it's about devices, it's abou

t storage
and you need to cover all these ambit to cover security. So, that's a great opportunity that sits in front of us.
The good news about this business is that such a business will reset every 5 to 7 years. So, this is indirectly an annuity business. It is not a static business. You make an investment, by the time you roll it out, 2, 3 years gone, it'll again reset itself in 5, 7 years because technology will take a big leap by then. And therefore you are where you are. So, I think I can only end up by saying that huge opportunit y, numbers can be intimidating.
But the brave will go and capture the opportunity that sits there. And I think people sitting in this room have their eyes clearly glued on to that.
Let me invite Vaibhav now, who will take you through the transformation journey that took

place between Black Box and with BCG's assistance so that you get a bigger glimpse of what happened.
Vaibhav Soni: Thank you so much, Sanjay. My name is Vaibhav and I've been a very proud and fortunate person from the Boston Consulting Group who has been a part of this transformation journey for Black Box in the last 2 years. In these last 2 years, the BCG team alongside the Black Box leadership as well as Black Box management has turned around the firm for the better and we are now seeing the early benefits of the same as Sanjeev and Deepak rightly presented in the earlier few slides.
It has not been a very easy journey. It has been a tireless journey of putting in all those hours, working day and night to transform this firm to be enabled for the $2 billion ambition. And I'll let you know how that happened.
We transitioned from a tactical particular deal-to-deal level selling motion to a more strategic relationships -led selling motion. That was one single statement that we believed in, all of the leadership believed in 2 years back, that we don't have to rely on single deals to grow this firm. We have to rely on large accounts, large transactions and strategic selling motions to transform this firm. And right now, we can see that happening from a handful of $10 million pl us accounts. We are having multiple $10 million plus accounts in the order book and we are receiving in the process to receive more and more in the next few months. We also transformed from a siloed capability within the firm to an expertise which is across the board transformed through the different practices, the horizontal selling motions.
Then, we also transformed from a geograph ical-based selling motion to a client -first approach, to an industry vertical -led selling motion which now enables us to be an expert in the different

industries that we sell to. And lastly, we also ensured that through the cost initiatives, we are able to derive that profitable growth that Deepak just spoke about.
Now, I will invite Sanjeev to talk about these four plays that we discussed and we will build on further, be it the hyperscale digital infrastructure motion, the GSI's business, the TPS business and lastly, the Rest of the World strategy now led under Sameer.
And I would just like to end this short note with a saying through which we end all of our leadership meetings: We have come a long way, but we have still a long path to go. We have built momentum, but we need to continue working tirelessly throughout the next few years to reach that $2 billion ambition. Handing it over to Sanjeev.
Sanjeev Verma: Thank you. So, we I call it the 5 Ps. I think we had Potential, of course, if you didn't have the potential, it wouldn't really work. But the potential you heard from Sanjay or otherwise in general from information that we get is so large that it can get intimidating. So, there is a potential. We can call it $6 trillion for overall IT, $600 billion for data center, couple of hundred billion dollars for networking.
I mean, it's in hundreds of billio

ns of dollars for potential. But potential has no meaning if you don't have Portfolio. If somebody is wanting to go electric batteries and you don't have lithium cell to make those batteries or don't have battery plants, it doesn't really matter. So, we have the portfolio and we talked about the portfolio. Sanjay talked about netwo rking, connectivity, modernization, workspace, cyber. So, Black Box over the last several years has focused on not just going mile wide, but actu ally mile deep in this portfolio to support the potential and we are confident of the portfolios that we have and of course, continue to add more. So, that's the second P.
The third, of course, we can't do it alone. So, Partnership we talked about. It's an ecosystem play. And more and more today, we are talking about collaboration. If you look at data center, which is the buzzword today and if you look at what goes inside from cooling to fiber to networ k to high-voltage transformers. There are many, many things and there's no single company who can do that, right? And I think it's a they spend $15 million per megawatt outside, about $5-6 million here. And that's a combination of how it comes together. So, it's important and of course, we are focused on partnership. As I said, it's not logos that we have, but real partnership, I call it friendships. So, Potential, Portfolio, Partnership .
The fourth, of course, People . If you didn't have enough people with talent, some in th e room, some on the screen, and, of course, our transformation partner, you wouldn't have you wouldn't know how to harness the potential and the portfolio either which way. So, we needed people and we continuously over the last several years have invested in talent and will continue to do so and you'll hear about that when Ka nnan gets on stage.
Last but not the least, Passion . If you don't have one, it doesn't really matter what you have all over there. So, we are passionate of what we are building. We believe we have the ability to build the company at scale, possibly the only company that operates digital infrastructure at

global scale in 35 markets. I don't know of any that exists that can seamlessly do that. So, we are proud of that.

So, this let's talk about the road to $2 billion. We have gone public with this and people will say, okay, how do you get from here to $2 billion? We are about $700-ish million at this time. Aspirations are not taxed today, so I'm not sure why should we aspire less. So, this is a journey for $2 billion. This is just not a plan. This is not just an aspiration. Sometimes plans fail, dreams succeed. This is what we dream.

This is what came from Anshuman few years back when he talked about we can do it. Many never believed in it. Maybe even I had apprehension in some sense or the other. But when you believe in s omething, you just do it. Whether you believe in A or B, whether you're a church -goer or a temple -goer, either way is okay, but you don't get bored of it. You just do it, you do it, you do it, you do it and you do it. So, this is about for us at this time, it's followed through behaviour . So, if you don't have behaviou r, belief and no behaviour , so what we talked about over the last half an hour or so is the behaviour around that belief and we'll talk about that more now from the team that comes along.

It's not a vision, not just an aspiration, it's a dream with named pillars as to how we will go there. Why it matters to us? People don't buy what you do and they don't buy how you do it because most can copy it. They buy why you do what you do. So, we know exactly why we are doing it. This transforms the landscape of infrastru cture throughout the world. FY 30, we target INR12,000 crore s, about $1.3 billion organically, 10% plus of EBITDA. That's roughly 2x from where we stand today from an overall revenue standpoint. Four g

rowth pillars will get us there
and we'll talk about those at this time.

Clearly, hyperscale digital infrastructure, everybody knows that, the amount of spend is humongous. We are just getting started. Our order book swelled, but that's just the beginning. GSI, which is our enterprise business, Sanjay talked about the upstream. If you look at the data center getting built, the downstream imp act of enterprise at t he airport that you see. So, if you build that biometric facial recognition, the actual inference is at the airport when the door opens up, right? So, that has not even started.

So, if you look at the banks, you go come to Dallas now, they earlier used to have those Global Entry cameras, that has been taken away. There are AI cameras that you keep walking. There's no gates, there's no you just keep walking. And I mean, look at tha t as holy moly, this is good thing for us. More the cameras coming in, more the network required, more the infrastructure. So, I think it's just keeps going on and on.

So, GSI, which is our enterprise business, will come. And of course, from that perspective, if you look at our product business, a mission -critical product that allows an airplane to land from air traffic control or other mission control infrastructure, I think it all comes together. Within our product business, we expect to scale from where we are about $90 million to about $200 million.

So, I think when we bring this four pillars together, one execution, one belief, one behaviour of one becoming of $2 billion, I believe this is not just a possibility, but we are confident about how we'll do that.

To enable to make this machine run, of course, we'll need people and I have Kannan will speak about that, we need culture. We also need to imbibe in our own ecosystem technology and therefore, Bikram is on the screen out here. He'll talk about how we are bringing AI within Black Box to see how we can become more efficient, how we become sharper, how we become more customer -friendly and so on and so forth.

So, with that, the first big thing which people want to hear, I want to bring in Sean Maguire , who just flew this morning at 2:00 AM and leaves at midnight to talk about our data centers. AI is not about abstract trend, it's a physical phenomenon that's happening. It's a structural shift, just not a technology change that will drive economies goin g forward. It requires lot of infrastructure, lot of products and I think I would rather give it to Sean to talk about that because that's where he comes from. Se an, over to you.

Sean Maguire: Thank you, Sanjeev. Good evening, everybody. As Sanjeev mentioned, I arrived about 3:00 AM this morning, left Dallas at 3:30 PM on Saturday, and I have a 12:10 AM flight tonight to Nice.

I need to tell you why Nice. It's actually worse than that, I'm actua lly going to Cannes. But there is a big conference with about 5,500 of our closest friends. It's called the Data Cloud Congress and it's one of two major conferences around the data center industry. And I'll tell you exactly why I'm leaving t onight for that.

I've largely stopped talking about numbers in this business because clearly they are staggering.

But I'll give you three numbers to think about for a second and then I'll get back to them to give you some context. One of them is 12.8 million kilometers. Th e next one is 8 kilometers, and the third one is 178,000.
Before I get to that, though, how big is big and how did we get here? How did we get here is interesting for me. I'm from New York originally. I've been in this business since 1984 when I was just 22 years old right out of school, working in Manhattan. And that was the year that the US federal government forced the divestitu re of the monopoly called AT&T.
And to that point, AT&T owned all of the infrastructure inside of buildings, everything. An

d so
they divested and they created seven what we called RBOCs or Baby Bells, which were regional Bell operating companies. But what also happened during that time i s it opened up an opportunity for individuals to start their own cabling companies and they could they could essentially compete with these RBOCs for the wiring infrastructure for office buildings.
That was in 1984. So, I've been in this business for a long time and one of my mantras has always been: don't burn bridges. And I tell my friends there is very little in life that's good about getting old, and I'm this is my sworn song for my career, but one of them is that if you stay in your chosen profession, if you do a good job, if you don't burn bridges, the friends that were my drinking buddies back in the day are now running multi -billion doll ar campuses.

Last Friday, I was at dinner with one of my friends who actually worked for me 30 years ago. I had a company called DataStar in Dallas, which Black Box tried to acquire in 1998. I didn't sell to Black Box, but it's interesting to me that it's come full cir cle and I feel like it's prov idential that I should be here.
But we were at dinner and he was with his 21 -year-old daughter. And Anshuman likes to talk about how important relationships are in business and I could not agree more. This is a 30 -year relationship and he was there with his 21 -year-old daughter. Her name is Peyton, but he calls her Roo, short for Rooster, that was her nickname.
And it was the first time I met her. But what I told her was, I've known your dad so long that I painted that Winnie the Pooh mural on your nursery before you were born. This is a gentleman that's now running one of the largest data center projects in the world out of Abilene, Texas, and we were mee ting to talk about that campus.
While we were talking, another gentleman walked up from a company called Prime -- he was formerly with Prime Data Centers -- hadn't seen him in about six months. He said, hey, are you going to be in Cannes next week? This is why I'm going to Cannes. And I said, he goes, because I have 3.5 gigawatts to build out. He's the CEO of a company called now Emergent Data Centers that I need to talk to you about.
So, when we talk about relationships, these are not just folks that I've called on once or twice. These are folks that I have spent decades with. One of the things you're going to hear a lot about today is trust. Trust, relationships, execution, discipline , all the things that are critical to buildi ng a mission -critical facility.
And when I came to Black Box, I met with Sanjeev and for me, it was really key that not only did the customers have trust in Black Box, but that I could have trust in going to a company that would deliver. And I knew Black Box from 1984 in New York. I move d to Los Angeles for about seven years and then I came back, excuse me, and then I moved to Texas, had a company, moved down to Austin, came back to Dallas in 2016. And that's when we started moving from cloud and now over the last couple of years to AI d ata centers.
And so now I'm going to get back to how big is big and what does that look like. In Richland Parish, Louisiana, there is a data center campus called Project Hyperion. 12.8 million kilometers of fiber optic cable is going into that campus. Wrap your head ar ound that. 12.8 million kilometers of fiber optic cable. 8 kilometers is how the distance from starting at one side of the campus and driving around back to the start again.
When you think about that, even for me for being in this industry for over 35 years, it's just mind -boggling. It's literally the size of Central Park, that campus. And that's just one campus. In West Texas, it seems they're building them all over the place . If you know anything about Texas, it's a very business -friendly state and they are all about r

emoving any obstacles to building .
And so if you take a look at the map on where we are, in the red there is Texas. We think that West Texas, Abilene, and the surrounding areas are going to become the next what we call Mecca of data centers, the next Ashburn, Virginia. If you look off to th e right, that other big

cluster of red, that is Georgia, the state of Georgia. That is the number two market in da ta centers for upcoming growth.
And then up in the central area off there to the right is the Ohio , Illinois area, which also is in the top four. So, the beauty of this business is as big as it is, it is a small industry, a small business in that there are only about five or six hyperscalers. Household names like Google, Meta, Microsoft, AWS, and now Ant hropic who owns Claude, and they are buil ding at just massive scale.
The difference between a Cloud data center versus an AI data center is that the fiber optic cabling connectivity required is an order of magnitude greater. So, what used to be a huge project in this division 27 space that we work in, $8 million for a build ing, 100 -megawatt building, is now $60 million.
And as it says on the slide here, 25 major data center companies are building 250 of those over the next few years. Corning, one of the biggest fiber optic manufacturers, has 800 that they've identified. So, the opportunity is enormous.
So, what does that look like? Well, for us, it's called fit -out. We're looking to become a trusted partner to a very select group of people. We're not looking to be everything to anyone, everyone. We just want to have trusted relationships with those compa nies that we can develop programmatic relationships with.
And what that means is not throwing numbers at a general contractor and hoping we win some business. It means sitting down with them and talking about why Black Box, why now, and how can we deliver in a manner that others cannot. And a big part of that rea son is that if you think about Essar Group as one of the largest conglomerates in building infrastructure and not being afraid of anything at any size, they are one of a very select few and Black Box as a subsidiary that's able to build at that scale.
And that's the biggest reason that I came to Black Box when I was talking with Sanjeev. But within that fit -out space, this is what the I'll show you a video here in a second, but if you take a look at the different things we do here, we provide a turnkey service within that white space.
And so when we think about programmatic delivery, that kin d of means wash, rinse, repeat. You've got to have the trust to get the first one and then the guy that I'm going to introduce here in a minute to, I have the best job in the company, the guy I'm going to introduce to you has the hardest job in the company. So, my team will sell the firs t one, his team sells them from there on out by the way they execute.
You probably thought I forgot about the 178,000 figure. I did not. Going back to what I said earlier with the RBOCs, the Baby Bells, the individuals that created what are now thousands of small cabling contractor companies, they were fine to service all of these types of projects even in the cloud era.
But with AI now and millions of connections within a single campus, they're not. Those people were generally folks that came from AT&T or one of the RBOCs. They retired or semi -retired,

started a company, and there are a cast of thousands. There are only three or four that are the size of Black Box and none, none that c an take that business globally.
And so I'm going to turn this over to my colleague, Rick Gannon, in a second. But what I want to share is that, has anyone ever built something from IKEA or I think IKEA is here in Mumbai. The first time you buy something at IKEA and you bui

ld it, it takes you about 17 hours. They
have the worst instructions ever.
The second time you do it, it's 2 hours. The third time you're down to 30 minutes because you learn as you go. And we are at the point now where we have done enough of these projects that we have developed what I'll call a programmatic approach where we can wash, rinse, repeat.
And what t hese hyperscalers are looking for is not lowest price, they're looking for business certainty.
Because by the time they break ground to the time that they turn it over to Oracle or OpenAI or whatever the tenant of that data center is going to be, the clock is ticking and they need people that they can trust. And that's the reason that I'm here, beca use I know that Black Box is one of the only ones in the world that can deliver on a global scale.
And with that, I'll turn it over to Rick Gannon.
Rick Gannon: Thank you very much. Good evening, everybody. Sorry for the little technical difficulty. It's great to see everybody. The video, I regret I was not able to attend in person due to scheduling conflicts. Just want to talk for a few minutes about our programmatic approach ed. As Sean said, first of all, it's hard when you talk to Sean or you work with Sean , not to be incredibly excited about the opportunity in front of Black Box. But before I start, Sanjeev had mentioned earlier in the presentation about our 200 years of management and executive experience.

I might be responsible for inflating that number as I began my career, like Sean, quite some time ago in 1984. And I've seen just about everything in this industry, but nothing like what we're experiencing today. And we talk about a programmatic approach, let me share why. In 2012, Black Box was awarded a project in Luleå, Sweden for our first data center site.

At the time, Black Box leadership and executives were curious why and they were not fully supportive of why we would do a data center project, and particularly in Luleå, Sweden as we had no presence. We didn't have the foresight at the time, or they didn't have the foresight, to see where this was going and the potential of that.

And in 2017, we were awarded our first North American site in New Albany, Ohio. And so, of course, at that time, we were taking these projects just as they were, not as a program, but on a project -by-project basis. And to give you an example, just over 12 months ago, we had two allocated sites from the largest media company located out of Palo Alto, California, as I'm sure you know who they are.

Today, we have seven dedicated sites and just recently in the last few weeks, we were informed that we will have three more allocated sites just for that single client. Now, when you think about taking a programmatic approach, I look at it more as a factory -based delivery model, one that

can support consistency, efficiencies, reliability, and scalability. And as you would expect, we need a program around this.

Very pleased to have worked with BCG during the transformation as we talked about earlier. And of course, we put together a program -led systematic approach to execution of these data center projects. And I'll talk quite a bit more about this in the slides to come, but I'm going to leave you with this thought.

Today, I have 1,500 people in my stead that I'm responsible for from a delivery model. Just over 400 of those are in the data center project and program. In the next 12 months, based on what we can foresee and our bookings, allocations, and what's coming d own the pipe, we will hire 2,100 additional data center team members to support all of the work that's coming our way. So, when you put that into context, we'll go from 1,500 total employees in GSI, 400 that are in the data center practice, to adding 2,100 in just the next 12 months. So, with that, I'm going to turn it over to Mike for the next slide,

please.

Mike Carney : Namaste. Good evening. So, I think as the team had alluded, several years ago, we started to evolve our go -to-market approach. We started to focus on the Fortune 1000 customers that we had. We had in some cases 70% wallet share with some of our customers. We started to focus on those Fortune 1000 customers and we got to 5% wallet share. So, it created a much better opportunity for us.

Obviously, it's easier to grow when you're doing a great job serving customers with an existing customer than it would be to gain a new customer and then grow from there. So, that was the focus. And then I think unlike other companies that you all may know , our set of solutions that we've built at Black Box significantly are very differentiated solutions. So, they're not commoditized.

Price is not a major factor in the decision for the customer to buy. In fact, as you might have heard, a lot of our solutions are mission -critical. So, the trust in the vendor to execute is extremely important. And so we've we are continuously improving, f ocusing on continuously improving our account planning, our opportunity strategies in order to win.

And I think, you know, we've heard about the data center, but another one in our financial services vertical, in fact, this last year, we crossed a $1 billion of lifetime revenue with our largest financial services client, which is one of the largest banki ng customers in the world. So, with that, I'll hand it over to you, Garrick.

Garrick Cole: Okay. Good afternoon, good evening, everyone. Everybody hear me okay? Just a quick sound check. Excellent. So, my name is Garrick Cole. I actually have the great pleasure of supporting the very large US Bank that Mike was referring to. So, just wanted to give you kind of a perspective and insight into not only this client, the services that Black Box provides to this client, but kind of give you a perspective also of where the growth is certainly kind of g oing to be in the future.

But before I do that, I just want to pivot back to something Sean said. One thing that has stuck with me for quite some time and I'll tell you why in just one second is relationships, super, super important. Not only the relationship that we've built over time with this specific customer, but kind it’s, as an example of that, I spent 18 years on the buy side at this customer, working in partnership with Black Box.

And I would say at the heart of why Black Box's success kind of happened over this 27 -year term was execution. The ability to kind of execute flawlessly every single day. And that has led to the opportunity to not only sustain the business and grow, but also compete f or new business over time. So, 27 years been partnering strategically with this customer, $100 million annual spend, as Mike alluded to, $1 billion hit that mark over the last 10 years, and 68% revenue growth since 2016.

And kind of pivoting to that last box, you can read it, but the real focus has been in kind of all areas across I'll say the infrastructure and global technology organizations, whether it's network, server support, connectivity, cabling, workplace, moderni zation, voice, wire, wireless, you name it. But this all kind of wraps around a very large ecosystem and we touch every piece that I'm going to tell you about.

4,000 financial centers, 600 plus wealth management centers, probably close to 200 enterprise locations, big campus networks, and then very large, probably not hyperscale size, but very large as you can imagine data center complexes where if you look at that kind of middle which looks somewhat complex, but believe it or not relatively simple .

And I'd say , I'd point to the big piece of success has been our ability to not only partner with this bank's kind of workforce to build this ecosystem, but it starts with the associate, it centers and wraps around

our ability to provide service desks to support the di fferent functions, whether that's truck rolls out to support MACs to financial centers, whether that's warehousing equipment, staging it, configuring it, disposing of it in a very kind of green way or whether it's doing kind of fiber optic or c opper connectivity and rolling that out to all of that kind of ecosystem that I just described.

And then kind of centered sorry, the last kind of function or spoke of this really being the smart hands resources that we kind of colocate in those customer data centers to support anything from dispatch to actually day -to-day work that's inside that data center. And then that has kind of earned us the right to compete for projects .

And if you look at that top box in that kind of more complex diagram, those are just a few examples of the areas where we've gotten to compete and flawlessly execute around things like software -defined networking, lifecycle management, modern workspace, an d then certainly even continued in the data center space.

I'll pivot to the right, I want to talk about a couple of things here . I won't go through every one of them. AI is a big driver here for this customer , and I'd say twofold. One is the growth in capacity in their data centers to support AI compute capacity in particular. That is certainly

driving a large demand on their existing data centers and that is more of a current state view, the build -out of that.

SDN, the software -defined networking, very large focus, multi -year programs to kind of roll out SDN in the data center with modern data center fabric, campus locations where you leverage SDN to kind of support employees, as well as at the financial centers and global wealth locations.

If I pivot down to the bottom, I'll talk about two things here and then I'll wrap. One, very large -- two very large growth areas and we're learning about them even as we speak. Last Thursday, I was at a tech summit with this customer where they were sharing their roadmaps with all of their partners.

One is kind of the if you think about AI and the threats of AI, Anthropic, Mythos, there's going to be a large acceleration of lifecycle management way faster than I think we've ever seen, largely due to getting ahead of the kind of the threats of AI's cap ability to expose cyber threats to the company.

So, keeping current will be a major shift for those companies, and I'd say across the board, it's not unique to this customer. I think you're going to see a very large growth come out of that.

And then the last piece would be this specific customer already is under kind of underway with RFIs, RFPs to build out build or buy next -gen data centers for all the reasons Sean talked about, right?

So, that that kind of further supports Sean and Sanjay's comments, right, about the market ahead and kind of how well -positioned Black Box is in this business across the board. So, with that, I'm going to turn over to Rick and he's going to discuss the imp ortance of cost discipline in the pursuit of rapid growth.

Rick Gannon: Thank you, Garrick. Appreciate it. And to talk a little bit again before I get into cost of goods discipline from a programmatic approach, we didn't have to look far. We support Garrick and the entire financ e vertical, including the client we were just speaking of, and we have had a dedicated team for that from a delivery perspective for the past 27 years. That's just a remarkable job.

And as Sean said, you can sell something once, but if we don't deliver, we won't be selling it a second time or growing that particular account. But of course, with all this growth, we still have to make money. And we have to be incredibly disciplined in o ur cost of goods sold and our margin protection. Most of that begins with project management.
We put a considerable emphasis into our project managemen

t stack and our process and our
tools, standardizing on solutioning norms. The key is, if we don't estimate it, if we don't design it properly, we're going to be in trouble before we ever start.
We implemented a few years ago a three -in-a-box model that includes pre -sales, sales, and the delivery organization, all working together to properly solution, to properly estimate and price out these enormous projects, and particularly in the data center world where if you're not very careful, if you miss, it could have a significant impact.

Part of it is workforce management, having centralized resource management that we've just built in our headquarters in Plano, Texas, bringing all of our resource management together, both for our GSI business as well as our data center business, our field services center of excellence including in Bangalore, and an improved workforce utilization.
It's critically important when you have hundreds and what's about to become thousands of labour resources that we understand exactly what they're doing, where they're doing it, that time accounting, productivity, and utilization is managed not at the end of a month, but it's managed every single day.
Labor sourcing, you'll hear fro m Kannan from our internal labour sourcing methodologies and programs that we've implemented. We've also have a robust subcontractor program in place. One of the things that's critical as we work with GCs and our hyperscale data center end users, they're very big on ensuring that we're ut ilizing local resources in all of these markets.
And so having a robust subcontractor program where we onboard and certify these subcontractors, we utilize their labour , we put them through our training, we manage on a daily basis, but we're giving back into the communities of which we're working. Can I have the next slide, please?
So, to do this at scale, we're very proud of the fact we have a 4.7 CSAT on all of our projects. And if you look, we have over 5,000 active client locations serviced. At any given time at Black Box, we will have more than a thousand projects happening simu ltaneously. It's a significant, significant lift to manage, to be aware, and to ensure that all of those projects are being delivered in a quality nature and at the profitability that's expected. One of the things we've implemented in the last 18 months w as our standardized processes and project controls.
We have built out a separate project control team. They are responsible for the tracking of all costs on all of these projects to ensure that we are protective from a profitability standpoint, from a scheduling standpoint, and we can do this at scale and a cross the globe.
We start every single day with a safety -first minute in our meetings, and particularly in the construction sites, which of cour se the data center business is.
All of this is working through general contractors. We're out there when the dirt's being moved, when the steel's being erected, we're already on site mobilizing. We're very, very proud of the fact every month Turner, which is one of our largest GC (general contractor) partners, they host a monthly event with the CEO of Turner and it's the "Road to Zero" to have zero recordable incidents.
Every single contractor is required to have C -levels and Sanjeev and I attend these monthly calls. We're very proud of the fact that since they initiated this just over a year ago, we have not had to discuss -- and it is up to Sanjeev and/or I to have to talk about if there's a recordable incident -- what happened, how it happened, what are we doing about it. And it's very intense an hour with the CEO of Turner.

We have yet to have a single recordable incident at Black Box. We take safety incredibly serious. We want our team members to show up for work and go home e

xactly as they arrived every
single day. Our global delivery coordination, our DC specialized workfo rce with our deep domain expertise, it's really about again bringing together all of the different domains within the construction industry, all of the required personnel, skill sets, and doing this at such a scale as we've never done before.
And then of course technology -enabled execution, having all of the tools in place. We're

implementing Accubid from an estimating perspective, P6 Primavera and project management tools, all of the things that we can do to enhance the client experience and t o ensure that we're successful. Can I have the next slide, please?

So, I just want to talk a little bit about this. This was a single site, one of the largest we had ever done. And I'm going to go back to what I said earlier about the fact that when we began, we had a single project in Luleå, then we had a single project in New Albany, Ohio. But with that same social media giant client, today we have seven sites similar to this. Three more are coming in the next 12 months.

And when you think about managing all of this at scale, when you think about the thousands of team members that will be interacting with, managing, directing, and every single day we work on these sites, one site in particular in Louisiana, it is shocking to me that just a few years ago an entire campus, a site was about 120 megawatts of power.

On the new site that we'll be participating in, already are, there will be 10 buildings and each of those buildings is 398 watts per building, megawatts per building. It's just it's astonishing the capacity and the expansion and the growth and what's in fr ont of us for the years to come. Can I have the next slide, please?

So, while we talk a lot today and we should, the significant growth opportunity within the data center practice and the data center world, we have to remember Black Box is still a very large and complex organization. I was very proud to be a part of the tr ansformation project that Sanjeev mentioned with BCG when we moved into a matrix model supporting five verticals and five horizontal practices.

We support all of these vertical clients across the globe and provide complex solutions to all of them. And I won't go through all these, you all have the deck, but the point being is our ability like no other to be able to deliver world -class services acr oss multiple verticals, multiple horizontals, delivering complex solutions on a daily basis. So, with that, I'd like to turn it over to Sameer to talk about the opportunity within the India market.

Sameer Batra : Good evening, everyone. I hope guys, I'm Sameer. I thought I'll just take a checkpoint because it's time few minutes before we break down or break out for dinner. I just remember that when Sanjeev was running this company earlier, India was the biggest opp ortunity for him. And he went to US and made sure that America became the big. So, I have a big shoes to fill out here to make sure that we go back to the old days of India as a one of the biggest markets for Black Box.

Now, if you look at India, synonymous is with growth, growth, growth. And Sanjeev and rest of the people and Sanjay Kapoor and others really made my job easier. The first pillar is the data center opportunity which is out here, which is growing from 1.3 me gawatts to 8 megawatts, 42% CAGR. And if I look at from a dollar perspective, it is $23 billion to $53 billion.

Now, the essence out here to address this opportunity is that you have to work with hyperscalers, you have to work with general contractors, and you have to also work with consultants. So, for us, these are the three key stakeholders. And the growth out he re in India is largely leveraged by hyperscaler leasing out the space to the Indian data center multi -tenancy. And that's another stakeholde r which co

mes into the picture.

So, the India market is just taking off out here. The second pillar out here is the IT opportunity and if you look at it, it is at $171 billion, 9.2% CAGR as the Gartner forecast. And within that, the infrastructure market is $23 billion to $25 billion. An d if I combine these two pillars, the net opportunity for Black Box in India is $7 billion to $8 billion. So, there is an opportunity. You would ask, do we have the right to win, address this opportunity or not? Let's see whether we can do this or not.

For us to go and win the digital infrastructure in Indian AI, we have adopted three -dimensional strategy. The first one is from the enterprises, our customers, right? For them, the key priority if you look at on the first strategic priorities which is ther e, data sovereignty, hybrid infrastructure, AI human augmentation, trusted collaboration, and finally is the capability transformation. Thes e are the five essential parts.

Now, the CXOs within these organizations, they look at very differently, right? What does it mean for them? It means how could I be risk -averse? How could I be secure? How could I scale? How do I make sure there is a productivity norm which I adhere? How d o I get the intelligent data inference? How do I make sure that I have human capital and governance? These are the key imperatives from the CXO perspective.

And the third dimension is: can Black Box address the strategic imperatives and CXO lens out here? Yes, we can do that. How we can do it? We know how to build data centers. I don't have to now preach out here because Sean and others have said what we do at data center. We do the entire tech stack for the data center and we also manage it. And that takes care of data sovereignty, residency, and resi lience from a data perspective.

We also provide platform as a service. And that is where the market has started moving. There are lot of people who would like to have GPUs on -prem, sovereign clouds. And that is another opportunity which helps us build intelligent infrastructure and autom ation. Then, across the tech stack, we have got 300 plus partnerships with the top 64 partners where we have a signed business plan in India.

And this is what we have started doing very effectively because without the partners, we can't go and complete the entire solution stack from a customer perspective. And last not the least, we do understand governance and behavioral resilience. And that's critical because that enables us to achieve the first last imperative from a enterprise perspective, which is capability

transformation. So, yes, the Black Box has the permission to go and address this market. Now, you would ask how we are going to do it.

So, there is a three -layered execution playbook which we have evolved for ourselves. The first one is a sales, hunt with precision. And you heard about Mike talking about from a sales perspective, we already have identified top accounts within the enterpri se, GCCs, and data centers. We have six focus industries. And trust me, all these industries have a critical infrastructure which we are running right now.

We have got anchor clients in each of the six industries. And that makes us easier for us to replicate into the same set of customers. We have a regional and sales delivery teams which are across pan -India. We have established ambidextrous approach: large transformation deals, mid - size deals which are strategi c, small deals which can scale. And that makes us very unique. And last and the most important is the alliances ecosystem. We also have delivery which is efficiency at scale. We got practices which ar e horizontal, both from a delivery perspective and competence perspective.

Our key focus is on Net Promoter Score. And you saw Rick talking about the Net Promoter Score. That helps us deepen our relationship within the accou

nts, makes sure that we extend
ourselves beyond the solution s which we have provided to them, at the same time, we protect those set of accounts.

And in the last 5.5 months since I've taken over for the rest of the world, India included, wherever I've gone, the customers get a wow feeling with our 17 offices in India and 35 delivery centers. These are feet on street. And that's a biggest differentiator in the digital infrastructure.

And last and most important is how do we get these two, sales and delivery with a rhythm of business which we established for ourselves. We breathe in on a weekly, monthly and quarterly basis to ensure that we engineer speed for us to get to the time to th e market with a profitable growth underpinned by our Black Box rock star team which has the right set of skills to deliver.

So, with this, let me hand over to my colleague Paul from a TPS perspective. Over to you, Paul.

Paul Williams: Thank you, Sameer. Good evening, everybody. My name is Paul Williams and I head up the technology product solutions business. And here in TPS, we're on a journey from a products company to a platform provider. And there's a big shift that's had that's had to happ en and there's really three era’s as we look at TPS.

In the first era, 1977 to 2012, we were a strictly products provider. And it was really meant to have services and products or really products that were sent sold to IT companies. And if you were to walk into any IT organization at any company, on the IT m anager's desk, there would have been a 50 -millimeter thick catalog ue that was sitting there.

And in that catalog ue, they could get connectors and cables and racks and networking equipment to be able to facilitate their IT infrastructure. And there were a lot of single transactions that happened there, mail order, they would call in, get delivered the products. As the environment shifted and as business models shifted and a lot more of those onl ine retailers became available , Amazon being one of those, the business needed to shift.

And the shift that it made was taking some of the products that it had developed that it was selling with audio -video, keyboard -video -mouse and signal management solutions and brought those into solutions they could then sell to specific applications and t hrough system integrators, not just to IT companies and to IT organizations, but through system integrators.

And that's really the next evolution that happened between 2013 and 2023 and start to push into what has now become command and control centers. That then leads us into the generation or the era that we're in right now, which is this mission -critical platform solution provider. And what we're able to do is we're able to go into these mis sion-critic al command and control centers at the C2 denomination you see right there .

Can really go into these centers and if you've ever watched a Hollywood movie that has a CIA set and they've got all of the televisions on the wall and a big screen and they're moving video all over the place and pulling in maps and pulling in other content fr om other systems that is there, that's the backbone architecture and solutions that we provide here in TPS.
And what we're able to do and one of our competitive advantages is we're able to go into these solutions that were often pieced together over time where they've brought in lots of different solutions, brought them together and they sort of work. But in tod ay's complex and ever -evolving world where there's more data, especially as we contin ue to develop these AI centers , more data that's coming there, the centers themselves are having less people working in them . So, they need to be more efficient with what they're doing. Also need to be able to react quicker. That really spells out quite a great opportunity for us here in the TPS organization. What we're able

to do is really bring in a full solution of products that combine to bring a solution and platform for that command and control center.
But also as this next generation which we're in the process of developing right now, bring AI into play and bring services into play that expand us beyond just a products company into a full solutions provider that's also providing services along with it. N ext slide, please.
All right. So, today, and Sanjeev mentioned at the very beginning, we're $90 million today in the current business for TPS. But we're targeting $200 million by FY 30. And really feel confident that we can hit those numbers. And we're confident in that because we have a great market to address that's here. And it's also one of the great things about it is it's across several verticals. In fact, seven verticals that w e're focused in , and there are more verticals.
But these seven verticals represent over $3 billion of total addressable market. And they are in the state, local, education, utilities market, transportation, manufacturing, broadcast media, financial services, data centers which we also build and then def ense in the military and high - secure operations.
And the good news in some of these areas, the spending even in difficult situations, even when the economy is suffering, they continue to spend because they need to. They're building infrastructure that needs to exist in order for the public and for things to continue to function. And so a lot of opportunity that we've got ahead of us here as we face into where we're going with the TPS organization. Next slide, please.

So, we are profitable. That's one of the great things that we've got going at TPS here. We have 40% margins. We're going to grow those over time as I'll talk about here in just a second. And our expectation is that we're going to get to 2x growth over the next between now and FY '30 with returning a 10% EBITDA margin target that we've got there.
We've got a great organization. First of all, with our R&D, very robust, very talented skill set of individuals located in both Bangalore and Limerick, Ireland. We develop these solutions ourselves. We then manufacture those through our contract manufactur ing partners throughout the world and then deliver those through our systems integrators and also other retailers that we then sell those products to, distributors that we sell those products too.
We are building a next -generation AI platform as I mentioned before. This is a platform that will allow these command and control centers to be managed in a more efficient way, but also to be able to take care of and to highlight and find issues and proble ms before those problems happen. The early warning systems for those command and control centers to make those staff way more efficient, but also to be able to service a unique need that's there for the for the environment as well. We then have a global service sales reach. We have sales o perations throughout the world. We cover Americas, APAC and EMEA with sales people located in all those areas. We're talking to the systems integrators there, we're also talking to large customers in each one of those areas at the same time too to make sure that we're in there and unders tand where they're going, what their growth looks like and what is important to them to make sure that we're answerin g with the solutions we provide.
And also the solutions that we engineer at the same time too. The financial strength as I mentioned before, we've got 40% gross margin. We're going to be growing that over time, focusing on Emerald. Emerald is our flagship product line of products that we'r e really focused in as command and control center.
And we have a robust staff that really navigate this ever -changing world of tariffs and of other issues that are happening, world conflicts, to be able to make sure

that we always have a supply
of products and that our we are always supplying those product s to our customers in a great and efficient way. So, with that, none of this, including everything we've talked about with the need for great employees, would be possible without people and culture. So, I will now invite our

Chief Human Resources Officer, Kannan , to join us on stage. Thank you.
Kannan Ramaiah: Thank you, Paul. Thanks, Paul and the entire team online for joining on a Monday morning. Thanks for that and good evening, everybody. Sanjeev called about the $2 billion goal for the organization and all the business leaders spoke about their plans as to how they will do in the next 2-3 years. But the opportunity and the numbers are all delivered by people.
So, as the CHRO of the company, my job is very simple to align about 4,000 people to that one single North Star, the goal of achieving $2 billion for the organization. That's where I come from. Now, from a people point of view, we've got about 4,000 workfo rce across all the continents.

It's about driving people towards their passion, driving people with purpose. More than that, driving people with capabilities to build a skill -based organization. So, what we have built, Rick called out earlier, is about having people with 1,500 certifica tions, especially in the data center business.
We are one of the few, very few, who's got capabilities that is not available with the competition. I call it invincible team in data center with project controls for safety and project management. We've got the best team possible. And hence, large custome rs believe in Black Box to give very large projects. That's people and skill.
From a learning point of view, what we have built is a learning culture. The number of hours our people spend in learning is extensive. 36 hours per person per year. Industry average is 28 hours. Our people are learning because they want to be relevant in the marketplace. They want to be part of the journey to become a $2 billion company.
That's people. Not at only at the front end, but also the leadership, the sales team, the project management team, the middle management, leaders, everybody is learning in the organization. They also infuse new people. We spoke about industry leaders whom we have hired. People who've been there, done that, have joined the company in the last 2 years and they are driving growth.
We heard about Sameer, we heard about Sean, all these people are driving future. Not only the new people, Rick Gannon has spent 32 years in the company. He started ground, grew to become the Chief Operating Officer of the company. That's the kind of people that we have in the organization.
Now, from here, for a $2 billion journey, from 4,000 workforce, we're going to be 7,000 people in the next few years. As Sean called out and Rick called out, 2,10 0 people to be hired in just 1 year. That's a huge volume. So, we have the infrastructure to manage that volume, a recruitment engine which can deliver those numbers.
That's what we are busy with. We are very confident about adding that. Not just adding people, but make them relevant by making them AI -ready. About 600 people have already been trained on AI and we continue to infuse AI capabilities. That's in terms of sk ills. Now, also from a culture point of view, what we have is a good culture where people are collaborating, giving recognitions to others so that they can all work together.
And hence, we got the Great Place to Work. This is the first time we applied for a Great Place to Work. Eight countries, first time we got certification. A lot of companies try for one country, two countries. First time we got eight countries. That's the s tory. Now, from a people point of view, we saw in the video, Rick called out and Sean tells me all the time that customers love this program called Talent

on the Tap.
So, what we do is we go to trade schools, train them on cable splicing in Dallas in three weeks and we deploy them to the customer. And customer s ays you know what you got trained people because in data center, it's all about people. If you can get people, that's the best competitive

advantage. So, that's what we are building on, creating talent pool. Creating hiring is difficult, we've been done there, but to make them learn and be capable is the second biggest priority. And hence, we got lot of academies across where we are training people on all the skills. And each and every one of them has something called IDP or individual development plan as to what they should do, which is discussed on a quarterly basis so they can upgrade themselves and so on. That's in terms of developing people. You can get people, you can keep people, but they have to perform.
Because the goal is not achieved by just having people and learning, it's more about making them deliver. And hence, we have a very strong performance management program where we ensure that everybody has clear KPI, goals and objectives and we work with th em to deliver on

those numbers. That's the people program.
And I'm happy to say, if you look at the revenue per employee in the last 3 years, 30% improvement on productivity. That's a big number. And this is one of the industry's best if you look at the number of companies that we have in US, for example, we are one of the best in terms of productivity norm. That's number one.
And that did because we're able to keep the engine extremely optimized and organized for span of control, de -layering and all of that. And hence, when we become $2 billion, it's going to be non-linear growth where we can ensure that with fewer people, we c an deliver better numbers. That's in terms of revenue per employee.
Attrition has come down significantly in the last 3 years . People believe in this story and they want to stay in the company for them to be part of the success story of the organization. And hence, it was easy for us to get Great Place to Work certification. Number three, global capability center in Bangalore office.
Most of the competition do not have what we have. Sean called it out that not many companies can deliver globally, not many companies have center in Bangalore or India to drive that in our space in data center or enterprise business and so on or structured cabling. That's what we have and we will grow that to be about 1,000 people in the coming years and so on.
Last is employees are retained not by just HR programs and so on. We believe in our managers. We ensure the managers provide the best platform for the employees to grow and so on. So, that's what we have done in HR. Very confident about what's the journey ahead of us. With that story, may I ask Bikram because the world is just not about people, it's all about AI as well. So, the workforce is going to be people plus AI and B ikram, our CTO, will talk about how AI is getting infused. Bikram, all yours.
Bikram Sahoo: Thanks, Kan nan. When we acquired Black Box in 2019, the technology landscape was fragmented. We had multiple ERP systems running across businesses. Tools that were being used across functions were siloed. Enterprise -wide visibility and reporting were limited. The business worked, but the technology underneath was not built for scale.

We defined a clear strategy to consolidate onto a core set of enterprise platforms. We chose the best-of-breed platforms: SAP for ERP, Oracle for HCM, Salesforce for CRM, ServiceNow for ITSM and built a unified enterprise cloud architecture. This phase est ablished a single operating backbone.
Over the next four years, we executed this strategy globally. Enterprise ERP modules went live across 30 plus countries. HCM, financial conso

lidations, CRM and ITSM and PMIS rolled out
alongside it. Cybersecurity, endpoint and cloud infrastructure were als o standardized. With the foundation in place, 2025 onwards was about layering intelligence on top.
We established our AI and BI COEs. We developed enterprise BI reporting foundation, AI productivity and workflow automation and decision intelligence across the business. We moved from platform to data to intelligence. Next slide, please.
So, AI is already at work across functions. We have AI use cases in production for sales, procurement and supply chain, HR and talent, legal and compliance, back office, field services, engineering and IT. We're tracking benefits in time savings across wor kflows. We are making better decisions grounded in our own data. We are reducing manual effort on repetitive knowledge work and providing a consistent employee experience.
Our ambition for AI is to go from AI that assists to AI that acts. Three key shifts will define the next stage: deployment of autonomous agents inside functions, using AI as a revenue lever, not just as a cost lever, building one unified data fabric with a n intelligence layer across our systems.
We are executing this strategy keeping compliance and security in mind. In a nutshell, the foundation is in place, the intelligence layer is live and we are ready to scale. Thanks. I think I'll give it back to Deepa k.
Deepak Bansal: Okay. Thank you, B ikram. I think we are running a little bit against time, but I will be quick. But Yes, there will be because with whatever we are doing in terms of the business and the AI allocation and everything, now I think the overall capital , do we have the slides? Yes. So, whi le they are putting the slides.
So the capital allocation becomes extre mely important while the B ikram was looking at the capex and all those top technology platforms and the leveraging the AI and all that stuff. Let the slide come. Okay. So, so our priorities are investing while we allocate the capital, which I think we are very, very disciplined in terms of allocating the capital.
The priorities are investing in the people, their training, building specialized capabilities, technology through AI -enabled platforms and infrastructure to support scalability and growth. Another priority is funding the working capital requirements to str engthen basically to support the growth and the scale of the projects what we are talking about.

And finally, pursuing acquisitions that strengthen capabilities, build economies of scale in Europe, APAC, India, and Latin America and to accelerate overall growth. Every capital allocation will be strategic, disciplined, and focused on generating sustain able returns for long - term value creation.

Okay. So, here we go. So, this is our organic plan, primarily the aspiration to go to INR12,000 crore s from current INR6,000 crore s, almost like doubling that to a $1.3 billion revenue. It's a 17% CAGR fro m where we are right now to FY 30. This growth is primarily driven by hyperscaler data cent re opportunities led by AI infrastructure investments, then the deeper concentration to increase the wallet share amongst our Fortune 500 customers, expansion by pursuing meaningful opportunities in India and other international markets, and continued delive ry excellence. Importantly, this is all backed by the growing backlog. You have seen that $800 million backlog and the strong customer relationships and attractive market tailwinds.
So, while we are doing all those organic things, this is our inorganic target. Inorganic, we want to achieve INR6,000 crore s of revenue from between now and FY 30, which is around $700 million. This is our important component of our overall strategy. We are focused to add capabilities, customer access, strengthen our market position, penetrate existing geographies, and also com plement the exis

ting offerings.
Our approach remain disciplined, prudent capital deployment with a clear focus on integration, synergy realization, and value creation. Recently, we have acquired a company in Brazil on the same approach where we are evaluating the additional things over t here to grow like because Latin America is a very big market and Brazil will give that leverage in terms of growing that market. Sanjeev, would you like to join me while I spoke on the focus areas as we accelerate growth?
So, this is our total plan of $2 billion, INR18,000 crore s what we spoke about ; INR12,000 crore s organic, INR6,000 crore s inorganic, $1.3 billion, $0.7 billion, $2 billion plan. The overall roughly two -thirds of the growth is coming organically, one -third is coming inorganic. The organic growth is again on the back of the backlog conversion which is coming and all those things, with the trans formational operating platform.
Most importantly, strong market tailwinds what we look at it, our industry there are strong market tailwinds, growing backlog, strong balance sheet, great talent, clear strategy. We believe we are well -positioned to achieve this ambition. The focus now is the execution. We are excited about the opportunity ahead and remain committed to create long -term value fo r all our stakeholders. Sanjeev if you want to add?
Sanjeev Verma: Of course, you've said it all. So, INR18,000 crore s, give or take what the dollar is, about $2 billion. That's our aspiration, that's our dream, that's our focus, that's our goal, that's plan A, there's no plan B. Hyperscale , digital infrastructure, downstream enterprise s will start to have lot of br ownfield big refresh out there.
Americas will remain larger focus, massive investments comi ng in. ROW, specifically countries like India, Sameer spoke about that. I think we expect that to grow multi fold from where it is today. Our product business, Paul spoke about $90 -odd million now going to $200 million or more. So, practically, organically, each of the businesses, each of the markets we expect to double. We have started that by first growi ng our backlog by 60%.

Expected to grow at the same pace if not more in the coming years to drive and propel growth. The backlog has a multi -year visibility, so it's not a one -year churn. The team is in place, the playbook is proven, the market is expanding, and the promoter is committed right in front of me. INR425 crore s of investments, more importantly, investments in time, patience, b elief, guidance, creating that. It takes a lot. So, thanks, Anshuman, for that.
The growth story starts now. We'll now start to put all that we have done so far into a belief turning into behavio ur and keeping our eyes on becoming a $2 billion 2030 and that's where we are. Thank you, everybody. We'll now open the floor for questions that you might have. And I would like to invite my colleagues out here on the dais, Mike, Sean, Kan nan, Sameer. People on the screen stay on ground if there are questions for you, so you can take that and happy to answer your question at this time.
Management : Okay is somebody having a mic? Yes, please go ahead. Somebody can give mic.
Questioner: Okay. Thanks for elaborate presentation and sharing the guidelines for the future. I was just trying to understand that out of $1.3 billion , 2.2 from TPS at 10% margin, what about rest of the business? Where do you see the margin trajectory? And second question is as far as acquisitio n

is concerned, maybe you need $250-300 million and you have need to spend it wh atever asset turn of Brazil at least $200 million, so how are you going to fund and what are likely cost of funds? Thank you.

Sanjeev Verma: So, I'll take the margin question first. I think we have stated our goal to be 10% overall margin, not just our product business but across all businesses. At scale, we b

elieve we can do better.

But I think it's better to over -deliver than to over -commit a nd under -deliver. So, the overall margin goal, we are at 9% at this time. A little bit of scale and we should be able to get to 10. That's our short -term goal to get into FY 27, 10% margin, and we'll continue to do that. As we acquire companies, our thesis has been to be accretive, economically accretive. We do not want to use ego and emotions in economics. So, of course, we acquire companies which could be sub - optimal margin, but we would continue to process that within the next 90 days, 120 days to bring it to a 10% margin.

That’s our goal. That's what we did for Black Box, that's what we saw for the last coupl e of years' time. So, net -net, our margin goal remains 10% across all our businesses and that's what we focused on. With respect to funding for acquisitions, internal, external, give it to Deepak once on that.

Deepak Bansal: Yes. So, you know, the our philosophy for acquisition is mostly like that that we want to acquire the businesses which are sub -optimal, which are making EBITDA margin in the range of let's say 2% to 5%. So that we acquire them cheap in to a multiple range between 6x to 8x, let's say. And then turn them around by having their support functions removed in 90 to 120 days and then do the synergies and all those things. So, we go to a 9%, 10% EBITDA margin in 90 to 120 days. And then most impor tantly, we also we als o want to pay 70% upfront and then the 30% based on based on whatever the earn -out mechanism, deferred consideration based on the business plan agreed with them and all those things.

So, which reduces the upfront capital deployment and then and then gives us a better return on the capital deployed. So, the whole idea is that that we want to we want to allocate the capital in acquisition in a way that we don't compromise on our return o n equity and return on capital employed.

Questioner: Yes. So, how are you likely like you need approximately $200 million to fund the balance acquisition, right?

Deepak Bansal: Yes. So, for , because it will be in phases. The $700 million is not happening like immediately. So, we will be acquiring close to around $200 -$250 million every year. And for that and it is revenue s, so it is not it is not the acquisition value. So, we will be we will be funding it through our internal accruals and as well as little bit of debt on that.

Pritesh : This is Pritesh from Mis sion Street. My question is whatever your c ontract currently for data centre and other places, is it a time -based contract or fixed -price contract and how do you manage the project and cost control if it is a fixed -based contract? Thank you.

Sanjeev Verma: Okay. So, I'll take a part of the question and Rick, I'll give it to you part. So, the contracts for hyperscalers or a multi -tenant is of various nature. We have annuity contracts to support multi - year. I mean, we talked abo ut Sweden, which is at day -two operations, which is annuity contract. For projects, we have contracts on fixed price for a certain scope. For a larger scope, we have a cost-plus margin because the scope of the project when you do about $2 billion or $20 billion even the bu yer of the project doesn't know the entire scope.

So, obviously, you couldn't scope it when you heard Rick talk about doing $100 million site s and now they are doing 100 , 100-megawatt site and now they 100 -megawatt building. So, I think it's a more of a partnership you heard Sean and Rick talk about. This is not a customer -vendor relationship, give me a price, do it and go.

It is a very embedded partnership. Our margins and costs are discussed upfront. Every change of scope is covered and therefore, a certain amount of margin is predictable. So, annuity, fixed price for a smaller project like doing a networking project for co uple of

million dollars fixed

scope, you know what exactly you have to do. Large -term projects that are multi -year are architected in a different manner, right? So, we and it's a scale, so we see it accretive from our operating margin perspective. It remai ns accretive, it remains at our goal of 10% or more because it gives us different scale.

Pritesh: What will be like say annuity, fixed price, and multi -year and the cost -plus basis percentage - wise?

Sanjeev Verma: I couldn't give you percentage -wise. I'll just give you if you turn a project, complete a project, 10% to 15% of that is usually will turn into annuity, right? Now, we're looking to scale the business from the current $100 million run rate to $500 million when we go to $2 billion. You

can count 15%, 20% of that will turn into annuity.
So, projects turns into annuity. Currently, all greenfield projects are still under projects. We have sites that we did in 2022, '23 are turning into annuity. You talked Rick about doing it in Sweden,

that's an annuity project. We also do projects in that because when so you heard Sanjay talking about it's a five, seven -year cycle. Nothing lasts forever. So, you'll go back and do the projects. So, I think we are looking at 15%, 20% of our overall projec ts turn to annuity as we close.
Pritesh: Rick, you would like to add ?
Sanjeev Verma: Rick, you talked about project controls and cost and you covered that, but I think there was question on how do you manage project controls and cost for a project of that magni tude?
Rick Gannon: Yes. Absolutely. It's a great question. Starts with our tools, our ERP , SAP and our project -based modules. Going back to what I talked about, we have a division that we've created for project controls, a director of project controls with approximately a dozen analysts. With those analysts, they're ultimately responsible to ta ke it starts with the estimate as I said, the design and estimate and understanding with a very detailed scope of work.
It moves through our order management system, goes through booking, goes into our ERP system. At that point, it's about collaboration and we purposely have project controls isolated from the actual field controls so there's no influence. Field's not influe ncing the project control team and vice versa. And we did that so that we would have clear line of sight every single day as to how we're performing against our budgets.
If we have a clear and defined scope of work, we use unitized pricing for everything we do. This is rinse and repeat type of work. And as I stated earlier, it's like a factory assembly line and utilizing prefab, utilizing on -site, again, rinse, repeat, and look at these things. Now, what we do is we look every single day, percent of completion, costs that are hitting the job, and does the work performed align with the estimate and align with the way the job was scoped and budgeted. And it's a very, very complex system that we put in place, but it's critical. This gives us through our dashboards, our continuous reporting, every single day, week, month, and quarter. We're not looking in rear view mirrors anymore. We're actually managing day -to-day performance, utilization, productivity of every single one of these projects. It is amazing how we've advanced and how we now have this clear line of sight to the profitability and performance of eve ry single project.
Sean Maguire: If I can just add a little bit to that, which I think that is the key question because we all talked about in construction scope creep, how it would be very easy on a very rapidly moving, big - scale project to just kind of get lost in what's going on in the moment. Every one of these hyperscalers wants optionality and they don't want to lock into design until the very last minute. If you can imagine someone jumping from a plane in a parachute pulling a cord ,

a secon d too
late, it's a bad outcom e.
The hyperscalers want to pull that cord at the very last second. And you know, to the dashboard that you may if you saw it on the video, we had a meeting with Oracle and they were very impressed with the level of transparency, the level of detail, how gran ular we get about how we program manage our projects. And it's very critical that we have decoupled program management from project management because project managers are keeping very busy.

But they saw that dashboard and they said, "We have not seen anybody in this industry do that before. What product is that?" And it was their product, Oracle Primavera P6, but it was ported to a Power BI dashboard so that they could have a better graphical user interface and be able to drill down into any one of their projects in their program to see exactly what's going on. And now that leads to discussions around how we can better manage a 15 -gigawatt program versus performing on one campus. So, really g ood question and that discipline around program management and project management is critical to that profitability.
Pritesh: I'll add to that question because this technology is rapidly moving. How far the client is very clear what exact scope of work they have to do with the start and change in the scope of work is what percentage of that project cost originally conceived?
Mike C arney: The majority of the projects that we're doing are T&M because it's very much a design -build structure because the owners do not know you know what that project's going to look like when they start. So, that's why they have this structure. And then I would say you know there's probably a good 25 % plus that is of the value that is not known at the beginning.
Pritesh: Will it will it lead to any kind of dispute later on or how do you handle that? Have you thought about that? 25% is a big amount in terms of variability.

Mike Carney: Yes. No. No. I mean, first of all, all that all that 25% is agreed. So, so each change order is agreed.
Deepak Bansal: So, there is there is no dispute. Once the scope is agreed, we are delivering to the scope. If they if they change the scope, then obviously there is a change order to related to that scope. So, basically, let's say if the initial project value let's say i s $10 million and if there is a change, so roughly we have seen that in our business if the $10 million of the initial scope, roughly around $2.5 million will be a change order on that project scale because the owner like owner doesn't know what is changing and it will change during the span of the contract.
Pritesh: Thank you sir, thank you very much.
Management: Yes here.
Moez Chandani: Hi. Good evening. This is Mo ez Chandani from Ambit. So, my question was if I look at your order backlog, what percentage of that is hyperscalers currently? And then in terms of the projects that you're doing with hyperscalers, how's the margin different between, you know, the hyperscale r projects which are probably say larger in scope versus say some of the other more traditional enterprise clients that you guys are working with?
Mike C arney: I will let you take the backlog question Deepak. But, in terms of the margins, there's no difference between the customers. We're providing a particular t ype of service and we expect a specific profitability for it. So, it doesn't matter really who which customers they are.
Deepak Bansal: And on the order backlog, roughly around I will say currently 25% of our order book is dat a centres. But this percentage will change drastically when we move forward in next let's say

couple of quarters. So, this this percentage will continue to move upside on terms of 25% to probably 35% to towards to 40% type of numbers moving forward.
Moez Chandani: Got it . An

d just a follow -up on that, is there also any change in margins from a geography basis, say India versus the US versus some of the other geographies?
Deepak Bansal: Yes. So, India is India is typically a low -margin geography. We all we all know that how we negotiate. We negotiate pretty fast, pretty quick, and pretty hard. So, from that perspective, India is a low -margin geography. Sameer has a difficult job to handle th e margins in India. But Yes, I think the US is our margin range is reasonably okay and the Europe is okay. We because we are sub-scale in the other geographies, our overall EBITDA margin right now is little lower in those geographies whic h will which will come to the same EBITDA margin levels when we grow on those geographies in terms of economies of scale.
Sameer Batra: This question was largely pertaining because the way you asked the hyperscaler and others, I think if you look at from India perspective, once you have established reference, if you go back to the data center operators, multi -tenancy or hyperscaler, the ma rgins are high versus general contractors. So , it becomes a multi -tiered contract, right? So , the margins would go down. So, the intent is to establish yourself, have references, and then work with the data center, multi - tenancy operators, an d the margins would automatically go up. I think that is where you were alluding to.
Sean Maguire: But also, I'd say that there's a more supply there's a greater demand for our service than there is a supply for it. So, we're fortunate for the next few years at least to be able to have a lot of choice in what we want to work on.
Questioner : My question is related question what is being asked. So, what is the composition of portfolio in the revenue from the India and rest of India? And what's your plan in coming future, say for next two years? And any specific city or state which you are explo ring or you are planning to make a data center in India?
Deepak Bansal: So, you know, the India contributes close to around 6% to 7% of our revenues as of now. And it's mentioned on our investor relation deck also. The idea is that that when we grow to $2 billion, India continues to be between 8% to 10% type of share because every all the geographies will grow, US will grow, Europe will grow and all those things, but the India will contribute.
So, right now let's say if India is 7% to 8%, which is around $50 million, it will become on a $2 billion scale probably $50 million will become $200 million, which is like 4x from now. The idea is that that we continue to focus on GCC capabilities, cloud capabilities, and the other capabilities in data center. We're not looking at specifically like one state or anything because we are not owning data centers, we are not owners of data centers.
We are doing the services in the data centers when somebody is making it. So, it's like we will be focusing on all across the country wherever the cluster is, maybe the Navi Mumbai or maybe the Noida or wherever the cluster of the data centers are coming. You want to add on that?

Management: Just a few pointers on that. Our focus is on the top enterprise accounts. I think if you look at the downstream, that is what we are focusing in India. And that's where we want to grow bigger. In addition to that, from a data center perspective, we will be very selective how we want to go because the motion has just started in terms of the growth. And we have the references.
We are working very closely with the consultants like CBRE, TNT, JLL, and others. And they see a value add from our perspective because we are able to give integrated command and control center and data center integration management services, which is very unique across. And plus, we are the only one who can look at core IT and OT combined. So that's a differentiation which we have for data cente

rs. And we're going to go after that market in a very selective way, but aggressively we'll target that market i tself.
Rahul Jain: Yes. Hello. So, firstly, in the case study , this is Rahul Jain from Dolat Capital. So, in the case study that you referred of some 67% growth in the banking customer, was this a dollar number over 10 year or this was a INR number that you were referring to?
Sanjeev Verma: No. It was a dollar number, I think back we report into the we in our mental math, we always calculate dollars. The 2016 to 2026, if I remember, is what Garrick presented, right? Yes, ten years , -- So, that's the growth that came through. I think what is largely mentioned, one of course is growth is what the growth was, is we started off doing one aspect of their work, managing their corporate workplace, moved to data center, their 4,500 branches, 1 7,000 ATMs. As we speak, we're getting into refreshing of their core backbone with respect to the network if you saw we talked about AI.
So, I think we have been a partner for very many years, but more importantly, we've started to touch other aspects of the bank that we hadn't touched so far, right? Now, as we speak today, he also mentioned on the chart, we're now engaged with them with th eir AI for networks and networks for AI and so on and so forth. So, that's creating the relationship which is a very long but more importantly, remaining relevant and ensuring that we drive the results for the bank, right? And we expect that to continue.
If you also saw, he talked about next three to five year priorities what we are talking to the bank. Now, to be able to get there, you have to be a very strategic partner for the bank. Of course, as we all know, as years go by, all of them want to become m ore efficient, right? So, they all want to get more with less. And therefore, it's we have to collaborate to figure out how do we grow, how do they contain their cost, how do we make more margin, and it's an ever -going game.
But the most important thing is are you partners or are you a vendor? I believe the concept out there was we are a partner of long term and we are now their partner for AI adoption that we're doing for the bank and we are going to take that to other simila r partnerships. That's the differentiator and that's the moat or that's the competitive advantage that we bring with some of our partners, some of our customers that we have, the top customers, and we believe that puts us now into very good stead as we sc ale up into AI over the next three, five years' time.

So, now that our journey of transformation and cleaning up and reorganizing is done, I think we are now confident to take forward with either the bank customer or a healthcare or a hyperscaler over the next three, four years' time.
Rahul Jain: Thanks for the color . Just an additional thought on the same. You said that it never started, the journey never started the way it eventually played out. So, is it safer to assume that lot of our business is in form of visibility and not in form of the order book because the order book may not justify the aspiration that you have on the organic side? Is it more like you could consistently mine these top lines to a different level altogether to ensure the 12,000 goal that you have?
Sanjeev Verma: Yes. So, I think one of the when Vaibhav was presenting, that's what we talked about, right? We realized what got us here won't get us where we want to go. We have been one -trick pony. Black Box historically was an aggregation of 50 -60 companies that were acquired prior to we acquiring them. So, clearly, if you add up $500 million in 50 companies, I mean, the size you can understand. So, we were doing one or the other stuff. So, culturally to bring it together was a job by itself.
We heard Bikram talking about 22 ERPs. So, clearly, 22 companies, one company never ha

d 22
ERPs, 22 different company has 22 ERPs. So, those are behind us. So, to answer to your point, that's an opportunity at that point when BCG came in. Our focus now is to do more of what we are doing, do some of what we are not doing, right? Do more with who we are doing and do some with who we are not doing, right?
Get a new customer, new logo, hyperscaler. A combination of this allows us a larger headroom of what we can play with, right? And I think our current, of course, order backlog as Deepak said is about 60% more of where we started last year. We didn't burn a ll of it. So, I think we are

looking forward for '27 to see a significant growth.
More importantly, we are still focused on putting larger order books in fiscal '27. We booked $1 billion last year. We're expecting 50% growth on order book if not more this year. And if you look at backlog, the idea is to continue opening up larger backlogs, that means you have larger either larger tenured customer, multi -year contr acts, or larger projects and using our share of wallet.
We are doing one, one portfolio, do the other one, and we have a bunch of 400, 500 top customers to focus on. And that's what we were doing with over the last several years, specifically last two years with Boston Consulting. And I think the yield of that is starting to show up in our order book booking and backlog both.
Deepak Bansal: So, also just to add is that that the traction in the pipeline and the conversion of the pipeline into the order book has now started yielding results. So, our order book if you would have seen that has grown by $300 million in the -- if you see the March '26 numbers. We have reached up to $800 million. We are expecting that when we end this fiscal year, which is March '27, our order book will remain in the range of probably $1.3 -1.4 billion. So, if you have a order book, then only you can grow your revenues on the back of that because you will burn you will burn the orders from the order book.

That's where your growth will come. Our problem earlier was that that our order book range was ranging in the range of $500 million and that is why our growth was muted if you see in past three years' time. But now with the on the back of the heavy order b acklog and further order bookings which are going on, we are expecting that that this whole 17% CAGR going towards a $2 billion, going having a $1.3 billion on an organic side, looks really, really attainable and we have the extreme visibility about that.
Rahul Jain: Deepak, just to the split of that 17% that you highlighted now, is it safer to assume this will come a lot from hunting than farming?
Sanjeev Verma: No. This will just come from order book. Yes. We already have the order book. So, hunting or farming doesn't matter. It's about have you closed business? Now, you can close a business by hunting hyperscales. Prior to two years back was all hunting because there was no hyperscaler before hyperscaler. So, they are practically hunting at this time. But if you also heard Rick Gannon, we had one site at one of the largest social media companies, you know who it is. We had three, now we are seven, and he also called out we have been allocated three more. So, that's 10 from one in the last three years' time. This takes time. When you deal with companies of that scale, it takes time. So, that's the partnership. So, that 's about farming. When you also saw on the chart, if you noticed on Sean's chart, on the right -hand column, entry into a new hyperscaler.
That's hunting, right? And clearly that hunting also he talked about he recently met somebody, a friend of his who's moving and the and the daughter. We're expanding in that farming mode. So, yes, it'll be a combination of hunting and farming. But from a c ompany perspective and from how you look at it, are you looking at the order book growing?

And that can come from either
hunting or farming.
From our perspective, we continue to farm more, do more with who we are doing I told, do some with who we are not doing. We want one more hyperscaler new logo this year. That's it. We got one, we got second, we got third. Now, that's hunting. Now, whatever we got, do more. That's farming.
Rick Gannon: Yes. If I can add to that, Sanjeev. So, there are there are also a few opportunities that we haven't spoken about that will lead to greater margins. One of them is legacy data centers. When I was at Digital Realty, we had 10,000 square foot, 1.1 megawatt what we called data halls. There are thousands of them around the world. And just 10 years ago, they were 2.5 to 3.5 kW per rack. And now, if they have a client that's existing that isn't willing to go at least to 15 kW or higher, they're terminating their leases. So, that is an entirely different business. It's the retrofit, renovation, refresh business, which is turnkey on these bi g hyperscale projects. It's mostly all labour because they call it OFCI versus CFCI, Owner -Furnished Contractor -Installed on the material side versus Contractor -Furnished Contractor -Installed. And in the DNA of Black Box, historically, we had that supply chain management because we were originally a product company.

And so when you take a look at the governance that we have, the supply chain, being able to optimize all of that and even look at things like prefabrication and providing a complete turnkey service, that gives you an opportunity to stack more margin, to ga in the contractor -furnished material and to have an overall higher margin on the on those projects. And then the other part of it is the RunOps . Beyond having that installation, on the other part of the GSI organization, we have people that we put on -site that are doing all of the, you know, what we call smart hands or remote hands and other things within the systems integration part of the part of the industry.

Amit Agichan: Sir, how do pricing pressures compare with last two years and what percentage of bids are won on price versus capability and relationships?

Management: Thank you.

Amit Agicha: Yes, my name is Amit Agicha. I'm from Jupiter Investments. It's a family office. Thank you for giving the opportunity. So how do pricing pressures compare with last two years? And what percentage of bids are won on price versus capability and relationships?

Management: Mike. You're the only guy who can talk about this. Because you have been very paranoid. Go ahead, Mike.

Mike Carney : We have no business that is won on price. And as I had said earlier, it's all about whether you can execute, and then you just have to prove that execution. And so, the pricing, you know, just like for any industry, the pricing is pretty standardized. But there's no doubt that prices have considerably increased related to most of our work, because the demand is outweighing the supply, as I had mentioned. So, we're able to, you know, along with that price increase , comes cost increase as well. If we do a gre at job, we are able to increase our margins a little bit as well though. So, that's definitely the trend.

Sean Maguire: Yes. Let me touch on that briefly to it gives me an opportunity to finish something I didn't finish earlier about that 178,000 number. The part that I didn't finish on is that , of that 178,000 is the additional number of technicians we need in the data center industry in North America between now and 2032. The reason for that is that 120,000 of them are older folks that are going to be retiring. The other 52,000 are addition bey ond what we currently have.

And so, within that, the first conversation that I always have or that my team has with a general contractor or the operator or the hyperscaler is , how many people do you have and looking at our timel

ine, can you staff this project? And with this being such a fractured industry, the fact that we have the wherewithal, the team you heard about with Kan nan earlier talking about this talent on t op, what they're most interested in , is knowing that , we're not just going into a program that's with Meta or Microsof t or whomever and cobbling together or begging, borrowing, and stealing from our competition , people that are already working in the program, which doesn't help anybody.

They're really interested in knowing that we are expanding in the workforce , and that we're doing it aggressively. And so, in Abilene, we'll be standing up training there. In other locations where we have major campus projects, we'll be standing up training because these are difficult to

deliver projects , and not everybody is made to spend three years working 6/12s each week on their shifts around the clock.

And so, it's kind of like, it's kind of like doing a tour of duty, right? We have to take a look at what the attrition numbers are going to be and cycle people in and out. But the fact that we have that capacity and that ability to do that ongoing training and expand the workforce is a huge differentiator for us and gives us the opportunity to command higher margins.

Amit Agichan: And sir, the next question was like what are the targeted debt -equity ratio over the next two years?

Deepak Bansal: So, so there is no as such a thing that I told you about our acquisition strategy that , that our acquisition strategy little bit of debt will come, but mostly the debt will not go up much from here because our internal accruals will be will be sufficient. But if we do let's say if we find some acquisition and do the faster this thing instead of doing a $200 million a year , if we do a more than that, then probably the debt will go up with a more speeder rate.

So, right now let's say our total equity is around INR1,300 crore s, and total debt is close to around INR800 crore s. I am expecting probably our debt will go -- maybe the debt -equity can go up to 1:1 once we finish off this whole program on the acquisition side of it.

Sunil Shah: Sunil Shah here from SR E PMS . Just one question, rather more of a clarification. Currently 4,000 employees, we need to ramp it up to 7,000. Just the breakup of that, is it all in India or how is it?

Sanjeev Verma: So, I think first of all, I think just for a sake of clarity, we call it our local business. We are into a local business. We hire in the country for the country. We do have a GCC which is about 15% and currently 600 people. So, to the point, it's a local hiring from that perspective. But I'll give it to Kan nan to talk more about the how we plan to do that.

Kannan: It's aligned to the revenue growth per se. Data center is going to go significantly. The initial 2,100 that Rick spoke about is all going to be in the US for couple of the customers that we already have backlog and visibility and all of that. But from an o verall company growth perspective, as and when the revenue size goes up in the rest of the world, Europe, appropriately the numbers will go up as well. So, it'll be global hiring, but we see significant growth based on the revenue in America.

So, right now, right now there are 2,000 people in US out of the 4,000. Roughly around 1,200 people in India. Out of that, India -India business is around 500 to 550, balance is our GCC in Bengaluru. And then we have around 300 people in Europe, we have 400 in Latin America. Like that, we have the various segments like 200 -300 in Australia, New Zealand, Middle East, and all those things. So, so while the US will grow disproportionately on the back of the data center growth and AI -led infrastructure growth, s o obviously the most of the hiring is going to happen in US.

Sunil Shah: These are revenue -based hiring. These are not...

Kannan: Yes. These are all revenue -based hiring.

Sunil Shah: Yes. So, where I'm coming from is the GCC, which is the setup at Bangalore. The arbitrage or the learning curve that you get from doing project after project , and then gradually shifting part of that work to GCC. That is something that will ramp up the margins for the company from the global, you know …

Sanjeev Verma: Yes. So, you saw our GCC ramp -up going from 600 to 1,000. So, if you saw that chart that we presented, out of that 4,000 to 7,000, it also had a column saying a GCC we expect to ramp up from 600 to 1,000, which is another 400. Now, if you count 400 out of the hiring that we are doing, those are largely will be supporting our project management, resource, of course our supply chain, back office, finance, HR is anyway being done.

So, it will be margin -accretive, you're right, right? I think we are looking at bringing our design centers, estimating is Rick and Sean both are working with the team here. So, we are doing some of the stuffs that historically has not been done in America s locally because as you rightly said, learning of projects are now learned. Tools are there, be it P6 Primavera or Accubid. So, now that can be long -wired. So, that we have kept at the back pocket. Of course, so those things are advantages to Black Box th at others don't have, right? But whatever work need to be done onshore, on ground inside the plant like in for building data center, obviously we need to hire there.

Sunil Shah: Sure. Point taken. Another point which I'm wanting to understand more is in terms of the revenue. It's like 10% is going to be India, 90% is going to be out of India , even after the targeted revenues which we have for about $2 billion. So, in that case, the rupee depreciation, what are the -- what are -- you're factoring in that as well in your increased EBITDA margin which we are talking about doubling from here or that's going to be another optionality which if at all it works out?

Deepak Bansal: So, right now we are computing these numbers at INR of 95. That's how that's how we are computing these numbers. So, the percentage remain same, the margin. So, let's say if we're talking about 10% margin, it remain s 10%. Let's say if we're targeting a targeting a INR19,000 crore s revenue for becoming let's say a $2 billion company.

Now, if the INR goes from 95 to 100 to 105 to 110 or it goes reverse from 95 to 90, accordingly the adjustment of that INR19,000 crore s will happen because it is more like , because most of the revenue will be overseas. Whatever the smaller revenues in India of 10%, that that reflection will be there. But otherwise the numbers will look smaller or bigger as compared as basis the where the currency goes.

Sunil Shah: Thank you so much.

Pooja: So, this side Pooja from Yes Securities. So, sir, a couple of questions from my side. Like our net working capital days are increasing with the debtor days increasing materially. So, what is the reason behind it , and is there any structural change in the payment cycle for the customer? And what would be a sustainable working capital day we should expect in next two to three years?

Deepak Bansal: So, you know, the especially for the March quarter which we just finished, our receivables have gone up by close to around INR580 crore s, and if you see our payables have also gone up close to around INR300 crore s. So, primarily what has happened is that that normally within the quarter, our skewness to the last month of the quarter is normally 55% , the last month of the quarter will contribute 55% of the revenue in the quarter and 45% revenue will come in first two months.

But the last quarter, which was a quarter four of the previous fiscal year, that ratio was 38:62.

So, 38% of the revenue came in first

two months and 62% of our revenues came in the in the
month of March. So, that is why the receivables are looking higher because -- and most of those receivables we have realized by now while we are speaking. So, the receivable number of days are similar.
We collect our money within let's say 45 days to 75 days. That's the normal average of all our customers. Like we mentioned that we deal with Fortune 500 customers, top 200 customers contribute 80% of our revenues and out of the top 200 customers, around , I will say , 150 customers are roughly around Fortune 800 , if not Fortune 500. So, from that perspective, it's okay. The only thing is that because of that skewness in the last quarter, the receivables look higher.
Pooja: Then what should we expect for next two to three years? Is it be a same working capital days?
Deepak Bansal: I will say , we will we will adjust again to the to the normal skewness of let's say 45:55 and then the receivable days will come back again to probably 60 to 75 days what it was earlier instead of right now looking at 90 plus.
Pooja: Sir, second questions, can you provide some color on the revenue conversion timeline of the current order book as we are having around 600 to 700 crores of order book , and we are expecting it to $1.2-1.3 billion in next for FY27. So, what was a time period that we will expect it would be showing in the top line?
Deepak Bansal: So, number one, our order book what we're talking about is not crores, it's in million dollars. So, so the order book is $800 million, which is roughly around let's say INR8,000 crore s if we take a 100 conversion, roughly around INR8,000 crore s of order book. And the conversion, the whole the whole program management is that , that we continue to focus on maintenance, managed services, larger duration projects where there is a huge visibility.
So, if our order book let's say earlier two years back was let's say between 9 months to 12 months, now our order book let's say the average age has gone to 12 to 18 months, I will say 15 to 18 months. The focus is that that when we end up in FY27 in March at $1.3, $1.4 billion of order book, it should go up in terms of 18 months' visibility or whatever from the order book. So, that's the quality of the revenues which speaks about which we are continuing to improve on a regular basis.
Pooja: Thank you sir.

Pritesh Vora: Sir, this is Pritesh Vora from Mission Street . Thank you for opportunity again. My question is we will see, I mean because of this ramp -up in data center in USA, the skilled worker will be always in constraint mode. Would we see some sort of inflationary in their skilled worker prices in US and how i t will impact?
My second question is how many people you are planning to employ in USA? Is it all directly employed by company or you will hire some subcontractor to manage them? How is actually done in USA? Thank you.
Kannan: Sure. So, from a rate point of view, it's a very constrained market. So, there is going to be some inflationary focus on that. And hence, we got the Talent on Tap. So, what we are doing is we're doing a pyramid correction by hiring people from trade school s and making them relevant for the market and hence the margin pressure will come down and so on. So, we are creating talent pool for handling the market pressure or the competitive landscape from a talent pool point of view.
From a hiring point of view, a significant portion will be our own employees, again dependent by the customer, but we also depend upon lot of subcontractors. It depends on the type of the project. Some projects for the enterprise customers are very, very s hort-term, whereas from a data center is a much, much longer term and so on. So, depending on the type of project, we apply three varieties: one is the permanent staff, second is contract labour , and then subcontra

ctors. So, we do a combination of all thre e based on the margin adds.
Pritesh Vora: And how is the tax rate in USA vis -à-vis India? How is the tax point of view?
Deepak Bansal: So, from a tax rate perspective, because we acquired Black Box which was not doing well, which was having a losses of the past. So, we have so normal tax rate is close to around let's say between -- we depending on what's the revenue mix and what's the product mix and what's the geography mix of the US consolidated, we come in the range of around 20% from a normal perspective.
But because of the past operating losses which were carry forward, which is called as NOLs, which is net operating losses, we are right now operating at a 10% tax rate at the overall company level including India and everything. I see that for next let's s ay two years based on the current profitability, we should continue to operate at those levels. After that, probably we will come to the normal tax rate levels of probably between 18% to 20%.

Any last questions? Any last minute, anybody wants to ask the last question and then probably we all will break for dinner. And then we can continue our discussions while we are having our dinner.

Girish Shanbhag: Hi. This is Girish Shanbhag here. Do we anticipate any risks in our journey to 2030? What kind of risks that we are anticipating? Thank you.

Sanjeev Verma: Well, there will be some risk that the management would frame -- bake in. Risks like talent, attrition, some other stuff, and there'll be some risk that possibly are unforeseen, right? So, from where we are at this time, the good part about Black Box, if you look from an overall geopolitical

perspective, we are reasonably hedged. From a currency perspective, we earn in the same currency, spend in the same currency, we're currency hedged. Right?

From a customer perspective of 200 customers across, we're reasonably hedged. Right? From a industry standpoint, some industry can go up, some can come down. Right? So, to an extent that we are planning our overall four -year journey, I think we have baked in as to where we are at this time. If you look from a hyperscaler perspective, I think we have multi -customers, multi -sites, so we're hedged from customer side. So, to an extent that the management is baked in the plan of --we have done that.

So, I think so we do not see or from a regular perspective whatever is possible. Currently, we are at a massive infrastructure cycle, massive, right? This is again happening in multi -geography. So, when US starts to mature, it'll come to Europe, we will ge t the benefit. When it comes to India, we will be the direct beneficiary of that, right? So, from that perspective again, we are hedged. So, we don't foresee anything that we can see at this time.

Now, could there be another war at some part of the world? Now, we can't predict that. Now, we don't know. To an extent possible, we have kept our businesses kind of insulated, managed from that perspective. So, we don't see any significant potential persp ective, portfolio -wise, people -wise. I think we have managed the risk.

Sean Maguire: I'm sorry, Sanjeev , if I can add just a little context to that as well. So, if you read much around what's all the investment that's being made in the US in AI , and people saying that the math doesn't add because the industry isn't there for it, and then you see layoffs from Oracle, from Meta, from AWS, from Google, all of them, they're all doing that for the same reason. One is that they usually stack rank their organization and they make cuts on the on t he bottom staff. But the biggest thing right now is that they are shifting that money into AI. So, they are betting very heavily. I think the thing that we have -- if I think about the biggest risk, the biggest risk is in executing. We've got to do well on the execution and the delivery b

ecause these are challenging projects. But as far as the market goes, we're so diversified across verticals outside of data center s and really positioning ourselves for the next wave of companies that are going to be an outcrop of AI techno logies.

So, whether it's robotics, electric vehicles, autonomous vehicles, there's just a lot of industry that's going to come out of this , that who are the next Googles, who are the next AWSs and eBays and PayPals that came out of the internet economy. This is an order of magnitude greater than that. So, I think that that's really exciting that we're positioned to capitalize on it. But Yes, the risk is in I think mostly in executing on delivery.

Sanjeev Verma: Thank you. Thank you, everyone. I th ank once again on behalf of management, thanks for coming. Thank you for your time. We look forward . You can join us for dinner. We invite everybody for cocktails and dinner. Thank you.